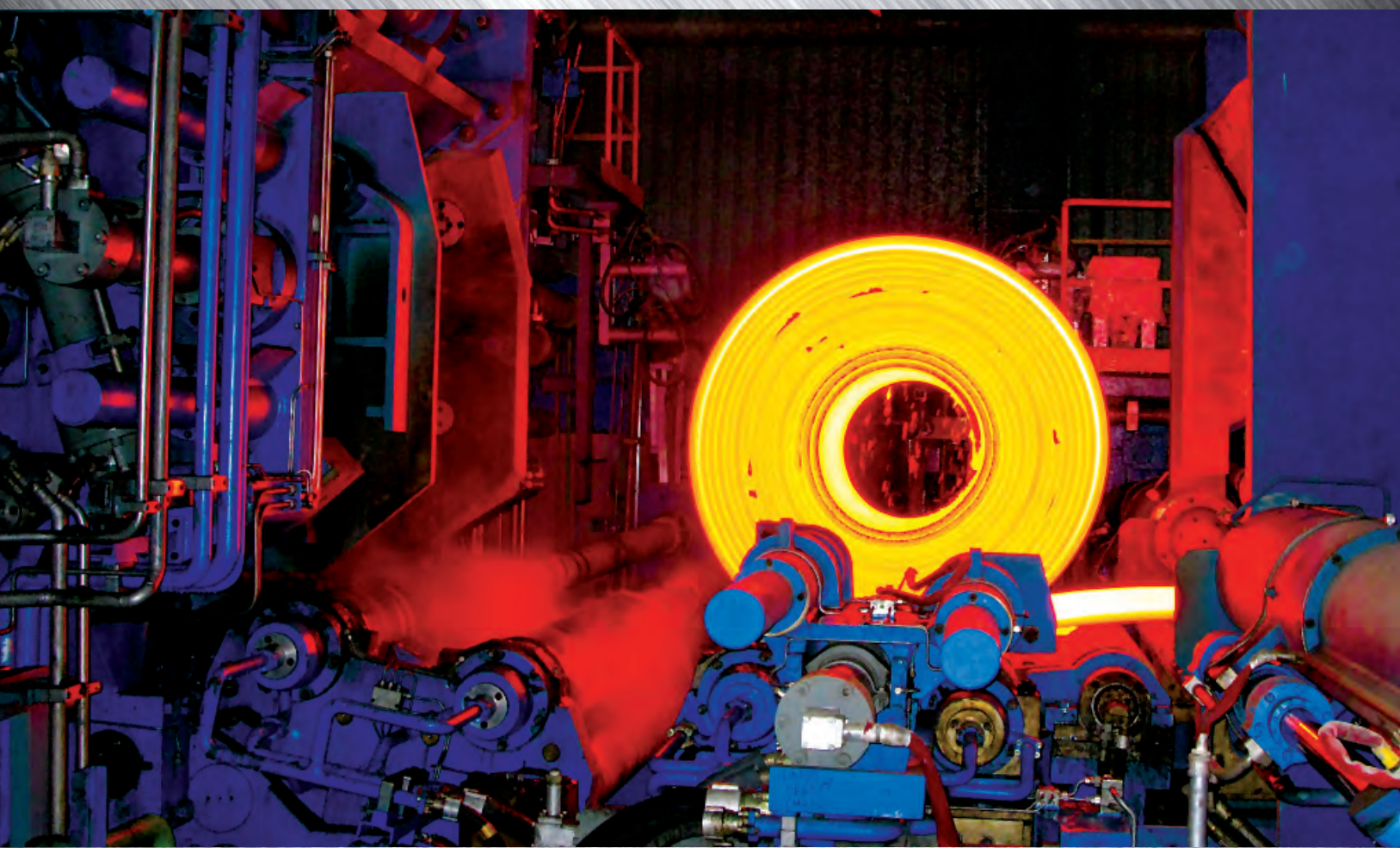
BHUSHAN



BHUSHAN STEEL LIMITED

The Future of Steel

Annual Report 2016-17

CONTENTS

Corporate overview

Corporate Information 01

Management Reports

Board's Reports 02
Corporate Governance Report 08
Management Discussion and Analysis 14

Financial Statements

Auditor's Report on Standalone Accounts 29
Standalone Financial Statement 36
Auditor's Report on Consolidated Accounts 83
Consolidated Financial Statements 86

CORPORATE INFORMATION

BOARD OF DIRECTORS

Mr. Brij Bhushan Singal
Non-Executive Chairman

Mr. Neeraj Singal
Vice-Chairman, Managing Director & Chief Excutive Officer

Mr. Nittin Johari
Whole-time Director (Finance) & Chief Financial Officer

Mr. Rahul Sen Gupta
Whole-time Director (Technical) & Executive Vice President

Mr. P. K. Aggarwal
Whole-time Director (Commercial) & Executive Vice President

Mr. B.B. Tandon
Independent Director

Mr. M.V. Suryanarayana
Independent Director

Mr. Ashwani Kumar
Independent Director

Mr. Rakesh Singhal
Independent Director

Mr. Pradeep Patni
Independent Director

Mr. Sahil Goyal
Independent Director

Mr. Pankaj Sharma
Independent Director

Mr. Kapil Vaish
Independent Director

Smt. Monica Aggarwal
Independent Director

Mr. A. K. Deb
Nominee Director of SBI

Dr. Rajesh Yaduvanshi
Nominee Director of PNB

Mr. Vipin Anand
Nominee Director of LIC

LEAD BANKERS

State Bank of India
Punjab National Bank

WORKS

P.O. Shibapur, Meramandali
Distt.: Dhenkanal - 759 121
(Odisha) INDIA

Site IV, Sahibabad Industrial Area,
Distt. Ghaziabad - 201 010
(U.P.) INDIA

Village: Nifan, Savroli,
Kharpada Road,
Taluka-Khalapur, Near Khopoli,
Distt.: Raigad - 410 203
(Maharashtra) INDIA

COMPANY SECRETARY

Mr. O.P. Davra

AUDITORS

Mehra Goel & Co.
Chartered Accountants
Mehrotra & Mehrotra
Chartered Accountants

REGISTERED AND CORPORATE OFFICE

Bhushan Centre, Ground Floor, Hyatt Regency
Complex, Bhikaji Cama Place
New Delhi-110066
Phone No.: 011- 71194000
Fax No.: 011- 46518611
e-mail : bsl@bhushansteel.com
Website : www.bhushansteel.com
CIN : L74899DL1983PLC014942

REGISTRAR & SHARE TRANSFER AGENTS

M/S RCMC SHARE REGISTRY PVT. LTD.
B-25/1, First Floor, Okhla Industrial Area Phase II,
New Delhi - 110020.
Phone : 011 – 26387320, 26387321, 26387323
Fax : 011 - 26387322
e-mail : shares@rcmcdelhi.com

BOARD'S REPORT

Dear Shareholders,

Your directors are pleased to present the 34th Annual Report and the Audited Statement of Accounts for the financial year ended March 31, 2017.

FINANCIAL RESULTS

(₹ Lacs)

Particulars	Year Ended	
	31st March 2017	31st March 2016
Gross Revenue	1502730.17	1312406.77
Profit /Loss Before Depreciation and Tax	(243947.46)	(246462.30)
Depreciation & Amortisation	168561.21	172952.46
Profit /Loss Before Tax	(412508.67)	(419414.76)
Provision for Deferred Tax	(62396.54)	(86426.96)
Profit /Loss After Tax	(350112.13)	(332987.80)
Total Comprehensive Income	(350173.36)	(332899.79)
Profit /Loss brought forward from Previous Year	(416374.86)	(83387.06)
Profits/Loss available for appropriation	**(766486.99)**	**(416374.86)**

- As per IND - AS

DIVIDEND

In view of the loss incurred during the financial year ended March 31,2017, the Board does not consider it expedient to recommend any dividend.

OPERATIONS AND THE STATE OF COMPANY'S AFFAIRS

GROSS REVENUE AND EXPORTS:

During the year your Company has achieved the Gross sales of ₹ 15027 Crores in comparison of previous year's level of ₹ 13124 Crores.

Further the company has achieved the Export Turnover of ₹ 2863 Crores, registering a growth of 139% over previous year's level of ₹ 1198 crores. The export turnover during the FY 2016-17 is higher due to increase demand of HR coil in international market. First time our company has started to export HR coil in such a huge quantity. The major shipment has been exported to South East Asia and Europe.

With a firm commitment and through sustained efforts, your company continues to maintain good rapport with Global Customers. Our quality products and timely delivery have found wide acceptance in the highly competitive international market. Our products are being exported across the globe.

COMPLETION OF BALANCE CAPEX FACILITIES :

Your company is under implementation of completion of balance capex facilities like Coke Dry Quenching and Reheating Furnace. These facilities are expected to be completed in FY 2017-18.

FINANCE:

The Working Capital facilities for its Sahibabad, Khopoli and Orissa Plants were last sanctioned for the FY 2014-15. Thereafter no enhancement in working capital facilities were sanctioned to the company.

IRON ORE MINES

The Company has bagged Kalmong west iron ore mine in Sundergarh district in an auction. The Iron Ore mine has a reserve of 92 million tonne.

ISSUE AND REDEMPTION OF PREFERENCE SHARES

The Company has made an allotment of 6,00,000 3% Redeemable Cumulative Preference Shares of ₹ 100 each on 31st March 2017 and redeemed 4,89,900 Redeemable Cumulative Preference shares of ₹ 100 each as per the terms of the Issue out of the proceeds of the fresh issue of shares.

INSOLVENCY PROCESS

The lenders have decided to take company into National Company Law Tribunal (NCLT) under the Insolvency and Bankruptcy Code due to the default made by the Company in repayment of borrowings and interest thereon.

DIRECTORS AND KEY MANAGERIAL PERSONNEL (KMP)

Changes in the composition of the Board of Directors and other Key Managerial Personnel

Smt. Monica Aggarwal joined the Board as an Additional Independent Director in its meeting held on 12th December 2016.

There is no change in the Key managerial personnel of the Company during the year under review except the appointment of Mr. Neeraj Singal as Chief Executive Officer (CEO) and Mr. Nittin Johari as Chief Financial Officer (CFO) w.e.f. 05.07.2017.

Currently the Board of Directors of the Company consists of 17 directors, out of which Nine are Independent directors, Three are Nominee directors, Four are Executive directors and One is Non-executive Chairman.

Independent Directors' Declarations

All Independent directors have given declarations that they meet the criteria of independence as laid down under section 149 of the Companies Act, 2013 which has been relied on by the Company and placed at the Board meeting.

Retirement by rotation

In terms of Section 152 of the Companies Act, 2013 Mr. Nittin Johari and Mr. Rahul Sen Gupta Directors would retire by rotation at the forthcoming AGM and is eligible for re-appointment. Mr. Nittin Johari and Mr. Rahul Sen Gupta, Directors of the Company have offered themselves for the reappointment.

Further as per the requirement of Companies Act, 2013, the following policies of the Company are attached herewith marked as Annexure 'A' and Annexure 'B'.

a) Policy for selection of Directors and determining Directors independence; and

b) Remuneration Policy for Directors, Key Managerial Personnel and other employees.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Pursuant to the provision of Section 135 of the Companies Act 2013 read with CSR Rules the Company has constituted a CSR Committee consisting of three Directors, of which one is Independent Director. The composition, terms of reference etc. of the CSR Committee are laid out in the Corporate Governance Report which forms part of this Annual Report.

The CSR policy of the Company has been uploaded on the Company's website www.bhushansteel.com.

In pursuance of the provisions of the Companies Act, 2013 and CSR Policy of the Company it is required to spend two percent of the average net profits of the Company for the three immediately preceding financial years. The Company incurred heavy losses in preceding two financial years and the average net profit for three financial year is in negative thus the company was not required to spend any money for CSR activities during the current financial year ending March 31, 2017.

However the Company is firm on its commitment to incur the sum on CSR activities required to be spent during the financial years 2014-15 and 2015-16 as soon as financial position of the Company improves and there is adequate cash flows.

RESPONSIBILITY STATEMENT

The Responsibility Statement of the Corporate Social Responsibility (CSR) Committee of the Board of Directors of the Company, is reproduced below:

'The implementation and monitoring of Corporate Social Responsibility (CSR) Policy, is in compliance with CSR objectives and policy of the Company.'

CORPORATE GOVERNANCE

The Company is committed to maintain the highest standards of corporate governance and adhere to the corporate governance requirements set out by SEBI. The Company has also implemented several best corporate governance practices as prevalent globally. The report on Corporate Governance as stipulated under the Listing Agreement forms an integral part of this Report and presented in a separate section as Annexure 'C'. The requisite certificate from the Auditors of the Company confirming compliances with the conditions of corporate governance is part of the report on Corporate Governance.

MANAGEMENT'S DISCUSSION AND ANALYSIS REPORT

Management's Discussion and Analysis Report for the year under review, as stipulated under Regulation 34(2) of SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015 is presented in a separate section as Annexure 'D' forming part of the Report.

CONSOLIDATED FINANCIAL STATEMENT

In accordance with the Companies Act, 2013 ("the Act") and Accounting Standard (AS) - 21 on Consolidated Financial Statements read with AS - 23 on Accounting for Investments in Associates and AS - 27 on Financial Reporting of Interests in Joint Ventures, the audited consolidated financial statement is provided in the Report.

SUBSIDIARIES, JOINT VENTURES AND ASSOCIATE COMPANIES

The Company has three (3) Subsidiary Companies as on March 31, 2017. The members may refer to the financial statements forming part of the Annual Report as required under the provisions of Section 129(3) of the Companies Act, 2013.

The Consolidated Financial Statements presented by the Company include financial results of all its subsidiaries, joint ventures and associates. The Audited Financial Statements of the Subsidiary Companies have been reviewed by the Audit Committee and the Board.

A policy for determining material subsidiaries is displayed on the website of the Company- www.bhushansteel.com.

No Company has become Joint venture during the financial year 2016-17. A report on the performance and the financial position of the Subsidiaries, Associates and Joint venture as per Form AOC-1 are presented in the consolidated financial statement and hence not repeated here for the sake of brevity. Most of the Subsidiaries and Joint venture of the Company have not commenced operations and their contribution to the overall performance of the Company is insignificant.

CONTRACTS AND ARRANGEMENTS WITH RELATED PARTIES

The Company has a Board approved policy on Related Party Transactions, which has been disclosed on the website of the Company and can be viewed at www.bhushansteel.com

All Related Party Transactions that were entered into during the financial year were on an arm's length basis, in the ordinary course of business and were in compliance with the applicable provisions of the Companies Act, 2013 ('the Act') and SEBI (Listing Obligations and Disclosures Requirements) Regulations 2015 and the provisions of Section 188 of the Companies Act, 2013 are not attracted. Thus disclosure in Form AOC-2 is not required.

There were no materially significant Related Party Transactions made by the Company during the year that would have required Shareholder approval as per provision of Companies Act 2013 read with applicable rules and Regulation 23 of SEBI(Listing Obligations and Disclosures Requirements) Regulations, 2015.

All related Party Transactions are placed before the Audit Committee for approval. Prior Omnibus approval of the Audit Committee is obtained for the transactions which are of forseen and repetitive nature. The transactions entered into pursuant to the omnibus approval so granted alongwith a statement giving details of all related party transactions is placed before the Audit Committee from time to time.

RISK MANAGEMENT

Bhushan Steel follows well-established and detailed risk assessment and minimisation procedures, which are periodically reviewed by the Board. The Company has in place a business risk management framework for identifying risks and opportunities that may have a bearing on the organization's objectives, assessing them in terms of likelihood and magnitude of impact and determining a response strategy.

The Senior Management assists the Board in its oversight of the Company's management of key risks, including strategic and operational risks, as well as the guidelines, policies and processes for monitoring and mitigating such risks under the aegis of the overall business risk management framework.

INTERNAL FINANCIAL CONTROLS

The Board has laid down Internal Financial Controls within the meaning of the explanation to Section 134 (5) (e) of the Companies Act, 2013. During the year, such controls were tested and no reportable material weakness in the design or operation were observed.

Based on the framework of internal financial controls and compliance systems established and maintained by the Company, work performed by the Internal Auditors and the reviews performed by Management and the relevant Board Committees, including the Audit Committee, the Board is of the opinion that the Company's internal financial controls were adequate and effective during the financial year 2016-17.

DIRECTORS' RESPONSIBILITY STATEMENT

As required by Section 134(3) (c) of the Companies Act, your directors state that:

a) in the preparation of the annual accounts for the year ended March 31, 2017, the applicable accounting standards read with requirements set out under Schedule III to the Act, have been followed and there are no material departures from the same;

b) the Directors have selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at March 31, 2017 and of the loss of the Company for the year ended 31st March 2017;

c) the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;

d) the Directors have prepared the annual accounts on a 'going concern' basis;

e) the Directors have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and are operating effectively; and

f) the Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and operating effectively.

VIGIL MECHANISM/ WHISTLE BLOWER POLICY

The Company has adopted a Whistle Blower Policy, to provide a formal mechanism to the Directors and employees to report their concerns about unethical behaviour, actual or suspected fraud or violation of the Company's Code of Conduct or ethics policy. The Policy provides for adequate safeguards against victimization of employees who avail of the mechanism and also provides for direct access to the Chairman of the Audit Committee. It is affirmed that no personnel of the Company has been denied access to the Audit Committee.

The Policy is displayed at Company's website –www.bhushansteel.com.

BOARD EVALUATION

Pursuant to the provisions of the Companies Act, 2013 and SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015, the Board has carried out an annual evaluation of its own performance, the directors individually as well as the evaluation of the working of various committees. The Independent directors also carried out the evaluation of the Chairman and the non-independent directors, the details of which are covered in the Corporate Governance Report.

- Criteria for evaluation of Directors – For the purpose of proper evaluation, the Directors of the Company have been divided into 3 (three) categories i.e. Independent, Non-independent and non-executive and executive directors. The criteria for evaluation includes factors such as engagement, strategic planning and vision, team spirit and consensus building, effective leadership, domain knowledge, management qualities, team work abilities, result, achievements, understanding and awareness etc.

AUDITORS AND AUDITORS' REPORT

Statutory Auditors

M/s Mehra Goel & Co., Chartered Accountants and M/s. Mehrotra & Mehrotra , Chartered Accountants, Joint Statutory Auditors of the Company, hold office till the conclusion of the ensuing Annual General Meeting. M/s. Mehrotra & Mehrotra are eligible for re-appointment and have confirmed their eligibility to the effect that their re-appointment, if made, would be within the prescribed limits under the Act and that they are not disqualified for re-appointment.

The Notes on financial statement referred to in the Auditors' Report are self-explanatory and do not call for any further comments. The Auditors' Report contain one qualification/ reservation etc which is self-explanatory and do not call for any further comments.

Cost Auditors

The Board on the recommendation of the Audit Committee has appointed M/s Kabra & Associates as cost auditors for conducting the audit of cost records of the Company for the financial year 2016-17. In terms of the Section 148 of the Companies Act,2013 and the rules made thereunder, remuneration of the Cost Auditors was ratified by the members of the Company in the Annual General meeting.

Secretarial Audit

The Board has appointed R. K Rai, Practising Company Secretary, to conduct Secretarial Audit for the financial year 2016-17. The Secretarial Audit Report for the financial year ended March 31, 2017 is annexed herewith marked as Annexure 'E' to this Report. The remarks in the Secretarial Audit Report are self-explanatory and do not call for any further comments.

DISCLOSURES:

- CSR Committee
  The CSR Committee comprises Mr. B. B. Singal (Chairman), Mr. B. B. Tandon, and Mr.Nittin Johari as other members.
- Audit Committee
  The Audit Committee comprises Mr. B. B. Tandon (Chairman), Mr. B. B. Singal, Mr. M. V. Suryanarayana and Mr. Ashwani Kumar as other members.
- Nomination and Remuneration Committee

  The Nomination and Remuneration Committee comprises Mr. M.V. Suryanarayana (Chairman), Mr. B. B. Singal and Mr. B. B. Tandon as other members.

NUMBER OF MEETINGS OF THE BOARD

Five meetings of the Board of Directors were held during the year. For further details, please refer report on Corporate Governance presented as Annexure 'C' to this Report.

PARTICULARS OF LOANS GIVEN, INVESTMENTS MADE, GUARANTEES GIVEN AND SECURITIES PROVIDED

Particulars of loans given, investments made guarantee given and securities provided, if any are given in the financial statement.

POLICY ON PREVENTION, PROHIBITION AND REDRESSAL OF SEXUAL HARASSMENT AT WORKPLACE

The Company has zero tolerance for sexual harassment at workplace and has adopted a Policy on Prevention, Prohibition and Redressal of Sexual Harassment at the Workplace, in line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and the Rules there under. The Policy aims to provide protection to employees at the workplace and prevent and redress complaints of sexual harassment and for matters connected or incidental thereto, with the objective of providing a safe working environment, where employees feel secure. The Company has also constituted an Internal Complaints Committee, known as the Prevention of Sexual Harassment (POSH) Committee, to inquire into complaints of sexual harassment and recommend appropriate action.

The Company has not received any complaint of sexual harassment during the financial year 2016-17.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO

The particulars relating to conservation of energy, technology absorption, foreign exchange earnings and outgo, as required to be disclosed under sub-section 3(m) of Section 134 of the Companies Act, 2013 read with Companies (Accounts) Rules 2014 are provided in Annexure 'F' to this Report.

EXTRACT OF ANNUAL RETURN

Extract of Annual Return of the Company is annexed herewith as Annexure 'G' to this Report.

PARTICULARS OF EMPLOYEES AND RELATED DISCLOSURES

In terms of the provisions of Section 197(12) of the Act read with Rules 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, a statement showing disclosures pertaining to remuneration and also the names and other particulars of the employees drawing remuneration in excess of the limits set out in the said rules are provided in the Annexure 'H' to this Report.

DEPOSITS

The Company has not accepted any deposits from the Public falling within the purview of Section 73 of the Companies Act, 2013 read with the Companies (Acceptance of Deposits) Rules, 2014.

DISCLOSURES WITH RESPECT TO DEMAT SUSPENSE ACCOUNT/ UNCLAIMED SUSPENCE ACCOUNT

- Aggregate number of shareholders and the outstanding shares in the suspense account lying at the beginning of the year- 3 Shareholders holding 171 Shares
- Number of shareholders who approached listed entity for transfer of shares from suspense account during the year- 1 shareholder holding 150 Shares
- Number of shareholders to whom shares were transferred from suspense account during the year- 1 shareholder holding 150 Shares
- Aggregate number of shareholders and the outstanding shares in the suspense account lying at the end of the year-2 Shareholders holding 21 Shares

The voting rights on these shares shall remain frozen till the rightful owner of such shares claims the shares.

TRANSFER OF UNCLIAMED AMOUNTS TO INVESTOR EDUCATION AND PROTECTION FUND (IEPF).

Pursuant to the provisions of Section 124 (5) of the Companies Act, 2013, the declared dividends, which remained unpaid/ unclaimed for a period of seven years have been transferred by the Company to the IEPF established by the Central Government pursuant to Section 125 of the said Act.

SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS OR COURTS

There were no significant and material orders passed against the Company by the regulators or courts or tribunals during financial year 2016-17 impacting the going concern status and Company's operations in future.

MATERIAL CHANGES AND COMMITMENTS

There was no change in the nature of the business of the Company. There were no material changes and commitments affecting the financial position of the Company occurring between 31st March, 2017 and the date of this Report.

ACKNOWLEDGEMENT

Your Directors would like to express their gratitude & appreciation for the valuable guidance & support received from Government of India, Government of Australia, various State Governments particularly including States of Orissa, Maharashtra & Uttar Pradesh; Banks and the financial Institutions; various stakeholders such as Shareholders, Debenture-holders, Customers, Dealers, Suppliers and all the business associates among others. Your Directors also wish to place on record their deep sense of appreciation & gratitude to all Company's employees for their continuous commitment & enormous personal efforts as well as their collective contribution towards the growth of the Company.

The Directors look forward to their continued support in future.

for and on behalf of the Board of Directors,

(B. B. SINGAL)
CHAIRMAN

Place : New Delhi
Dated : 05.07.2017

ANNEXURE 'A'

POLICY FOR SELECTION OF DIRECTORS AND DETERMINING DIRECTORS' INDEPENDENCE

INTRODUCTION

1.1 Bhushan Steel Limited (BSL) believes that an enlightened Board consciously creates a culture of leadership to provide a long-term vision and policy approach to improve the quality of governance. Towards this, BSL ensures constitution of a Board of Directors with an appropriate composition, size, diversified expertise and experience and commitment to discharge their responsibilities and duties effectively.

1.2 BSL recognizes the importance of Independent Directors in achieving the effectiveness of the Board. BSL aims to have an optimum combination of Executive, Non-Executive and Independent Directors.

2. Scope and Exclusion:

2.1 This Policy sets out the guiding principles for the Nomination and Remuneration Committee for identifying persons who are qualified to become Directors and to determine the independence of Directors, in case of their appointment as independent directors of the Company.

3. Terms and References:

In this Policy, the following terms shall have the following meanings:

3.1 **"Director"** means a director appointed to the Board of a company.

3.2 **"Nomination and Remuneration Committee"** means the committee constituted by BSL's Board in accordance with the provisions of Section 178 of the Companies Act, 2013 and Clause 49 of the Equity Listing Agreement.

3.3 **"Independent Director"** means a director referred to in sub-section (6) of Section 149 of the Companies Act, 2013 and Clause 49(II)(B) of the Equity Listing Agreement.

4. Policy:

4.1 Qualifications and criteria

4.1.1 Nomination and Remuneration Committee, and the Board, shall review on an annual basis, appropriate skills, knowledge and experience required of the Board as a whole and its individual members. The objective is to have a Board with diverse background and experience that are relevant for the Company's operations.

4.1.2 In evaluating the suitability of individual Board members, the Nomination and Remuneration Committee may take into account factors, such as: General understanding of the Company's business dynamics, social perspective; Educational and professional background Standing in the profession; Personal and professional ethics, integrity and values; Willingness to devote sufficient time and energy in carrying out their duties and responsibilities effectively.

4.1.3 The proposed appointee shall also fulfill the following requirements: Shall possess a Director Identification Number; Shall not be disqualified under the Companies Act, 2013;Shall give his written consent to act as a Director ;Shall endeavour to attend all Board Meetings and wherever he is appointed as a Committee Member, the Committee Meetings; Shall abide by the Code of Conduct established by the Company for Directors and Senior Management Personnel; Shall disclose his concern or interest in any company or companies or bodies corporate, firms, or other association of individuals including his shareholding at the first meeting of the Board in every financial year and thereafter whenever there is a change in the disclosures already made; Such other requirements as may be prescribed, from time to time, under the Companies Act, 2013, Equity Listing Agreements and other relevant laws.

4.1.4 The Nomination and Remuneration Committee shall evaluate each individual with the objective of having a group that best enables the success of the Company's business.

4.2 Criteria of Independence

4.2.1 The Nomination and Remuneration Committee shall assess the independence of Directors at the time of appointment / re-appointment and the Board shall assess the same annually. The Board shall re-assess determinations of independence when any new interests or relationships are disclosed by a Director.

4.2.2 The criteria of independence, as laid down in Companies Act, 2013 and Clause 49 of the Equity Listing Agreement, is as below:

An independent director in relation to a company, means a director other than a managing director or a whole-time director or a nominee director—

a. who, in the opinion of the Board, is a person of integrity and possesses relevant expertise and experience;

b. (i) who is or was not a promoter of the company or its holding, subsidiary or associate company;

(ii) who is not related to promoters or directors in the company, its holding, subsidiary or associate company;

c. who has or had no pecuniary relationship with the company, its holding, subsidiary or associate company, or their promoters, or directors, during the two immediately preceding financial years or during the current financial year;

d. none of whose relatives has or had pecuniary relationship or transaction with the company, its holding, subsidiary or associate company, or their promoters, or directors, amounting to two per cent or more of its gross turnover or total income or fifty lakh rupees or such higher amount as may be prescribed, whichever is lower, during the two immediately preceding financial years or during the current financial year;

e. who, neither himself nor any of his relatives—

(i) holds or has held the position of a key managerial personnel or is or has been employee of the company or its holding, subsidiary or associate company in any of the three financial years immediately preceding the financial year in which he is proposed to be appointed;

(ii) is or has been an employee or proprietor or a partner, in any of the three financial years immediately preceding the financial year in which he is proposed to be appointed, of—

(a) a firm of auditors or company secretaries in practice or cost auditors of the company or its holding, subsidiary or associate company; or

(b) any legal or a consulting firm that has or had any transaction with the company, its holding, subsidiary or associate company amounting to ten per cent or more of the gross turnover of such firm;

(iii) holds together with his relatives two per cent or more of the total voting power of the company; or

(iv) is a Chief Executive or director, by whatever name called, of any non profit organisation that receives twenty-five per cent or more of its receipts from the company, any of its promoters, directors or its holding, subsidiary or associate company or that holds two per cent or more of the total voting power of the company; or

(v) is a material supplier, service provider or customer or a lessor or lessee of the company.

f. shall possess appropriate skills, experience and knowledge in one or more fields of finance, law, management, sales, marketing, administration, research, corporate governance, technical operations, corporate social responsibility or other disciplines related to the Company's business.

g. shall possess such other qualifications as may be prescribed, from time to time, under the Companies Act, 2013.

h. who is not less than 21 years of age.

4.2.3 The Independent Directors shall abide by the "Code for Independent Directors" as specified in Schedule IV to the Companies Act, 2013.

4.3 Other directorships / committee memberships

4.3.1 The Board members are expected to have adequate time and expertise and experience to contribute to effective Board performance. Accordingly, members should voluntarily limit their directorships in other listed public limited companies in such a way that it does not interfere with their role as directors of the Company. The Nomination and Remuneration Committee shall take into account the nature of, and the time involved in a Director's service on other Boards, in evaluating the suitability of the individual Director and making its recommendations to the Board.

4.3.2 A Director shall not serve as Director in more than 20 companies of which not more than 10 shall be Public Limited Companies.

4.3.3 A Director shall not serve as an Independent Director in more than 7 Listed Companies and not more than 3 Listed Companies in case he is serving as a Whole-time Director in any Listed Company.

4.3.4 A Director shall not be a member in more than 10 Committees or act as Chairman of more than 5 Committees across all companies in which he holds directorships.

For the purpose of considering the limit of the Committees, Audit Committee and Stakeholders' Relationship Committee of all Public Limited Companies, whether listed or not, shall be included and all other companies including Private Limited Companies, Foreign Companies and Companies under Section 8 of the Companies Act, 2013 shall be excluded.

ANNEXURE 'B'

REMUNERATION POLICY FOR DIRECTORS, KEY MANAGERIAL PERSONNEL AND OTHER EMPLOYEES

1. PREAMBLE

a. The remuneration policy provides a framework for remuneration paid to the members of the Board of Directors ("Board") and for Key Managerial Personnel ("KMP") and the Management Personnel ("MP") of the Company (collectively referred to as "Executives"). The expression KMP shall have the same meaning as defined under the Companies Act, 2013, ''management personnel'' means personnel of the company excluding Board of Directors comprising such levels of managerial personnel as may be decided from time to time. This Policy also provides a framework for identification of persons who are qualified to become directors and who may be appointed as senior management for recommendation of their appointment to the board. ''Senior management'' means personnel of the company who are members of its core management team excluding Board of Directors comprising all members of management one level below the executive directors, including the functional heads.

b. This Policy has been framed by the Nomination and Remuneration Committee of the Board of Directors and based on its recommendation, approved by the board of directors of the Company.

c. The policy may be reviewed by the Nomination and Remuneration Committee of the Board of Directors.

2. AIMS & OBJECTIVES

a. The aims and objectives of this remuneration policy may be summarized as follows:

b. The remuneration policy aims to enable the company to attract, retain and motivate high quality members for the Board and executives.

c. The remuneration policy seeks to enable the company to provide a well- balanced and performance-related compensation package, taking into account shareholder interests, industry practices and relevant Indian corporate regulations.

d. The remuneration policy will ensure that the interests of Executives are aligned with the business strategy and risk tolerance, objectives, values and long-terminterests of the company and will be consistent with the "pay-for-performance" principle.

e. The remuneration policy will ensure that remuneration to Executives involves a balance between fixed pay and incentive (by way of increment/bonus/ promotion/any other form) reflecting short and long-term performance objectives appropriate to the working of the company and its goals.

3. PRINCIPLES OF REMUNERATION

a. Support for Objectives: Remuneration and reward frameworks and decisions shall be developed in a manner that is consistent with, supports and reinforces the achievement of the Company's objectives.

b. Transparency: The process of remuneration management shall be transparent, conducted in good faith and in accordance with appropriate levels of confidentiality.

c. Internal equity: The Company shall remunerate the Executives in terms of their roles and responsibilities within the organisation. Positions shall be formally evaluated to determine their relative weight in relation to other positions within the Company.

d. External equity: The Company strives to pay an equitable remuneration, capable of attracting and retaining high quality personnel. Therefore the Company will remain logically mindful of the ongoing need to attract and retain high quality people, and the influence of external remuneration pressures.

e. Flexibility: Remuneration and reward offerings shall be sufficiently flexible to meet both the needs of individuals and those of the Company whilst complying with relevant tax and other legislation.

f. Performance-Driven Remuneration: The Company shall entrench a culture of performance driven remuneration, whether as part of increment or separately and in such form as may be considered appropriate.

g. Affordability and Sustainability: The Company shall ensure that remuneration is affordable on a sustainable basis.

4. REMUNERATION TO NON EXECUTIVE DIRECTORS

Non Executive directors may be paid remuneration by way of fee and reimbursement of expenses for participation in the Board and other meetings and commission and/or such other payments as may be permitted by the law applicable to such payments. Such payments shall be subject to the provisions of Companies Act, 2013.

5. COMPENSATION STRUCTURE

Executives unless otherwise decided by the Committee shall receive a competitive remuneration package consisting of the following components:

Fixed salary

Fixed salary rewards the executives for their day-to-day job performance and ensures a balanced overall remuneration package. The fixed salary shall comprise of basic salary and allowances as per the rules of the Company.

Personal benefits

Executives may have access to benefits/perquisites as per the rules and regulations of the Company. Executives may also be entitled to retirement benefits such as provident fund, gratuity and/or such other benefits as per the rules of the Company.

6. CRITERIA FOR IDENTIFICATION OF THE BOARD MEMBERS AND APPOINTMENTS OF SENIOR MANAGEMENT

The members of the board shall possess appropriate skills, qualification, characteristics and experience. The objective is to have a Board with diverse background and experience in business, government, academics, technology, human resources, social responsibilities, finance, law etc. and in such other areas as may be considered relevant or desirable to conduct the Company's business in a holistic manner.

Independent directors shall be person of integrity and possess expertise and experience and/or someone who the Committee/ board believes could contribute to the growth/philosophy/strategy of the Company.

In evaluating the suitability of individual Board members, the Committee takes into account many factors, including general understanding of the Company's business dynamics, global business, social perspective, educational and professional background and personal achievements.

Director should possess high level of personal and professional ethics, integrity and values. They should be able to balance the legitimate interest and concerns of all the Company's stakeholders in arriving at decisions, rather than advancing the interests of a particular constituency.

In addition, Directors must be willing to devote sufficient time and energy in carrying out their duties and responsibilities effectively. They must have the aptitude to critically evaluate management's working as part of a team in an environment of collegiality and trust.

The Committee evaluates each individual with the objective of having a group that best enables the success of the Company's business and achieve its objectives.

The candidate for the appointment of senior management should possess adequate qualification, characteristics and work experience.

The candidate for senior management should also possess high level of personal and professional ethics, integrity and values.

For any appointment of senior management, the existing employees in the organisation may be preferred. While assessing the candidature of existing employee, his/her past performance in the Company should be taken into consideration.

7. AMENDMENTS TO THIS POLICY

The Nomination and Remuneration Committee is entitled to amend this policy including amendment or discontinuation of one or more incentive programmes introduced in accordance with this Policy.

8. APPROVAL AND PUBLICATION

This remuneration policy as framed and recommended by the committee was approved by the Board of Directors.

The policy of the Company has been uploaded on the Company's website www.bhushansteel.com.

ANNEXURE 'C'
CORPORATE GOVERNANCE REPORT

1. COMPANY'S PHILOSOPHY ON CORPORATE GOVERNANCE:

Corporate Governance has always been the top priority of the Company and has been taken high in letter and in spirit. Your Company strongly believes in maintaining transparency, accountability and integrity which are the main components in Corporate Governance. The philosophy is manifested in its operations through standards of ethical behavior, both within the organization as well as in external relationships too. The Company aims at maximizing shareholder's value and its philosophy is based on the fair and transparent disclosure of issues related with the Company's business, financial performance and matters relating to stakeholders' interest. We believe that Corporate Governance is the key element in improving efficiency, growth and investor's confidence.

Your Company's practices relating to the Corporate Governance for the Financial Year ended 31st March 2017 are discussed in the following sections:

2. BOARD OF DIRECTORS:

The current policy of the Company is to have an appropriate mix of executive and independent directors to maintain the independence of the Board, and to separate its functions of governance and management. As on 31.03.2017 the Board of Director consists of Seventeen (17) Directors, out of which four (4) are Executive Directors and Thirteen (13) are Non Executive Directors, Nine (09) of whom being independent.

The Directors have expertise in the fields of industry, operations, finance, legal and management. The board shapes the vision of the Company and provides strategic guidance and independent views to the Company's management while discharging its fiduciary responsibilities.

Composition and category of Directors are as under :-

Category	Name of Directors
Promoter /Executive Director	Sh. Neeraj Singal
Promoter Non-Executive Director & Chairman	Sh. B B Singal
Non-Promoter Executive Directors	Sh. Nittin Johari Sh. Rahul Sen Gupta Sh. P.K. Aggarwal
Independent Non-Executive Directors	Sh. B.B. Tandon Sh. M. V. Suryanarayana Sh. Rakesh Singhal Sh. Ashwani Kumar Sh. Pradeep Patni Sh. Kapil Vaish Smt. Monica Aggarwal Sh. Sahil Goyal Sh. Pankaj Sharma
Nominee Directors	Sh. A. K. Deb (SBI) Dr. Rajesh Yaduvanshi (PNB) Sh. Vipin Anand (LIC)

Except Mr. B.B. Singal and Mr. Neeraj Singal who are related to each other, no other directors are inter-se related. Further all the Independent directors are meeting the criteria as laid down in Section 149(6) of the Companies Act, 2013 read with Regulation 16(b) of SEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015.

THE ATTENDANCE RECORD OF THE DIRECTORS AT THE BOARD MEETINGS HELD DURING FINANCIAL YEAR 2016-17 AND AT THE LAST ANNUAL GENERAL MEETING AS ALSO THE NUMBER OF DIRECTORSHIPS, COMMITTEE MEMBERSHIPS AND COMMITTEE CHAIRMANSHIPS HELD BY THEM IN OTHER COMPANIES AS ON 31.03.2017 ARE GIVEN BELOW:

Sr No	Name of Directors	Attendance Particulars			No of directorships, committee membership and chairmanship of Public companies		
		No. of Board Meetings held during their tenure in the F.Y.2016-17	No. of Board Meeting Attended	Attendance at Last AGM	Other Directorships (*)	Committee membership (*)(#)	Committee Chairmanship (*)(#)
1	Sh. B.B. Singal	05	04	YES	6	4	3
2	Sh. Neeraj Singal	05	04	NO	3	2	-
3	Sh. A. K. Deb	05	05	NO	3	2	-
4	Dr. Rajesh Yaduvanshi	05	03	NO	2	-	-
5	Sh. Vipin Anand	05	03	NO	-		
6	Sh. B.B. Tandon	05	05	YES	8	9	2
7	Sh. M. V. Suryanarayana	05	05	NO	2	2	-
8	Sh. Rakesh Singhal	05	05	NO	1	-	-
9	Sh. Ashwani Kumar	05	05	NO	7	6	4
10	Sh. Pradeep Patni	05	02	NO	-	-	-
11	Sh. Sahil Goyal	05	05	NO	2	-	-
12	Sh. Pankaj Sharma	05	03	NO	-	-	-
13	Sh. Kapil Vaish	05	03	NO	1	1	1
14	Sh. Nittin Johari	05	05	YES	1	-	-
15	Sh. Rahul Sen Gupta	05	03	NO	3	-	-
16	Sh. P.K. Aggarwal	05	05	YES	2	1	-
17	Smt Promila Bhardwaj@	01	01	NO	-	-	-
18	Smt. Monica Aggarwal +	03	01	NO	1	-	-

@ Ceased to be director w.e.f. 04.06.2016.
+ Joined the Board on 03.09.16 but her office of Director vacated on 17.09.2016 and she rejoined the Board on 12.12.2016.
* Excludes Directorships, Committee memberships and Committee Chairmanships of Private Limited Companies, Foreign Companies and Companies incorporated U/s 8 of the Companies Act, 2013
In accordance with Regulation 26 of the SEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015 Memberships / Chairmanships of only Audit Committee and Stakeholder Relationship Committee have been considered.
None of the Director is member in more than ten committees and Chairperson of more than five committees across all listed entities.

3. BOARD MEETINGS:

The Board of Directors of the Company meets at regular intervals to discuss regular business matters and decide on Company's strategy, policies and programs. Board Meetings are usually held at Registered and Corporate Office of the Company at New Delhi. During the year five (05) Board Meetings were held on 30/05/2016, 06/08/2016, 10/09/2016, 12/12/2016 and 10/02/2017. Maximum time gap between the two consecutive meetings had not exceeded 120 days.

The agenda for Board Meetings and notes are circulated to the Directors in advance and all material information is included in the agenda for facilitating well informed and meaningful deliberation and decision making. The agenda of the meetings of the Board inter alia includes annual operating plans, capital budgets and updates therein.

4. AUDIT COMMITTEE:

The Company has an Audit Committee of Directors since 28-06-1997. Presently the Committee consists of Four Directors namely (1) Sh. B.B. Tandon (2) Sh. B.B. Singal (3) Sh. M.V. Suryanarayana and (4) Sh. Ashwani Kumar.

Sh. B.B. Tandon is the Chairman of the Audit Committee.

The committee's composition meets with the requirements of Section 177 of the Companies Act, 2013 and Regulation 18 of the SEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015 as all the members of the Audit Committee are independent except Sh. B. B. Singal.

As per Section 177 of the Companies Act, 2013 the Audit Committee acts in accordance with the terms of reference specified in writing by the Board which, inter alia, include —

i. the recommendation for appointment, remuneration and terms of appointment of auditors of the company;

ii. review and monitor the auditor's independence and performance, and effectiveness of audit process;

iii. examination of the financial statement and the auditors' report thereon;

iv. approval or any subsequent modification of transactions of the company with related parties;

v. scrutiny of inter-corporate loans and investments;

vi. valuation of undertakings or assets of the company, wherever it is necessary;

vii. evaluation of internal financial controls and risk management systems;

viii. monitoring the end use of funds raised through public offers and related matters.

The Audit Committee shall have powers, which should include the following:

1. To investigate any activity within its terms of reference.
2. To seek information from any employee.
3. To obtain outside legal or other professional advice.
4. To secure attendance of outsiders with relevant expertise, if it considers necessary.

Role of Audit Committee are detailed hereunder:-

1. Oversight of the company's financial reporting process and the disclosure of its financial information to ensure that the financial statement is correct, sufficient and credible;
2. Recommendation for appointment, remuneration and terms of appointment of Statutory Auditors and Cost Auditors of the company;
3. Approval of payment to statutory auditors for any other services rendered by the statutory auditors;
4. Reviewing, with the management, the annual financial statements and auditor's report thereon before submission to the board for approval, with particular reference to:
   a. Matters required to be included in the Director's Responsibility Statement to be included in the Board's report in terms of clause (c) of sub-section 3 of section 134 of the Companies Act, 2013
   b. Changes, if any, in accounting policies and practices and reasons for the same
   c. Major accounting entries involving estimates based on the exercise of judgment by management
   d. Significant adjustments made in the financial statements arising out of audit findings
   e. Compliance with listing and other legal requirements relating to financial statements
   f. Disclosure of any related party transactions
   g. Qualifications in the draft audit report
5. Reviewing, with the management, the quarterly financial statements before submission to the board for approval;
6. Reviewing, with the management, the statement of uses / application of funds raised through an issue (public issue, rights issue, preferential issue, etc.), the statement of funds utilized for purposes other than those stated in the offer document / prospectus / notice and the report submitted by the monitoring agency monitoring the utilisation of proceeds of a public or rights issue, and making appropriate recommendations to the Board to take up steps in this matter;
7. Review and monitor the auditor's independence and performance, and effectiveness of audit process;
8. Approval or any subsequent modification of transactions of the company with related parties;
9. Scrutiny of inter-corporate loans and investments;
10. Valuation of undertakings or assets of the company, wherever it is necessary;
11. Evaluation of internal financial controls and risk management systems;
12. Reviewing, with the management, performance of statutory and internal auditors, adequacy of the internal control systems;
13. Reviewing the adequacy of internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit;
14. Discussion with internal auditors of any significant findings and follow up there on;
15. Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the board;
16. Discussion with statutory auditors before the audit commences, about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern;
17. To look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors;
18. To review the functioning of the Whistle Blower mechanism;
19. Approval of appointment of CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing the qualifications, experience and background, etc. of the candidate;
20. Carrying out any other function as is mentioned in the terms of reference of the Audit Committee.
21. Reviewing the following information:
    I. Management discussion and analysis of financial condition and results of operations;
    II. Statement of significant related party transactions (as defined by the Audit Committee), submitted by management;
    III. Management letters / letters of internal control weaknesses issued by the statutory auditors;

IV. Internal audit reports relating to internal control weaknesses; and

V. The appointment, removal and terms of remuneration of the Chief internal auditor

During the year, the committee has met five (5) times 30/05/2016, 06/08/2016, 10/09/2016, 12/12/2016 and 10/02/2017. Sh. B. B. Tandon, Sh. M.V. Suryanarayana and Sh. Ashwani Kumar have attended all the meetings of the Audit Committee held during the year. And Sh. B.B. Singal has attended four meetings of the Audit Committee .

5. NOMINATION AND REMUNERATION COMMITTEE:

In compliance with the provision of Section 178 (1) of the Companies Act, 2013 and Regulation 19 of the SEBI(Listing Obligations and Disclosure Requirements) Regulations, 2015 Nomination and Remuneration Committee was constituted. Presently the Committee comprises of Sh. M.V. Suryanarayana, Sh. B. B. Tandon and Sh. B.B. Singal.

Sh. M.V. Suryanarayana (Non Executive director) is the Chairman of the Committee.

During the year two meetings of Nomination and Remuneration Committee were held on 30.05.2016 and 12.12.2016 which were attended by all the members of the Committee.

TERMS OF REFERENCE OF THE COMMITTEE

- To identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and to recommend to the Board their appointment and removal.
- To carry out evaluation of every director's performance.
- To formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board a policy, relating to the remuneration for the directors, key managerial personnel and other employees.
- To formulate remuneration policy and ensure that-
  - (a) the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate directors of the quality required to run the company successfully;
  - (b) relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and
  - (c) remuneration to directors, key managerial personnel and senior management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals

REMUNERATION POLICY:

The remuneration policy is directed towards rewarding performance based on review of achievement on a periodical basis. The remuneration policy is in consonance with the existing Industrial practice. The remuneration structure of the Executive Directors comprises of salary, perquisites and allowances, contribution to provident fund, leave encashment and gratuity.

Remuneration Policy of the Company has been uploaded on the website of the Company at http://www.bhushan-group.org/downloads.html.

PERFORMANCE EVALUATION CRITERIA FOR INDEPENDENT DIRECTORS

The Independent Directors are evaluated on parameters like Director's contributions at Board / Committee meetings, willingness to devote time and effort to understand the Company and its business and a readiness to participate in events outside the meeting room, ability to understands governance, regulatory, financial, fiduciary and ethical requirements of the Board / Committee, adherence to Code of Conduct and how the independent Director is able to bring independent judgment during board deliberations on strategy, performance, risk management etc in addition to the criteria for evaluation of Non- Executive Directors.

DETAIL OF REMUNERATION PAID TO DIRECTORS :

(a) Remuneration paid to Executive Directors :

Sr. No.	Name	Designation	Salary including PF contribution (₹)	Other Perquisites (₹)	Total (₹)
1.	Sh. Neeraj Singal	Vice Chairman and Managing Director	1,20,00,000	25,83,284	1,45,83,284
2.	Sh. Nittin Johari	Whole-Time Director	1,41,00,000	39,600	1,41,39,600
3.	Sh. Rahul Sen Gupta	Whole-Time Director	99,00,000	39,600	99,39,600
4.	Sh. P.K. Aggarwal	Whole-Time Director	99,21,600	39,600	99,61,200

(b) Sitting fees paid to Non – Executive Directors: The Non-Executive Directors are paid sitting fees for each Meeting of the Board as well as any other committee meetings attended by them.

Sr. No.	Name	Designation	Sitting Fees (₹)	No. of Equity shares held as on 31.03.17
1.	Sh. B.B.Singal	Chairman	6,20,000	41103391
2.	Sh. B.B. Tandon	Director	2,80,000	-
3.	Sh. M.V.Suryanarayana	Director	2,60,000	-
4.	Sh. Ashwani Kumar	Director	2,20,000	-
5.	Sh. Pradeep Patni	Director	40,000	-
6.	Sh. Sahil Goyal	Director	1,20,000	-
7.	Sh. Rakesh Singhal	Director	1,20,000	-
8.	Sh. Pankaj Sharma	Director	80,000	-
9.	Sh. Kapil Vaish	Director	80,000	-
10.	Smt. Promila Bhardwaj	Director	20,000	
11.	Smt. Monica Aggarwal	Director	40,000	
		TOTAL :-	18,80,000	

* Including sitting fees paid for attending the separate meeting of Independent directors.

Criteria for making payments to Non Executive Directors of the Company has been disclosed in the Policy for Nomination, Remuneration and Performance Evaluation adopted by the Company which is uploaded on the website of the Company at http://www.bhushan-group.org/downloads.html.

(c) Besides salary and perks, Executive Directors are entitled to superannuation or annuity fund, leave encashment and gratuity.

(d) No Commission is paid to any Director.

6. STAKEHOLDERS RELATIONSHIP COMMITTEE:

Stakeholders Relationship Committee comprises of Sh. B.B. Singal, Sh. Neeraj Singal, and Sh. P.K. Aggarwal, Directors. This Committee has been constituted for considering and resolving the grievances of security holders of the company. Sh. B.B. Singal is the Chairman of the Committee.

The board has designated Mr. O.P. Davra, Company Secretary of the Company as the Compliance Officer.

Total number of complaints received and replied to the satisfaction of Shareholders during the year under review was NIL. There was no complaint pending as on March 31, 2017.

7. COMMITTEE ON BORROWINGS, INVESTMENTS AND LOANS:

The Company has a Committee on Borrowings, Investment and loans. Presently the committee consists of three Directors namely

(1) Sh. B. B. Singal, (2) Sh. Neeraj Singal and (3) Sh. Nittin Johari. Sh. B.B. Singal is the Chairman of the Committee.

Fifteen (15) Nos. of meetings of Committee of Board of Directors on Borrowings, Investments and Loans were held during the financial year 2016-17 on 05-04-2016 , 11-05-2016, 02-06-2016, 10-06-2016, 11-07-2016 , 26-07-2016, 08-08-2016 07-09-2016, 21-09-2016, 12-10-2016, 01-11-2016, 28-12-2016 , 17-01-2017, 09-03-2017 and 25.03.2017.

8. CORPORATE SOCIAL RESPONSIBILITY (CSR) COMMITEE

The Company has constituted Corporate Social Responsibility (CSR) Committee comprising Sh. B.B. Singal, being its Chairman and Sh. Nittin Johari and Sh. B. B. Tandon as its members.

The Committee's prime responsibility is to assist the Board in discharging its social responsibilities by way of formulating and monitoring implementation of the framework of 'corporate social responsibility policy', observe practices of Corporate Governance at all levels, and to suggest remedial measures wherever necessary. The Board has also empowered the Committee to look into matters related to sustainability and overall governance.

The Committee's constitution and terms of reference meet with the requirements of the Companies Act, 2013.

Terms of Reference of the Committee, inter alia includes the following:

I. To formulate and recommend to the Board, a Corporate Social Responsibility (CSR) Policy indicating activities to be undertaken by the Company in compliance with provisions of the Companies Act, 2013 and rules made thereunder;

II. To recommend the amount of expenditure to be incurred on the CSR activities;

III. To monitor the implementation of the CSR Policy of the Company from time to time.

During the year one meeting of Corporate Social Responsibility Committee was held on 10.02.2017, which was attended by all the members of the Committee.

9. INDEPENDENT DIRECTORS' MEETING

During the year under review, the Independent Directors met on 10.02.2017 to discuss and review :

- the performance of non-independent directors and the Board as a whole
- the performance of the Chairperson of the company, taking into account the views of executive directors and non-executive directors
- the quality, quantity and timeliness of flow of information between the Company management and the Board that is necessary for the Board to effectively and reasonably perform their duties

Except Mr. Pradeep Patni the meeting was attended by all the independent directors.

Details of familiarization programme imparted to the Independent Directors has been uploaded on the website of the Company at http://www.bhushan-group.org/downloads.html.

10. SUBSIDIARY COMPANIES

There is no material non-listed subsidiary Company requiring appointment of Independent Director of the Company on the Board of Directors of the subsidiary companies.

11. GENERAL BODY MEETINGS:

Location and time for the last three (03) Annual General Meetings (AGMs):

Particulars	F.Y. 2015-16	F.Y. 2014-15	F.Y. 2013-14
Day, date, Time & Venue	Saturday 17th Sep. 2016 at 11.00 A.M. at Airforce Auditorium, Subroto Park, New Delhi-110 010	Saturday 19th Sep. 2015 at 11.00 A.M. at Airforce Auditorium, Subroto Park, New Delhi-110 010	Saturday 20th Sep. 2014 at 11.00 A.M. at Airforce Auditorium, Subroto Park, New Delhi-110 010
Special Resolutions	One special resolution was passed regarding issue of Redeemable Cumulative Preference Shares	One special resolution was passed regarding issue of Redeemable Cumulative Preference Shares	Nine Special Resolutions were passed

Special Resolutions passed through Postal Ballot

A Notice of postal ballot dated 10-02-2017 pursuant to Section 110 and other applicable provisions of the Companies Act, 2013 (the "Act"), if any, read together with the Rule 22 of the Companies (Management and Administration) Rules, 2014 has been sent to the holders of Redeemable Cumulative Preference Shares in respect of variation of terms of class holders of Redeemable Cumulative Preference Shares.

The Company has followed the procedure as prescribed under Companies (Management and Administration) Rules, 2014 and the holders of Redeemable Cumulative Preference Shares were provided the facility to cast their votes through postal ballot.

Mr. R.S. Bhatia, a practicing Company Secretary (CP No. 2514, FCS 2599) was appointed by the Board of Directors of the Company as the scrutinizer for conducting the Postal Ballot process and e-voting process in a fair and transparent manner.The result of Postal Ballot was announced on Monday, 25th March, 2017 at the Registered Office of the Company. One Special Resolution was passed through Postal Ballot in respect of variation of terms of class holders of Redeemable Cumulative Preference Shares. The Voting Pattern are as under:

Details of Voting Pattern

Sr. No.	Type of Resolution (Ordinary / Special)	Total No. of votes Polled	Valid vote cast in Favour of the reso-lutions	Valid vote cast Against the resolu-tions	% of Votes in favour on valid votes polled	% of Votes against on valid votes polled
1.	Special	18149785	18149785	-	100	-

12. DISCLOSURES

12(a) There were no transaction of material nature with its related party i. e. with its promoters, the Directors or the Management, their subsidiaries or relatives etc. that may have potential conflict with the interest of Company at large.

12(b) There were no instances of non-compliance by the Company nor have penalties, strictures imposed on the company by Stock Exchange or SEBI or any Statutory Authority, on any matter related to capital markets, during the last three years.

12(c) The Company has adopted a Whistle Blower Policy and has established the necessary mechanism for employees to report concerns about unethical behaviour. No person has been denied access to Audit Committee. Whistle Blower Policy of the Company has been uploaded on the website of the Company at http://www.bhushan-group.org/downloads.html.

12(d) A Policy for determining 'Material Subsidiaries' has been uploaded on the website of the Company at http://www.bhushan-group.org/downloads.html.

12(e) A Policy on dealing with related party transactions has been uploaded on the website of the Company at http://www.bhushan-group.org/downloads.html.

13. MEANS OF COMMUNICATION:

Timely sharing and disclosure of consistent, comparable, relevant and reliable information on the Company's performance is at the core of its Corporate Governance Policy. Summary of major efforts of the Company in this regard is given below:

Financial Results

The Company publishes un-audited quarterly financial results and audited annual financial results normally in "Business Standard" (English), and "Business Standard" (Hindi) Newspapers. The results are promptly furnished to the Stock Exchanges for display on their respective web-sites. The results are also put on the website of the Company i.e. http://www.bhushansteel.com immediately after the Board Meetings.

Annual Report

Annual Report containing inter alia, Audited Annual Accounts, Consolidated Financial Statements, Directors' Report, Management Discussion and Analysis and other regulatory reports is circulated to members and others entitled thereto. The Management Discussion and Analysis Report forms part of Annual Reports. The Annual Report of previous years are also available on Company's web-site.

Corporate Presentation

Corporate Presentation of the Company covering inter alia Company's Overview, Growth History, Key Highlights and Summary Operating & Financial Performance is regularly given to institutional investors and latest Corporate Presentation is available on Company's web-site.

14. GENERAL SHAREHOLDERS' INFORMATION :

(i) Annual General Meeting for the year ending 31st March, 2017 – On Saturday, 16th September, 2017 at 11.00 A.M at Air Force Auditorium, Subroto Park, New Delhi – 110010.

(ii) As required under Regulation 36(3) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 particulars of Directors seeking appointment at the forthcoming Annual General Meeting (AGM) are given in the Notes to the Notice of the AGM to be held on 16th September, 2017.

(iii) Financial Year : 1st April To 31st March

Financial Reporting for the Quarter ending :

30th June, 2017	On or before 14th August, 2017
30th September, 2017	On or before 14th November, 2017
31st December, 2017	On or before 14th February, 2018
31st March, 2018	On or before 30th May, 2018

(iv) Date of Book Closure :

The Book closure starts from 13th September, 2017 to 16th September, 2017 (both days inclusive) for the purpose of 34th Annual General Meeting of the Company to be held on 16th September, 2017.

(v) Dividend payment date :

No dividend has been declared for financial year 2016-17.

(vi) Listing of Shares & Stock Code:

The Equity Shares of the Company are listed on the following Stock Exchanges.

(1) BSE Ltd. (Stock Code : 500055)

(2) National Stock Exchange of India Ltd. (Stock Code : BHUSANSTL)

Annual Listing fees for the year 2017-18 have been paid on due dates to both the Stock Exchanges i.e. BSE and NSE.

(vii) Market Price Data :

The High and Low of the share price of the Company at National Stock Exchange (NSE) and Bombay Stock Exchange (BSE) during each month from April, 2016 to March, 2017 are given below.

DATE	NSE		BSE	
	High	Low	High	Low
April, 2016	44.45	35.55	44.40	35.80
May, 2016	40.55	34.50	40.50	34.50
June, 2016	43.55	34.90	43.70	34.85
July, 2016	46.90	40.95	46.90	41.10
August, 2016	44.60	39.60	44.50	39.70
September, 2016	44.00	36.00	47.00	37.50
October, 2016	51.30	40.55	51.45	40.05
November, 2016	47.65	36.45	47.55	38.00
December, 2016	42.80	38.75	45.40	39.10
January, 2017	63.70	39.75	63.70	40.10
February, 2017	63.40	51.80	63.45	52.00
March, 2017	61.25	52.55	61.25	52.60

(viii) Share price performance in comparison to broad based indices – NSE Nifty and BSE Sensex based on share price on 31-03-2017.

During financial year 2016-17, share price of the Company was up in NSE by 59.44% and 60.36% in BSE as compared to increase in NSE Nifty by 18.86% and BSE Sensex by 17.06%.

(ix) Share Transfer System:

Pursuant to SEBI Circular Nos. D&CC/FITTC/CIR-15/2002 dated 27.12.2002 and D&CC/FITTC/CIR-18/2003 dated 12/02/2003, M/s. RCMC Share Registry Pvt. Ltd., which is already the Depository Interface of the Company for both NSDL & CDSL, have been appointed as Registrar and Transfer Agents (RTA) w.e.f. 31/03/2003 for all the work related to share registry in terms of both physical and electronic.

Share Transfer Committee:

It approves the transfer and transmission of securities, issuance of duplicate share certificate. This Committee comprises of Sh. P.K. Aggarwal and Sh. O.P. Davra.

Physical Mode :

Transfers of Equity shares in physical form are registered within a period of 15 days from the date of receipt. After the transfer, Share Certificates are immediately sent. The Equity shares of the company are to be traded compulsorily in Demat mode w.e.f. 25.09.2000.

Dematerialised Mode :

The Company's Equity Share are eligible for dematerialisation. The Company had signed Agreements with both the Depositories namely: NSDL and CDSL. The Shareholders may therefore hold Company's Share in Electronic Mode. The company's ISIN No. for both the Depositories is INE824B01021.

(x) Distribution of Shareholding as on 31.03.2017

Distribution Schedule:

Shareholding of value of ₹	Shareholders		Share holdings		
	Number	% to total	Shares	Amount	% to total
UPTO to 5000		97.45	10945959	21891918	4.83
5001 to 10000	599	1.36	2205561	4411122	0.97
10001 to20000	271	0.61	2076560	4153120	0.92
20001 to 30000	77	0.17	939097	1878194	0.41
30001 to 40000	37	0.08	676904	1353808	0.30
40001 to 50000	28	0.06	646691	1293382	0.29
50001 to 100000	42	0.10	1511738	3023476	0.67
100001 and Above	71	0.17	207512236	415024472	91.61
	44089	**100.00**	**226514746**	**453029492**	**100.00**

Shareholding Pattern:

Sr. No.	Category	%age
1.	Promoters	58.60
2.	Banks, Financial Institutions, Mutual Funds, Insurance Companies	04.04
3.	Foreign Institutional Investors, NRI's	00.19
4.	Others	37.17

(xi) Dematerialisation of Shares & Liquidity:

225692162 equity shares of the Company's paid up equity share capital has been dematerialized upto 31st March, 2017. Trading in equity shares of the company is permitted only in dematerialized form as per notification issued by the Securities and Exchange Board of India (SEBI).

(xii) Outstanding GDRs/ADRs/ Warrants or any convertible instruments, conversion date and likely impact on equity
- Not Applicable

(xiii) Plant locations:

(i) Site-IV, Sahibabad Industrial Area, Sahibabad, Distt. Ghaziabad, U.P.

(ii) Village – Nifan, Savroli and Dehvali, Taluka-Khalapure, Distt. Raigad, (Near Khopoli), Maharashtra.

(iii) Meramandali, Distt. Dhenkanal, Orissa.

(xiv) Transfer of unclaimed amounts to Investor Education and Protection Fund :

The investors are advised to claim the un-encashed dividends lying in the unpaid dividend accounts of the Company before the due date (as indicated in the Notes to the Notice) before crediting the same by the Company to the Investor Education and Protection Fund.

During the year under review the Company has credited ₹ 1,92,220/- to the Investor Education and Protection Fund in respect of the Unpaid/ unclaimed dividend amount relating to the dividend declared in 2008-09.

15. CEO AND CFO CERTIFICATION

As per provision of the Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 Chief Executive Officer and Chief Financial Officer give Quarterly and Annual Certificate to the Board that the Financial results do not contain any false or misleading statement or figures and do not omit any material fact which may make the statements or figures contained therein misleading.

16. DECLARATION REGARDING COMPLIANCE WITH THE CODE OF CONDUCT

This is to inform you that the company has adopted Code of Business Conduct and Ethics for its employees including the Managing Director/ whole-time Directors/ Non-executive Directors. The said Code is posted on the Company's website.

I confirm that the Company has in respect of the financial year ended 31st March, 2017 received from the senior management team of the Company and the Members of the Board a declaration of compliance with the Code of Business Conduct and Ethics as applicable to them.

For the purpose of this declaration, Senior Management team means the members of the Management one level below the Managing Director as on 31st March, 2017.

Place: New Delhi
Date :05.07.2017

Neeraj Singal
Managing Director

17. ADDRESS FOR CORRESPONDENCE :

Registered Office :

Bhushan Steel Limited
Ground Floor, Hyatt Regency Complex,
Bhikaji Cama Place,
New Delhi-110 066.
Tel. : 011-39194000, 71194000
Fax : 011-46518611, 26478750
E-mail-bsl@bhushansteel.com
Web site : www.bhushansteel.com

Registrar and Transfer Agent :

RCMC Share Registry Pvt. Ltd.
(Unit : BHUSHAN STEEL LIMITED)
B-25/1, First Floor, Okhla Industrial Area Phase II,
New Delhi - 110020.
Phone : 011 – 26387320, 26387321, 26387323
Fax : 011 - 26387322
e-mail: shares@rcmcdelhi.com

AUDITOR'S REPORT ON CORPORATE GOVERNANCE

We have examined the compliance of conditions of Corporate Governance by Bhushan Steel Limited (the Company), for the year ended 31.03.2017 as per the provisions of the SEBI (Listing Obligations and Disclosures Requirement) 2015 ('Listing Regulations') as referred to in Regulation 15(2) of the Listing Regulations for the year ended 31.03.2017.

The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanation given to us and the representation made by the Directors and the management, we certify that the company has complied with the conditions of Corporate Governance as stipulated in the above-mentioned Listing Regulations, as applicable.

On the basis of representation received from Registrars and share transfer Agents and as per the records maintained by the Company which are presented to the shareholders / Investor Grievance Committee, we state that during the year ended 31st March, 2017, no investor grievances were pending for a period exceeding one month.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For Mehrotra & Mehrotra
Chartered Accountants

(M. P. Mehrotra)
Partner
M.No. 005699

Place: New Delhi
Date: 05.07.2017

ANNEXURE 'D'
MANAGEMENT DISCUSSION AND ANALYSIS:

MANAGEMENT DISCUSSION AND ANALYSIS:

The management of Bhushan Steel Limited presents its analysis report covering performance and outlook of the Company. The report has been prepared in compliance with the Corporate Governance requirement prescribed in the SEBI (LODR) Regulations, 2015 . The management accepts responsibility for the integrity and objectivity of the financial statements.

INDUSTRY STRUCTURE & DEVELOPMENTS

The steel industry is divided into primary & secondary sectors. The primary sector products are billets, pallets, rounds and Hot Rolled Coils/Plates (HRC/HRP).These form raw material for the secondary sector ,which produces value added items such as Angles, Channels, wire Rods, Cold Rolled Coils/sheets (CRC/CRS) AND Galvanised Coils/Sheets. CR Sheet is a thinner sheet used for consumer durables like refrigerators, washing machines, automobiles, bicycles, etc. CR sheets are used by the automobile and domestic appliances industry whereas CR strips are used in manufacturing of bicycles, drums, barrels, fabrication, furniture etc. CR Coils are mainly used for manufacturing GP/GC sheets. Bhushan Steel Limited which so far falls under secondary sector, also entered in primary sector with setting up plant at Orissa.

FLAT PRODUCTS

Derived from slabs, this category includes plates and Hot Rolled Coils/ Sheets. While plates are used for applications such as shipbuilding etc. HR Steel is the most widely used variety of steel, and other downstream flat products such as Cold Rolled (CR) Steel and Galvanised Steel are made from it.

LONG PRODUCTS

These products derive their name from their shape. They are made by using billets and blooms and include rods, bars, pipes, ropes and wires, which are used largely by the housing/construction sector.

GLOBAL STEEL INDUSTRY

In 2016, the world crude steel production reached 1628 million tonnes (mt) and showed a growth of 0.8% over 2015. China remained world's largest crude steel producer in 2016 (808 mt) followed by Japan (105 mt), India (96 mt) and the USA (79 mt). World Steel Association has projected Indian Steel demand to grow by 5.4% in 2016 and by 5.7% in 2017 while globally, steel demand has been projected to grow by 0.2% in 2016 and by 0.5% in 2017. Chinese steel use is projected to decline in both these years-by 1% in 2016 and by 2% in 2017.

OUTLOOK

Recovery in steel demand

In 2016, steel demand recovery was stronger than expected with the upside mostly coming from China. We believe in 2017 and 2018 we will see a cyclical upturn in steel demand with a continuing recovery in the developed economies and an accelerating growth momentum in the emerging and developing economies. We expect that Russia and Brazil will finally move out of their recessions. However, China, which accounts for 45% of global steel demand, is expected to return to a more subdued growth rate after its recent short uplift. For this reason, overall growth momentum will remain modest.

Global economy is gaining strength, but uncertainty escalates

With the risk of global recession receding and economic performance improving across most regions, a number of geopolitical changes still create some concern. US policy uncertainties, Brexit, the rising populist wave in current European elections and the potential retreat from globalisation and free trade under the pressure of rising nationalism adds a new dimension of uncertainty in investment environments. To balance this, risks from ongoing conflicts in the Middle East and in Eastern Ukraine appear to be reducing.

In the capital markets, the probable US FED interest rate increase and any appreciation of the US dollar is likely to have global impact. In particular, it may provoke capital outflows from the emerging economies and place a risk on corporate debt in the developing countries, which has climbed significantly over the last few years.

Developed world

Benefiting from strong fundamentals, newly announced measures related to fiscal stimuli and rising infrastructure spending, the United States is expected to continue to lead growth in the developed world in 2017-18. However, despite a recovery in oil prices, a rebound of investments in the oil and gas sector may be limited given the increased efficiency of shale producers.

The EU recovery is solidifying with many positive developments. Eurozone monetary policy is expected to remain on its current path, at least in 2017, while fiscal tightening is not expected to strengthen further and risk of disinflation has significantly receded. If political stability can be maintained, investment is expected to pick up to provide a further boost to the recovery. Benefiting from the improving global economy and weak yen, Japan's steel demand is expected to show a stable recovery.

Steel demand in the developed economies will increase by 0.7 % in 2017 and 1.2 % in 2018.

Developing world

Having dealt with the structural problems and fall in commodity prices, the Russian and Brazilian economies are stabilising and expected to show modest growth in 2017. Russian growth will continue to pick up in 2018 as structural reforms take more effect. After the demonetisation shock, the Indian economy is expected to resume growth, although on a slightly weakened basis. The ASEAN countries are expected to demonstrate solid growth in 2017-18. However, the region remains vulnerable to currency volatilities associated with US interest rate hikes and dollar appreciation.

Steel demand in the emerging and developing economies excluding China, which accounts for 30% of world total, is expected to grow by 4.0% in 2017 and then 4.9% in 2018.

INDIAN STEEL INDUSTRY

The Indian Steel industry has entered into a new development stage from 2007-08, riding high on the resurgent economy and rising demand for steel. Rapid rise in production has resulted in India becoming the 3rd largest producer of crude steel in 2015 and country. As per the report of the Working Group on Steel for the 12th Five Year Plan, there exist many factors which carry the potential of raising the per capita steel consumption in the country. These include among others, an estimated infrastructure investment of nearly a trillion dollars, a projected growth of manufacturing from current 8% to 11-12%, increase in urban population to 600 million by 2030 from the current level of 400 million, emergence of the rural market for steel currently consuming around 11 kg per annum buoyed by projects like Bharat Nirman, Pradhan Mantri Gram Sadak Yojana, Rajiv Gandhi Awas Yojana among others.

Fastest Growing Steel Economy

- In 2016, India retained its position as the fastest growing major steel economy in the world and our share in global steel production was 5.5% in 2015, which has increased to 5.5% in 2015, which has increased to 5.9% in 2016. India would continue to lead the growth trend in world steel industry and is on its way to become world's second largest steel producer. The gap between India and Japan was 16 million tonnes in 2015, which has come down to 9 million tonnes in 2016.
- As per Ministry of Steel (MoS), there are five important thrust areas that need to be focussed on. An acronym 'PRIDE' aptly sums up the way forward for the steel industry.
  - P stands for Production and Productivity
  - R for Research and Development
  - I for Indian- made steel

- D for Demand of Steel
- E For Excellence in quality

Efforts by Government

- Government of India is taking steps to demonstrate benefits of steel to potential users. Through Life Cycle Analysis, MoS will showcase that steel structures are highly cost- effective and have shorter lead time for erection. Steel has greater durability with high design comfort.
- MoS will use all marketing, branding avenues to push this message. That is only way to meet the challenge of product substitution by aluminium, concrete, plastic, glass etc.
- MoS is working towards meeting the entire domestic demand of high- grade automotive steel, electrical steel and special steels from domestic production. These products constitute a major portion of the steel imports in India.
- MoS is examining the feasibility of setting up scrap-based steel plants in India. These will be on the lines of 'Melt & Manufacture' steel technology in USA. Scrap-based steel plants are environment- friendly, energy- efficient and cost effective. These will have the capability to produce special high-quality steels, a pre-requisite for make in steel. North and West India regions are important from the perspective of scrap-availability and steel import hubs.
- For Research & Development in Indian Steel industry, MoS is aiming high and working on out-of- the-box solutions and technologies for steel making using indigenous resources.

National Steel Policy

- The Indian steel sector has grown rapidly over the past few years and presently it is the third largest producer globally, contributing to about 2% of the country's GDP. India has also crossed 100 MT mark for production for sale in 2016-17.
- The New steel policy, 2017 aspires to achieve 300MT of steel making capacity by 2030. This would translate into additional investment of ₹10 lakh crore by 2030-31.
- The policy seeks to increase consumption of steel and major segments are infrastructure, automobiles and housing. New Steel Policy seeks to increase per capita steel consumption to the level of 160 Kgs by 2030 from existing level of around 60 kg.
- Potential of MSME steel sector has been recognized. Policy stipulates that adoption of energy efficient technologies in the MSME steel sector will be encouraged to improve the overall productivity and reduce energy intensity.
- Steel Ministry will facilitate R & D in the sector through the establishment of Steel Research and Technology Mission of India (SRTMI). The initiative is aimed to spearhead R & D of national importance in iron & steel sector utilizing tripartite synergy amongst industry, national R & D laboratories and academic institutes.
- Ministry through policy measures will ensure availability of raw material like Iron ore, Coking coal and non- coking coal, Natural gas etc. at competitive rates.
- Ministry through policy measures will ensure availability of raw material like Iron ore, Coking coal and non- coking coal, Natural gas etc. at competitive rates.
- With the roll out of the National Steel Policy-2017, it is envisaged that the industry will be steered in creating an environment for promoting domestic steel and thereby ensuring a scenario where production meets the anticipated pace of growth in consumption, through a technologically advanced and globally competitive steel industry. This will be facilitated by MoS, in coordination with relevant Ministries, as may be required.

PERFORMANCE

The company is engaged in Steel business, which is context of Accounting Standard (AS)-17 issued by the institute of Chartered Accountants of India is considered the only business segment. The overall operational performance of the company has been much satisfactory during the year. The plants have operated optimally during the year and there were no major break downs or shutdowns. Brief performance of the Company is as follows:

(₹ in Crores)

Particulars	FY 2016-17	FY 2015-16	Variation
Turnover	15027.30	13124.07	+1903.23
PBDIT	2987.29	2136.66	+847.63
Interest and Financial Charges	5426.76	4601.28	+825.48
Depreciation	1685.61	1729.52	-43.91
Profit Before Tax	(4125.09)	(4194.15)	-69.06

RISKS AND CONCERNS

A detailed risk analysis for the project is presented in the table below:

Risk Factor	Proposed Mitigation Mechanism
Completion Risk	
Statutory Approvals / Clearances	Company has already complied with the requisite project clearances for plant facilities at Khopoli, Sahibabad and Odisha. Further, the necessary statutory clearances applicable to the other projects which are under implementation shall be obtained as and when required.
Operating Risk	
Raw Material Availability	The Company's steel manufacturing capacity at Odisha is located in a region with rich availability of staple raw material i.e. iron ore, coal and also has close proximity to ports for importing raw material. Iron ore is presently being bought by the Company from suppliers located in Barbil, Odisha such as Orissa Mining Corporation, Rungta, Essel Mining etc.. Coking coal is being imported from BHP Billiton, Australia. The Company currently procures thermal coal through linkages to Mahanadi Coal Fields and daily e-auctions organized by Coal India Limited and its subsidiaries.
Power Availability	Steel manufacturing process is power intensive and uninterrupted supply is necessary for its viability. BSL has a 110 MW captive power plant in Odisha, 24 MW at Sahibabad and another 24 MW at Khopoli. BSL is in the process of expanding its capacity from 110 MW to 307 MW at Odisha. In addition to above there is additional power generation capacity of 485 MW in Bhushan Energy and associate Company.
Technology Risk	In order to ensure high operational profitability, manufacturing facilities of BSL are updated with latest available technology and major equipments are procured from established and reputed manufacturers like Siemens, SMS Siemag, Paul Wurth, L&T etc. to minimize the performance risk.
Market Risk	
Off-take Risk	With its wide range of value added products, strong customer relationships with OEMs and distribution network, BSL has leveraged its position as one of the major suppliers of flat steel products and also caters to the export market. BSL downstream facilities at Sahibabad and Khopoli are strategically located near to major white good markets i.e. Delhi/NCR and Pune respectively. These are the major hubs where majority of the automobile and consumer durable companies are located.

Risk Factor	Proposed Mitigation Mechanism
	BSL has its plants strategically located at Meramandali and Khopoli which are located near to the major international seaports such as Paradeep and Nhava Sheva JNPT port respectively. The plant at Khopoli, due to its proximity to west coast of India through JawaharLal Nehru Port enables the Company to capture the export market in African / Middle East countries. Similarly, the plant at Meramandali is located close to the East coast of India and enables the Company to capture South-East Asian and Australian markets. This enables BSL to send its product to the international markets with minimal inland transportation which reduces the overall freight charges and shipment time. Also, BSL has been a long term supplier to major renowned white goods manufacturers such as Maruti Suzuki, Tata Motors, Honda Cars, Mahindra & Mahindra, Ashok Leyland are few of the examples amongst Automobile sector. LG, Samsung, Videocon, Haier are the other renowned names in the consumer durable sector.

INTERNAL CONTROL SYSTEM

Management firmly believes that a strong internal control system with flexibility is imperative to realize Company's vision. Accordingly the company always gives priority to it to achieve the following objectives:-

1. Efficiency of operation
2. Accuracy and promptness of financial reporting
3. Safeguard of Company assets
4. Compliance with laid down policies and procedures.
5. Compliance with rule and regulations.

HUMAN RESOURCE DEVELOPMENT / INDUSTRIAL RELATIONSHIP

As on 31 March 2017, the company has 5796 employees in its family beside thousands of employees of its Contractors and suppliers.

Industrial and employee relations with the Company remain cordial throughout the year. It has been with the fulfillment of our market commitments, prompt communication, and participation in social activities and to provide challenging and safe working atmosphere in the company, wherein every employee can develop his own strength and deliver his expertise in the interest of the Company.

Board of Directors on record thanks to all of the employees for their valuable contribution towards the growth of the company. Bhushan Steel encourages its team members to go beyond the scope of their work, undertake voluntary projects that enable to learn and contribute innovative ideas in meeting goals of the company.

ANNEXURE 'E'

FORM NO. MR-3
SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31ST MARCH, 2017

[Pursuant to Section 204(1) of the Companies Act, 2013 and rule 9 of the Companies (Appointment and Remunerationof Managerial Personnel) Rules, 2014]

To,
The Members,
Bhushan Steel Limited
Bhushan Centre, Ground Floor,
Hyatt Regency Complex,
Bhikaji Cama Place
New Delhi – 110066
CIN No.: L74899DL1983PLC014942

Subject: Secretarial Audit Report for the Financial Year 2016 – 2017.

Dear Sir / Madam

We have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by Bhushan Steel Limited (herein after called the company). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/statutory compliance and expressing our opinion thereon.

We report that:

Based on our verification of the Bhushan Steel Limited's books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the company, its officers, agents and authorised representatives during the conduct of secretarial audit and as per the explanations given to us and the representations made by the Management, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on 31st March, 2017 generally complied with the statutory provisions listed hereunder and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records made available to us and maintained by Bhushan Steel Limited for the financial year ended on 31st March, 2017 according to the applicable provisions of:

i. The Companies Act, 1956 (to the extent applicable) and Companies Act, 2013 read with the rules made thereunder;

ii. The Securities Contracts(Regulation) Act, 1956 ('SCRA')and the rules made thereunder;

iii. The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;

iv. Foreign Exchange Management Act,1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;

v. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act,1992 ('SEBI Act'):-

   a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations,2011;

   b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations,1992;

   c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements)Regulations, 2009;

   d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999; (NOT APPLICABLE ON THE COMPANY)

   e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008;

   f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations,1993 regarding the Companies Act and dealing with client; (NOT APPLICABLE ON THE COMPANY)

   g) The Securities and Exchange Board of India(Delisting of Equity Shares) Regulations, 2009; (NOT APPLICABLE ON THE COMPANY) and

   h) The Securities and Exchange Board of India (Buybackof Securities)Regulations, 1998; (NOT APPLICABLE ON THE COMPANY)

vi Other laws applicable to the Company as per the representations made by the Company are:

   1. The Indian Explosive Act, 1884
   2. The Petroleum Act, 1934
   3. The Indian Boilers Act, 1923 and rules/regulations made thereunder
   4. The SMPV Rules, 1981
   5. Bio-Medical Waste (Management and Handling) Rules, 1998
   6. Fly Ash Notification, 1999
   7. Manufacture, Storage and Import of Hazardous Chemical Rules 1989
   8. Coal Mines (special provisions) Act, 2015

   We have also examined compliance with the applicable clauses of the following:

   (i) Secretarial Standards issued by The Institute of Company Secretaries of India.

   (ii) The Listing Agreements entered into by the company with BSE Limited and National Stock Exchange of India Limited.

   (iii) SEBI (Listing obligations and Disclosures Requirements) Regulations, 2015

We further report that:

We have not reviewed the Compliance of applicable financial laws including Direct and Indirect Tax laws by the Company as the same has been subject to review by the Statutory Auditors and others designated professionals.

Based on the information provided by the Company, its officers and authorized representatives during the conduct of the audit, and also on review of quarterly compliance reports taken on record by the Board of Directors of the Company in my opinion, adequate systems and processes and control mechanism exist in the Company to monitor and ensure compliance of provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above and applicable general laws like labour laws, competition law and environmental laws subject to the following observations:

i. The Company has not spent any amount during the year towards Corporate Social Responsibility.

ii. SEBI has settled the case vide order dated 10.04.2017 for which an application was filed by Mr. Neeraj Singal, Vice Chairman and Managing Directors of the Company under the consent order scheme of SEBI for regularization of delays in disclosures made under Regulation 13(6) of SEBI (Insider Trading) Regulations, 1992 .

iii. The company has not yet taken effect of value of investment made in the de-allocated coal blocks amounting to ₹56289.96 Lacs (including expenditure incurred ₹ 13546.46 Lacs and advance given ₹ 42743.50 Lacs) and ₹ 666.00 Lacs in Equity shares/ advance for share capital in the associated company whose coal blocks have been de-allocated pursuant to provisions of Coal Mines (Special Provisions) act 2015.

iv. The Company has applied to the Central Government for the approval of managerial remuneration and Central Government has granted approval for payment of Managerial Remuneration. Clarification has been sought from the Central Government vide letter dated 05.05.2016 and 13.06.2016 for payment of leave encashment, provident fund and car perquisites to managerial personnel. Reply from the Central Government is still awaited.

v. CBI Court vide Order dated September 03, 2016 held Mr. B. B. Singal, Chairman of the Company guilty under the Indian Electricity Act, 1910 (case related to Bhushan Industrial Co. Ltd, Chandigarh). The appeal was filed against the said order in the Punjab and Haryana High court and the court has suspended the sentence till the pendency of the appeal.

vi. The lenders have decided to take company into National Company Law Tribunal (NCLT) under the Insolvency and Bankruptcy Code due to the default made by the Company in repayment of borrowings and interest thereon.

We further report that:

The Board of Directors of the Company is duly constituted with proper balance of EDs, NEDs and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.

Adequate notice was given to all Directors at least seven days in advance to schedule the Board Meetings. Agenda and detailed notes on agenda were sent in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

Decisions at the Board Meetings, as represented by the management, were taken unanimously.

We further report that as represented by the Company and relied upon by us there are adequate systems and processes in the Company commensurate with the size and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

R.K. RAI & CO.
Company Secretaries

Rama Kant Rai
Proprietor FCS 6035,
CP No. 7778

Place: New Delhi
Date: 05.07.2017

This report is to be read with our letter of even date which is given as under and form as integral part of this Report:

To,

The Members,
Bhushan Steel Limited
Bhushan Centre, Ground Floor,
Hyatt Regency Complex,
Bhikaji Cama Place
New Delhi – 110066
CIN No.: L74899DL1983PLC014942

Our report of even date is to be read along with this letter.

1. Maintenance of Statutory and other records are the responsibility of the management of the company. Our responsibility is to express an opinion on these records based on our audit.

2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurances about the correctness of the contents of the records. The verification was done on test basis to ensure that correct facts are reflected in records. We believe that the processes and practices, we followed provide a reasonable basis for our opinion.

3. We have not verified the correctness and appropriateness of financial records and books of Accounts of the company. We have relied on the report of the statutory auditor in respect of the same as per the guidance of the Institute of Company Secretaries of India.

4. Where ever required, we have obtained the management representation about the compliance of laws, rules and regulations and happening of events etc.

5. Company was following system of obtaining reports from various departments to ensure compliance with applicable laws, rules, regulations and guidelines.

6. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of the management. Our examination was limited to the verification of procedures on test basis.

7 The Secretarial Audit Report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

R.K. RAI & CO.
Company Secretaries

Rama Kant Rai
Proprietor FCS 6035,
CP No. 7778

Place: New Delhi
Date: 05.07.2017

ANNEXURE 'F'

The particulars relating to conservation of energy, technology absorption, foreign exchange earnings and outgo, as required to be disclosed under sub-section 3(m) of Section 134 of the Companies Act, 2013 read with Companies (Accounts) Rules 2014 are as under :

(A) CONSERVATION OF ENERGY

The Steps taken or impact on Conservation of Energy;

The company have taken adequate measures towards conservation of energy and reduce the specific energy consumption per ton of liquid steel in our Integrated Steel Plant. The some of the highlights and steps taken by our company towards energy initiative may be described as follows;

- The coke rate yearly average of 390 kg/thm in BF#1 and 375 kg/thm in BF#2 achieved through good operating practices.
- The fuel rate yearly average of 545 kg/thm in BF#1 and 536 kg/thm in BF#2 achieved through improved operating practices.
- The PCI rate yearly average of 110 kg/thm in BF#1 and 124 kg/thm in BF#2 realized with optimization of energy consumption in both Blast Furnaces.
- Gas Fired Boiler:

  BSL has envisaged to set up three gas fired boilers of capacity 60 TPH, 125 TPH and 250 TPH wherein the Blast Furnace Gas produced from Blast Furnace's (BF - 1 & BF - 2) will be used as fuel for generation of power and process steam for the operation of steel plant.

  Two Boilers are in operation and 3rd Boiler of 250 TPH is under project stage. The completion of 3rd boilers will enable stopping venting of blast furnace gases and reduce the pollution load. This in turn generate power and process steam for the operations of Integrated Steel Plant.

  With these Gas fired Boilers, the power situation of the Integrated Steel Plant will be stable and there will be reduction of coal usages to the extent of approx. 450000 tons of coals annually which in turn help to maintain the environmental attributes, e.g. PM10, PM2.5, SO2, NOx & CO within prescribed norms with reduced carbon usages.
- Installation of LED lamps:

  We have started the process of installing LED lamp. Around 20 % conventional lamps of steel plant will be replaced by LED lamps. BSL commit to install LED lamps in new installations and change existing HPSV lamps and fittings with energy efficient LED lamps within the plant premises in coming years.
- Installation of Solar Lighting System:

  We have started to install solar lighting system in common areas of Residential Township.
- Combustion System modification in Reheating Furnaces #1, #2 & #3 of Hot Strip Mill
  - As first step, the RHF – 3 which is under project implementation stage will be modified in order to fire mixed gas made by BFG & COG or BOFG & COG with calorific value of 2000 Kcal/h. As a consequence, the percentage of **COG & BOFG** in the mixed gas become 10% & 90%. With this BOFG (LD Converter) gas will be fully used.
  - To use the mixture of plant gases, BFG, BOFG & COG as a fuel is under proposal stage. At the moment the furnace's are designed to fire a mixed gas with calorific value at 2200 kcal/Nm3. The mixed gas are made by BFG and COG. The furnace's proposed to be modified in order to fire a Mixed Gas made by BFG, COG and BOFG with a calorific value around 1400 kcal/h instead of 2200 kcal/h as per original design. As a consequence the percentages of COG, BFG and BOF in the mixed gas are12%, 70% and 18%. This will enable to use all type of plant gasses effectively in Reheating Furnace.
- 100 % Hot Charging of Steel Slab in Reheating Furnace of Hot Strip Mill

  The commissioning of Slab Conveyer System at Slab yard for 100% Hot Charging of steel slabs coming from caster directly into Reheating Furnace of Hot Strip Mill. With this, the operating performance of Hot Strip Mill improved significantly as well it's a high point towards conservation of energy.
- Top Gas Recovery Turbine in Blast Furnace # 2

  Top-Gas Recovery Turbine (TRT) provides a high potential economic and environmental solution to recover and gain power from existing energy. An expander turbine utilizes the pressure and thermal energy which is provided by the compressed "Top Gas" from a blast furnace. The TRT in BF#2 recently commissioned with current power generation up to 14 MW
- Installation of CDQ – 1 & 2

  The CDQ – 1 & 2 for Coke Oven – 1 & 2 are under project execution stage. The CDQ – 2 will be commissioned in December 2017. The civil work for CDQ – 1 is under progress.

  The setting up of CDQ - 2 plant will generate the steam which will be used for generation of power. Additionally, the improved dry coal quality produced from CDQ - 2 will help to reduce the consumption of coke in Blast Furnace. This will result in reduction of production cost per ton of hot metal.
- Installation of BOF Gas Holder

  The generation of BOF gas during steel making process is intermittent and flow rate is not uniform. The BOF Gas Holder which is under project implementation stage will store BOF gas gets generated from BOF 1 & 2 for further use as fuel in various plant units by boosting and distributed in the plant network with continuous and uniform manner.

  The commissioning of BOF gas holder will stop the flaring of costly BOF gas. The BOF gas (converter gas) with calorific value of 1800 Kcal/Nm3 will replace the costly COG (coke oven gas) partially which is getting used as a fuel in Reheating Furnace. The unlocked COG from Reheating Furnace may used in Gas Fired Boiler to generate power.
- Other Initiative towards conservation of energy:
  - The VVVF Drives for ID fans envisaged for early implementation
  - Installation of Variable frequency drive (VFD) in AC motors of various areas to conserve energy.
  - All out door based lighting system converted into time based operation.
  - Sinter Plant – 1, 2 & 3 – Sinter Cooler Waste Heat Recovery System
  - Sulphur Recovery Plant in Coke oven # 1 & 2 for removal of sulpure from Coke Oven Gas and generation of steam.

The steps taken by the Company for utilising alternate source of Energy

We are in touch with some Solar Industry to install Solar Power Plant in the premises of our Steel Plant. It will be on Built - Own - Operate - Transfer Model by Investor. We have target to install the Solar Power Plant of 20 MW in first stage.

The Capital Investment on Energy Conservation equipments

Bhushan Steel Limited has adopted cleaner and energy efficient technologies while establishing its Steel Plants. Due to adoption of latest technologies in its existing plants, no separate capital investment is required on Energy Conservation Equipments in present scenario.

(B) TECHNOLOGY ABSORPTION:

Efforts towards Technology Absorption:

The potential benefit derived from various energy conservation measures adopted by our company. We are virtually free from using the liquid fuel as source of energy in our production lines. We are using gaseous fuel which is by-product of the coke oven blast furnace and BOF (steel making unit) at various places as follows;

- As a part of replacement of Coal for generating steam in the AFBC & WHRB boilers in power plant, we could able to replace the coal of 3,200 Gross Calorific Value (GCV) by Coke oven gas of 4,200 GCV to the maximum possible extent.
- Preheating of the ladles in the SMS/BOF shop by mix gas (mixture of blast furnace gas and coke oven gas with calorific value of 2200 Kcal/Nm3), which effectively saves the considerable amount of energy in the form of Furnace oil/HSD.
- Coke oven gas is used in Calcination Plant for calcination of lime/dolomite which could save us 800,000Kcal/Mt of energy. The calcination process has improved the product quality with cost savings by using plant gas.
- Hot direct charging of the slabs from the continuous caster to Reheating Furnace of Hot Strip Mill. This reduces the effective energy consumed in rolling, we could able to achieve more than 80% of our production of hot rolled coils by hot direct charging method which reduces the energy consumption by tune of 200,000 Kcal/Mt.
- Usage of mainly blast furnace gas (BFG) with 10% Coke Oven Gas (COG) for internal heating of the Coke Oven Battery - 2.

The benefits derived like product improvement, cost reduction, product development or import substitution;

- **Product Development Initiative in Angul Plant;**

  Bhushan Steel has tied up with IIT Mumbai for optimization of High Carbon, 75Ni8, 75Cr1 & C76 steel grade w.r.t end applications of the product after cold rolling and heat-treatment. IITM has started technical interaction with BSL Khopoli & Odisha and initiated action plan to proceed accordingly. The successfully Developed the IF grade steel for auto application as inner and outer panel in various sizes of 3.2 x 1260 – 1700 mm and 4.0 x 1260 – 1700 mm. Developed Boron treated Low carbon Steel for use in higher cold reduction at Cold Rolling Mill. This has created niche in the market for the developed grades with selling at premium rates.

- **The R&D infrastructure developed in Angul Plant with following facilities;**
  - Metallurgical Micro-Scope of Germany make, model Leica - DM-6000 to investigate the micro-structure, grain size and inclusion rating in finished product.
  - Latest Micro-hardness testing machine in Lab for measuring the hardness of different phases of steel.
  - Tensile testing M/C of 150 KN, 600 KN & 1000 KN. High temperature (up to 900°C) tensile testing provision in 600 KN machine.
  - DWTT Machine to investigate the % Shear Area of API grade Line pipe steel up to X80 grade to ascertain toughness in the material.
  - Pendulum Impact Testing Machine with Cooling Chamber (up to -80°C) and Broaching Machine for notch making and profile projector for measuring accuracy of notch angle and depth.
  - New advanced Hardness Testing Machines like universal hardness testing machine, Rockwell, Vicker, Brinell are available to measure the hardness of wide ranged product.
  - Direct Reading Emission Spectrometer for heat and product analysis.
  - XRF, XRD equipments are available for composition analysis.

- **Development of New Products / Hot Rolled Steel Grade**

  New steel grade under development are as follows;
  - ULC Steel, IFHS 400 / 450.
  - Low Carbon B treated Steel
  - HSLA Cu-bearing Steel with minimum TS 540 Mpa
  - API, X 70 & X 80.
  - Boiler Grade (High temperature application)
  - Dual Phase Steel

In case of imported technology (imported during the last three years reckoned from beginning of the financial year)

It may be noted that all imported technology except CDQ - 2 (Coke Oven Dry Quenching Plant) supplied by Nippon Steel, Japan have been fully absorbed. The erection of CDQ - 2 plant completed and target for commissioning is November' 2017.

Expenditure incurred on Research and Development

Research and Development (R&D) activities at Bhushan Steel Limited is a continual process with key focus on Process Improvements, Energy Conservation, Waste Utilization and Product Development. The cost reduction through process competence is our key focus area in Research and Development. We deeply study the characteristics of raw material and application of our product for process optimization. In principle, the R&D initiative is under our regular investment process for sustainable production and good quality product.

FOREIGN EXCHANGE EARNINGS AND OUTGO

Total Foreign Exchange used and earned	**Used : ₹ 4654.55 Cr.** **Earned : ₹ 2863.19 Cr.**

ANNEXURE 'G'

Form No. MGT-9
EXTRACT OF ANNUAL RETURN
as on the financial year ended on March 31, 2017
[Pursuant to section 92(3) of the Companies Act, 2013 and rule 12(1) of the Companies (Management and Administration) Rules, 2014]

I. REGISTRATION AND OTHER DETAILS:

i	CIN	L74899DL1983PLC014942
ii	Registration Date	08.01.1983
iii	Name of the Company	Bhushan Steel Limited
iv	Category / Sub-Category of the Company	Company limited by shares/Indian Non-Government company
v	Address of the Registered office and contact details	Bhushan Centre, Ground Floor, Hyatt Regency Complex, BhikajiCama Place, New Delhi-110066 Tel. : 011-39194000, 71194000 Fax : 011-46518611, 26478750 E-mail-bsl@bhushansteel.com Web site : www.bhushansteel.com
vi	Whether listed company Yes / No	Yes. Listed in BSE & NSE
vii	Name, Address and Contact details of Registrar and Transfer Agent, if any	RCMC Share Registry Pvt. Ltd. (Unit : BHUSHAN STEEL LIMITED) B-25/1, First Floor, Okhla Industrial Area Phase II, New Delhi - 110020. Phone : 011 – 26387320, 26387321, 26387323 Fax : 011 - 26387322 e-mail: shares@rcmcdelhi.com

II. PRINCIPAL BUSINESS ACTIVITIES OF THE COMPANY

All the business activities contributing 10 % or more of the total turnover of the company shall be stated:-

Sr. No.	Name and Description of main products / services	NIC Code of the Product / service	% to total turnover of the company
1.	Metal	241-Manufacture of Basic Iron & Steel,	100%

III. PARTICULARS OF HOLDING, SUBSIDIARY AND ASSOCIATE COMPANIES -

Sr. No.	NAME AND ADDRESS OF THE COMPAN	CIN/GLN	HOLDING/ SUBSIDIARY/ ASSOCIATE	% of shares held	Applicable Section
1.	Bhushan Steel (Orissa) Ltd.	U27100DL2010PLC202028	SUBSIDIARY	100.00	2(87)(ii)
2	Bhushan Steel Madhya Bharat Ltd.	U27100DL2010PLC202026	SUBSIDIARY	100.00	2(87)(ii)
3	Bhushan (South) Ltd.	U27100DL2010PLC202027	SUBSIDIARY	100.00	2(87)(ii)
4	Bhushan Steel Australia Pty Ltd.	NA	FOREIGN SUBSIDIARY	90.97	2(87)(ii)
5	Bhushan Energy Limited	U40105DL2005PLC140748	Associate	47.71	2(6)
6	Bhushan Capital & Credit Services Private Limited	U74899DL1993PTC054636	Associate	42.58	2(6)
7	Jawahar Credit & Holding s Private Limited	U74899DL1993PTC054635	Associate	39.89	2(6)

IV. SHARE HOLDING PATTERN (Equity Share Capital Breakup as percentage of Total Equity)

a) Category-wise Share Holding

Category of Shareholders	No. of Shares held at the beginning of the year				No. of Shares held at the end of the year				% Change during the year
	As on 31/03/2016				As on 31/03/2017				
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A. Promoters									
(1) Indian									
a) Individual/ HUF	101852018	0	101852018	44.96	100845868	0	100845868	44.52	-0.444
b) Central Govt State Govt (s)	0	0	0	0.00	0	0	0	0.00	0.000
c) Bodies Corp.	31901188	0	31901188	14.08	31901188	0	31901188	14.08	0.000
d) Banks/FI	0	0	0	0.00	0	0	0	0.00	0.000
e) Others (trusts)	0	0	0	0.00	0	0	0	0.00	0.000
Sub-total (A) (1):-	**133753206**	**0**	**133753206**	**59.05**	**132747056**	**0**	**132747056**	**58.60**	**-0.444**

Category of Shareholders	No. of Shares held at the beginning of the year				No. of Shares held at the end of the year			% Change during the year	
	As on 31/03/2016				As on 31/03/2017				
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
(2) Foreign									
a) NRIs – Individuals	0	0	0	0.00	0	0	0	0.00	0.000
b) Other – Individuals	0	0	0	0.00	0	0	0	0.00	0.000
c) Bodies Corp.	0	0	0	0.00	0	0	0	0.00	0.000
d) Banks / FI	0	0	0	0.00	0	0	0	0.00	0.000
e) Any Other....	0	0	0	0.00	0	0	0	0.00	0.000
Sub-total(A)(2):-	**0**	**0**	**0**	**0.00**	**0**	**0**	**0**	**0.00**	**0.000**
Total shareholding of Promoter (A) = (A)(1)+(A)(2)	**133753206**	**0**	**133753206**	**59.05**	**132747056**	**0**	**132747056**	**58.60**	**-0.444**
B. Public Shareholding									
1. Institutions									
a) Mutual Funds	1356	4000	5356	0.00	0	4000	4000	0.00	-0.001
b) Banks/FI	57798	4000	61798	0.03	111259	4000	115259	0.05	0.024
c) Central Govt./ State Govt.	0	0	0	0.00	0	0	0	0.00	0.000
d) Venture Capital Funds	0	0	0	0.00	0	0	0	0.00	0.000
e) Insurance Companies	9089012	0	9089012	4.01	9014898	0	9014898	3.98	-0.033
f) Foreign Institutional Investors	21222	0	21222	0.01	9020	0	9020	0.00	-0.005
g) Foreign Venture Capital Investors	0	0	0	0.00	0	0	0	0.00	0.000
h) Qualified Foreign Investors	0	0	0	0.00	0	0	0	0.00	0.000
i) Any Other (Specify) - Foreign Financial Institution	0	0	0	0.00	0	0	0	0.00	0.000
j) Any Others (Specify) Limited Liability Partnership	0	0	0	0.00	0	0	0	0.00	0.000
Sub-total (B)(1):-	**9169388**	**8000**	**9177388**	**4.05**	**9135177**	**8000**	**9143177**	**4.04**	**-0.015**
2. Non-Institutions									
a) Bodies Corp.	62686327	30805	62717132	27.69	63305034	30805	63335839	27.96	0.273
b) Individuals									
i) Individual shareholders holding nominal share capital upto₹ 1 lakh	15347610	724173	16071783	7.10	15810801	714779	16525580	7.30	0.200
ii) Individual shareholders holding nominal share capital in excess of Rs 1 lakh	3593085	0	3593085	1.59	3412150	0	3412150	1.51	-0.080
c) NBFCs registered with RBI	0	0	0	0.00	98040	0	98040	0.04	0.043
d) Others : i) Clearing Members	758324	0	758324	0.33	822242	0	822242	0.36	0.028
ii) Non Residents	374825	69000	443825	0.20	361659	69000	430659	0.19	-0.006

Category of Shareholders	No. of Shares held at the beginning of the year				No. of Shares held at the end of the year				% Change during the year
	As on 31/03/2016				As on 31/03/2017				
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
iii) Foreign Company	0	0	0	0.00	0	0	0	0.00	0.000
iv) Trusts	3	0	3	0.00	3	0	3	0.00	0.000
Sub-total (B)(2):-	**82760174**	**823978**	**83584152**	**36.90**	**83809929**	**814584**	**84624513**	**37.36**	**0.459**
Total Public Shareholding (B) = (B)(1) + (B)(2)	**91929562**	**831978**	**92761540**	**40.95**	**92945106**	**822584**	**93767690**	**41.40**	**0.444**
C. Shares held by Custodian for GDRs & ADRs	**0**	**0**	**0**	**0.00**	**0**	**0**	**0**	**0.00**	**0.000**
Grand Total (A+B+C)	**225682768**	**831978**	**226514746**	**100.00**	**225696162**	**818584**	**226514746**	**100.00**	**0.000**

b) Shareholding of Promoters

Sr. No.	Shareholder's Name	Shareholding at the beginning of the year 31/03/2016			Shareholding at the end of the year31/03/2017			
		No. of Shares	% of total Shares of the company	% of total Shares Pledged / encumbered to total shares	No. of Shares	% of total Shares of the company	% of total Shares Pledged / encumbered to total shares	% change in shareholding during the year
1	NEERAJ SINGAL	51480927	22.73	43202510	51480927	22.73	43192510	0.00
2	BHUSHAN INFRASTRUCTURE PVT. LTD.	31901188	14.08	4108305	31901188	14.08	4098305	0.00
3	RITU SINGAL	6020309	2.66	4830311	6020309	2.66	4830311	0.00
4	PUSHPA GARG	1006150	0.44	0	0	0.00	0	-0.44
5	BRIJ BHUSHAN SINGAL	41103391	18.15	38428439	41103391	18.15	41103391	0.00
6	BRIJ BHUSHAN SINGHAL (HUF)	10666	0.00	0	10666	0.00	0	0.00
7	AISHWARYA SINGAL	2230575	0.98	1705729	2230575	0.98	1705729	0.00
	TOTAL	**133753206**	**59.05**	**92275294**	**132747056**	**58.60**	**94930246**	**-0.44**

c) Change in Promoters' Shareholding (please specify, if there is no change)

Sr. No.	Particulars	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1	**NEERAJ SINGAL**				
	At the beginning of the year	51480927	22.73	51480927	22.73
	At the end of the year			51480927	22.73
2	**BRIJ BHUSHAN SINGAL**				
	At the beginning of the year	41103391	18.15	41103391	18.15
	At the end of the year			41103391	18.15
3	**BHUSHAN INFRASTRUCTURE PRIVATE LIMITED**				
	At the beginning of the year	31901188	14.08	31901188	14.08
	At the end of the year			31901188	14.08
4	**RITU SINGAL**				
	At the beginning of the year	6020309	2.66	6020309	2.66
	At the end of the year			6020309	2.66
5	**AISHWARYA SINGAL**				
	At the beginning of the year	2230575	0.98	2230575	0.98
	At the end of the year			2230575	0.98
6	**PUSHPA GARG**				
	At the beginning of the year	1006150	0.44	1006150	0.44
	29/04/2016	-1006150	-0.44	0	0
	At the end of the year			0	0
7	**BRIJ BHUSHAN SINGHAL**				
	At the beginning of the year	10666	0	10666	0
	At the end of the year			10666	0

d) Shareholding Pattern of top ten Shareholders (other than Directors, Promoters and Holders of GDRs and ADRs):

Sr. No.	For Each of the Top 10 Shareholders		Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		Status	No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1	**ECL FINANCE LIMITED**					
	At the beginning of the year 01/04/2016		10000000	4.41	10000000	4.41
	At the end of the year 31/03/2017				10000000	4.41
2	**MOONSTAR SECURITIES TRADING & FINANCE COMPANYPVT. LTD.**					
	At the beginning of the year 01/04/2016		9664565	4.27	9664565	4.27
	At the end of the year 31/03/2017				9664565	4.27
3	**LIFE INSURANCE CORPORATION OF INDIA**					
	At the beginning of the year 01/04/2016		8014898	3.54	8014898	3.54
	At the end of the year 31/03/2017				8014898	3.54
4	**FAMILY CREDIT LIMITED**					
	At the beginning of the year 01/04/2016		3497500	1.54	3497500	1.54
	At the end of the year 31/03/2017				3497500	1.54
5	**ARCHANA MITTAL**					
	At the beginning of the year 01/04/2016		2960000	1.31	2960000	1.31
	13/01/2017	Transfer	-500000	-0.22	2460000	1.09
	20/01/2017	Transfer	-54000	-0.02	2406000	1.06
	At the end of the year 31/03/2017				2406000	1.06
6	**L AND T FINCORP LIMITED**					
	At the beginning of the year 01/04/2016		2739981	1.21	2739981	1.21
	At the end of the year 31/03/2017				2739981	1.21
7	**TERRIFIC STEEL PVT LTD**					
	At the beginning of the year 01/04/2016		2186505	0.97	2186505	0.97
	At the end of the year 31/03/2017				2186505	0.97
8	**DEPENDABLE TRANSPORT PVT LTD**					
	At the beginning of the year 01/04/2016		2167060	0.96	2167060	0.96
	At the end of the year 31/03/2017				2167060	0.96
9	**SUPREME PLACEMENT SERVICES PVT LTD**					
	At the beginning of the year 01/04/2016		2165095	0.96	2165095	0.96
	At the end of the year 31/03/2017				2165095	0.96
10	**GOLDEN JOB FINDER PVT LTD**					
	At the beginning of the year 01/04/2016		2154920	0.95	2154920	0.95
	At the end of the year 31/03/2017				2154920	0.95

e) Shareholding of Directors and Key Managerial Personnel:

Sr. No.	Particulars		Shareholding at the beginning of the year 01/04/2016		Cumulative Shareholding during the year 31/03/2017	
		Status	No. of shares	% of total shares of the company	No. of shares	% of total shares of the company
1	**NEERAJ SINGAL**					
	At the beginning of the year		51480927	22.73	51480927	22.73
	At the end of the year		51480927		51480927	22.73
2	**BRIJ BHUSHAN SINGAL**					
	At the beginning of the year		41103391	18.15	41103391	18.15
	At the end of the year		41103391		41103391	18.15
3	**P. K. AGGARWAL**					
	At the beginning of the year		444	0.00	444	0.00
	At the end of the year		444		444	0.00
4	**O. P. DAVRA**					
	At the beginning of the year		1112	0.00	1112	0.00
	At the end of the year		1112		1112	0.00

V. INDEBTEDNESS

Indebtedness of the Company including interest outstanding/accrued but notdue for payment

₹ In Cr.

	Secured Loans excluding deposits	Unsecured Loans	Deposits	Total Indebtedness
Indebtedness at the beginning of the financial year				
i) Principal Amount	46593	2772	0	49366
ii) Interest due but not paid	1445	2	0	1447
iii) Interest accrued but not due	127	29	0	156
Total (i+ii+iii)	**48165**	**2803**	**0**	**50968**
Change in Indebtedness during the financial year				
• Addition	2930	69	0	2999
• Reduction	1860	257	0	2116
Net Change	**1071**	**-188**		**883**
Indebtedness at the end of the financial year				
i) Principal Amount	47664	2585	0	50247
ii) Interest due but not paid	5625	14	0	5640
iii) Interest accrued but not due	138	48	0	186
Total (i+ii+iii)	**53427**	**2647**	**0**	**56074**

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

A. Remuneration to Managing Director, Whole-time Directors and/or Manager:

Sr. No.	Particulars of Remuneration	Name of MD/WTD/ Manager				Total Amount
		Mr. Neeraj Singal	Mr. Nittin Johari	Mr. Rahul Sen Gupta	Mr. P.K. Agarwal	
1.	Gross salary					
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	12000000	14100000	9900000	9900000	45900000
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	2583284	39600	39600	39600	2702084
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961					
2.	Stock Option	-	-		-	-
3.	Sweat Equity	-	-	-	-	-
4.	Commission					
	- as % of profit	-	-	-	-	-
	- others, specify...					
5.	Others, please specify-PF	-	-	-	21600	-
	Total (A)	**14583284**	**14139600**	**9939600**	**9961200**	**48623684**
	Ceiling as per the Act	NIL	NIL	NIL	NIL	NIL

B. Remuneration to other directors:

Sr. No.	Particulars of Remuneration	Name of Directors									Total Amount
		Mr. B. B. Tandon	Mr. M. V. Suryanarayana	Mr. Ashwani Kumar	Mr. Rakesh Singhal	Mr. Sahil Goyal	Mr.Kapil Vaish	Mr. Pradeeep Patni	Mr. Pankaj Sharma	Mrs. Monika Agarwal	
1.	3. Independent Directors										
	• Fee for attending board / committee meetings	280000	260000	220000	120000	120000	80000	40000	80000	40000	1280000
	• Commission	0	0	0	0	0	0	0	0	0	0
	• Others, please specify	0	0	0	0	0	0	0	0	0	0
	Total (1)	**280000**	**260000**	**220000**	**120000**	**120000**	**80000**	**40000**	**80000**	**40000**	**1240000**
		Mr. B. B.Singal									
	4. Other Non-Executive Directors										
	• Fee for attending board / committee meetings	620000									620000
	• Commission	0									0
	• Others, please specify	0									0
	Total (2)	**620000**									**620000**
	Total (B)=(1+2)										
	Total Managerial Remuneration										1860000
	Overall Ceiling as per the Act	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL	NIL

C. REMUNERATION TO KEY MANAGERIAL PERSONNEL OTHER THAN MD/MANAGER/WTD

Sr. No.	Particulars of Remuneration	Key Managerial Personnel		
		Company Secretary	CFO	Total
1.	Gross salary			
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	2607692	14100000	16707692
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	21600	39600	61200
	(c) Profits in lieu of salary under section 17(3) Income-tax Act, 1961			
2.	Stock Option	-	-	
3.	Sweat Equity	-	-	-
4.	Commission			
	- as % of profit	-	-	-
	- others, specify...			
5.	Others, please specify-PF	-	-	-
	Total (A)	**2623138**	**14139600**	**16768892**

VII. PENALTIES / PUNISHMENT/ COMPOUNDING OF OFFENCES:

		Section of the Companies Act	Brief Description	Details of Penalty / Punishment/ Compounding fees imposed	Authority [RD / NCLT / COURT]	Appeal made, if any (give Details
A.	**Company**					
	Penalty					
	Punishment					
	Compounding					
B.	**Directors**					
	Penalty					
	Punishment					
	Compounding					
C.	**Other Officers In Default**					
	Penalty					
	Punishment					
	Compounding					

NIL

ANNEXURE 'H'

DETAILS PERTAINING TO REMUNERATION AS REQUIRED UNDER SECTION 197(12) OF THE COMPANIES ACT, 2013 READ WITH RULE 5(1) OF THE COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL) AMENDEMENT RULES, 2016

(i) The percentage increase in remuneration of each Director, Chief Financial Officer and Company Secretary during the financial year 2016-17, ratio of the remuneration of each Director to the median remuneration of the employees of the Company for the financial year 2016-17:

Sr. No.	Name of Director/KMP and Designation	Remuneration of Director/ KMP for financial year 2016-17 (₹ in Crore)	% increase in Remuneration in the Financial Year 2016-17	Ratio of remuneration of each Director/ to median remuneration of employees
1	Mr. Neeraj Singal Vice Chairman & Managing Director	1.46	-	43:1
2	Mr. Nittin Johari Whole- time Director (Finance) cum Chief Financial Officer	1.41	1.88	42:1
3	Mr. Rahul Sen Gupta Whole- time Director (Technical)	0.99	3.86	30:1
4	Mr. P. K. Aggarwal Whole- time Director (Commercial)	1.00	3.85	30:1
5	Mr. O. P. Davra Company Secretary	0.26	0.23	8:1

(ii) the median remuneration of the employees of the company for the financial year
- **The Median Remuneration of the employees of the Company is ₹ 3.36 Lacs.**

(iii) the percentage increase in the median remuneration of employees in the financial year;
- **The percentage increase in the median remuneration of employees is nil .**

(iv) the number of permanent employees on the rolls of company;
- **The number of Permanent employees on the rolls of the Company as on 31st March, 2017 is 5796.**

(v) average percentile increase already made in the salaries of employees other than the managerial personnel in the last financial year and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration;
- **Considering the Company performance, Key Managerial Personnel were given the increment commensurate with peer industries. Thus the increase in the salary should be seen as salary correction. Whereas other employees were given an average salary increase of 5.90% to match inflation and to keep them motivated.**

(vi) the key parameters for any variable component of remuneration availed by the directors;
- **No variable component of remuneration was paid to the directors.**

(vii) affirmation that the remuneration is as per the remuneration policy of the company.
- **It is hereby affirmed that the remuneration paid during the year ended 31st March 2017 is as per the Remuneration Policy of the Company.**

DETAILS PERTAINING TO REMUNERATION AS REQUIRED UNDER SECTION 197(12) OF THE COMPANIES ACT, 2013 READ WITH RULE 5(2) AND 5(3) OF THE COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL) AMENDEMENT RULES, 2016

Sr. No.	NAME	DESIGNATION	REMUNERATION (₹)	QUALIFICATION	AGE	EXP.	DATE OF COMMENCE -MENT OF EMPLOYMENT	NATURE OF DUTIES	LAST EMPLOYMENT
1	2	3	4	5	6	7	8	9	10
EMPLOYED THROUGHOUT THE YEAR AND WAS IN RECEIPT OF REMUNERATION OF NOT LESS THAN ₹ 1,02,00,000 PER ANNUM.									
1	SH. NEERAJ SINGAL	VICE CHAIRMAN & MANAGING DIRECTOR	14583284	GRADUATE	49	30	1.04.1992	OPERATIONS AND DAY TO DAY MANAGEMENT	EXECUTIVE DIRECTOR WITH BHUSHAN METALLICS LTD.
2	SH. NITTIN JOHARI	DIRECTOR FINANCE	14139600	M.COM. F.C.A..	54	32	6.01.1995	CORPORATE FINANCING AND OTHER RELATED MATTERS	FINANCE CONTROLLER WITH WIMCO LTD.
EMPLOYED FOR PART OF THE YEAR AND WAS IN RECEIPT OF REMUNERATION OF NOT LESS THAN ₹ 8,50,000 PER MONTH									
NIL									

Notes:

1. Remuneration as shown above includes salary, allowances, medical expenses, house rent, taxable value of perquisites but excludes gratuity provision.
2. Sh. Neeraj Singal is a relative of Sh. B. B. Singal, Non-Executive Chairman.
3. Sh. Neeraj Singal holds 22.73% of paid up Equity Share Capital of the company.
4. Nature of employment of Sh. Neeraj Singal is contractual.

FINANCIAL STATEMENTS

INDEPENDENT AUDITORS' REPORT

To

The Members of Bhushan Steel Ltd.

Report on the Standalone Ind AS Financial Statements

We have audited the accompanying standalone Ind AS financial statements of **Bhushan Steel Ltd.** ("the Company"), which comprise the Balance Sheet as at 31st March, 2017, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and a summary of the significant accounting policies and other explanatory information (herein after referred to as "Standalone Ind AS Financial Statements).

Management's Responsibility for the Standalone Ind AS Financial Statements

The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone Ind AS financial statements that give a true and fair view of the state of affairs (financial position), profit or loss (including other comprehensive income), cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) prescribed under section 133 of the Act read with rules issued thereunder.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these standalone Ind AS financial statements based on our audit.

We have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made there-under.

We conducted our audit of the standalone Ind AS financial statements in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the standalone Ind AS financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the standalone Ind AS financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone Ind AS financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Company's preparation of the standalone Ind AS financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Company's Board of Directors, as well as evaluating the overall presentation of the standalone Ind AS financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone Ind AS financial statements.

Basis of Qualified Opinion

The Supreme Court of India, vide its order dated 24.09.2014, cancelled number of coal blocks allocated to various entities, which includes one coal block allocated to the company, which was under development. Subsequently, the Government of India has issued the Coal Mines (Special Provision) Act, 2015, which inter-alia deal with the payment of compensation to the effected parties in regard to investment in the coal blocks.

No effect has been taken on the value of investment made by the company in the de-allocated coal blocks amounting to ₹56289.96 lacs (including expenditure incurred of ₹13546.46 lacs and advance given of ₹42743.50 lacs). In the opinion of the management, the company will receive back the payments / expenditure paid / made, including borrowing cost and other incidental expenditure, relating to de-allocated coal block. The company has filed its claim for compensation with the Government of India, Ministry of Coal. Subsequently, the company has filed a petition before the Hon'ble Delhi High Court for early recovery of amount, in which notice has been issued to the Union of India and the matter is still pending for disposal.

We are unable to comment on the impact on the value of investment made by the company in the de-allocated coal blocks and their consequent impact on the losses for the financial year ended March 31, 2017.

Qualified Opinion

In our opinion, and to the best of our information and according to the explanations given to us, except for the matter described in the Basis of Qualified Opinion paragraph above, the aforesaid standalone Ind AS financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India including the Ind AS, of the state of affairs of the Company as at 31st March, 2017, and its loss (including other comprehensive income), its cash flows and the changes in equity for the year ended on that date.

Emphasis of Matter

1. We draw attention on Note No. 50 to the Ind AS financial statements, which indicates that the company has negative net worth as at 31.03.2017. Further, it has incurred net cash losses of ₹2,43,278 lacs in the current financial year and ₹2,46,462 lacs in the immediate preceding financial year. The current liabilities of the company exceeded its current assets as at the balance sheet date by ₹21,74,381 lacs. These conditions may cast doubt about the Company's ability to continue as a going concern. However, the financial statements of the company are prepared on a going concern basis for the reasons stated in the said Note.

2. Indian Accounting Standard (Ind AS) - 101 requires to provide details of material adjustments relating to Balance Sheet and Statement of Profit and Loss in compliance to all applicable Ind AS in the Equity Reconciliation Statement as on 01.04.2015 and 31.03.2016 with respect of reported and restated figures; the company has disclosed net effect of these adjustments due to transition to Ind AS in the Equity Reconciliation Statement. (Refer Note No. 45 to the Ind AS financial statements)

Our opinion is not modified in respect of these matters.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order.

2. As required by Section 143(3) of the Act, we report that:

   (a) We have sought and except for the possible effect of the matter described in the Basis of Qualified Opinion paragraph above, obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of

our audit;

(b) Except for the possible effect of the matter described in the Basis of Qualified Opinion paragraph above, in our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;

(c) The Balance Sheet, Statement of Profit and Loss including other Comprehensive Income, the statement of cash flows and the statement of changes in equity dealt with by this Report are in agreement with the books of account;

(d) Except for the possible effect of the matter described in the Basis of Qualified Opinion paragraph above, in our opinion, the aforesaid standalone Ind AS financial statements comply with the Indian Accounting Standards specified under section 133 of the Act read with Rules issued thereunder;

(e) The matters described in the 'Basis of Qualified Opinion' and 'Emphasis of Matter' paragraphs above, in our opinion may have an adverse effect on the functioning of the Company;

(f) On the basis of written representations received from the directors as on March 31, 2017, taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2017, from being appointed as a director in terms of sub-section (2) of Section 164 of the Act; whereas in fact, the company has defaulted in redeeming certain debentures on due date and in payment of interest thereon. However, according to information and explanations given to us, LIC has shown its willingness to restructure it as per S4A scheme of RBI vide its letter dated 12.04.2017. Meanwhile as per directions of RBI dated 13.06.2017, the lenders are considering to refer the matter of restructuring of borrowings to National Company Law Tribunal (NCLT) for final resolution.

(g) The qualification relating to the maintenance of accounts and other matters connected therewith are as stated in the basis of Qualified Opinion paragraph above;

(h) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B"; and

(i) with respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. the Company has disclosed the impact of pending litigations on its financial position in its standalone Ind AS financial Statements – Refer Note - 42 to the standalone Ind AS financial statements;

ii. the company has made provisions, as required under applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note - 43 to the standalone Ind AS financial statements;

iii. there has been no delay in transferring amounts, required to be transferred to the Investor Education and Protection Fund by the Company; and

iv. the Company has provided requisite disclosures in its standalone Ind AS financial statements as regards to holdings as well as dealings in Specified Bank Notes as defined in the Notification S.O. 3407(E) dt. 8th November, 2016 of the Ministry of Finance, during the period from 8th November, 2016 to 30th December, 2016. Based on audit procedure performed and the representation provided to us by the management, we report that the disclosure are in accordance with the books of account maintained by the Company as produced to us by the management. - Refer Note 11 to the standalone Ind AS financial statements.

For **MEHRA GOEL & CO.**
Chartered Accountants
(FRN: 000517N)
sd/-
R.K. Mehra
Partner
M. No: 006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(FRN: 000226C)
sd/-
M.P. Mehrotra
Partner
M. No : 005699

Place: New Delhi
Dated: 5th July, 2017

ANNEXURE TO THE INDEPENDENT AUDITORS' REPORT

The Annexure 'A' referred to in our Independent Auditors' Report to the members of the Company on the standalone Ind AS financial statements of Bhushan Steel Ltd. for the year ended 31st March, 2017, we report that:

(i) In respect of its property, plant and equipment:

(a) The Company is maintaining proper records showing full particulars including quantitative details and situation of property, plant and equipment on the basis of available information;

(b) The property, plant and equipment covering significant value were physically verified during the year by the management at such intervals which in our opinion, provides for the physical verification of all the property, plant and equipment at reasonable intervals having regard to the size of the Company and nature of its business. According to the information and explanations given to us, no material discrepancies were noticed on such verification;

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the title deeds of immovable properties are held in the name of company except in respect of guest house building at Mumbai having Gross block of ₹74.00 lacs and Net block of ₹65.64 lacs as at 31st March, 2017.

(ii) According to the information and explanations given to us, the inventory of finished goods, semi-finished goods and raw material at works were, during the year physically verified by the management. In respect of stores spare and stock at yards in the custody of the third party and stock in transit were verified with the confirmation or statement of account or correspondence of the third parties or certification by management or reports of inspection and different audits carried out by the banks. In our opinion and according to the information and explanations given to us, the interval of such physical verification is reasonable having regard to the size of the Company and nature of its business and according to the information and explanations given to us, no material discrepancies were noticed on such verification.

(iii) According to the information and explanations given to us, the Company has not granted secured or unsecured loan to a company, firm, LLP or other entity covered in the register maintained under Section 189 of the Companies Act, 2013. Accordingly, the provisions of sub-paragraph (a) and (b) of the Order are not applicable.

(iv) In our opinion and according to the information and explanations given to us, the Company has generally complied with the provisions of section 185 and 186 of Companies Act, 2013 with respect to the loans, investments, guarantees and security.

(v) According to the information and explanations given to us, the Company has not accepted any deposits during the year. Hence, the directives issued by the Reserve Bank of India and the provisions of section 73 to 76 or any other relevant provisions of the Companies Act, 2013 and the rules framed there-under are not applicable to the Company.

(vi) In our opinion and according to the information and explanations given to us, specified accounts and records as prescribed by the Central Government in terms of sub-section (1) of section 148 of the Companies Act, 2013 have been prima facie made and maintained by the company. However, we have not, nor we are required, carried out any detailed examination of such accounts and records.

(vii) (a) According to the information and explanations given to us and on the basis of our examination of the records, the Company has generally been regular in depositing undisputed statutory dues including provident fund, employees' state insurance, income-tax, sales-tax, service tax, duty of customs, value added tax, cess and any other material statutory dues with some delays to the appropriate authorities to the extent these are applicable except deposit of duty of excise, where payment is continuously irregular.

According to the information and explanations given to us, no undisputed dues were in arrears as at 31st March, 2017 for a period of more than six months from the date they become payable except dues of excise including interest of ₹9,861.41 lacs and electricity duty of ₹399.21 lacs.

(b) According to the information and explanations given to us, the following dues of sales tax, duty of excise, service tax, value added tax and other statutory dues have not been deposited by the Company on account of disputes:

Name of the Statute	Nature of Dues	Amount (₹ In Lacs)	Period to which the amount pertains	Forum where the dispute is pending
The Central Excise Act, 1944	Excise Duty	55.80	April,2010 -March,2013	Commissioner (Appeals)
		133.83	April,2011-March,2015	Commissioner of Central Excise, Ghaziabad
		15.20	April,2013-June,2014	Commissioner (Appeals), Noida
		1.48	May,1998-October,1998	Supreme Court
		20,506.35	Aug'05 to Jul' 09, Aug '09 to Mar'10, Apr'09 to Jan'10 & Apr'10 to Jan'11	CESTAT, Kolkata
		24.79	Feb'10 to Nov'11, Apr'10 to Jan'11 & Apr'08 to Mar'11	Commissioner (Appeals), Bhubaneswar
		531.87	July'13-March'14	Commissioner of Central Excise , Raigad
		0.86	June,2001-July,2001	Allahabad High Court
		2,491.95	2006-2007, 2009-2010, & April,2006-Mar,2009	CESTAT, New Delhi
Custom Act, 1962	Custom Duty	371.80	30th Jun'2009, 2009-10	Commissioner of Custom, Vizag
Finance Act, 1994 [Service Tax Provisions]	Service Tax	5,532.51	Dec'05 to Aug'08, Oct'09 to Sep'10	CESTAT, Kolkata
		4.41	2006-07 to 2007-08 & Mar'11	Commissioner (Appeal), Bhubaneswar
		52.33	Dec'04-Nov'07	Commissioner of Central Excise , Raigad

Name of the Statute	Nature of Dues	Amount (₹ In Lacs)	Period to which the amount pertains	Forum where the dispute is pending
Uttar Pradesh Tax on entry of goods into Local Areas Act,2007	Entry Tax	25.30	2000-01	High Court of Allahabad
		31451.22	2007-2008,2008-2009,2012-2013 & 2013-2014	Additional Commissioner (Appeal), Ghaziabad
Odisha Entry Tax Act, 1999	Entry Tax	44,295.33	Dec'07 to Mar'12	Supreme Court
		3,983.71	Apr'05 to Jan'08 & Apr'10 to Mar'12	Addl. Commissioner of Sales Tax (Appeal), Cuttack
Sales Tax Acts of various States	Local Sales Tax	47,136.88	Apr'05 to Mar'12	Orissa High Court at Cuttack
		49.92	July'06 to Nov'10	Additional Commissioner of Sales Tax (Appeals) Cuttack
		2875.07	2011-2012,2012-2013,2013-2014, Apr'14-October,2014	Allahabad High Court
		8484.69	January,2008-March,2008,2008-2009 2010-2011 & April,2016- June, 2016,2015-2016	Additional Commissioner (Appeal), Ghaziabad
		15,390.19	2012-2013,2013-2014	Assessing Authority
		45.97	2006-2007	Additional Commissioner (Appeal), Ghaziabad
		82.69	1991-1992 &2007-2008	Tradetax Tribunal Ghaziabad
Central Sales Tax Act,1956	CST	327.06	2006-2007	Additional Commissioner (Appeal), Ghaziabad
		26,844.21	2012-2013 & 2013-2014	Assessing Authority
		182.42	2007-2008	Tradetax Tribunal Ghaziabad
		6253.66	January,2008-March,2008, 2008-2009,2010-2011	Additional Commissioner (Appeal), Ghaziabad
		10,927.13	June,2014-June,2015	Commercial Tax Tribunal
		2,083.55	2002-03, 2003-04,2004-2005 & April,2006 to October,2006	High Court of Allahabad
Orissa Minor Minerals Concession Rules, 2004	Royalty	5,434.74	2006-2014	Odisha High Court
Income Tax Act,1961	Income Tax	11,694.20	2008-2009,2009-2010,2012-2013,2013-2014,2014-2015	Commissioner of Income Tax (Appeals)

(viii) Based on our audit procedure and according to the information and explanations given to us, we are of the opinion that the Company has defaulted in repayment of loans / borrowings to the financial institutions, banks, Government or debenture holders as per details given here-under:

	Particulars	Amount of Default as on Balance Sheet Date (₹ in lacs)		Maximum Period of Default (in Days)	
		Principal	Interest	Principal	Interest
(i)	**Name of the Lenders : In case of :**				
	A. Banks (INR loans)				
1	Allahabad Bank	-	13,555.89	-	426
2	Andhra Bank	1,087.50	5,776.54	366	427
3	Axis Bank	50.00	16,007.46	275	366
4	Bank of Baroda	300.00	15,074.04	275	488
5	Bank of India	31,143.00	22,623.52	428	460
6	The Bank of Tokyo-Mitsubishi UFJ Ltd.	365.00	1,040.01	91	367
7	Bank of Maharashtra	-	17,878.40	-	488
8	Canara Bank	1,550.00	16,706.22	366	458
9	Central bank of India	-	17,287.83	-	518
10	Corporation bank	-	10,505.93	-	366
11	Dena Bank	2,084.86	7,067.85	275	426
12	ICICI Bank	374.72	5,862.08	351	276
13	Indian Bank	-	9,247.58	-	457
14	Indian Overseas Bank	-	6,569.76	-	518
15	Jammu & Kashmir Bank	-	10,069.69	-	518
16	Karur Vyasa Bank Limited	-	1,332.46	-	244

	Particulars	Amount of Default as on Balance Sheet Date (₹ in lacs)		Maximum Period of Default (in Days)	
		Principal	Interest	Principal	Interest
17	Lakshmi Vilas Bank	-	108.03	-	60
18	Oriental Bank of Commerce	225.00	14,210.14	275	457
19	Punjab & Sind Bank	1,785.71	10,303.99	365	518
20	Punjab National Bank	-	15,548.53	-	518
21	Saraswat Co-operative Bank	-	2,607.20	-	366
22	State Bank of Bikaner and Jaipur	237.50	1,083.38	91	91
23	State Bank of India	6,750.00	22,873.05	366	426
24	State Bank of Hyderabad	1,325.00	8,713.12	366	426
25	State Bank of Mysore	4,836.00	5,007.80	511	305
26	State Bank of Patiala	1,700.00	12,496.46	366	397
27	State Bank of Travancore	1,087.50	6,913.34	366	397
28	South Indian Bank	-	467.09	-	91
29	Syndicate Bank	400.00	18,626.93	275	488
30	UCO Bank	-	13,080.99	-	426
31	Union Bank of India	200.00	11,809.25	275	518
32	United Bank of India	-	10,190.42	-	610
33	Vijaya Bank	-	5,895.18	-	518
	Total (A)	**55,501.79**	**3,36,540.16**		
	B. Foreign Currency Loans				
1	AXIS Bank	-	1,459.95	-	411
2	Crédit Agricole Corporate and Investment Bank	5,511.03	0.65	1,027	75
3	Deutsche Zentral Genossenschafts Bank	26,872.23	-	1128	-
4	Deutsche Bank	9,963.04	329.99	549	183
5	DBS Bank	-	1,099.06	-	369
6	HSH Nordbank	42,063.69	462.67	1,158	1,158
7	ICICI Bank	8,034.60	5,245.92	241	367
8	ING Bank	270.02	0.34	1,006	-
9	State Bank of India (Consortium)	24,557.62	19,726.72	489	489
	Total (B)	**1,17,272.23**	**28,325.30**		
	C. Financial Institutions				
1	EXIM Bank	-	4,602.84	-	367
2	Industrial Development Bank of India	3,925.00	21,881.34	456	518
3	Industrial Financial Corporation of India	438.50	3,515.97	238	214
4	DBS Bank	3,333.33	2,102.77	366	426
5	L&T Finance Ltd	-	185.70	-	60
6	SICOM Ltd.	-	0.62	-	1
7	STCI Finance Ltd	-	194.19	-	32
	Total (C)	**7,696.83**	**32,483.43**		
(ii)	**Secured Debentures**	29,078.01	37,848.27	231	840
	Total (D)	**29,078.01**	**37,848.27**		
	Grand Total (A+B+C+D)	**2,09,548.86**	**4,35,197.16**		

The Company is enjoying working capital facility (funded and non-funded) and there is outstanding balance of ₹13,02,454.78 lacs as at 31st March, 2017 against which, interest of ₹1,28,246.42 lacs is overdue.

(ix) According to the information and explanations given to us, the Company has raised money by way of term loans during the year and to the best of our knowledge and according to the information and explanations given to us, the amount received by means of these loans have been pooled and utilized through Trust Retention Account (TRA) maintained by State Bank of India, the lead banker, on behalf of all other consortium members.

(x) To the best of our knowledge and according to the information and explanations given to us, no material fraud by the company or on the Company by its officers or employees has been noticed or reported during the course of our audit.

(xi) According to our information and explanations given to us and based on our examination of the records of the Company, managerial remuneration has been paid / provided in accordance with the requisite approvals mandated by the provisions of section 197 read with Schedule V to the Act except the payment of leave encashment, provident fund and taxable car perquisites for which clarification sought by the management from Central Government is awaited. (Refer Note - 54 to the standalone Ind AS financial statements)

(xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi company. Accordingly, para 3 (xii) of the Order is not applicable to the Company.

(xiii) According to the information and explanations given to us and based on our examination of the records of the company, transactions with the related parties are in compliance with sections 177 and 188 of the Act where applicable and details of such transactions have been disclosed in the standalone Ind AS financial statement as required by the applicable accounting standards.

(xiv) According to the information and explanations given to us and based on our examination of the records of the company, the company has made private placement of redeemable cumulative preference shares during the year under review and in our opinion, the requirement of section 42 of the Act have been complied with and the amount raised have been used for the purposes for which the funds were raised.

(xv) According to the information and explanations given to us and based on our examination of the records of the company, the company has not entered into non-cash transactions with directors or persons connected with him.

(xvi) As per our information, the company is not required to be registered under Section 45-1A of the Reserve Bank of India Act, 1934.

For **MEHRA GOEL & CO.**
Chartered Accountants
(FRN: 000517N)
sd/-
R.K. Mehra
Partner
M. No: 006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(FRN: 000226C)
sd/-
M.P. Mehrotra
Partner
M. No : 005699

Place: New Delhi
Dated: 5th July, 2017

Annexure - B to the Auditors' Report

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of Bhushan Steel Limited ("the Company") as of 31st March 2017 in conjunction with our audit of the standalone Ind AS financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the standalone Ind AS financial statements, whether due to fraud or error. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanation given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March 2017, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **MEHRA GOEL & CO.**
Chartered Accountants
(FRN: 000517N)
sd/-
R.K. Mehra
Partner
M. No: 006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(FRN: 000226C)
sd/-
M.P. Mehrotra
Partner
M. No : 005699

Place: New Delhi
Dated: 5th July, 2017

BALANCE SHEET

AS AT 31ST MARCH, 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Particulars	NOTE	As at 31.03.2017	As at 31.03.2016	As at 01.04.2015
I ASSETS				
(1) Non-current assets				
Property, plant and equipment	3	5,176,409.37	5,143,572.51	5,213,144.50
Capital work-in-progress	4	117,060.76	272,868.30	241,305.65
Other Intangible assets	5	13.74	7.66	39.03
Financial assets				
(i) Investments	6A	36,991.41	37,114.88	37,114.54
(ii) Loans	6B	9,808.64	8,719.53	10,716.33
(iii) Others	6C	56,468.63	58,730.10	2,459.23
Other non-current assets	7	67,503.57	68,483.73	100,595.19
Non-Current Tax Assets	16	2,555.17	2,328.43	1,784.61
(2) Current assets				
Inventories	8	314,891.77	209,923.78	191,864.30
Financial assets				
(i) Investments	6A	-	-	-
(ii) Trade receivables	9	152,555.10	118,197.33	112,530.11
(iii) Cash and cash equivalents	10	12,480.58	3,189.00	7,687.20
(iv) Other bank balances	11	2,992.61	13,143.53	997.01
(v) Loans	6B	10,296.68	9,387.11	9,532.54
(vi) Others	6C	1,019.92	2,936.37	66,113.57
Other current assets	7	85,292.02	53,869.27	69,085.47
Total Assets		**6,046,339.97**	**6,002,471.53**	**6,064,969.28**
II EQUITY AND LIABILITIES				
(1) Equity				
Equity share capital	12	4,530.30	4,530.30	4,530.30
Other Equity	13	(128,895.92)	221,277.44	554,177.23
(2) Liabilities				
(a) Non-current liabilities				
Financial liabilities				
(i) Borrowings	14A	3,057,955.30	3,229,884.23	3,092,772.22
(ii) Other financial liabilities	15	3,283.15	2,338.03	1,999.81
Provisions	18	4,011.13	3,105.64	2,471.00
Deferred tax liabilities (Net)	31	351,545.94	413,986.55	500,368.04
(b) Current liabilities				
Financial liabilities				
(i) Borrowings	14A	1,568,267.78	1,493,552.30	1,403,076.53
(ii) Trade Payables	14B	110,996.20	117,628.34	273,914.63
(iii) Other financial liabilities	15	1,044,132.49	464,895.40	207,187.66
Other current liabilities	17	30,017.97	50,858.70	24,094.76
Provisions	18	495.63	414.60	377.10
Total Equity and Liabilities		**6,046,339.97**	**6,002,471.53**	**6,064,969.28**

See accompanying notes to the Standalone Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

STATEMENT OF PROFIT AND LOSS

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in Lakhs Rupees except as otherwise stated)

	Particulars	NOTE	Year Ended 31.03.2017	Year Ended 31.03.2016
I	**REVENUE**			
	Revenue from operations	19	1,502,730.17	1,312,406.77
	Other income	20	7,196.46	7,574.90
	Total Revenue		**1,509,926.63**	**1,319,981.67**
II	**EXPENSES**			
	Cost of materials consumed	21	706,163.28	628,376.48
	Purchases of stock in trade	22	18.01	259.11
	Changes in inventories of finished goods, stock-in-trade and work in progress	23	(51,148.96)	(6,679.35)
	Excise duty on sale of goods		132,135.99	132,143.41
	Employee benefits expenses	24	49,061.83	43,556.59
	Finance costs	25	542,676.32	460,128.47
	Depreciation and amortization expenses	26	168,561.21	172,952.46
	Other expenses	27	374,298.37	308,659.26
	Total expenses		**1,921,766.05**	**1,739,396.43**
III	**Profit / (Loss) before exceptional items and tax**		**(411,839.42)**	**(419,414.76)**
IV	Exceptional Items (Expense)	28	669.25	-
V	**Profit/(loss) before tax**		**(412,508.67)**	**(419,414.76)**
VI	Tax expense:			
	Current Tax		-	-
	Deferred Tax (Assets) / Liability		(62,396.54)	(86,426.96)
VII	**Profit / (Loss) for the Year**		**(350,112.13)**	**(332,987.80)**
VIII	**Other Comprehensive Income**	29		
	Items that will not be reclassified to profit or loss			
	Re-measurement gains / (losses) on defined benefit plans		(127.33)	133.14
	Deferred Tax (Assets) / Liability		(44.07)	45.47
	Net (loss)/gain on FVTOCI equity securities		22.03	0.34
IX	**Total Comprehensive Income for the Year(Comprising Profit / (Loss) and Other Comprehensive Income for the Year)**		**(350,173.36)**	**(332,899.79)**
	Earnings per equity share	30		
	Basic and Diluted (In ₹)		(154.56)	(147.00)

See accompanying notes to the Standalone Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in Lakhs Rupees except as otherwise stated)

		Year Ended 31.03.2017	Year Ended 31.03.2016
(A)	**CASH FLOW FROM OPERATING ACTIVITIES**		
1	**Profit/(Loss) Before Tax**	(412,508.67)	(419,414.76)
2	**Adjustments for :**		
	Capital Reserve Reclasssification	(1,880.93)	(538.43)
	Depreciation & Amortisation Expenses	168,561.21	172,952.46
	Provisions (retirement benefit)	986.52	672.14
	Finance Cost	542,676.32	460,128.47
	Interest/ Dividend Income on Investment	(2.16)	(0.04)
	Interest Income (Other)	(4,666.03)	(6,081.51)
	Profit on Sale of Investment	-	-
	Dimuniation in the value of Investment	669.25	(0.34)
	Loss/ (Profit) on sale of Property, Plant and Equipment / transfer of Assets	(106.38)	(861.35)
	Provision/written off for Doubtful Debts/Advances	4,075.27	1,148.62
	Re-measurement of defined benefits plans	(127.33)	133.14
	Loss / (Gain) on Exchange Rate Change	4,044.58	4,085.24
3	**Operating Profit before Working Capital Changes (1+2)**	**301,721.65**	**212,223.64**
4	**Change in Working Capital:**		
	(Excluding Cash & Bank Balances)		
	Increase(-) / Decrease in Trade & Other Receivables	(37,673.04)	(6,815.84)
	Increase (-) / Decrease in Inventories	(104,967.99)	(18,059.48)
	Increase (-) / Decrease in Loans and advances	(41,318.39)	12,682.61
	Increase / Decrease (-) in Trade payables and Other Current Liabilities	(42,328.53)	(107,198.54)
	Change in Working Capital	**(226,287.95)**	**(119,391.25)**
5	**Cash Generated From Operations (3+4)**	**75,433.70**	**92,832.39**
6	**Less : Taxes paid**	**(226.74)**	**(543.82)**
7	**Net Cash Flow from Operating Activities (5-6)**	**75,206.96**	**92,288.57**
(B)	**CASH FLOW FROM INVESTING ACTIVITIES:**		
	Proceeds from sale of Property, plant and equipment/Transfer of Assets	148.09	62,306.47
	Purchase of Property, plant and equipment	(25,229.84)	(71,377.71)
	Interest received (Finance Income)	4,666.03	6,081.51
	Dividend Income	2.16	0.04
	Long term Fixed Deposits	2,261.47	19.09
	Other Bank Balances	10,150.92	(12,146.52)
	Net Cash Generated/(Used) in Investing Activities:	**(8,001.17)**	**(15,117.12)**

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in Lakhs Rupees except as otherwise stated)

	Year Ended 31.03.2017	Year Ended 31.03.2016
(C) NET CASH FLOW FROM FINANCING ACTIVITIES:		
Proceeds from/(Repayments of) Short-Term Borrowings	93,229.60	158,914.31
Proceeds from other borrowings	(1,935.27)	200,426.04
Interest paid	(148,787.43)	(409,370.56)
Proceeds from preference share	600.00	6,500.00
Redemption of preference share including premium	(2,900.00)	(38,676.04)
Unclaimed dividend	(2.04)	(1.83)
Capital subsidy	1,880.93	538.43
Net Cash Generated/(Used) from Financing Activities:	**(57,914.21)**	**(81,669.65)**
(D) Net Change in Cash & cash equivalents (A+B+C)	**9,291.58**	**(4,498.20)**
(E1) Cash & cash equivalents as at end of the Year	12,480.58	3,189.00
(E2) Cash & cash equivalents as at the beginning of the Year	3,189.00	7,687.20
NET CHANGE IN CASH & CASH EQUIVALENTS (E1-E2)	**9,291.58**	**(4,498.20)**

Note: The cash flow statement is prepared using the "indirect method" set out in IND AS 7 - Statement of Cash Flows.

See accompanying notes to the Standalone Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

STATEMENT OF CHANGE IN EQUITY

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in lakhs rupees except as otherwise stated)

(A) EQUITY SHARE CAPITAL

Particulars	No of shares	Amount
Equity shares of ₹2 each issued, subscribed and fully paid		
At 1st April 2015	226,514,746	4,530.29
Issue of share capital	-	-
At 1st April 2016	226,514,746	4,530.29
Issue of share capital (Note 12)	-	-
At 31st March 2017	**226,514,746**	**4,530.29**

(B) OTHER EQUITY

Particulars	Preference Share Capital	Reserves and surplus					Items of Other Comprehensive reserves	Total
		Capital redemption reserve	Securities Premium	Debenture redemption reserve	General reserve	Retained Earning	FVTOCI Reserve	
	Note 13	Note 13	Note 13	Note 13	Note 13	Note 13	Note 13	
As at April 01, 2015	**-**	**693.34**	**72,576.10**	**44,762.50**	**519,587.59**	**(83,387.06)**	**(55.24)**	**554,177.23**
Profit / (Loss) for the period	-	-	-	-	-	(332,987.80)	-	(332,987.80)
Other Comprehensive Income (Note 29)	-	-	-	-	-	-	88.01	88.01
Total Comprehensive Income	-	-	-	-	-	(332,987.80)	88.01	(332,899.79)
Transfer to general reserve	-	-	-	(8,250.00)	8,250.00	-	-	-
At March 31, 2016	**-**	**693.34**	**72,576.10**	**36,512.50**	**527,837.59**	**(416,374.86)**	**32.77**	**221,277.44**
Profit / (Loss) for the period	-	-	-	-	-	(350,112.13)	-	(350,112.13)
Other Comprehensive Income (Note 29)	-	-	-	-	-	-	(61.23)	(61.23)
Total Comprehensive Income	**-**	**-**	**-**	**-**	**-**	**(350,112.13)**	**(61.23)**	**(350,173.36)**
At March 31, 2017	**-**	**693.34**	**72,576.10**	**36,512.50**	**527,837.59**	**(766,486.99)**	**(28.46)**	**(128,895.92)**

See accompanying notes to the Standalone Financial Statements

See accompanying notes to the Standalone Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

ACCOUNTING POLICIES UNDER IND AS

STANDALONE FINANCIAL STATEMENTS OF BHUSHAN STEEL LIMITED FOR THE YEAR ENDED 31ST-MARCH-2017

1. Corporate information

Bhushan Steel Limited ("BSL") is one of the prominent players in the Indian steel industry. Backed with more than 28 years of experience, now India's 3rd largest Secondary steel producing Company with an existing steel production capacity of 5.6 million ton per annum. As one of the largest integrated steel players in India, BSL is a source for vivid variety of products such as Hot Rolled Coil, CRCA, CRFH, Galvanised Coil & sheet, Color coated Tiles, High Tensile Steel strips, Hardened & Tempered steel strips, precision tubes, HFW/ ERW pipe, 3LP Coated pipes, billets and sponge iron. Being amongst the prime movers of the technological revolution in Indian Cold Rolled Steel Industry, BSL has emerged as the country's largest and the only Cold Rolled Steel Plant with an independent line for manufacturing Cold Rolled Coil and sheet upto a width of 1700 mm. Along with this, the Company also has a Galvanised Coil and sheet line upto a width of 1350 mm.

The Company is a public company domiciled in India and is incorporated under the provisions of the Companies Act applicable in India. The registered office of the Company is located at Bhushan Centre, Ground Floor, Hyatt Regency Complex, Bhikaji Cama Place, New Delhi- 66.

The standalone financial statements were authorised for issue in accordance with a resolution of the directors on 5th July 2017.

2. Significant accounting policies

2.1 Basis of preparation

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 and the Companies (Indian Accounting Standards) (Amendment) Rules, 2016.

For all periods up to and including the year ended 31st March 2016, the Company prepared its financial statements in accordance with accounting standards notified under section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP). These financial statements for the year ended 31st March 2017 are the first the Company has prepared in accordance with Ind AS. Refer to note 44 for information on how the Company adopted Ind AS.

The financial statements have been prepared on a historical cost basis, except certain assets and liabilities measured at fair value (refer accounting policies).

The financial statements are presented in INR and all values are rounded to the nearest Lacs (₹ 00,000), except when otherwise indicated.

2.2 Application of new and revised Indian Accounting Standards

Ministry of Company Affairs in India (MCA) notified Companies (Indian Accounting Standards) (Amendment) Rules, 2017 to amend Indian Accounting Standard 7- Statement of Cash flows (Ind AS 7) and Indian Accounting Standard 102- Share based payments (Ind AS 102), but the same have not become effective on the Company as on the date of authorisation of these financial statements. The amendments are applicable to the Company from April 1st, 2015.

Amendment to Ind AS 7:

The amendment to Ind AS 7 requires the entities to provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes, suggesting inclusion of a reconciliation between the opening and closing balances in the balance sheet for liabilities arising from financing activities, to meet the disclosure requirement.

The Company is evaluating the requirements of the amendment and the effect on the financial statements is being evaluated.

Amendment to Ind AS 102:

The amendment to Ind AS 102 provides specific guidance to measurement of cash-settled awards, modification of cash-settled awards and awards that include a net settlement feature in respect of withholding taxes.

It clarifies that the fair value of cash-settled awards is determined on a basis consistent with that used for equity-settled awards. Market-based performance conditions and non-vesting conditions are reflected in the 'fair values', but non-market performance conditions and service vesting conditions are reflected in the estimate of the number of awards expected to vest. Also, the amendment clarifies that if the terms and conditions of a cash-settled share-based payment transaction are modified with the result that it becomes an equity-settled share-based payment transaction, the transaction is accounted for as such from the date of the modification. Further, the amendment requires the award that include a net settlement feature in respect of withholding taxes to be treated as equity-settled in its entirety. The cash payment to the tax authority is treated as if it was part of an equity settlement.

The Company has evaluated that the adoption of this amendment is not expected to have any impact on the financial statement.

2.3 Summary of significant accounting policies

a. Current versus non-current classification

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification. An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realised within twelve months after the reporting period; or,
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or,
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities respectively.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has determined its operating cycle, as explained in Schedule III of the Companies Act, 2013, as twelve months, having regard to the nature of business being carried out by the

Company. The same has been considered for classifying assets and liabilities as 'current' and 'non-current' while preparing the financial statements.

b. Property, plant and equipment

Under the previous GAAP (Indian GAAP), property, plant and equipment were carried in the balance sheet at cost net of accumulated depreciation and accumulated impairment losses, if any as at 31st March 2015.The Company has elected to regard deemed cost as fair value for property, plant and equipment at the date of transition to Ind AS except for certain items which have been continued to measure at the carrying value as on that date.

Property, plant and equipment and capital work in progress are stated at cost [i.e., cost of acquisition or construction inclusive of freight, erection and commissioning charges, non-refundable duties and taxes, expenditure during construction period, borrowing costs (in case of a qualifying asset) upto the date of acquisition/ installation], net of accumulated depreciation and accumulated impairment losses, if any.

When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in statement of profit or loss as incurred.

As per the bulletin 2 issued by ICAI, the capitalisation of expenditure incurred on construction of assets on land not owned by a Company would depend on the facts and circumstances of each case.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit and loss when the asset is derecognised.

Depreciation on all property, plant and equipment at Khopoli Plant and a Cold Rolling Plant acquired prior to 1st April 1996 and Galvanising Plant & Power Plant acquired before 1st April 2002 including addition or extension forming integral part of above plants at Sahibabad Plant has been provided on Written Down Value method and depreciation on all other property, plant and equipment at Sahibabad Plant and Orissa Plant has been provided on Straight Line Method.

The Economic Useful Life of all major plants at various units has been re-determined as per technical assessment and in respect of all other property, plant and equipment the life has been taken as per Schedule-II to the Companies Act, 2013.

The Economic Useful Life of Plants including auxiliary equipments has been determined below:-

Description (Plant & Machinery)	Expected Remaining useful life (in yrs) as on 1st April,2015 (on continuous running basis)
ORISSA PLANT	
20 & 12 MW Power Plant	34
220 KV Sub Station	30
Ash Handling System	36
Biological Treament Plant	38
Blast Furance Gas Holders	34
Blast Furnace - 2	38
Blast Furnace -1 (Including Pig Casting Machine)	34
Basix Oxygen Furnace (BOF)	38
Boilers - 275 TPH	38
Coal crushing & Screening System	38
Coal Washry	34
Coke Oven 2	38
Coke Oven Gasholders	34
Coke Oven with Battery-1	35
Cold Briquetting Plant	34
Compressed Air Station	30
Conarc	34
Cranes	19
CRM	36
De Bricking Machines	38
Desulpharisation Plant	36
DRI Klin 1-10	33
EOT crane for scrap yard & coil yard	38
Fire Fighting Equipment	30
Hot Strip Mill	34
Laboratory	13
Lime Plant	38
Lime Plant 100 TPD	34
Lime Plants (300T PDx2)	36
Misc Equipment.	15
Oxygen Plant	33
Pallet Conveyor and Slab Handling System	38
Pollution Control Equipment	38
Power Distribution	38
Power Distribution System ABST	30
Power Plant 220 KV Sub Station	33
Power Plant 33MW & 77MW	33
Raw Material Handling System	30
Raw Material Handling System -III	34
Raw Material Handling System -II	35
Sinter Plant II & III	38
Sinter Plant -I	34
Slab Caster	34
Slab yard Equipment	38
Slag Crashing Plant	34
Slag crushing plant (SCP)	38

Slag Pot Carrier	38
SMS -1 (with slab caster)	32
Stacker reclaimer, Wagon Trippler	38
Storage Tank (Oxygen, Nitrogen, Argon)	34
Torpedo Ladle Car	38
Turbo blower and trubine equipment	38
Utility	38
Water Pipe Line & Reservoir - 1	30
Water Supply	33
Factory Buildings (including Boundary walls,	
roads, drainage, diversions, Nallas)	30
Residential Buildings (including Housing colony)	60
Administrative Building	60
Railway Sidings	15
KHOPOLI PLANT	
Power Plant	19
Colour coating Plant	27
Galavanised Plant	26
Hardened & Tempered Cold Rolled Steel Strips	26
High Tensile Steel Strapings	24
Large Dia Pipe Plant	33
Cold Rolling Plant	26
Tube Mill Plant Khopoli & Depots	26
Tube Mill Plant Hosur	34
Utility	27
Factory Building (Khopoli)	25
Office Building/Residential Building (Khopoli)	50
SAHIBABAD PLANT	
Cold Rolling Mill (Including its Ancilliary Units)	25
Galvanising Plants (Including its Ancilliary Units)	25
Annealing Section	25
Acid Regeneration Plant	20
Colour Coating Line (Including its Ancilliary Units)	30
H & T line (Including its Ancilliary Units)	20
Power Plant (Including its Ancilliary Units)	20
Oxygen Plant (Including its Ancilliary Units)	20
Tube Mills (Including its Ancilliary Units)	20
SMS Billet Plant (Including its Ancilliary Units)	20
Factory Building including RCC Carpated roads	20
Formed Section Plants(Including its Ancilliary Units)	25
Utilities attached to Plant	25
Tube cutting Machines	25
PILKHUWA PLANT	
Factory Building	30
Plant & Machinery	25
Railway Siding	20

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

c. Borrowing Costs

Borrowing Costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs.

Eligible transaction/ ancillary costs incurred in connection with the arrangement of borrowings are adjusted with the proceeds of the borrowings.

d. Impairment of non-financial assets

The Company assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

Impairment losses of continuing operations, including impairment on inventories, are recognised in the statement of profit and loss, except for properties previously revalued with the revaluation surplus taken to other comprehensive income (OCI). For such properties, the impairment is recognised in OCI up to the amount of any previous revaluation surplus.

For assets an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit or loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

e. Inventories

Items of inventories are measured at lower of cost and net realizable value after providing for obsolescence, wherever considered necessary. Cost of inventories comprises of cost of purchase, cost of conversion and other costs including manufacturing overheads incurred in bringing them to their respective present location and condition.

Net realizable value is the estimated selling price in the ordinary course of business based on market price at the reporting date and discounted for the time value of money if material, less estimated costs of completion and estimated costs necessary to make the sale.

Cost is determined on the following basis:

Raw material is recorded at cost on a first-in-first-out (FIFO) basis.

Finished goods and work-in-progress are valued at raw material cost + cost of conversion and attributable proportion of manufacturing overhead incurred in bringing inventories to its present location and condition.

By products and scrap are valued at net realizable value.

Spare parts including other items are recorded on weighted average basis.

Excise duty on closing stock of finished goods and scrap is accounted for on the basis of payments made in respect of goods cleared as also provision made for goods lying in the factory and included in the value of such stocks.

f. Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made.Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payments.Exports sales are net of ocean freight, insurance.

Based on the Educational Material on Ind AS 18 issued by the ICAI, sales tax/ value added tax (VAT) and service tax is not received by the company on its own account. Rather, it is tax collected on value added to the property by the seller on behalf of the government. Accordingly, it is excluded from revenue.

Dividend income is recognized when the right to receive payment is established.

Interest income is recorded using the effective interest rate (EIR) for all debt instruments measured either at amortised cost. EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset or to the amortised cost of a financial liability.

g. Foreign currencies

The Company's financial statements are presented in INR, which is also its functional currency.

Transactions and balances:

Transactions in foreign currencies are initially recorded by the Company at functional currency spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency closing rate of exchange at the reporting date.

For foreign currency loans taken before 31st March 2016 for, adjustments arising from exchange rate variations relating to long term monetary items attributable to the depreciable fixed assets are capitalised. For foreign currency loans taken after 31st March 2016, exchange differences arising on settlement or translation of monetary items are recognised in statement of profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or statement of profit or loss are also recognised in OCI or statement of profit or loss, respectively).

h. Taxes

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted in India, at the reporting date.

Current income tax relating to items recognised outside statement of profit or loss is recognised outside statement of profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current tax assets are offset against current tax liabilities if, and only if, a legally enforceable right exists to set off the recognised amounts and there is an intention either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any

unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside statement of profit or loss is recognised outside statement of profit or loss (either in other comprehensive income or in equity). Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

MAT credit is recognised as an asset, whenever there is convincing evidence that the Company will pay normal income tax during the specified period. In the year in which the Minimum Alternative tax (MAT) credit becomes eligible to be recognized as an asset in accordance with the recommendations contained in Guidance Note issued by the Institute of Chartered Accountants of India, the said asset is created by way of a credit to the statement of profit and loss and shown as MAT Credit Entitlement. The Company reviews the same at each balance sheet date and writes down the carrying amount of MAT Credit Entitlement to the extent there is no longer convincing evidence to the effect that the Company will pay normal Income Tax during the specified period.

i. Employee benefits

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the service rendered by employees are recognised during the period when the employee renders the services.

Retirement benefit in the form of provident fund is a defined contribution scheme. The Company has no obligation, other than the contribution payable to the provident fund. The Company recognizes contribution payable to the provident fund scheme as an expense, when an employee renders the related service. If the contribution payable to the scheme for service received before the balance sheet date exceeds the contribution already paid, the deficit payable to the scheme is recognized as a liability after deducting the contribution already paid. If the contribution already paid exceeds the contribution due for services received before the balance sheet date, then excess is recognized as an asset to the extent that the pre-payment will lead to, for example, a reduction in future payment or a cash refund.

The Company operates a defined benefit gratuity plan in India, which requires contributions to be made to a separately administered fund. Gratuity and leave encashment is a defined benefit obligation.

Company's contribution to state defined contribution plans namely Employee State Insurance and Maharashtra Labour Welfare Fund are made in accordance with the Statute, and are recognised as an expense when employees have rendered services entitling them to the contribution.

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method.

Remeasurements comprising of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability and the return on plan assets, are recognised immediately in the balance sheet with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to statement of profit or loss in subsequent periods.

Past service costs are recognised in statement of profit & loss on the earlier of:

- The date of the plan amendment or curtailment, or
- The date that the Company recognises related restructuring costs

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Company recognises the following changes in the net defined benefit obligation as an expense in the statement of profit and loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income

Accumulated leave, which is expected to be utilized within the next twelve months, is treated as short-term employee benefit. The Company measures the expected cost of such absences as the additional amount that it expects to pay as a result of the unused entitlement that has accumulated at the reporting date.

Actuarial gains/losses are immediately taken to the statement of profit and loss and are not deferred.

j. Leases

The determination of whether an arrangement is,or contains a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

For arrangements entered into prior to 1st April 2015, the Company has determined whether the arrangement contain lease on the basis of facts and circumstances existing on the date of transition.

Company as a lessee

A lease is classified at the inception date as a finance lease or an operating lease. A lease that transfers substantially all the risks and rewards incidental to ownership to the Company is classified as a finance lease.

Finance leases are capitalised at the commencement of the lease at the inception date fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate

of interest on the remaining balance of the liability. Finance charges are recognised in finance costs in the statement of profit and loss, unless they are directly attributable to qualifying assets, in which case they are capitalized in accordance with the Company's general policy on the borrowing costs . Contingent rentals are recognised as expenses in the periods in which they are incurred.

A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Company will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating lease payments are recognised as an expense in the statement of profit and loss on a straight-line basis over the lease term however, rent expenses shall not be straight-lined, if escalation in rentals is in line with expected inflationary cost.

Company as a lessor

Leases in which the Company does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Rental income from operating lease shall not be straight-lined, if escalation in rentals is in line with expected inflationary cost. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

Contingent rents are recognised as revenue in the period in which they are earned.

k. Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the statement of profit and loss net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

l. Earnings per share

Basic earnings per equity share is computed by dividing net profit after tax by the weighted average number of equity shares outstanding during the year. Diluted earnings per equity share is computed by dividing adjusted net profit after tax by the aggregate of weighted average number of equity shares and dilutive potential equity shares during the year.

For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.

m. Contingent liabilities

In the normal Course of business, contingent liabilities may arise from litigation and other claims against the Company. Where the potential liabilities have a low probability of crystallising or are very difficult to quantify reliably, these are treated as contingent liabilities. Such liabilities are disclosed in the notes but are not provided for in the financial statements, although there can be no assurance regarding the final outcome of the legal proceedings, the Company does not expect them to have a materially adverse impact on the financial position or probablity.

n. Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand, cheques on hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above.

o. Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit and loss unless such expenditure forms part of carrying value of another asset.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit & loss when the asset is derecognised.

Costs relating to Computer Software are capitalized and amortized on straight line basis over their useful economic lives of one to three years.

p. Fair value measurement

The Company measures financial instruments, such as, derivatives at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The management determines the policies and procedures for both recurring fair value measurement, such as derivative instruments and unquoted financial assets measured at fair value, and for non-recurring measurement, such as assets held for distribution in discontinued operations.

External valuers are involved for valuation of significant assets, such as properties. Involvement of external valuers is decided by the management after discussion with and approval by the Company's management. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained. The management decides, after discussions with the Company's external valuers, which valuation techniques and inputs to use for each case.

At each reporting date, the management analyses the movements in the values of assets and liabilities which are required to be remeasured or re-assessed as per the Company's accounting policies. For this analysis, the management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

The management, in conjunction with the Company's external valuers, also compares the change in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

q. Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement

All financial assets are recognised initially at fair value plus, in the case of financial assets not recorded at fair value through statement of profit & loss, transaction costs that are attributable to the acquisition of the financial asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Debt instruments at amortised cost
- Debt instruments at fair value through other comprehensive income (FVTOCI)
- Debt instruments, derivatives and equity instruments at fair value through profit or loss (FVTPL)
- Equity instruments measured at fair value through other comprehensive income (FVTOCI)

Debt instruments at amortised cost

A 'debt instrument' is measured at the amortised cost if both the following conditions are met:

(a) The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and

(b) Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category is the most relevant to the Company. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the statement of profit & loss. The losses arising from impairment are recognised in the statement of profit & loss. This category generally applies to trade and other receivables.

Debt instrument at FVTOCI

A 'debt instrument' is classified as at the FVTOCI if both of the following criteria are met:

(a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets; and,

(b) The asset's contractual cash flows represent solely payments of principal and interest.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI). However, the Company recognizes interest income, impairment losses & reversals and foreign exchange gain or loss in the statement of profit & loss. On derecognition of the asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to statement of profit & loss. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.

Debt instrument at FVTPL

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition

inconsistency (referred to as 'accounting mismatch'). The Company has not designated any debt instrument as at FVTPL.

Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit & loss.

Equity investments

All equity investments in scope of Ind AS 109 are measured at fair value. Equity instruments which are held for trading are classified as at FVTPL. For all other equity instruments, the Company may make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Company makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

If the Company decides to classify an equity instrument as at FVTOCI, then all fair value changes on the instrument, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to statement of profit & loss, even on sale of investment. However, the Company may transfer the cumulative gain or loss within equity.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit & loss.

Investments in the equity instruments of subsidiaries, joint venture and associate companies are measured at cost in accordance with the principles of Ind AS 27- Separate Financial Statements.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the Company's balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Impairment of financial assets

In accordance with Ind AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

(a) Financial assets that are debt instruments, and are measured at amortised cost, e.g.,loans, debt securities, deposits, trade receivables and bank balance.

(b) Financial assets that are debt instruments and are measured as at FVTOCI.

(c) Trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 18.

The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables or contract revenue receivables.

The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

For recognition of impairment loss on other financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month ECL is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If, in a subsequent period, credit quality of the instrument improves such that there is no longer a significant increase in credit risk since initial recognition, then the entity reverts to recognising impairment loss allowance based on 12-month ECL.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. The 12-month ECL is a portion of the lifetime ECL which results from default events that are possible within 12 months after the reporting date.

ECL is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the entity expects to receive (i.e., all cash shortfalls), discounted at the original EIR. When estimating the cash flows, an entity is required to consider:

- All contractual terms of the financial instrument (including prepayment, extension, call and similar options) over the expected life of the financial instrument. However, in rare cases when the expected life of the financial instrument cannot be estimated reliably, then the entity is required to use the remaining contractual term of the financial instrument
- Cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECL impairment loss allowance (or reversal) recognized during the period is recognized as income/ expense in the statement of profit and loss. This amount is reflected under the head 'other expenses' in the statement of profit and loss. The balance sheet presentation for various financial instruments is described below:

Financial assets measured as at amortised cost and contractual revenue receivables: ECL is presented as an allowance, i.e., as an integral part of the measurement of those assets in the balance sheet. The allowance reduces the net carrying amount. Until the asset meets write-off criteria,

the Company does not reduce impairment allowance from the gross carrying amount.

For assessing increase in credit risk and impairment loss, the Company combines financial instruments on the basis of shared credit risk characteristics with the objective of facilitating an analysis that is designed to enable significant increases in credit risk to be identified on a timely basis.

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, financial guarantee contracts and derivative financial instruments.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings

This is the category most relevant to the Company. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in statement of profit & loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit & loss.

This category generally applies to borrowings.

Other financial liabilities such as trade payables, other liabilities, etc. are also subsequently measured at amortised cost.

Derivatives are initially recognised as fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit & Loss immediately unless the derivative is designated

The following table shows various reclassification and how they are accounted for:

Original classification	Revised classification	Accounting treatment
Amortised cost	FVTPL	Fair value is measured at reclassification date. Difference between previous amortized cost and fair value is recognised in statement of profit & loss.
FVTPL	Amortised Cost	Fair value at reclassification date becomes its new gross carrying amount. EIR is calculated based on the new gross carrying amount.
Amortised cost	FVTOCI	Fair value is measured at reclassification date. Difference between previous amortised cost and fair value is recognised in OCI. No change in EIR due to reclassification.
FVTOCI	Amortised cost	Fair value at reclassification date becomes its new amortised cost carrying amount. However, cumulative gain or loss in OCI is adjusted against fair value. Consequently, the asset is measured as if it had always been measured at amortised cost.
FVTPL	FVTOCI	Fair value at reclassification date becomes its new carrying amount. No other adjustment is required.
FVTOCI	FVTPL	Assets continue to be measured at fair value. Cumulative gain or loss previously recognized in OCI is reclassified to statement of profit & loss at the reclassification date.

and effective as a hedging instrument, in which event the timing of the recognition in Statement of Profit & Loss depends on the nature of the hedge item.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit & loss.

Reclassification of financial assets

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Company's senior management determines change in the business model as a result of external or internal changes which are significant to the Company's operations. Such changes are evident to external parties. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If the Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not reinstate any previously recognised gains, losses (including impairment gains or losses) or interest.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

r. Government grants

Government grants are not recognised until there is reasonable assurance that the Company will comply with the conditions attached to them and the grants will be received.

Government grants are recognised in the statement of profit and loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate.

The benefit of a government loan at below market rate of interest is treated as a government grant, measured as the difference between proceeds received and the fair value of the loan based on the prevailing market interest rates.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

3 Property, plant and equipment

DESCRIPTION OF ASSETS	AT COST					DEPRECIATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2016	Additions during the Year	Sale/ Discarded during the year	Adjustments during the year	Gross Block as at 31st March 2017	Depreciation as at 1st April 2016	Depreciation during the Year	Adjustments during the year	Total Depreciation upto 31st March 2017	AS AT 31st March 2017	AS AT 31st March 2016
i) Owned assets											
Land	84,107.26	-	-	-	84,107.26	-	-	-	-	84,107.26	84,107.26
Buildings	1,025,345.54	5,368.97	-	1,076.98	1,031,791.49	37,170.62	36,339.53	-	73,510.15	958,281.34	988,174.92
Railway Siding	85,650.38	-	-	-	85,650.38	5,433.90	5,419.07	-	10,852.97	74,797.41	80,216.48
Plant and Equipments	3,907,229.74	191,577.87	29.69	2,598.91	4,101,376.83	128,066.95	125,629.48	-	253,696.43	3,847,680.40	3,779,162.79
Furniture & Fixtures	4,857.90	44.26	-	-	4,902.16	556.65	551.42	-	1,108.07	3,794.09	4,301.25
Office Equipment	801.97	50.35	0.02	-	852.30	234.78	164.31	-	399.09	453.21	567.19
Vehicles	1,948.10	344.66	15.86	-	2,276.90	479.39	442.89	3.86	918.42	1,358.48	1,468.71
Total - Owned assets (i)	**5,109,940.89**	**197,386.11**	**45.57**	**3,675.89**	**5,310,957.32**	**171,942.29**	**168,546.70**	**3.86**	**340,485.13**	**4,970,472.19**	**4,937,998.60**
ii) Leasehold assets											
Land	205,573.91	363.27	-	-	205,937.18	-	-	-	-	205,937.18	205,573.91
Total - Leasehold assets (ii)	**205,573.91**	**363.27**	**-**	**-**	**205,937.18**	**-**	**-**	**-**	**-**	**205,937.18**	**205,573.91**
Total (i+ii)	**5,315,514.80**	**197,749.38**	**45.57**	**3,675.89**	**5,516,894.50**	**171,942.29**	**168,546.70**	**3.86**	**340,485.13**	**5,176,409.37**	**5,143,572.51**

DESCRIPTION OF ASSETS	AT COST					DEPRECIATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2015	Additions during the Year	Sale/ Discarded during the year	Adjustments during the year	Gross Block as at 31st March 2016	Depreciation as at 1st April 2015	Depreciation during the Year	Adjustments during the year	Total Depreciation upto 31st March 2016	AS AT 31st March 2016	AS AT 1st April 2015
i) Owned assets											
Land	84,107.26	-	-	-	84,107.26	-	-	-	-	84,107.26	84,107.26
Buildings	1,025,345.54	-	-	-	1,025,345.54	-	37,170.62	-	37,170.62	988,174.92	1,025,345.54
Railway Siding	85,650.38	-	-	-	85,650.38	-	5,433.90	-	5,433.90	80,216.48	85,650.38
Plant and Equipments	3,805,097.58	36,473.97	18.58	65,676.77	3,907,229.74	-	128,066.97	0.02	128,066.95	3,779,162.79	3,805,097.58
Furniture & Fixtures	4,818.69	45.29	6.08	-	4,857.90	-	556.65	-	556.65	4,301.25	4,818.69
Office Equipment	745.47	56.54	0.04	-	801.97	-	234.78	-	234.78	567.19	745.47
Vehicles	1,805.67	161.07	18.64	-	1,948.10	-	481.59	2.20	479.39	1,468.71	1,805.67
Total - Owned assets (i)	**5,007,570.59**	**36,736.87**	**43.34**	**65,676.77**	**5,109,940.89**	**-**	**171,944.51**	**2.22**	**171,942.29**	**4,937,998.60**	**5,007,570.59**
ii) Leasehold assets											
Land	205,573.91	-	-	-	205,573.91	-	-	-	-	205,573.91	205,573.91
Total - Leasehold assets (ii)	**205,573.91**	**-**	**-**	**-**	**205,573.91**	**-**	**-**	**-**	**-**	**205,573.91**	**205,573.91**
Total (i+ii)	**5,213,144.50**	**36,736.87**	**43.34**	**65,676.77**	**5,315,514.80**	**-**	**171,944.51**	**2.22**	**171,942.29**	**5,143,572.51**	**5,213,144.50**

4. Capital work in progress

Capital work in progress as at 31st March 2017 comprises expenditure for the plant in the course of construction. Total amount of CWIP is ₹ 1,17,060.76 Lakhs (31st March 2016 ₹ 2,72,868.30 Lakhs, 1st April 2015 ₹ 2,41,305.65 Lakhs).

NOTES:

a Capitalised borrowing costs

Adjustment during the year 2017 ₹ 3,675.89 lakhs ,2016 ₹ 65,676.77 lakhs includes on account of borrowing costs/exchange fluctuation capitalised during the installation period.

b Fair valuation is taken as deemed cost as on 1st April 2015 in certain items of Land, Building, Plant & Machinery and Railway Sidings.

Fair value of the properties was determined by using the market comparable method. This means that valuations performed by the valuer are based on active market prices, significantly adjusted for difference in the nature, location or condition of the properties.

As at the date of revaluation 1st April 2015, the properties fair values are based on valuations performed by Ranjan Structomech Pvt. Ltd., Gurgaon an accredited independent valuer who has relevant valuation experience.

c Certain building under possession of the Company are pending registeration in the name of the Company.

d For details of assets given on operating lease, refer note 42A

e "Certain property, plant and equipment are pledged against borrowings ,the details relating to which have been described in Note 14A pertaining to borrowings."

f Refer note 38 for impact of fair valuation on transition date financials and the subsequent impact on profit and loss thereon.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

5. INTANGIBLE ASSETS

Description of Assets	AT COST					AMORTISATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2016	Additions during the Year - internally developed	Additions during the Year - acquired separately	Adjustments during the year	Gross Block as at 31st March 2017	Total Amortisation as at 1st April 2016	Amortisation during the Year	Adjustments during the year	Total Amortisation upto 31st March 2017	AS AT 31st March 2017	AS AT 31st March 2016
Computer Software	47.02	-	10.59	-	57.61	39.36	4.51	-	43.87	13.74	7.66
Asset not owned by the Company	968.59	-	10.00	-	978.59	968.59	10.00	-	978.59	-	-
Total	**1,015.61**	**-**	**20.59**	**-**	**1,036.20**	**1,007.95**	**14.51**	**-**	**1,022.46**	**13.74**	**7.66**

Description of Assets	AT COST					AMORTISATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2015	Additions during the Year - internally developed	Additions during the Year - acquired separately	Adjustments during the year	Gross Block as at 31st March 2016	Total Amortisation as at 1st April 2015	Amortisation during the Year	Adjustments during the year	Total Amortisation upto 31st March 2016	AS AT 31st March 2016	AS AT 1st April 2015
Computer Software	39.03	-	7.99	-	47.02	-	39.36	-	39.36	7.66	39.03
Asset not owned by the Company	-	-	968.59	-	968.59	-	968.59	-	968.59	-	-
Total	**39.03**	**-**	**976.58**	**-**	**1,015.61**	**-**	**1,007.95**	**-**	**1,007.95**	**7.66**	**39.03**

6. FINANCIAL ASSETS

	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
A) INVESTMENTS						
a) Investment in Subsidiaries at cost or deemed cost						
Bhushan Steel (Australia) Pty Limited - 4,73,69,796 (31st March, 2016 4,73,69,796, 1st April, 2015: 4,73,69,796) equity shares of AUD 1 each fully paid up. - Unquoted	24,441.85	24,441.85	24,441.85	-	-	-
Less: Impairment	(24,441.85)	(24,441.85)	(24,441.85)			
	-	-	-	-	-	-
Bhushan Steel Madhya Bharat Limited - 49,990 (31st March, 2016: 49,990, 1st April, 2015: 50,000) equity shares of ₹ 10 each fully paid up. - Unquoted	5.00	5.00	5.00	-	-	-
Bhushan Steel (Orissa) Limited - 49,990 (31st March, 2016: 49,990, 1st April, 2015: 50,000) equity shares of ₹ 10 each fully paid up. - Unquoted	5.00	5.00	5.00	-	-	-
Bhushan Steel (South) Limited - 50,000 (31st March, 2016: 50,000, 1st April, 2015: 50,000) equity shares of ₹ 10 each fully paid up. - Unquoted	5.00	5.00	5.00	-	-	-
Total Investment in subsidiaries (a)	**15.00**	**15.00**	**15.00**	**-**	**-**	**-**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

		Non Current			Current		
		31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
b)	**Investment in Joint Ventures at cost or deemed cost**						
	Andal East Coal Company Private Limited - 3,30,000 (31st March, 2016: 3,30,000, 1st April, 2015: 3,30,000) equity shares of ₹ 10 each fully paid up. - Unquoted	145.50	145.50	145.50	-	-	-
	Less: Impairnent	(145.50)	-	-			
	Total Investment in Joint Ventures (b)	**-**	**145.50**	**145.50**	**-**	**-**	**-**
c)	**Investment in Associates at cost or deemed cost**						
	Bhushan Energy Limited - 6,50,00,000 (31st March, 2016: 6,50,00,000, 1st April, 2015: 6,50,00,000) equity shares of ₹10 each fully paid up. - Unquoted	35,000.00	35,000.00	35,000.00	-	-	-
	Angul Sukinda Railway Limited - Nil (31st March, 2016: Nil, 1st April, 2015: 8,40,00,000) equity shares of ₹ 10 each fully paid up. - Unquoted	-	-	1,000.00	-	-	-
	Less: Provision for impairment		-	(1,000.00)	-	-	-
	Jawahar Credit & Holdings Private Limited - 86,43,742 (31st March, 2016: 86,43,742, 1st April, 2015: 86,43,742) equity shares of ₹ 10 each fully paid up. - Unquoted	940.31	940.31	940.31	-	-	-
	Bhushan Capital & Credit Services Private Limited - 86,43,742(31st March, 2016: 86,43,742, 1st April, 2015: 86,43,742) equity shares of ₹ 10 each fully paid up. - Unquoted	940.31	940.31	940.31	-	-	-
	Total Investment in associates (c)	**36,880.62**	**36,880.62**	**36,880.62**	**-**	**-**	**-**
d)	**Other Investment at fair value through OCI**						
	Tata Steel Limited - 13,500 (31st March, 2016: 13,500, 1st April, 2015: 13,500) equity shares of ₹ 10 each fully paid up. - Quoted	65.16	43.13	42.77	-	-	-
	Bhushan Buildwell Private Limited - 4.900 (31st March, 2016: 4,900, 1st April, 2015: 4,900) equity shares of ₹ 10 each fully paid up. - Unquoted	24.75	24.75	24.76	-	-	-
	Saraswat Co-operative Bank Limited - 2,500 (31st March, 2016: 2,500, 1st April, 2015: 2,500) equity shares of ₹ 10 each fully paid up. - Unquoted	1.07	1.07	1.05	-	-	-
	Bhushan Steel Bengal Limited - 50,000 (31st March, 2016: 50,000, 1st April, 2015: 50,000) equity shares of ₹ 10 each fully paid up. - Unquoted	4.81	4.81	4.84	-	-	-
	Total other investment (d)	**95.79**	**73.76**	**73.42**	**-**	**-**	**-**
	Total Investments (a+b+c+d)	**36,991.41**	**37,114.88**	**37,114.54**	**-**	**-**	**-**
	Aggregate book value of quoted investments	58.08	58.08	58.08			
	Aggregate market value of quoted investments	65.16	43.13	42.77			
	Aggregate value of unquoted investments	36,926.25	37,071.75	37,071.77			
	Aggregate amount of impairment in value of investments	24,587.35	24,441.85	25,441.85			

Investments at fair value through OCI (fully paid) reflect investment in quoted and unquoted equity securities and quoted debt securities. Refer note 38 for determination of their fair values.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

B. Loans at Amortised Cost	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
a) Advance recoverable in cash						
i) From Related party						
Secured, considered good	-	-	-	-	-	-
Unsecured, considered good		523.75	520.50		-	
Unsecured, considered doubtful	523.75	-	-	-	-	-
	523.75	523.75	520.50	-	-	-
Less: Provision for doubtful advance	523.75		-		-	-
	-	523.75	520.50	-	-	-
ii) From Employees						
Secured, considered good	-	-	-	-	-	-
Unsecured, considered good	138.78	123.88	167.95	333.72	337.72	499.45
Unsecured, considered doubtful	-	-	-	-	-	-
	138.78	123.88	167.95	333.72	337.72	499.45
Less: Provision for doubtful advance	-	-	-		-	-
	138.78	123.88	167.95	333.72	337.72	499.45
Total - Advance recoverable in cash (a = i+ii)	**138.78**	**647.63**	**688.45**	**333.72**	**337.72**	**499.45**
b) Security Deposits						
Secured, considered good	-	-	-		-	-
Unsecured, considered good	9,669.86	8,071.90	10,027.88	9,962.96	9,049.39	9,033.09
Unsecured, considered doubtful	-	-	-	-	-	-
	9,669.86	8,071.90	10,027.88	9,962.96	9,049.39	9,033.09
Less: Provision for doubtful advance	-	-	-	-	-	-
Total - Security Deposits (b)	**9,669.86**	**8,071.90**	**10,027.88**	**9,962.96**	**9,049.39**	**9,033.09**
Total Loans - (a+b)	**9,808.64**	**8,719.53**	**10,716.33**	**10,296.68**	**9,387.11**	**9,532.54**
For details of security deposits to related parties, refer note 35						
C) Other financial assets						
Receivable against sale of fixed assets	-	-	-	1,019.92	1,019.92	62,423.92
Other receivables	56,289.96	56,289.96	-	-	-	-
Bank deposits with more than 12 months maturity */**	178.67	2,440.14	2,459.23	-	-	-
Inter corporate deposits	-	-	-	760.00	1,916.45	3,689.65
Less:Provision for doubtful advances	-	-	-	(760.00)	-	-
Total Other financial assets	**56,468.63**	**58,730.10**	**2,459.23**	**1,019.92**	**2,936.37**	**66,113.57**

* Including interest accrued but not due

** Including ₹178.67 Lakhs (31st March 2016:: ₹ 2440.14 Lakhs; 1st April 2015 ₹ 2459.23 Lakhs) under bank lien.

7. OTHER ASSETS

a) Capital advance						
Unsecured, considered good	7,740.87	17,250.69	55,361.97	-	-	-
Doubtful	-	-	-	-	-	-
	7,740.87	17,250.69	55,361.97	-	-	-
Less: Provision	-	-	-	-	-	-
	7,740.87	17,250.69	55,361.97	-	-	-
b) CENVAT/ VAT/Excise/ Service Tax recoverable	55,284.36	46,292.79	41,364.66	34,277.92	26,892.87	30,866.54
c) Other Advances	504.63	457.47	1,156.63	344.49	476.26	388.93
d) Prepaid expenses	3,973.71	4,482.78	2,711.93	1,862.30	1,670.00	1,903.79
e) Advances to Suppliers	-	-	-	48,807.31	24,830.14	35,926.21
Total (a+b+c+d+e)	**67,503.57**	**68,483.73**	**100,595.19**	**85,292.02**	**53,869.27**	**69,085.47**

For details of advances to related parties, refer note 35

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

		Current		
		31st March 2017	31st March 2016	1st April 2015
8.	**INVENTORIES**			
	Valued at cost or net realisable value except packing material and stores & spares			
	(i) In Hand			
	Raw materials	39,651.73	26,063.05	32,822.19
	Finished goods	54,103.03	48,318.96	64,753.13
	Work in progress	86,438.42	53,811.40	33,564.69
	Stores and spares	38,081.62	29,943.97	25,071.16
	Others	9,368.65	6,751.86	4,730.12
		227,643.45	**164,889.24**	**160,941.29**
	(ii) In Transit			
	Raw materials	60,857.12	29,814.49	17,516.02
	Finished goods	7,327.42	4,208.36	3,069.87
	Work in progress	17,045.72	10,043.70	10,337.12
	Stores and spares	2,018.06	967.99	-
		87,248.32	45,034.54	30,923.01
	Total - (i+ii) *	**314,891.77**	**209,923.78**	**191,864.30**

Work in Progress Includes stock lying with the third party ₹ 9884.83 Lakhs as on 31st March 2017 (31st March 2016: NIL, 1st April 2015: Nil)
Inventory is hypothicated as security against working capital loan.

9.	**TRADE RECEIVABLES**			
	Trade receivables	152,555.10	118,197.33	112,530.11
		152,555.10	**118,197.33**	**112,530.11**
	Breakup of Trade receivables			
	Unsecured, Considered Good	153,323.56	118,542.29	112,723.65
	Unsecured, Considered Doubtful	5,302.60	2,558.85	1,561.93
		158,626.16	**121,101.14**	**114,285.58**
	Less: Provision for doubtful receivables	5,302.60	2,558.85	1,561.93
	Less: Expected Credit Losses	768.46	344.96	193.54
		152,555.10	**118,197.33**	**112,530.11**

a. For details of receivables from related parties, refer note 35

b. Trade receivables are non-interest bearing and are generally on terms of 45 - 90 days.

c. In determining the allowances for doubtful trade receivables, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit allowance is based on the ageing of the receivables that are due and rates used in provision matrix.

10.	**CASH AND CASH EQUIVALENT**			
	a) Balance with banks			
	- In current accounts	12,416.21	3,099.27	7,563.24
	- Deposit with maturity of less than 3 months *	-	-	35.52
	b) Cash on hand	64.37	89.73	88.44
		12,480.58	**3,189.00**	**7,687.20**

* Including interest accrued but not due

For the purpose of the statement of cash flows, cash and cash equivalents comprise the following:

a) Balance with banks			
- In current accounts	12,416.21	3,099.27	7,563.24
- Deposit with maturity of less than 3 months *	-	-	35.52
b) Cheques, drafts on hand	-	-	-
Cash on hand	64.37	89.73	88.44
	12,480.58	**3,189.00**	**7,687.20**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

11. OTHER BANK BALANCES

Particulars	31st March 2017	31st March 2016	1st April 2015
a) Embarked balance with the bank			
- Unpaid dividend	12.89	14.93	16.76
b) Deposit with maturity of more than 3 months*	2,979.72	13,128.60	980.25
	2,992.61	**13,143.53**	**997.01**

* Including ₹ 2,979.72 Lakhs (31st March 2016: ₹ 13,128.60 Lakhs; 1st April 2015 ₹ 980.25 Lakhs) under bank lien.

Short-term deposits are made for varying periods between 3 to 12 months, depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates.

Specified Bank Notes (SBN) disclosure

Disclosure related to details of Specified Bank Notes (SBN) held and transacted during the period 8th November 2016 to 30th December 2016:

	SBNs	Other denomination notes	Total
Closing cash in hand as on 08.11.2016	**68.30**	**54.94**	**123.24**
(+) Withdrawal from Bank accounts	-	21.50	21.50
(+) Permitted receipts	-	25.15	25.15
(-) Permitted payments	(2.35)	(83.34)	(85.69)
(-) Amount deposited in Banks	(65.95)	(0.04)	(65.99)
Closing cash in hand as on 30.12.2016	**-**	**18.21**	**18.21**

For the purpose of this clause, the term 'Specified Bank Notes'(SBN) shall have the same meaning provided in the notification of the Government of India, in the Ministry of Finance, Department of Economic Affairs number S.O.3407 (E) dated the 8th November, 2016.

12. EQUITY SHARE CAPITAL

Particulars	31st March 2017	31st March 2016	1st April 2015
a) Authorised Share Capital			
Equity share capital			
40,00,00,000 (March 31, 2016: 40,00,00,000, April 01, 2015 : 40,00,00,000) equity shares of ₹ 2/- each	8,000.00	8,000.00	8,000.00
	8,000.00	**8,000.00**	**8,000.00**
b) Issued capital			
Equity share capital			
23,06,05,220 (March 31, 2016: 23,06,05,220, April 01, 2015 : 23,06,05,220) equity shares of ₹ 2/- each	4,612.10	4,612.10	4,612.10
	4,612.10	**4,612.10**	**4,612.10**
c) Subscribed and paid up capital			
Equity share capital			
22,65,14,746 (March 31, 2016: 22,65,14,746, April 01, 2015 : 22,65,14,746) equity shares of ₹ 2/- each	4530.29	4530.29	4530.29
Share forfeiture			
784 (March 31, 2016: 784, April 01, 2015 : 784) equity shares of ₹ 2/- each	0.01	0.01	0.01
	4530.30	**4530.30**	**4530.30**

d) Reconciliation of number of shares outstanding and the amount of share capital

	31st March 2017		31st March 2016		1st April 2015	
	Number of shares	Amount (In lakhs)	Number of shares	Amount (In lakhs)	Number of shares	Amount (In lakhs)
Equity share capital						
Shares outstanding at the beginning of the year	226,514,746	4,530.29	226,514,746	4,530.29	226,514,746	4,530.29
Shares issued during the year	-	-	-	-	-	-
Shares bought back during the year	-	-	-	-	-	-
Shares outstanding at the end of the year	**226,514,746**	**4,530.29**	**226,514,746**	**4,530.29**	**226,514,746**	**4,530.29**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

e) Rights, preferences and restrictions attached to the equity shares

The Company has only one class of Issued, subscribed and paid up equity shares having a par value of ₹ 2/- each per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividend in Indian rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the Annual General Meeting.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the share holders.

f) Details of the Shareholders holding more than 5% share in the Company

	31st March 2017		31st March 2016		1st April 2015	
	Number of shares held	% of Holding	Number of shares held	% of Holding	Number of shares held	% of Holding
Equity shares of ₹ 2/- each fully paid up						
1. Shri Brij Bhushan Singal	41,103,391	18.15%	41,103,391	18.15%	41,103,391	18.15%
2. Shri Neeraj Singal	51,480,927	22.73%	51,480,927	22.73%	51,480,927	22.73%
3. Bhushan Infrastructure Private Limited	31,901,188	14.08%	31,901,188	14.08%	32,010,805	14.13%

13. OTHER EQUITY

	Particulars	Amount
a)	**Capital redemption reserve**	
	At 1st April 2015	693.34
	At 31st March 2016:	693.34
	Changes during the period	-
	Closing balance	**693.34**
b)	**Securities premium reserve**	
	At 1st April 2015	72,576.10
	At 31st March 2016:	72,576.10
	Changes during the period	-
	Closing balance	**72,576.10**
c)	**Debenture redemption reserve**	
	At 1st April 2015	44,762.50
	Transfer to general reserve	(8,250.00)
	At 31st March 2016:	36,512.50
	Changes during the period	-
	Closing balance	**36,512.50**
d)	**General reserve**	
	At 1st April 2015	519,587.59
	Transfer from debenture redemption reserve	8,250.00
	At 31st March 2016:	527,837.59
	Changes during the period	-
	Closing balance	**527,837.59**
e)	**Retained earnings**	
	At 1st April 2015	(83,387.06)
	Profit/(loss) during the period	(332,987.80)
	At 31st March 2016:	(416,374.86)
	Profit/(loss) during the period	(350,112.13)
	Closing balance	**(766,486.99)**
f)	**Other comprehensive reserves**	
	At 1st April 2015	(55.24)
	Profit/(loss) during the period	88.01
	At 31st March 2016:	32.77
	Profit/(loss) during the period	(61.23)
	Closing balance	**(28.46)**
	Total as at 1st April, 2015	**554177.23**
	Total as at 31st March, 2016	**221277.44**
	Total as at 31st March, 2017	**(128895.92)**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

14 FINANCIAL LIABILITIES

A Borrowings

Non-current borrowings

Particulars	31st March 2017	31st March 2016	1st April 2015
Debentures			
8% Debentures	145,270.89	146,050.00	203,000.00
Term loan (Secured)			
From Bank			
- Indian rupees loans	2,387,850.55	2,335,454.19	2,072,679.37
- Foreign currency loans	851,855.33	890,522.08	835,468.93
From Others			
- Financial Institution	62,259.89	60,674.45	33,594.83
Term loan (Unsecured)			
From Bank			
- Indian rupees loans	9,765.00	9,765.00	-
- Foreign currency loans	270.02	292.83	263.25
From Others	2,774.22	3,008.50	2,704.63
Upfront Fee	(3,577.34)	(2,717.90)	-
	3,456,468.56	3,443,049.15	3,147,711.01
Less: Current portion of non-current borrowings	188,964.40	108,380.20	54,938.79
Less: Repayment Overdue on Long Term Borrowings	209,548.86	104,784.72	-
Total non-current borrowings	**3,057,955.30**	**3,229,884.23**	**3,092,772.22**

Current borrowings

Particulars	31st March 2017	31st March 2016	1st April 2015
Preference Shares	235,700.97	238,000.97	270,177.01
Working capital facilities (secured)			
From Bank			
- Indian rupees loans	1,167,640.49	924,910.04	666,181.38
- Foreign currency loans	36,964.85	51,900.14	31,570.31
Term loan (unsecured)			
From Bank			
- Indian rupees loans	-	5,080.00	13,645.00
Bill Discounting	30,112.03	10,531.46	
Bills of Exchange Payable-Foreign Currency	63,493.30	-	-
Bills of Exchange Payable-Indian Rupees	24,430.00	242,069.43	372,745.07
Buyers Credit (unsecured)			
From Bank			
- Foreign currency loans	9,926.14	21,060.26	48,757.76
Total current borrowings	**1,568,267.78**	**1,493,552.30**	**1,403,076.53**

Note

1) 12.00% Redeemable Non-Convertible 250 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 2500 Lacs (Previous Year 12.00% Redeemable Non-Convertible 250 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 2500 Lacs; Financial Year 2014-15 12.00% Redeemable Non-Convertible 250 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 2500 Lacs). Debentures are redeemable at par in one bullet payment at the end of 10th year from the date of allotment i.e 31.08.2012 and are Secured by first charge on pari passu basis on the fixed assets of the Company offering minimum Fixed Asset Coverage Ratio of 1.25 times during the tenure of debentures and personal guarantee of Sh. B.B.Singal & Sh. Neeraj Singal.

2) 12.50% Redeemable Non-Convertible 2000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 20000 Lacs (Previous Year 12.50% Redeemable Non-Convertible 2000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 20000 Lacs ; Financial Year 2014-15 12.50% Redeemable Non-Convertible 2000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 20000 Lacs) are redeemable in three equal annual installments commencing from the end of 5th year from the date of allotment i.e 30.08.2013 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

3) 12.00% Redeemable Non-Convertible 100 Debentures of ₹ 100 Lacs each outstanding on 31st March 2017 ₹ NIL (Previous Year 12.00% Redeemable Non-Convertible 100 Debentures of ₹ 100 Lacs each outstanding on 31st March 2016 ₹ NIL; Financial Year 2014-15 12.00% Redeemable Non-Convertible 100 Debentures of ₹ 100 Lacs each outstanding on 31st March 2015 ₹ 10000 Lacs) (Subordinate Debt).

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

4) 11.50% Redeemable Non-Convertible 3500 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 35000 Lacs (Previous Year 11.50% Redeemable Non-Convertible 3500 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 35000 Lacs; Financial Year 2014-15 11.50% Redeemable Non-Convertible 3500 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 35000 Lacs) are redeemable in three equal annual installments commencing from the end of 5th year from the date of allotment i.e 04.01.2013 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

5) 12.00% Redeemable Non-Convertible 1050 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 10327 Lacs (Previous Year 12.00% Redeemable Non-Convertible 1050 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 10500 Lacs; Financial Year 2014-15 12.00% Redeemable Non-Convertible 1050 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 10500 Lacs) are redeemable at the end of 4th,5th and 6th year in installments 35%,35% & 30% respectively commencing from the end of 4th year from the date of allotment i.e 28.03.2013 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

6) 11.75% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 30000 Lacs (Previous Year 11.75% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 30000 Lacs; Financial Year 2014-15 11.75% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 30000 Lacs) are redeemable in three equal annual installments commencing from the end of 5th year from the date of allotment i.e 02.02.2012 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

7) 12.00% Redeemable Non-Convertible 4750 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 3729 Lacs (Previous Year 12.00% Redeemable Non-Convertible 4750 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 4000 Lacs; Financial Year 2014-15 12.00% Redeemable Non-Convertible 4750 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 47500 Lacs). Debentures are redeemable at the end of 4th, 5th and 6th year in installments 35%, 35% & 30% respectively commencing at the end of 4th year from the date of allotment i.e 31.08.2012 and are Secured by first charge on pari passu basis on the fixed assets of the Company offering minimum Fixed Asset Coverage Ratio of 1.25 times during the tenure of debentures and personal guarantee of Sh. B.B.Singal & Sh. Neeraj Singal. Out of the above ₹ 43500 Lacs have been paid during FY 2015-16.

8) 10.50% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 30000 Lacs (Previous Year 10.50% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 30000 Lacs; Financial Year 2014-15 10.50% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 30000 Lacs) Debentures are redeemable at par in three equal annual installments commencing from the end of 6th year from the date of allotment i.e 13.08.2010 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

9) 10.90% Redeemable Non-Convertible 1630 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 12597 Lacs (Previous Year 10.90% Redeemable Non-Convertible 1630 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 12850 Lacs; Financial Year 2014-15 10.90% Redeemable Non-Convertible 1630 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 16300 Lacs) are redeemable at par in four equal annual installments commencing from the end of 5th year from the deemed date of allotment i.e 26.08.2010 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

10) 10.90% Redeemable Non-Convertible 120 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 1118 Lacs (Previous Year 10.90% Redeemable Non-Convertible 120 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 1200 Lacs; Financial Year 2014-15 10.90% Redeemable Non-Convertible 120 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 1200 Lacs) have been restructured during the year and are redeemable in 48 equated monthly installments commencing from 26th December 2016 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

11) Secured by first mortgage charge on all of the company's immovable & movable properties both present and future including movable machinery, spares, tools & accessories (excluding specific charge created on favour of ECA Lenders), ranking pari passu inter-se, with the trustee of Debenture holders subject to prior charges created in favour of banks on stocks,book debts etc. for securing borrowing for working capital requirement,except ` NIL (Previous Year ₹ 26533 Lacs; Financial Year 2014-15 ₹ 25036 Lacs) secured by subsequent & subservient charge on movable assets.Out of the above, the ECA Loans of ₹ 245632 Lacs (Previous Year ₹ 265001 Lacs; Financial Year 2014-15 ₹ 239225 Lacs) financed by ECA Lenders are secured by first exclusive charge on the assets financed & personal guarantee of two promoter directors ₹Loans of ₹ 851855 Lacs (Previous Year ₹ 890522 Lacs; Financial Year 2014-15 ₹ 835469 Lacs) are guaranteed by the Personal Guarantee of two promoter directors.

12) Secured by first mortgage charge on all of the company's immovable & movable properties both present and future including movable machinery, spares, tools & accessories (excluding specific charge created in favour of ECA Lenders) ranking pari passu inter-se, with the trustee of Debenture holders subject to prior charges created in favour of banks on stocks,book debts etc. for securing borrowing for working capital requirement. Loans of ₹ 2335105 Lacs (Previous Year ₹ 2281459 lacs; Financial Year 2014-15 ₹ 1662104 Lacs) are guaranteed by the Personal Guarantee of two promoter directors & Loans of ₹ 52745 Lacs (Previous Year ₹ 53995 Lacs; Financial Year 2014-15 ₹ 410576 Lacs) are guaranteed by the Personal Guarantee of One Promoter Director. Apart from this,Loans of ₹ 429736 Lacs are secured by pledge of 26% shares of Bhushan Steel Limited and Loans of ₹ 1622045 Lacs are secured by pledge of 51% shares of Bhushan Steel Limited.Out of the above Loans sanctioned for ₹ 700000 Lacs are secured by pledge of the shares of Bowen Energy Limited held by Promoter/Promoter Group of Bhushan Steel Limited.

13) Secured by first mortgage charge on all of the company's immovable & movable properties both present and future including movable machinery, spares, tools & accessories (excluding specific charge created in favour of ECA Lenders) ranking pari passu inter-se, with the trustee of Debenture holders subject to prior charges created in favour of banks on stocks,book debts etc. for securing borrowing for working capital requirement,except ₹ 969 Lacs (Previous Year ₹ 931 Lacs; Financial Year 2014-15 ₹ 1345 Lacs) secured by subsequent & subservient charge on movable assets.Loans of ₹ 61291 Lacs (Previous year ₹ 58722 Lacs; Financial Year 2014-15 ₹ 30000 Lacs) are guaranteed by the Personal Guarantee of Two Promoter Directors & Loans of ₹ NIL Lacs (Previous Year ₹ 1021 Lacs; Financail Year 2014-15 ₹ 2250 Lacs) are guaranteed by the Personal Guarantee of One Promoter Director. Apart from this,Loans of ₹ 31516 Lacs are secured by pledge of 51% shares of Bhushan Steel Limited.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

14) Out of these Loans of ₹ 270 Lacs (Previous Year ₹ 293 Lacs; Financial Year 2014-15 ₹ 263 Lacs) are guaranteed by the Personal Guarantee of Two Promoter Directors.

15) Foreign Currency Loans for Phase I & II of Orissa project was sanctioned at interest rate of EURIBOR + 0.45% (Presently 0.45% p.a.) repayable in 20 Half Yearly Installments commencing from six Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.

16) Domestic Loans sanctioned by SBI Syndication for Phase III of Orissa project was sanctioned at rate of interest of SBI Base Rate+2.50% and repayable in 17 quarterly installments commencing from 18 months after completion of the project as per terms stipulated in respective loan/facility agreement/s.Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ SBI Base Rate+2.50% p.a (presently 11.60% p.a.).

17) Foreign Currency Loans for Phase III of Orissa project was sanctioned at interest rate of EURIBOR+1.50% (Presently 1.287% p.a.) repayable in 20 half yearly installments commencing from 6 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.

18) Another Foreign Currency Loan sanctioned for Phase III of the Orissa Project at interest rate of USD LIBOR+3.95% . Out of this Loan of US$ 240 Million has been structured under 5/25 flexible structuring scheme of RBI upto 25 years.Remaining US$ 60 Million is repayable in 4 annual installments commencing from 36 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.

19) Another Foreign Currency Loan sanctioned for Phase III of the Orissa Project at interest rate of Euribor+1.75% (Presently 1.529% p.a.) repayable in 15 half yearly installments commencing from HY2 of FY 2018-19 in 15 equal semi annual installments.

20) Domestic Loans sanctioned for Coke Oven 2 of Orissa project was sanctioned at rate of interest of Base Rate+2.50% and repayable in 24 quarterly installments commencing from 15 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ Base Rate+1.75% p.a (presently 10.90% p.a.).

21) Foreign Currency Loans for Coke Oven 2 of Orissa Project was sanctioned at interest rate of USD LIBOR + 4.50% repayable in 12 half yearly installments commencing from 15 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years.

22) Domestic Loans sanctioned for CRCA & CRNGO Project of Orissa project was sanctioned at rate of interest of Base Rate+2.25% and repayable in 24 quarterly installments commencing from 12 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.Now these loans are being considered in 5/25 flexible structuring scheme of RBI upto 25 years.Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ Base Rate+2.00% p.a. (11.15% p.a. at present).

23) Domestic Loans sanctioned for Addition,Modification & Replacement Project at Orissa Site was sanctioned at rate of interest of Base Rate+TP+1.25% and repayable in 32 quarterly installments commencing from 3 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s. Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ SBI Base Rate+2.50% p.a. (11.60% p.a. at present).

24) Domestic Loans sanctioned for shoring up of Net Working Capital/Normal Capital Expenditure was sanctioned at rate of interest of SBI Base Rate+2.50% (Presently 11.60% p.a.) and repayable in 40 quarterly installments commencing from 30th June 2016/as per terms stipulated in respective loan/facility agreement/s.

Rate of interests of other Term Loans/Foreign Currency Loans are linked with the Base Rate/LIBOR of the respective lenders

25) 10% 366667 Redeemable Cumulative Preference Shares of ₹ 100 each are allotted at a price of ₹3000/- per share during the financial year 2011-12 on private placement basis. The preference shares are redeemable at a premium of ₹ 2900/- in two equal installments at the end of 3rd and 4th year i.e. on 4th March 2015 and 4th March 2016 respectively. However due to non submission of preference share certificate by the shareholder, M/s Robust Transportation Pvt Ltd., preference shares could not be redeemed. M/s Robust Transportation Pvt Ltd., vide their letter dated 1st March 2015 and 1st March 2016 has requested to defer the redemption of the preference shares as the same has been pledged with banker as security against the loan taken by it.

26) Repayment default on Long Term Borrowings

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Principal Amount	Interest Amount	Principal Amount	Interest Amount	Principal Amount	Interest Amount
(A) Secured						
Non Convertible Debentures	29,078.01	37,848.27	925.00	20,638.12	-	-
Term Loan						
1. From Bank						
- Foreign Currency Loans	117,002.22	28,324.96	82,719.91	13,267.19	-	-
- Rupee Loans	62,395.11	364,087.11	19,641.33	95,057.18	-	-
2. From Bank						
- Rupee Loans	438.50	3,896.49	1,205.65	1,803.13	-	-
Total (A)	**208,913.84**	**434,156.83**	**104,491.89**	**130,765.62**	**-**	**-**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Principal Amount	Interest Amount	Principal Amount	Interest Amount	Principal Amount	Interest Amount
(B) Unsecured						
Term Loan						
1. From Bank						
- Rupee Loans	365.00	1,040.01	-	192.91	-	-
2. Foreign Currency Loans						
- From Others	270.02	0.34	292.83	1.12	-	-
Total (B)	**635.02**	**1,040.35**	**292.83**	**194.03**	**-**	**-**
Total (A+B)	**209,548.86**	**435,197.18**	**104,784.72**	**130,959.65**	**-**	**-**

27) Repayment period of Borrowings is mentioned in Note No 39

B Trade payables

Particulars	Current		
	31st March 2017	31st March 2016	1st April 2015
Sundry Creditors:			
Due of Micro, Small and Medium Enterprises (Note No 33)	323.45	404.62	539.03
Due to others	110,672.75	117,223.72	273,375.60
	110,996.20	**117,628.34**	**273,914.63**

Notes:

Terms and conditions of the above financial liabilities:

For explanations on the Company's credit risk management processes, Refer note 39

15 OTHER FINANCIAL LIABILITIES

Particulars	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
Financial liabilities at amortised cost						
Current maturities of long term debts	-	-	-	188,964.40	108,380.20	54,938.79
Repayment Overdue on Long Term Debts	-	-	-	180,470.85	103,859.72	-
Liability for Capital Goods	-	-	-	50,577.43	63,159.96	67,372.51
Interest accrued and due on borrowing	-	-	-	557,074.23	144,649.00	45,006.67
Interest accrued but not due on borrowing	-	-	-	18,564.42	15,540.97	35,068.43
Unpaid matured debentures and interest accrued thereon;	-	-	-	35,963.92	985.50	-
Security deposits	-	-	-	552.45	445.57	409.95
Dues to Subsidiary	-	-	-	1,289.33	1,321.97	-
Dues to directors	-	-	-	22.04	24.21	17.03
Dues to officers	-	-	-	2.66	1.58	1.46
Unclaim dividend	-	-	-	12.89	14.93	16.76
Deferred Sales Tax Payable	3,283.15	2,338.03	1,217.99	-	-	-
Other payables	-	-	781.82	10,637.87	26,511.79	4,356.06
Total Other Financial Liabilities	**3,283.15**	**2,338.03**	**1,999.81**	**1,044,132.49**	**464,895.40**	**207,187.66**

16 TAX ASSETS AND LIABILITIES

Particulars	Non Current		
	31st March 2017	31st March 2016	1st April 2015
Advance tax	2,555.17	2,328.43	1,784.61
Net tax assets/ (liabilities)	**2,555.17**	**2,328.43**	**1,784.61**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

17 OTHER LIABILITIES

Particulars	Current		
	31st March 2017	31st March 2016	1st April 2015
Statutory payables	24,423.43	45,499.21	19,009.13
Advance from Customers	5,368.14	5,359.49	5,085.63
Derivative financial liability*	226.40	-	-
	30,017.97	**50,858.70**	**24,094.76**

* Includes the MTM on forward contracts and interest rate swap not designated for hedging.

18 PROVISIONS

Particulars	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
Provision for employee benefits (Refer Note 32 for Ind AS 19 disclosures)						
- Gratuity	2,607.22	1,853.94	1,269.74	-	-	-
- Leave Encashment	1,403.91	1,251.70	1,201.26	495.63	414.60	377.10
Total	**4,011.13**	**3,105.64**	**2,471.00**	**495.63**	**414.60**	**377.10**

19 REVENUE FROM OPERATIONS

Particulars	31st March 2017	31st March 2016
Sale of products (including excise duty)		
Sale of Goods	1,457,005.12	1,267,674.00
Total sale of products	**1,457,005.12**	**1,267,674.00**
Other operating revenue		
Other sales	37,308.58	41,198.12
Export incentives	8,416.47	3,534.65
Total	**1,502,730.17**	**1,312,406.77**

(Includes excise duty on sale of goods amounting to ₹. 1,32,135.99 Lakhs for the year ended 31st March 2017 (31st March 2016: ₹ 1,32,143.41 Lakhs)

20 OTHER INCOME

Particulars	31st March 2017	31st March 2016
Dividend income on		
- Long term investments	2.16	0.04
Net gain on sale of property, plant and equipments	106.38	861.35
Government Grant	1,880.93	538.43
Miscellaneous income**	540.96	93.57
Interest Income on:*		
- From banks on FDRs	408.98	611.08
- From others	4,257.05	5,470.43
	7,196.46	**7,574.90**

* Including income tax deducted at source ₹ 1.15 Lakhs (31st March 2016: ₹ 0.95 Lakhs)

** Including income tax deducted at source ₹ 44.85 Lakhs (31st March 2016 : ₹ 50.31 Lakhs)

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

21 COST OF MATERIALS CONSUMED

Particulars	31st March 2017	31st March 2016
Cost of raw materials consumed	708,578.77	630,660.37
Less: Cost of raw materials transferred to Project/internal use	2,415.49	2,283.89
Cost of materials consumed	**706,163.28**	**628,376.48**
Detail of raw material consumed		
HR/ CR/ Steel scrap	126,719.42	189,178.30
Iron Ore/ Sponge Iron	160,223.07	133,521.74
Coal	324,343.18	215,145.90
Dolomite/ Lime	29,757.30	31,213.69
Zinc and Alloys	57,868.67	52,081.92
Paints	9,667.13	9,518.82
	708,578.77	**630,660.37**

22 PURCHASES OF STOCK IN TRADE

Particulars	31st March 2017	31st March 2016
Cost of purchase goods traded	18.01	259.11
	18.01	**259.11**

23 CHANGES IN INVENTORIES OF FINISHED GOODS, STOCK IN TRADE AND WORK IN PROGRESS

Particulars	31st March 2017	31st March 2016
Closing stock		
- Finished goods	61,430.45	52,527.32
- Work-in-progress	103,484.14	63,855.10
- Others	9,368.65	6,751.86
	174,283.24	123,134.28
Less :		
Opening stock		
- Finished goods	52,527.32	67,823.00
- Work-in-progress	63,855.10	43,901.81
- Others	6,751.86	4,730.12
	123,134.28	116,454.93
(Increase) / decrease		
- Finished goods	(8,903.13)	15,295.68
- Work-in-progress	(39,629.04)	(19,953.29)
- Others	(2,616.79)	(2,021.74)
Net (Increase)/decrease in Stock	**(51,148.96)**	**(6,679.35)**

Details of finished goods	Closing stock	Opening stock	Closing stock	Opening stock
Hot rolled steel strips/ sheets/ coils	8,033.13	17,588.26	17,588.26	28,519.92
Cold rolled steel strips/ sheets/ coils	15,780.30	10,594.84	10,594.84	12,775.30
Cold rolled galvanised steel strips/ sheets/ coils	16,373.44	12,348.40	12,348.40	14,147.92
Colour coated galvanised steel strips/ sheets/ coils	5,980.09	3,412.35	3,412.35	3,225.49
Precision tube	7,884.31	5,643.02	5,643.02	5,482.62
Large dia pipe	3,239.92	1,555.94	1,555.94	2,039.09
Hardened & tempererd cold rolled steel strips	982.67	696.52	696.52	750.74
High tensile steel strapings	251.53	137.05	137.05	413.44
Billets	2,902.84	544.80	544.80	464.60
Formed sections	2.22	6.14	6.14	3.88
	61,430.45	**52,527.32**	**52,527.32**	**67,823.00**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

24 EMPLOYEE BENEFIT EXPENSE

Particulars	31st March 2017	31st March 2016
Salary, wages, bonus and allowance	47,975.91	43,382.56
Contribution to provident fund and other funds	1,651.42	1,161.77
Staff Welfare expenses	501.73	410.66
	50,129.06	44,954.99
Less: Expenses transferred to Project under commissioning/ pre-operative expenses	1,067.23	1,398.40
	49,061.83	43,556.59

Disclosure in compliance of Ind AS -19 on Employee benefits are given in Note 32.

25 FINANCE COSTS

Particulars	31st March 2017	31st March 2016
Interest on debts and borrowings calculated using the effective interest method	560,285.64	467,360.53
Applicable Net Gain / (Loss) on Foreign Currency Transactions and Translation	-	1,257.26
Other Borrowing Cost	5,703.94	14,480.76
	565,989.58	483,098.55
Less: Expenses transferred to Project under commissioning/ pre-operative expenses	23,313.26	22,970.08
	542,676.32	460,128.47

26 DEPRECIATION AND AMORTIZATION EXPENSE

Particulars	31st March 2017	31st March 2016
Depreciation of property, plant and equipment	168,546.70	171,944.51
Amortisation of intangible assets	14.51	1,007.95
	168,561.21	172,952.46

27 OTHER EXPENSES

Particulars	31st March 2017	31st March 2016
Consumption of stores, spares and consumables	68,311.70	40,325.41
Packing material consumed	5,960.93	5,113.76
Power and fuel	125,412.72	122,925.99
Rent	26,415.97	22,931.01
Insurance	1,495.67	1,830.75
Rates and taxes	1,902.58	903.29
Repairs and maintenance:		
- Building	210.90	187.16
- Machinery	4,795.21	3,534.41
- Others	-	-
Legal and professional charges	1,633.40	1,112.28
Payment to Auditors:		
As Auditor:		
Audit fees	100.00	100.00
Tax Audit fee	18.50	18.50
Administrative expenses	10,125.98	13,207.79
Selling and distribution expenses	76,972.00	75,288.40
Commission to selling agents	6,669.90	500.05
Bad debts written off	148.02	0.28
Provision for doubtful advance	760.00	-
Provision for doubtful debts	3,167.25	1,148.34
Exchange difference(net) (other considered as finance cost)	4,044.58	2,827.98
Other Manufacturing Expenses	36,066.07	26,506.92
Excise Duty #	325.78	(1,630.22)
	374,537.16	**316,832.10**
Less: Expenses transferred to Project under commissioning/ pre-operative expenses	238.79	8,172.84
Total	**374,298.37**	**308,659.26**

Excise duty shown under expenditure represents the aggregate of excise duty borne by the company and difference between excise duty on opening and closing stock of finished goods.

28 EXCEPTIONAL ITEMS

The Company has recorded an impairment loss for investment and advance in a joint venture- Andal East Coal Company Pvt. Ltd, amounting to ₹ 669.25 Lakhs.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

29 COMPONENTS OF OTHER COMPREHENSIVE INCOME

The segregation of changes to OCI by each type of reserve in equity is shown below:

During the Year ended 31st March 2017

	FVTOCI reserve	Retained earnings	Total
Gain/(loss) on FVTOCI financial assets	22.03	-	22.03
Re-measurement gains (losses) on defined benefit plans	(127.33)	-	(127.33)
Deferred Tax on above items (Assets) / Liability	(44.07)	-	(44.07)
	(61.23)	-	(61.23)

During the Year ended 31st March 2016

	FVTOCI reserve	Retained earnings	Total
Gain/(loss) on FVTOCI financial assets	0.34	-	0.34
Re-measurement gains (losses) on defined benefit plans	133.14	-	133.14
Deferred Tax on above items (Assets) / Liability	45.47	-	45.47
	88.01	-	88.01

30 EARNING PER SHARE

Basic and Diluted EPS amounts are calculated by dividing the profit / (Loss) for the year attributable to equity holders of the company by the weighted average number of Equity shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the profit / (Loss) attributable to equity holders of the company by the weighted average number of Equity shares outstanding during the year plus the weighted average number of Equity shares that would be issued on conversion of all the dilutive potential Equity shares into Equity shares.

The following reflects the income and share data used in the basic and diluted EPS computations:

Particulars	31st March 2017	31st March 2016
Profit / (Loss) attributable to equity holders of the Company:	(350,112.13)	(332,987.80)
Profit / (Loss) attributable to equity holders for basic earnings	**(350,112.13)**	**(332,987.80)**
Dilution effect	-	-
Profit / (Loss) attributable to equity holders adjusted for dilution effect	**(350,112.13)**	**(332,987.80)**
"Weighted Average number of equity shares used for computing Earning Per Share (Basic & Diluted) *	**226,514,746**	**226,514,746**

* There have been no other transactions involving Equity shares or potential Equity shares between the reporting date and the date of authorisation of these financial statements.

Earning Per Share

Particulars	31st March 2017	31st March 2016
Basic and diluted (₹)	(154.56)	(147.00)
Face value per share (₹)	2.00	2.00

31 TAX RECONCILIATION

(a) Income tax expense:

The major components of income tax expenses for the year ended March 31, 2017 and March 31, 2016 are as follows:

(i) Profit or loss section

Particulars	For the year ended March 31, 2017	For the year ended March 31, 2016
Current tax expense	-	-
Deferred tax expense	(62,396.54)	(86,426.96)
Total income tax expense recognised in statement of Profit & Loss	**(62,396.54)**	**(86,426.96)**

(ii) OCI Section

Particulars	For the year ended March 31, 2017	For the year ended March 31, 2016
Deferred Tax (Asset) / Liability on remeasurement of defined benefit plans	(44.07)	45.47
Unrealised (gain)/loss on FVTOCI equity securities	-	-
Income tax charged to OCI	**(44.07)**	**45.47**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

(b) Reconciliation of tax expense and the accounting profit multiplied by India's domestic tax rate for 31st March 2017 and 31st March 2016:

Particulars	31st March 2017	31st March 2016
Accounting profit before tax from continuing operations	(412,508.67)	(419,414.76)
Accounting profit before tax from discontinuing operations	-	-
Accounting profit before income tax	**(412,508.67)**	**(419,414.76)**
At India's statutory income tax rate of 34.608% (31st March 2016: 34.608%)	-	-
Adjustments in respect of current income tax of previous years	-	-
Non-deductible expenses for tax purposes:		
Other non-deductible expenses	-	-
	-	-
At the effective income tax rate of 34.608% (31st March 2016: 34.608%)	-	-
Income tax expense reported in the statement of profit and loss	-	-

For computing deferred tax liability, the amount of business and depreciation loss as allowable in income tax returns has been considered for recognising deferred tax assets. On the basis of future projections taken on record by the management after considering improved performance of the company in last quarter, the board is confident that there is a virtual certainty that sufficient taxable income will be available in the future against which, the deferred tax assets can be realised in the normal course of business of the company.

Particulars	As at 1-Apr-15	Provided during the Year	As at 31-Mar-16	Provided during the Year	As at 31-Mar-17
Deferred tax liability:					
Related to Fixed Assets (Depreciation)	138,933.41	(55,058.91)	83,874.50	(13,437.39)	70,437.11
Fair valuation of Property Plant and Equipment	445,219.04	8,094.89	453,313.93	-	453,313.93
Others	-	-	-	-	-
Total deferred tax liability (A)	**584,152.45**	**(46,964.02)**	**537,188.43**	**(13,437.39)**	**523,751.04**
Deferred tax asets:					
Carry forward Business Loss / Unabsorbed Depreciation	-	39,606.83	39,606.83	7,286.37	46,893.20
Provision for Doubtful Debts	606.33	398.61	1,004.94	1,096.12	2,101.06
43B Disallowances etc.	-	-	-	41,436.83	41,436.83
Others	2,572.53	(587.97)	1,984.56	(816.10)	1,168.46
Revaluations of FVTOCI investments to fair value	-	-	-	-	-
Total deferred tax assets (B)	**3,178.86**	**39,417.47**	**42,596.33**	**49,003.22**	**91,599.55**
Deferred Tax Liability (Net) (A - B)	**580,973.59**	**(86,381.49)**	**494,592.10**	**(62,440.61)**	**432,151.49**

The Company offsets tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same tax authority.

(c) Deferred Tax (Assets) / Liabilities

Significant components of deferred tax assets/(liabilities) recognised in the financial statements are as follows:-

Particulars	31st March, 2017	31st March, 2016	1st April, 2015
Deferred Tax Liabilities (net)	432,151.49	494,592.10	580,973.59
Less: Mat Credit Entitlement	80,605.55	80,605.55	80,605.55
Total	**351,545.94**	**413,986.55**	**500,368.04**

32 EMPLOYEE BENEFITS

Defined Contribution Plans - General Description

Provident Fund:During the year, the company has recognised ₹ 592.53 lakhs (2015-16: ₹ 573.82 lakhs) as contribution to Employee Provident Fund in the Statment of Profit and Loss (Refer Note 24)

Defined Benefit Plans - General Description

Gratuity: Each employee rendering continuous service of 5 years or more is entitled to receive gratuity amount equal to 15/26 of the monthly emoluments for every completed year of service subject to maximum of 10 Lakhs at the time of separation from the company.

Other long-term employee benefits - General Description

Leave Encashment: Each employee is entitled to get 15 earned leaves for each completed year of service. Encashment of earned leaves is allowed during service leaving a minimum balance of 60 days subject to maximum accumulation up to 60 days. In addition, each employee is entitled to get 7 sick leaves at the end of every year.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

The following tables summarise the components of net benefit expense recognised in the statement of profit or loss and the funded status and amounts recognised in the balance sheet for the respective plans:

Changes in the present value of the defined benefit obligation are, as follows:

Particulars	Gratuity Funded	Leave Encashment Unfunded
Defined benefit obligation at 1st April 2015	2950.09	1578.36
Current service cost	451.46	291.24
Interest expense	236.01	126.27
Benefits paid	(227.76)	(165.27)
Actuarial (gain)/ loss on obligations - OCI	61.01	(164.31)
Defined benefit obligation at 31st March 2016:	**3470.81**	**1666.29**
Current service cost	530.67	288.03
Interest expense	277.66	133.30
Past service cost	297.75	-
Benefits paid	(254.35)	(236.88)
Actuarial (gain)/ loss on obligations - OCI	77.09	48.80
Defined benefit obligation at 31st March 2017	**4399.63**	**1,899.54**

Changes in the fair value of plan assets are, as follows:

Particulars	Gratuity Funded
Fair Value of plan assets at 1st April 2015	1680.36
Contribution by employer	-
Contribution by Employees	-
Interest income	-
Benefits paid	(227.76)
Expected return on plan assets	134.42
Return on plan assets (excluding amounts included in net interest expense) - OCI	29.84
Fair Value of plan assets at 31st March 2016:	**1616.86**
Contribution by employer	302.00
Contribution by Employees	-
Interest income	-
Benefits paid	(254.35)
Expected return on plan assets	129.35
Return on plan assets (excluding amounts included in net interest expense) - OCI	(1.44)
Fair Value of plan assets at 31st March 2017	**1792.42**

Break up of fair value of Plan Assets

Particulars	31st March 2017	31st March 2016
-SBI Life	900.34	1038.35
-LIC	478.27	244.90
-PNB Metlife	340.10	333.61
-Trust	73.71	-
Total	**1792.42**	**1616.86**

Reconciliation of fair value of plan assets and defined benefit obligation:

Particulars	Gratuity Funded	Leave Encashment Unfunded
Fair value of plan assets at 1st April 2015	1,680.36	-
Defined benefit obligation at 1st April 2015	2,950.09	1,578.36
Amount recognised in the Balance Sheet at 1st April 2015	**(1,269.73)**	**(1,578.36)**
Fair value of plan assets at 31st March 2016:	1,616.86	-
Defined benefit obligation at 31st March 2016:	3,470.81	1,666.29
Amount recognised in the Balance Sheet at 31st March 2016:	**(1,853.95)**	**(1,666.29)**
Fair value of plan assets at 31st March 2017	1,792.42	-
Defined benefit obligation at 31st March 2017	4,399.63	1,899.54
Amount recognised in the Balance Sheet at 31st March 2017	**(2,607.21)**	**(1,899.54)**

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Amount recognised in Statement of Profit and Loss:

Particulars	Gratuity Funded	Leave Encashment Unfunded
Current service cost	530.67	288.03
Net interest expense	277.66	133.30
Remeasurement of Net Benefit Liability/ (Asset)	77.09	48.80
Amount recognised in Statement of Profit and Loss for year ended 31st March 2017	**885.42**	**470.13**
Current service cost	451.46	291.24
Net interest expense	236.01	126.27
Remeasurement of Net Benefit Liability/ (Asset)	61.01	(164.31)
Amount recognised in Statement of Profit and Loss for year ended 31st March 2016:	**748.48**	**253.20**

Amount recognised in Other Comprehensive Income:

Particulars	Gratuity Funded	Leave Encashment Unfunded
Actuarial (gain)/ loss on obligations	77.09	48.80
Return on plan assets (excluding amounts included in net interest expense)	1.44	-
Amount recognised in Other Comprehensive Income for year ended 31st March 2017	**78.53**	**48.80**
Actuarial (gain)/ loss on obligations	61.01	(164.31)
Return on plan assets (excluding amounts included in net interest expense	(29.84)	-
Amount recognised in Other Comprehensive Income for year ended 31st March 2016:	**31.17**	**(164.31)**

The principal assumptions used in determining gratuity and leave encashment obligations for the Company's plans are shown below:

Particulars	31st March 2017	31st March 2016	1st April 2015
Discount rate (in %)			
Gratuity	7.54%	8%	8%
Leave Encashment	7.54%	8%	8%
Salary Escalation (in %)			
Gratuity	5%	5%	5%
Leave Encashment	5%	5%	5%
Rate of return in plan assets (in %)			
Gratuity	8%	8%	8%
Leave Encashment	-	-	-
Expected average remaining working lives of employees (in years)			
Gratuity	24	24	25
Leave Encashment	24	24	25

A quantitative sensitivity analysis for significant assumption as at 31st March 2017 is as shown below:

Gratuity

Assumptions	31st March 2017					
	Discount rate		Salary escalation		Expected average remaining working lives of employees	
Sensitivity Level	+ 0.5%	(0.5%)	+ 0.5%	(0.5%)		
	₹ Lakhs	₹ Lakhs	₹ Lakhs	₹ Lakhs	₹ Lakhs	₹ Lakhs
Impact on defined benefit obligation	(89.74)	93.90	95.76	(92.30)	Not material	Not material

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Leave Encashment

Assumptions	31st March 2017					
	Discount rate		Salary escalation		Expected average remaining working lives of employees	
Sensitivity Level	+ 0.5%	(0.5%)	+ 0.5%	(0.5%)		
	₹ Lakhs	₹ Lakhs	₹ Lakhs	₹ Lakhs	₹ Lakhs	₹ Lakhs
Impact on defined benefit obligation	(92.83)	9.85	10.90	(94.25)	Not material	Not material

The sensitivity analyses above have been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period.

The following payments are expected contributions to the defined benefit plan (Gratuity) in future years:

Particulars	31st March 2017	31st March 2016	1st April 2015
Within the next 12 months (next annual reporting period)	839.09	775.46	623.49
Between 2 and 5 years	1,384.21	1,047.89	890.68
Between 5 and 10 years	1,305.80	983.14	835.64
Beyond 10 years	870.53	664.32	600.27
Total expected payments	**4,399.63**	**3,470.81**	**2,950.08**

33 DUES TO MICRO, SMALL AND MEDIUM ENTERPRISES

The dues to Micro, Small and Medium Enterprises as required under the Micro, Small and Medium Enterprises Development Act, 2006 to the extent information available with the company is given below:

Particulars		31st March 2017	31st March 2016	1st April 2015
(a)	The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of each accounting year			
	Principal amount due to micro and small enterprises	323.45	404.62	539.03
	Interest due on above	-	-	-
(b)	The amount of interest paid by the buyer in terms of section 16 of the MSMED Act 2006 along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year	-	-	-
(c)	The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act 2006.	-	-	-
(d)	The amount of interest accrued and remaining unpaid at the end of each accounting year.	-	-	-
(e)	The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under section 23 of the MSMED Act 2006	-	-	-

34 SEGMENT REPORTING

The business activity of the company falls within one broad business segment viz. “Steel” and substantially sale of the product is within the country. The Gross income and profit from the other segment is below the norms prescribed in Ind AS 108. Hence the disclosure requirement of Indian Accounting Standard 108 of “Segment Reporting” issued by the Institute of Chartered Accountants of India is not considered applicable.

35 RELATED PARTY DISCLOSURES

Names of related parties and description of relationship

(A) Relationship

i) Subsidiary Companies:

Bhushan Steel (Orrisa) Ltd.

Bhushan Steel Madhya Bharat Ltd.

Bhushan Steel (South) Ltd.

Bhushan Steel (Australia) PTY Ltd.

- Bowen Energy PTY Ltd., Australia
- Kondor Holdings PTY Ltd, (deregistered on 24.09.2015)
- Bowen Coal PTY Ltd.
- Golden Country Resources (Australia) PTY Ltd. (deregistered on 24.09.2015)
- Bowen Consolidated PTY Ltd.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

ii) Joint Venture

Andal East Coal Company Pvt Ltd.

iii) Associate Company:

Angul Sukinda Railway Ltd. (Shares forfeited, no more associate)

Bhushan Energy Ltd.

Bhushan Capital & Credit Services Pvt. Ltd.

Jawahar Credit & Holdings Pvt. Ltd.

iv) Key Managerial Personnel

Shri Neeraj Singal	Vice Chairman and Managing Director	Shri M V Suryanrayana	Independent Director
Shri Nittin Johari	Whole time Director	Smt. Monica Aggarwal	Independent Director
Shri P.K. Aggarwal	Whole time Director	Shri Pankaj Sharma	Independent Director
Shri Rahul Sengupta	Whole time Director	Dr.Rajesh Yaduvanshi (PNB)	Independent Director
Shri Ajoy Kumar (SBI)	Independent Director	Shri Pradeep Patni	Independent Director
Shri Ashwani Kumar	Independent Director	Smt. Promila Bhardwaj	Independent Director
Shri B.B.Tandon	Independent Director	Shri Rakesh Singhal	Independent Director
Shri Kapil Vaish	Independent Director	Shri Sahil Goyal	Independent Director
Shri Vipin Anand (L.I.C.)	Independent Director	Smt Sunita Sharma (L.I.C.)	Independent Director

v) Relatives of Key Management Personnel

Shri B.B. Singal	Non Executive Chairman & Father of Vice Chairman & Managing Director
Smt. Ritu Singal	Wife of Vice Chairman & Managing Director

vi) Enterprises over which Key Management Personnel are able to exercise significant influence

Bhushan Aviation Ltd.

Bhushan Infrastructre Pvt. Ltd.

vii) Enterprises over which relatives of Key Management Personnel are able to exercise significant influence

Bhushan Power & Steel Limited

(B) Transactions carried out with related parties referred in 'A' abovein ordinary course of business.

PARTICULARS		Subsidiary Companies	Joint Venture	Associates	Key Management Personnel (KMP)	Relatives of KMP	Enterprises over which KMP & their relatives have significant influence	Grand Total
Remuneration and Perks	**31-Mar-17**	-	-	-	486.25	101.46	-	587.71
	31-Mar-16	-	-	-	476.47	95.31	-	571.78
Directors Sitting Fees	**31-Mar-17**	-	-	-	14.93	6.25	-	21.18
	31-Mar-16	-	-	-	12.60	8.82	-	21.42
Investments in Share Capital/Share Application Money	**31-Mar-17**	-	-	-	-	-	-	-
	31-Mar-16	-	3.25	-	-	-	-	3.25
Redemption of Preference Share Capital	**31-Mar-17**	-	-	-	-	-	2,133.00	2,133.00
	31-Mar-16	-	-	-	11022.03	6,654.00	2,088.00	19,764.03
Purchase of Goods/ Services	**31-Mar-17**	-	-	60,435.38	-	-	1,470.00	61,905.38
	31-Mar-16	-	-	62,172.38	-	-	1,853.00	64,025.38
Sales of Goods/ Services	**31-Mar-17**	-	-	-	-	-	1.12	1.12
	31-Mar-16	-	-	7,031.28	-	-	3,918.62	10,949.90
Provision for diminution of Investment / advance	**31-Mar-17**	-	669.25	-	-	-	-	669.25
	31-Mar-16	-	-	-	-	-	-	-

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

PARTICULARS		Subsidiary Companies	Joint Venture	Associates	Key Management Personnel (KMP)	Relatives of KMP	Enterprises over which KMP & their relatives have significant influence	Grand Total
Investment written off	**31-Mar-17**	-	-	-	-	-	-	-
	31-Mar-16	-	-	1,000.00	-	-	-	1,000.00
Payment made on behalf of co.	**31-Mar-17**	-	-	-	-	-	-	-
	31-Mar-16	1,321.97	-	-	-	-	-	1,321.97
OUTSTANDINGS								
Trade Receivable	**31-Mar-17**	-	-	-	-	-	-	-
	31-Mar-16	-	-	-	-	-	35.08	35.08
	1-Apr-15	-	-	-	-	-	-	-
Other Receivable	**31-Mar-17**	-	-	-	-	-	-	-
	31-Mar-16	-	-	-	-	-	24.55	24.55
	1-Apr-15	-	-	-	-	-	-	-
Advance to Supplier	**31-Mar-17**			24,171.70				24,171.70
	31-Mar-16	-	-	-	-	-	-	-
	1-Apr-15	-	-	-	-	-	-	-
Payable	**31-Mar-17**	1,289.33			22.04		616.46	1,927.83
	31-Mar-16	1,321.97	-	511.69	22.23	1.98	99.07	1,956.94
	1-Apr-15	-	-	425.25	17.03	-	174.55	616.83
Security Deposit Paid	**31-Mar-17**	-	-	9,000.00	-	-	-	9,000.00
	31-Mar-16	-	-	9,000.00	-	-	-	9,000.00
	1-Apr-15	-	-	9,000.00	-	-	-	9,000.00
Provision for diminution of Investment	**31-Mar-17**	-	669.25	-	-	-	-	669.25
	31-Mar-16	-	-	-	-	-	-	-
	1-Apr-15	-	-	1,000.00	-	-	-	1,000.00
Share Application Money Pending Allotment	**31-Mar-17**	-	-	-	-	-	-	-
	31-Mar-16	-	523.75	-	-	-	-	523.75
	1-Apr-15	-	520.50	-	-	-	-	520.50

Disclosure in Respect of Material Related Party Transactions during the year :

1. Remuneration & Perks include payment to Shri Neeraj Singal ₹ 145.83 Lakhs (31st March 2016: ₹ 146.07 Lakhs), Shri P.K.Aggarwal ₹99.62 Lakhs (31st March,2016: ₹95.92 Lakhs), Shri Nittin Johari ₹141.40 Lakhs (31st March 2016: ₹138.78 Lakhs), Shri Rahul Sengupta ₹99.40 Lakhs (31st March 2016: ₹ 95.70 Lakhs), and Smt. Ritu Singal ₹101.46 Lakhs (31st March 2016: ₹ 95.31 Lakhs).

2. Directors sitting fees is paid to Shri B.B.Singal ₹ 6.25 Lakhs (31st March 2016: ₹ 8.82 Lakhs), Shri Ajoy Kumar (SBI) ₹ 1.01 Lakhs (31st March 2016: ₹ 1.00 Lakhs), Shri Ashwani Kumar ₹ 2.22 Lakhs (31st March 2016: ₹ 1.80 Laks), Shri B. B. Tondon ₹ 2.82 Lakhs (31st March 2016: ₹ 2.00 Laks), Shri Kapil Vaish ₹ 0.81 Lakhs (31st March 2016: ₹ 1.0 Lakhs), Shri Vipin Anand(LIC) ₹ 0.61 Lakhs (31st March 2016: ₹ 0.60 Lakhs), Shri M V Suryanarayana ₹2.62 Lakhs (31st March 2016: ₹ 2.40 Lakhs), Smt. Monica Aggarwal ₹ 0.40 Lakhs (31st March 2016: ₹ Nil), Shri Pankaj Sharma ₹ 0.81 Lakhs (31st March 2016: ₹ 1.0 Lakh),i Dr. Rajesh Yaduvanshi (PNB) ₹ 0.61Lakhs (31st March 2016: ₹ 0.80 Lakhs), Shri Pradeep Patni ₹ 0.40 Lakhs (31st March 2016: ₹ 0.20 Lakhs), Smt. Promila Bhardwaj ₹ 0.20 Lakhs (31st March 2016: ₹ Nil), Shri Rakesh Singhal ₹ 1.21 Lakhs (31st March 2016: ₹ 1.0 Lakh) and Shri Sahil Goyal ₹ 1.21 Lakhs (31st March 2016: ₹ 0.80 Lakh).

3. Investment in Share Application Money include Andal East Coal Company Pvt. Ltd. ₹ Nil (31st March 2016: ₹ 3.25 Lakhs).

4. Redemption of Preference Share Capital includes Bhushan Infrastructure Private Limited ₹ 2133.00 Lakhs (31st March 2016: ₹ 2088.00 Lakhs), Shri Neeraj Singal ₹ Nil (31st March 2016: ₹ 11022.03 Lakhs) and Shri Brij Bhushan Singal ₹ Nil (31st March 2016 ₹ 6654.00 Lakhs)

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

5. Purchase of Goods/Services is from Bhushan Energy Ltd. ₹ 60435.38 Lakhs (31st March 2016: ₹ 62172.38 Lakhs), Bhushan Aviation Ltd. ₹ 1470.00 Lakhs (31st March 2016: ₹ 1512.00 Lakhs) and Bhushan Power & Steel Limited ₹ Nil (31st March 2016: ₹ 341.00 Lakhs).

6. Sale of Goods/Services to Bhushan Energy Ltd. ₹ Nil (31st March 2016: ₹7031.28 Lakhs) and Bhushan Power & Steel Limited ₹ 1.12 Lakhs (31st March 2016: ₹ 3918.62 Lakhs).

7. Provision for dimunition of investment / advance made in case of Andal East Coal company Private Limited of ₹ 669.25 Lakhs (31st March 2016: : Nil)

8 . Investment written off in case of Angul Sukinda Railway Ltd. Amounting of ₹ Nil (31st March 2016: ₹ 1000.00 Lakhs).

9. Payment made by Bhushan Steel Australia Pty Ltd. amounting of ₹ Nil (31st March 2016: ₹ 1321.97 Lakhs) on behalf of co.

Terms and conditions of transactions with related parties

The sales to and purchases from related parties are made on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31st March 2017, the Company has not recorded any impairment of receivables relating to amounts owed by related parties (31st March 2016: Nil, 1st April 2015: Nil). This assessment is undertaken in each financial year through examining the financial position of the related party and the market in which the related party operates.

Details relating to remuneration of Key Management Personnel

	Short-term employment benefits	Sitting fee	Long term employment benefits	Termination benefits
Year ended 31st March 2017	486.25	14.93	-	-
Year ended 31st March 2016	476.47	12.60	-	-

36 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

JUDGEMENTS

In the process of applying the company's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements.

Contingencies

Contingent liabilities may arise from the ordinary course of business in relation to claims against the Company, including legal, contractor, land access and other claims. By their nature, contingencies will be resolved only when one or more uncertain future events occur or fail to occur. The assessment of the existence, and potential quantum, of contingencies inherently involves the exercise of significant judgement and the use of estimates regarding the outcome of future events.

ESTIMATES AND ASSUMPTIONS

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the company. Such changes are reflected in the assumptions when they occur.

Impairment of non-financial asset

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow (DCF) model.

Taxes

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Defined benefit plans and other long term benefit plan (gratuity benefits and leave encashment)

The cost and present value of the defined benefit gratuity plan and leave encashment (other long term benfit plan) are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation and other long term benefits are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The parameter most subject to change is the discount rate. In determining the appropriate discount rate for plans operated in India, the management considers the interest rates of government bonds in currencies consistent with the currencies of the post-employment benefit obligation.

The mortality rate is based on publicly available mortality tables for the specific countries. Those mortality tables tend to change only at interval in response to demographic changes. Future salary increases and gratuity increases are based on expected future inflation rates for the respective countries.

Further details about gratuity obligations and leave encashment are given in Note 32.

Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the DCF model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. See Note 38 and 39 for further disclosures.

37 DISCLOSURE OF INTEREST IN SUBSIDIARIES, JOINT ARRANGEMENTS AND ASSOCIATES:

1) Disclosure of Interest in the following subsidiaries:

	Name	Country of Incorporation	Ownership Interest of Bhushan Steel Limited (%)			Method used to account for investments
			31st March 2017	31st March 2016	1st April 2015	
(i)	Bhushan Steel (Orissa) Limited	India	100.00%	100.00%	100.00%	Cost
(ii)	Bhushan Steel Madhya Bharat Limited	India	100.00%	100.00%	100.00%	Cost
(iii)	Bhushan Steel (South) Limited	India	100.00%	100.00%	100.00%	Cost
(iv)	Bhushan Steel Australia Pty Limited	Australia	90.97%	90.97%	90.97%	Cost

2) Disclosure of Interest in Joint Venture:

	Name	Country of Incorporation	Ownership Interest of Bhushan Steel Limited (%)			Method used to account for investments
			31st March 2017	31st March 2016	1st April 2015	
(i)	Andal East Coal Company Private Limited	India	33.89%	33.89%	33.89%	Equity

3) Disclosure of Interest in Associates:

	Name	Country of Incorporation	Ownership Interest of Bhushan Steel Limited (%)			Method used to account for investments
			31st March 2017	31st March 2016	1st April 2015	
(i)	Bhushan Energy Limited	India	47.71%	47.71%	47.71%	Equity
(ii)	Bhushan Capital & Credit Services Private Limited	India	42.58%	42.58%	42.58%	Equity
(iii)	Jawahar Credit & Holdings Private Limited	India	39.65%	39.65%	39.65%	Equity

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

38 FAIR VALUE

Set out below, is a comparison by class of the carrying amounts and fair value of the Company's financial instruments, other than those with carrying amounts that are reasonable approximations of fair values:

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs
Financial assets						
Measured at amortized cost						
Loans	20105.32	20105.32	18106.64	18106.64	20248.87	20248.87
Other financial Assets	57,488.55	57,488.55	61,666.47	61,666.47	68,572.80	68,572.80
Trade receivables	152,555.10	152,555.10	118,197.33	118,197.33	112,530.11	112,530.11
Cash and cash equivalents	12,480.58	12,480.58	3,189.00	3,189.00	7,687.20	7,687.20
Bank balances other than cash and Cash equivalents	2,992.61	2,992.61	13,143.53	13,143.53	997.01	997.01
Non Current Investments	36,895.62	36895.62	37,041.02	37,041.02	37,041.12	37,041.12
Total Financial assets at amortised cost (A)	**282,517.78**	**282,517.78**	**251,343.99**	**251,343.99**	**247,077.11**	**247,077.11**
Financial Assets						
Measured at fair value through other Comprehensive Income						
Non Current Investments	95.79	95.79	73.86	73.86	73.42	73.42
Total financial assets at fair value through other comprehensive Income (B)	**95.79**	**95.79**	**73.86**	**73.86**	**73.42**	**73.42**
Total financial assets (A+B)	**282,613.57**	**282,613.57**	**251,417.85**	**251,417.85**	**247,150.53**	**247,150.53**
Financial liabilities						
Long term borrowings	3,057,955.30	3,057,955.30	3,229,884.23	3,229,884.23	3,092,772.22	3,092,772.22
Short term borrowings	1,568,267.78	1,568,267.78	1,493,552.30	1,493,552.30	1,403,076.53	1,403,076.53
Trade payables	110,996.20	110,996.20	1,17,628.34	117,628.34	273914.63	273,914.63
Other financial liabilities	1,047,415.64	1,047,415.64	4,67,233.43	467,233.43	209,187.47	209,187.47
Total	**5,784,634.92**	**5,784,634.92**	**5,308,298.30**	**5,308,298.30**	**4,978,950.85**	**4,978,950.85**

The management assessed that cash and cash equivalents, other bank balances, trade receivables and trade payables approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

The following methods and assumptions were used to estimate the fair values:

- Long-term fixed-rate and variable-rate receivables/Borrowings are evaluated by the company based on parameters such as interest Rates, specific country risk factors, individual credit worthiness of the customer and the risk characteristics of the financed project. Based on this evaluation, allowances are taken into account for the expected credit losses of these receivables.
- The fair values of the Company's interest-bearing borrowings and loans are determined by using DCF method using discount rate that reflects the issuer's borrowing rate as at the end of the reporting period.

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Financial Risk Management Framework

The Company's principal financial liabilities, other than derivatives, comprise loans and borrowings, trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations. The Company's principal financial assets include loans, trade and other receivables, and cash and cash equivalents that derive directly from its operations. The Company also holds FVTOCI investments and enters into derivative transactions.

The Comapny is exposed primarily to Credit Risk, Liquidity Risk and Market risk (fluctuations in foreign currency exchange rates and interest rate), which may adversely impact the fair value of its financial instruments. The Company assesses the unpredictability of the financial environment and seeks to mitigate potential adverse effects on the financial performance of the Company.

A. Credit Risk

Credit risk is the risk or potential of loss that may occur due to failure of borrower/counterparty to meet the obligation on agreed terms and conditions of the financial contract. Credit risk arises from financial assets such as cash and cash equivalents, loans, trade receivables, derivative financial instruments and financial guarantees. The company have a credit risk management policy in place to limit credit losses due to non-performance of financial counterparties and customers. We monitor our exposure to credit risk on an ongoing basis at various levels. We only deal with financial counterparties that have a sufficiently high credit rating.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Trade receivables:

The Company routinely assesses the financial strength of its customers and, as a consequence, believes that its trade receivable credit risk exposure is limited. The management of the company regularly evaluate the individual customer receivables. This evaluation takes into consideration a customer's financial condition and credit history, as well as current economic conditions. Trade receivables are written off when deemed uncollectible. Recoveries of trade receivables previously written off are recorded when received. Further the company also mitigate the risk of trade receivables by taking letter of credit and bank guarantees from the banks. The company regularly track the outstanding trade receivables and proper action is taken by the company for collection of overdue trade receivables.

Cash and cash equivalents, derivatives and financial guarantees

All of our cash equivalents and short-term available-for-sale investments are carried at fair value. Cash and cash equivalents are deposited with financial institutions that management believes are of high credit quality and accordingly, minimal credit risk exists. The company mitigates the credit risk of its derivative and financial instruments by dealing with nationalized banks and reputed private banks with high credit rating.

B. Liquidity Risk

Liquidity risk refers to the probability of loss arising from a situation where there will not be enough cash and/or cash equivalents to meet the needs of depositors and borrowers, sale of illiquid assets will yield less than their fair value and illiquid assets will not be sold at the desired time due to lack of buyers. The primary objective of liquidity management is to provide for sufficient cash and cash equivalents at all times and any place in the world to enable us to meet our payment obligations. Currently the company is facing liquidity crises due to huge interest cost.

The below table is based on the earliest date on which the company required to pay.

Year ended 31st March 2017:

Particulars	< 1 year	1-3 years	> 3 years	Total
Financial Liabilities				
Long term borrowings	398,513.26	353,360.00	2,708,172.64	3,460,045.90
Short term borrowings	1,568,267.78	-	-	1,568,267.78
Trade payables	110,996.20	-	-	110,996.20
Other financial liabilities	1,044,132.49	-	3,283.15	1,047,415.64
Total financial liabilities	**3,121,909.73**	**353,360.00**	**2,711,455.79**	**6,186,725.52**

Year ended 31st March 2016:

Particulars	< 1 year	1-3 years	> 3 years	Total
Financial Liabilities				
Long term borrowings	213,164.92	299,806.00	2,932,796.13	3,445,767.05
Short term borrowings	1,493,552.30	-	-	1,493,552.30
Trade payables	117,628.34	-	-	117,628.34
Other financial liabilities	464,895.40	-	2,338.03	467,233.43
Total financial liabilities	**2,289,240.96**	**299,806.00**	**2,935,134.16**	**5,524,181.12**

As on 1st April 2015:

Particulars	< 1 year	1-3 years	> 3 years	Total
Financial Liabilities				
Long term borrowings	53,789.00	140,667.00	2,953,255.01	3,147,711.01
Short term borrowings	1,403,076.53	-	-	1,403,076.53
Trade payables	273,914.63	-	-	273,914.63
Other financial liabilities	207,187.66	-	1,999.81	209,187.47
Total financial liabilities	**1,937,967.82**	**140,667.00**	**2,955,254.82**	**5,033,889.64**

C. Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and other price risk, such as equity price risk and commodity risk. Financial instruments affected by market risk include loans and borrowings, deposits, FVTOCI investments and derivative financial instruments.

The sensitivity analyses in the following sections relate to the position as at 31st March 2017 and 31st March 2016.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

The sensitivity analyses have been prepared on the basis that the amount of net debt, the ratio of fixed to floating interest rates of the debt and derivatives and the proportion of financial instruments in foreign currencies are all constant and on the basis of hedge designations in place at 31st March 2017.

The analyses exclude the impact of movements in market variables on: the carrying values of gratuity and other post-retirement obligations; provisions; and the non-financial assets.

The following assumptions have been made in calculating the sensitivity analyses:

- The sensitivity of the relevant profit or loss item is the effect of the assumed changes in respective market risks. This is based on the financial assets and financial liabilities held at 31st March 2017 and 31st March 2016: including the effect of hedge accounting

Interest rate risk

The company is financed by both the fixed and floating interest rate debt in order to obtain more efficient leverage. Fixed rate debt results in fair value interest rate risk. Floating rate debt results in cash flow interest rate risk. The company has open to interest rate risk with changes in LIBOR and lending base rate of the banks. The company has taken both interest rate risk debts for managing its liquidity and day to day requirement of the funds.

The below table depicts the breakup of company's floating rate and fixed rate borrowings:

Particulars	31st March 2017	31st March 2016	1st April 2015
Fixed rate borrowing	400,605.52	409,748.37	490,416.84
Floating rate borrowing	4,627,708.16	4,529,570.98	4,060,370.70
Total borrowings	**5,028,313.68**	**4,939,319.35**	**4,550,787.54**
Total Net borrowings	5,024,736.34	4,936,601.45	4,550,787.54
Add- Upfront fee	3,577.34	2,717.90	-
Total Borrowings	**5,028,313.68**	**4,939,319.35**	**4,550,787.54**

The sensitivity analysis is determined on the basis of interest rates on floating liabilities. The outstanding liabilities at the year end are considered as a base for the whole year.

If all the other variable factors remain constant, the changes in 100 basis points in the interest rate (up and down), the results are in the below table.

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Floating rate borrowings	46,277.08	45,295.71	(46,277.08)	(45,295.71)

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities (when revenue or expense is denominated in a foreign currency). The exposure of entity to foreign currency risk is very limited on account of limited transactions in foreign currency.

Foreign currency sensitivity

The following tables demonstrate the sensitivity to a reasonably possible change in USD, EURO, GBP and JPY exchange rates, with all other variables held constant. The impact on the Company's profit before tax is due to changes in the fair value of monetary assets and liabilities including non-designated foreign currency derivatives and embedded derivatives. The impact on the Company's pre-tax equity is due to changes in the fair value of forward exchange contracts designated as cash flow hedges and net investment hedges. The Company's exposure to foreign currency changes for all other currencies is not material.

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in USD Rate (5%)	(39,146.06)	(37,892.52)	39,146.06	37,892.52

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in EUR Rate (5%)	(12,059.94)	(13,154.00)	12,059.94	13,154.00

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in GBP Rate (5%)	(15.99)	5.33	15.99	(5.33)

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in JPY Rate (5%)	(19.51)	(292.76)	19.51	292.76

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Commodity price risk

Commodity price risk is the threat that a change in the price of a production input will adversely impact a producer who uses that input. Factors that can affect commodity prices include political and regulatory changes, seasonal variations, weather, technology and market conditions.

Our company is basically engaged in primary and secondary steel market and the company's turnover depends on the market risk of price volatility of the steel products. The prices of the steel are determined by the market factors. The revenue/price of the steel products of the company are basically impacted by the cost of raw material inputs, production cost, demand & supply of the steel products and international and regional markets conditions. Any positive and negative changes in any of the above factors can increase and reduce the revenue of the company generating from the steel products

Further all the raw material inputs like coking coal, iron ore etc. are subject to fluctuations in prices because majority of the raw materials are procured from the third party in the open markets.

The company sell its steel products at the current market prices and the prices can be up and down depends on the market scenario and demand and supply of the steel products. The prices of the raw material also depend on the market forces. Mostly the sale prices of the steel and cost of raw material moves in the same direction.

The below table represents the sensitivity to 5% movement in the prices of iron ore and coking coal. The sensitivity analysis includes 5% change in input prices for raw material consumed during the years when all other variable factors remain constant. In the below table negative number shows decrease in cost and positive number shows increase in cost.

Raw material	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Coking coal and coke	15,714.00	10,927.00	(15,714.00)	(10,927.00)
Iron ore (including pallets)	8,011.00	7,458.00	(8,011.00)	(7,458.00)

40 CAPITAL MANAGEMENT

For the purpose of the Company's capital management, capital includes issued equity capital, share premium and all other equity reserves attributable to the equity holders of the parent. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

In order to achieve this overall objective, the Company's capital management, amongst other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements.

No changes were made in the objectives, policies or processes for managing capital during the years ended 31st March 2017 and 31st March 2016.

41

In compliance of amended clause 32 of the Listing Agreement with the Stock Exchanges, the required information is given as under:

Particulars	Amount as on		
	31st March 2017	31st March 2016	1st April 2015
I. Loans and Advances in the nature of loans:			
A) To Subsidiary Companies	-	-	-
B) To Associates /Joint Venture	-	-	-
C) To Firms/Companies in which directors are interested	-	-	-
D) Where there is no repayment schedule or repayment beyond seven year or no interest or interest below section 186 of Companies Act.	-	-	-
II. Investment by the loanee (as detailed above) in the shares of HFL and its subsidiaries	-	-	-

42 COMMITMENTS AND CONTINGENCIES

A. Leases

Operating lease- As a lessor

The Company has entered into lease agreements, for renting:

- Roof area at Khopoli plant for Cellphone rooftop tower. Rent received wrt same amounts to ₹ 4.14 Lakhs for the year ended 31st March 2017 (31st March 2016: ₹ 3.81 Lakhs)
- Others (including factory premises let for ATM, convinience store) amounts to ₹ 10.61 Lakhs for the year ended 31st March 2017 (31st March 2016: ₹ 7.90 Lakhs)

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

(i) Lease rentals charged to expense:

Particulars	For the year ended March 31, 2017	For the year ended March 31, 2016
Corporate office and warehouses etc.	26,415.97	22,931.01

(ii) Lease Rentals charged to the Statement of profit and loss and maximum obligations on long term non-cancellable operating leases payable as per the rentals stated in the respective lease agreements.

	31st March 2017	31st March 2016	1st April 2015
Within one year	10,911.00	9,888.00	8,459.00
After one year but not more than five years	55,275.00	50,245.00	45,723.00
More than five years	59,416.00	75,239.00	89,624.00

B. Contingent Liabilities

	31st March 2017	31st March 2016	1st April 2015
Sales Tax	120,953.36	95,501.41	36,455.50
Excise Duty/Custom duty/ Service Tax	57,105.35	56,662.49	34,455.01
Entry tax	79,755.57	70,452.33	29,924.16
Income Tax	51,188.67	16,927.90	17,274.63
Bills discounted	-	-	10,806.35
Others	11,688.34	10,276.46	4,577.53
Claims / Disputed bills not acknowledged	22,562.00	27,577.83	-
Water conservation fund	14,333.80	11,500.00	-
	357,587.09	**288,898.42**	**133,493.18**

The management believes that the ultimate outcome of this proceeding will not have a material adverse effect on the Company's financial position and results of operations.

C. Commitments

		31st March 2017	31st March 2016	1st April 2015
i)	Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	60,357.25	51,329.28	83,322.86
ii)	Other commitments :			
-	Outstanding guarantees issued by the banks, counter guarantee by the company	7,398.42	10,832.28	10,685.35
-	For partly paid equity shares of Angul Sukinda Railway Limited	-	-	7,400.00
		67,755.67	**62,161.56**	**101,408.21**

43 Exposure to Financial and Commodity Derivatives

1. The Company has entered into derivative instruments to hedge their foreign currency contracts.

2. Foreign currency exposure that are not hedged by a derivative instrument as at Balance Sheet date are as follows:

Particulars	Currency	31st March 2017			31st March 2016			1st April 2015		
		Amount in Foreign Currency	Amount	Conversion Rate	Amount in Foreign Currency	Amount	Conversion Rate	Amount in Foreign Currency	Amount	Conversion Rate
Unhedged Payables										
Acceptances	USD	364.83	23,654.85	64.84	87.40	5,797.60	66.33	98.85	6,187.17	62.59
Trade payables/ Creditors for capital goods/ Customer credit balances/ Due to Subsidiary	USD	511.30	33,152.05	64.84	796.70	52,847.75	66.33	3,418.65	213,975.85	62.59
Loans/ Interest payables	USD	15,443.13	1,001,310.64	64.84	14,995.77	994,717.26	66.33	15,057.00	942,429.65	62.59
Unhedged Receivables										
Sale of goods	USD	490.60	31,809.99	64.84	208.97	13,861.69	66.33	220.59	13,807.11	62.59
Advances against goods/ Capital goods	USD	67.80	4,396.32	64.84	179.56	11,910.77	66.33	203.17	12,716.33	62.59

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

44 FIRST TIME ADOPTION OF IND AS

With effect from April 1, 2016, the Company is required to prepare its financial statements under the Indian Accounting Standards ('Ind AS') prescribed under section 133 of the Companies Act, 2013 read together with rule 3 of the Companies (Indian Accounting Standards) Rules, 2015.

These financial statements, for the year ended 31st March 2017, are the first the Company has prepared in accordance with Ind AS. For periods up to and including the year ended 31st March 2016:, the Company prepared its financial statements in accordance with accounting standards notified under section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP).

Accordingly, the Company has prepared financial statements which comply with Ind AS applicable for periods ending on 31st March 2017, together with the comparative period data as at and for the year ended 31st March 2016:, as described in the summary of significant accounting policies. In preparing these financial statements, the Company's opening balance sheet was prepared as at 1st April 2015, the Company's date of transition to Ind AS. This note explains exemptions availed by the Company in restating its Indian GAAP financial statements, including the balance sheet as at 1st April 2016 and the financial statements as at and for the year ended 31st March 2017.

Exemptions applied:

Ind AS 101 allows first-time adopters certain mandatory and voluntary exemptions from the retrospective application of certain requirements under Ind AS. The Company has applied the following exemptions:

1. Mandatory exemptions;

a) Estimates

The estimates at 1st April 2016 and at 31st March 2017 are consistent with those made for the same dates in accordance with Indian GAAP (after adjustments to reflect any differences in accounting policies) apart from the following items where application of Indian GAAP did not require estimation:

- FVTOCI – Quoted and unquoted equity shares.
- Impairment of financial assets based on expected credit loss model.

The estimates used by the Company to present these amounts in accordance with Ind AS reflect conditions at 1st April 2016, the date of transition to Ind AS and as of 31st March 2017.

b) Derecognition of financial assets:

The company has applied the de-recognition requirements in Ind AS 109 prospectively for transactions occurring on or after the date of transition to Ind AS.

c) Classification and measurement of financial assets:

i. Financial Instruments: (Loan to employees, Security deposits received and security deposits paid) : Financial assets like loan to employees, security deposits received and security deposits paid, has been classified and measured at amortised cost on the basis of the facts and circumstances that exist at the date of transition to Ind ASs. Since, it is impracticable for the Company to apply retrospectively the effective interest method in Ind AS 109, the fair value of the financial asset or the financial liability at the date of transition to Ind As by applying amortised cost method, has been considered as the new gross carrying amount of that financial asset or the financial liability at the date of transition to Ind AS.

ii. Financial Instruments: (Equity shares (other than investment in subsidiary, associates and JVs): The Company has designated unquoted and quoted equity instruments held at 1st April 2015 as fair value through OCI investments

d) Impairment of financial assets: (Trade receivables and other financial assets)

At the date of transition to Ind ASs, the Company has determined that assessing whether there has been a significant increase in credit risk since the initial recognition of a financial instrument would require undue cost or effort, hence the Company has recognised a loss allowance at an amount equal to lifetime expected credit losses at each reporting date until that financial instrument is derecognised (unless that financial instrument is low credit risk at a reporting date).

2. Optional exemptions;

a) Deemed cost-Previous GAAP carrying amount: (PPE and Intangible Assets)

The Company has elected to measure items of property, plant and equipment and intangible assets on its fair value as carrying value at the transition date except for certain class of assets which are measured at carrying value as deemed cost.

b) Arrangements containing a lease:-

Appendix C to Ind AS 17 requires an entity to assess whether a contract or arrangement contains a lease. In accordance with Ind AS 17, this assessment should be carried out at the inception of the contract or arrangement. However, the Company has used Ind AS 101 exemption and assessed all arrangements based for embedded leases based on conditions in place as at the date of transition.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

c) Investment in subsidiaries and Joint Associates:

The Company has elected this exemption and opted to continue with the carrying value of investment in subsidiaries and associates, as recognised in its Indian GAAP financials, as deemed cost at the date of transition.

d) Designate of previously recognised financial instrument:

The Company has elected this exemption and opted to:

- Designate an investment in equity shares as FVOCI, as per Ind AS 109, based on facts and circumstances exist on transition date.

45 RECONCILIATION WITH PREVIOUS GAAP

A Reconciliation of equity as previously reported under Previous GAAP (IGAAP) to Ind AS as at 1st April, 2015 and 31st March 2016:

S. No.	Particulars	Year Ended 1st April 2015	Year Ended 31st March 2016
	Total equity (shareholder's fund) as per previous GAAP	788,056.78	472,482.46
	Adjustments:		
1	Effects of change in net operating assets & liabilities due to Ind AS 101 (net of tax)	45,117.36	45,117.36
2	Additional depreciation on account of fair valuation	-	(62,992.65)
3	Reclassification of preference share capital (net of tax)	(271,266.71)	(240,828.88)
4	Sales tax deferral	5,345.99	9,656.70
5	Others	(10,198.53)	(12,213.44)
6	Deferred tax on adjustment entries due to Ind As 101	1,652.64	14,586.19
	Equity as per Ind AS	**558,707.53**	**225,807.74**

B Reconciliation of profit as previously reported under Previous GAAP (IGAAP) to Ind AS for the year ended 31st March 2016:

S. No.	Nature of Adjustments	Year ended 31st March 2016
	Net Profit/Reserves as per Previous Indian GAAP	(283,936.71)
1	Financial Liabilities at Amortised cost using Effective Interest Rate (Net)	2,550.29
2	Financial assets at Amortised cost using Effective Interest Rate (Net)	(235.41)
3	Accrual of Benefits of Capital Subsidy	538.43
4	Actuarial gains and losses	(133.14)
5	Effect of Amortisation of lease hold land reversed	14.63
6	Effect of Additional Depreciation due to fair valuation	(62,992.65)
7	Others	(1,772.27)
8	Tax effect of the above	12,979.03
	Total	**(49,051.09)**
	Net Profit before OCI/Reserves as per Ind AS	**(332,987.80)**
9	**Actuarial gains and losses**	133.14
10	MTM on Investments	0.34
11	Tax effect	45.47
	Net Profit after OCI/Reserves as per Ind AS	**(332,899.79)**

Footnotes to the reconcilliation of equity and profit and loss:

1. Effect of change in operating assets and liabilities due to Ind AS 101

In accordance with Ind AS 101 "First Time Adoption of Indian Accounting Standards", the Company has elected to treat fair value as deemed cost for items of its property, plant and equipment and investments held in a subsidiary as at April 01, 2015 except certain items which are valued as carryiing value as deemed cost. The Company has made a provision as per the expected credit model (ECL) for debtors and investment in a subsidiary and certain other items.

2. Reclassification of financial liabilities (preference share capital)

Under the previous GAAP, the preference share capital was classified as equity. However, as per Indian AS 32, on the basis of the terms and conditions of the preference shares, they qualify as debt. The impact of the same has been considered in equity as per Ind AS equity reconciliation.

3. Sales tax deferral

The Company has fair valued the grant received from government under the Sales tax deferral scheme and the same has been measured as the difference between proceeds received and the fair value of the loan based on the prevailing market interest rates.

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

4. Others

Other adjustments primarily comprise of:

a. Amortisation of security deposits

b. De-capitalisation of indirect expenses from capital work in progress.

5. Deferred tax

The impact of transition adjustments together with Ind-AS mandate of using balance sheet approach (against profit and loss approach in the previous GAAP) for computation of deferred taxes has resulted in charge to the Reserves, on the date of transition, with consequential impact to the Profit and Loss Account for the subsequent periods.

Deferred tax liability has not been provided on fair valuation of land as it is impracticable to determine the amount of income tax that would be payable when the temporary difference would be reversed.

6. Excise duty:

Under previous GAAP, revenue from sale of goods was presented net of excise duty whereas under IND AS the revenue from sale of goods is presented inclusive of excise duty. The excise duty is presented on the face of the Statement of Profit and Loss as part of expenses.

7. Defined benefit liabilities

Under IND AS, Remeasurements i.e. actuarial gains and losses and the return on plan assets, excluding amounts included in the net interest expense on the net defined liability, are recognized in other comprehensive income instead of statement of profit & loss in previous GAAP.

46 CIF VALUE OF IMPORTS

Particulars	March 31, 2017	March 31, 2016
Raw Material	370,627.73	411,265.06
Stores and Spares	23,255.82	10,485.16
Capital Goods	28,251.44	16,036.61
	422,134.99	**437,786.83**

47 IMPORTED AND INDIGENOUS RAW MATERIALS, PACKING MATERIALS AND STORES AND SPARES CONSUMED

Particulars	31st March 2017		31st March 2016	
	% of Total consumption	₹ Lakhs	% of Total consumption	₹ Lakhs
Raw Material				
Imported	55.86%	395,809.08	55.33%	348,937.04
Indigenous	44.14%	312,769.69	44.67%	281,723.33
	100.00%	708,578.77	100.00%	630,660.37
Stores & Spares				
Imported	30.87%	21,086.61	25.79%	10,399.26
Indigenous	69.13%	47,225.09	74.21%	29,926.15
	100.00%	**68,311.70**	**100.00%**	**40,325.41**

48 EXPENDITURE IN FOREIGN CURRENCY ON ACCOUNT OF

Particulars	March 31, 2017	March 31, 2016
- Travelling	228.16	282.70
- Sales Commission	4,672.78	264.85
- Machinery Repair & Maintenance	159.15	32.00
- Technical Consultancy	2,396.18	924.42
- Interest and finance charges	35,417.92	33,676.98
- Capital Machinery / Indirect Expenses	-	1,164.12
- Legal Expenses	17.60	20.47
- Rates & Taxes	1.93	-
- Subscription	23.45	3.48
-Sea freight Import Material	341.57	-
- Commitment Fee (Including withholding tax)	61.27	-
	43,320.01	36,369.02

NOTES TO THE STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

49 EARNINGS IN FOREIGN EXCHANGE

Particulars	March 31, 2017	March 31, 2016
Export of goods calculated on FOB basis	286,318.86	119,832.93
	286,318.86	**119,832.93**

50 The Company, as per road map of the Ministry of Corporate Affairs, adopted Indian Accounting Standards (Ind AS) w.e.f. 1st April, 2016. In compliance of Ind AS, the preference share capital has been classified from share holders capital to borrowings. As a result of the same and due to high finance cost, the net worth as on 31.03.2017 has become negative as per these financial statements.

The company was under the process of discussing various resolution options including S4A / deep restructuring schemes of RBI with Joint Lenders Forum (JLF) of lender banks / institutions since June, 2016. In JLF meeting held in April 2017, lenders agreed to discuss restructuring option under S4A scheme of RBI. However, now as per circular dated 13.06.2017 issued by RBI, 12 companies including Bhushan Steel Ltd were identified by RBI for reference to National Company Law Tribunal (NCLT) for working out the resolutions plan for the company. The company has earned EBITDA about ₹3,000 crores in Financial Year FY 16-17 and a long term resolution plan needs to be made.

Based on the above, management is quite confident to reach at some workable resolution to resolve financial position with the lenders within the prescribed time limit and to continue its business as a going concern. Accordingly, these financial statements have been prepared on that basis.

51 As per Companies (Share Capital and Debentures) Rules 2014, where in terms of Clause 18(7)(c) of the rules, it is required by the company to create a fund before 30th April of each financial year, which shall not be less than 15% of the debentures maturing during the respective financial year ending on 31st March, by way of one or more methods i.e. through deposits with scheduled banks / investments in specified securities or bonds as indicated in the Clause 18(7) (c). However, the company could not create required fund due to losses incurred and financial constraints to the company.

52 The Supreme Court of India, vide its order dated 24/09/2014, cancelled number of coal blocks allocated to various entities which includes one coal block allocated to the company, which was under development. Subsequently, the Government of India has issued the Coal Mines (Special Provision) Act 2015, which inter-alia deal with the payment of compensation to the effected parties in regard to investment in coal blocks.

No effect has been taken on the value of investment made by the company in the de-allocated coal blocks amounting to ₹562.90 crores (including Expenditure incurred of ₹ 135.46 crores and Advances given ₹ 427.44 crores) . In the opinion of the management, the company will receive back the payments/ expenditure paid/ made, including borrowing cost and other incidental expenditure, relating to de-allocated coal blocks. The Company has filed its claim for compensation with Govt. of India, Ministry of Coal. Subsiquently, the Company has filed a petition for recovery of the amount before the Hon'ble Delhi High Court in which notice has been issued to Union of India and others.

53 The Nine Judges Bench of Hon'ble Supreme Court, vide its judgment dated 11.11.2016, has upheld the constitutional validity of levy of Entry Tax by the States and has laid down principles/tests on levy of Entry Tax in various States. The respective regular benches of the Court would hear the matters as per laid down principles. Pending decision by the regular benches of the Court on levy of entry tax in the States, the disputed entry tax demand has been treated as contingent liabilities.

54 Due to the loss incurred, the Company applied to the Central Government for the approval of managerial remuneration. The approval from Central Government has been received but clarification regarding Leave Encashment, PF and taxable Car perquisite has been sought by the Company. Hence, the payment of Leave Encashment, PF and taxable Car perquisite are subject to approval of Central Government.

55 Figures for the previous years have been reclassified to conform to current year's classifications.

See accompanying notes to the Standalone Financial Statements
As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR
(FINANCE) &
CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

INDEPENDENT AUDITORS' REPORT

To

The Members of Bhushan Steel Limited.

Report on the Consolidated Ind AS Financial Statements

We have audited the accompanying Consolidated Ind AS financial statements of Bhushan Steel Ltd. (hereinafter referred to as "the Holding Company") and its subsidiaries, its associates and jointly controlled entities (collectively referred to as "the Group"), comprising of the consolidated balance sheet as at 31st March, 2017, the consolidated statement of profit and loss including other comprehensive income, the consolidated statement of cash flows and the consolidated statement of changes in equity for the year then ended and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated Ind AS financial statements").

Management's Responsibility for the Consolidated Ind AS Financial Statements

The Holding Company's Board of Directors is responsible for the preparation of these consolidated Ind AS financial statements in terms of the requirements of the Companies Act, 2013 (hereinafter referred to as "the Act") that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and consolidated changes in equity of the Group in accordance with the accounting principles generally accepted in India, including the Accounting Standards (Ind AS) prescribed under Section 133 of the Act read with relevant rules issued there-under. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; the selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated Ind AS financial statements by the Directors of the Holding Company, as aforesaid.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated Ind AS financial statements based on our audit. While conducting the audit, we have taken into account the provisions of the Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of the Act and the Rules made there under.

We conducted our audit in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated Ind AS financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and the disclosures in the consolidated Ind AS financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated Ind AS financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal financial control relevant to the Holding Company's preparation of the consolidated Ind AS financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of the accounting policies used and the reasonableness of the accounting estimates made by the Holding Company's Board of Directors, as well as evaluating the overall presentation of the consolidated Ind AS financial statements.

We believe that the audit evidence obtained by us and the audit evidence obtained by the other auditor in terms of their report referred to in Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the consolidated Ind AS financial statements.

Basis of Qualified Opinion

The Supreme Court of India, vide its order dated 24.09.2014, cancelled number of coal blocks allocated to various entities, which includes one coal block allocated to the holding company, which was under development. Subsequently, the Government of India has issued the Coal Mines (Special Provision) Act, 2015, which inter-alia deal with the payment of compensation to the effected parties in regard to investment in the coal blocks.

No effect has been taken on the value of investment made by the holding company in the de-allocated coal blocks amounting to ₹ 56289.96 lacs (including expenditure incurred of ₹ 13546.46 lacs and advance given of ₹ 42743.50 lacs). In the opinion of the management, the holding company will receive back the payments / expenditure paid / made, including borrowing cost and other incidental expenditure, relating to de-allocated coal block. The holding company has filed its claim for compensation with the Government of India, Ministry of Coal. Subsequently, the holding company has filed a petition before the Hon'ble Delhi High Court for early recovery of amount, in which notice has been issued to the Union of India and the matter is still pending for disposal.

We are unable to comment on the impact on the value of investment made by the holding company in the de-allocated coal blocks and their consequent impact on the losses for the financial year ended March 31, 2017.

Qualified Opinion

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of other auditors on separate financial statements of the subsidiaries referred to in Other Matters paragraph, except for the matters described in the Basis of Qualified Opinion paragraph above, the aforesaid consolidated Ind AS financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India including the Ind AS, of the consolidated financial position of the Group, as at 31 March 2017 and its consolidated financial performance including other comprehensive income, its consolidated cash flows and the consolidated changes in equity for the year ended on that date.

Emphasis of matter

1. Attention is invited to Note - 50 to the Ind AS financial statements, which indicates that the Group's net worth is negative by ₹ 1,48,406 lacs and the group has incurred net losses in the current and immediately preceding financial year. The current liabilities of the group exceeded its current assets as at the balance sheet date by ₹ 21,73,088 lacs. These conditions may cast doubt about the group's ability to continue as a going concern. However, the financial statements of the group are prepared on a going concern basis for the reasons stated in the said Note.

2. Indian Accounting Standard (Ind AS) - 101 requires to provide details of material adjustments relating to Balance Sheet and Statement of Profit and Loss in compliance to all applicable Ind AS in the Equity Reconciliation Statement as on 01.04.2015 and 31.03.2016 with respect of reported and restated figures; the Group has disclosed net effect of these adjustments due to transition to Ind AS in the Equity Reconciliation Statement. (Refer Note - 45 to the Ind AS financial statements)

Our opinion is not modified in respect of these matters.

Other Matters

a) We did not audit the financial statements of two foreign subsidiaries, whose financial statements / consolidated financial statements reflect total assets (net) of ₹ 1,316.25 lacs as at 31st March, 2017, total revenues of ₹ 50.95 lacs and net cash flows amounting to ₹ (19.50) lacs for the year ended on that date, as considered in the consolidated Ind AS financial statements. These financial statements have been audited by other auditors as per the requirement of the local laws of that country and whose reports have been furnished to us by the Management and our opinion on the consolidated Ind AS financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, in so far as it relates to the aforesaid subsidiaries, is based solely on the report of the other auditors.

b) We have relied on the unaudited financial statements of the associates, whose share of Loss for the year ended 31st March, 2017, amounting to ₹ 11,919.57 lacs has been considered in the consolidated financial statement. The financial statement of the associates are unaudited and have been furnished to us by the Management and our opinion on the amounts and disclosure included in respect of associates, and our report in term of sub-section (3) of Section 143 of the Act in so far as it relates to the aforesaid associates is based solely on such unaudited financial statements certified by the Management.

Our opinion on the consolidated Ind AS financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the report of the other auditors and the financial statements certified by the Management.

Report on Other Legal and Regulatory Requirements

As required by section 143 (3) of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements of two subsidiaries, as noted in the 'Other Matter' paragraph above, we report to the extent applicable, that:

(a) We have sought, except for the possible effect of the matter described in the Basis of Qualified Opinion paragraph above, and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the aforesaid consolidated Ind AS financial statements;

(b) In our opinion, except for the possible effect of the matter described in the Basis of Qualified Opinion paragraph above, proper books of account as required by law relating to preparation of the aforesaid consolidated Ind AS financial statements have been kept so far as it appears from our examination of those books and the report of the other auditors;

(c) The consolidated balance sheet, the consolidated statement of profit and loss (including other comprehensive income) and the consolidated statement of cash flows and consolidated statement of changes in equity dealt with by this Report are in agreement with the relevant books of account maintained for the purpose of preparation of the consolidated Ind AS financial statements;

(d) In our opinion, except for the possible effect of the matter described in the Basis of Qualified Opinion paragraph above, the aforesaid consolidated Ind AS financial statements comply with the Accounting Standards specified under section 133 of the Act, read with relevant rules issued there-under;

(e) The matters described in the 'Basis of Qualified Opinion' and 'Emphasis of Matter' paragraphs above, in our opinion may have an adverse effect on the functioning of the Group;

(f) On the basis of written representations received from the directors of the Holding Company as on March 31, 2017, taken on record by the Board of Directors of the Holding Company and the report of the statutory auditors of its subsidiary companies, associates and jointly controlled entities incorporated in India, none of the directors of the Group Companies is disqualified as on March 31, 2017, from being appointed as a director in terms of sub-section (2) of Section 164 of the Act; whereas in fact, the holding company has defaulted in redeeming certain debentures on due date and in payment of interest thereon. However, according to information and explanations given to us, LIC has shown its willingness to restructure it as per S4A scheme of RBI vide its letter dated 12.04.2017. Meanwhile as per directions of RBI dated 13.06.2017, the lenders are considering to refer the matter of restructuring of borrowings to National Company Law Tribunal (NCLT) for final resolution.

(g) With respect to the adequacy of the internal financial controls over financial reporting of the Group and the operating effectiveness of such controls, refer to our separate Report in "Annexure A"; and

(a) with respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of the other auditors on separate financial statements of two subsidiaries, as noted in the 'Other Matter' paragraph:

i. The consolidated Ind AS financial statements disclose the impact of pending litigations on the consolidated financial position of the Group – Refer Note 42 to the consolidated Ind AS financial statements;

ii. Provisions has been made in the consolidated Ind AS financial statements, as required under the applicable law or accounting standards, for material foreseeable losses, if any on long-term contracts including derivative contracts in respect of such items as it related to the Group - Refer Note 43 to the consolidated Ind AS financial statements;

iii. There has been no delay in transferring the amounts, which were required to be transferred to the Investor Education and Protection Fund by the Holding Company and its subsidiary companies, associates and jointly controlled entities incorporated in India.

iv. The Group has provided requisite disclosures in its standalone Ind AS financial statements as to holdings as well as dealings in Specified Bank Notes as defined in the Notification S.O. 3407(E) dt. 8th November, 2016 of the Ministry of Finance, during the period from 8th November, 2016 to 30th December, 2016. Based on audit procedure performed and the representations provided to us by the management, we report that the disclosure are in accordance with the books of account maintained by the Group as produced to us by the holding company and the respective group entities, based on the consideration of report of other auditors, referred to in the other matters paragraph above. - Refer Note 11 to the consolidated Ind AS financial statements.

For **MEHRA GOEL & CO.**
Chartered Accountants
(FRN: 000517N)
sd/-
R.K. Mehra
Partner
M. No: 006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(FRN: 000226C)
sd/-
M.P. Mehrotra
Partner
M. No : 005699

Place: New Delhi
Dated: 5th July, 2017

Annexure - A to the Auditors' Report

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated Ind AS financial statements of the Company as of and for the year ended 31st March, 2017, we have audited the internal financial controls over financial reporting of Bhushan Steel Ltd. (hereinafter referred to as "the Holding Company") and its subsidiary companies, its associates and jointly controlled entities incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Holding company, its subsidiary companies, its associates and jointly controlled entities are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the respective companies considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the ICAI and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and explanation given to us, the Holding Company and its subsidiary company, its associates and jointly controlled entities have, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31 March 2017, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **MEHRA GOEL & CO.**
Chartered Accountants
(FRN: 000517N)
sd/-
R.K. Mehra
Partner
M. No: 006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(FRN: 000226C)
sd/-
M.P. Mehrotra
Partner
M. No : 005699

Place: New Delhi
Dated: 5th July, 2017

CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH, 2017

(All amounts in lakhs rupees except as otherwise stated)

	NOTE	As at 31st March,2017	As at 31st March,2016	As at 1st April 2015
(I) ASSETS				
(1) Non-current assets				
Property, plant and equipment	3	5,176,409.37	5,143,572.51	5,213,163.84
Capital work-in-progress	4	117,060.76	272,868.30	241,305.65
Other Intangible assets	5	13.74	7.66	39.03
Investment	56	12,081.86	24,141.29	33,274.66
Financial assets				
(i) Investments	6A	95.79	73.97	73.63
(ii) Loans	6B	9,808.64	8,719.53	10,716.33
(iii) Others	6C	56,468.63	58,730.10	2,459.23
Non Current Tax Assets	16	2,555.17	2,328.43	1,784.61
Other non-current assets	7	67,503.57	68,558.73	101,905.00
(2) Current assets				
Inventories	8	314,891.77	209,923.78	191,864.30
Financial assets				
(i) Investments	6A	-	2.58	2.06
(ii) Trade receivables	9	152,555.10	118,197.33	112,530.11
(iii) Cash and cash equivalents	10	12,577.69	3,233.01	7,822.54
(iv) Other bank balances	11	3,002.70	13,153.87	1,006.45
(v) Loans	6B	10,296.68	9,387.12	9,532.55
(vi) Others	6C	1,019.92	2,936.37	66,113.57
Other current assets	7	85,296.11	53,874.11	69,101.53
Total Assets		**6,021,637.50**	**5,989,708.69**	**6,062,695.09**
(II) EQUITY AND LIABILITIES				
(1) Equity				
Equity share capital	12	4,530.30	4,530.30	4,530.30
Other Equity	13	(152,823.80)	208,476.79	550,558.68
Non-Controlling Interest		(112.42)	759.43	764.15
(2) Liabilities				
(a) Non-current liabilities				
Financial liabilities				
(i) Borrowings	14A	3,057,955.30	3,229,884.23	3,092,772.22
(ii) Other financial liabilities	15	3,802.89	2,820.09	2,450.09
Provisions	18	4,011.13	3,105.64	2,471.00
Deferred tax liabilities (Net)	31	351,545.94	413,986.55	500,368.04
(b) Current liabilities				
Financial liabilities				
(i) Borrowings	14A	1,568,367.78	1,493,652.30	1,403,176.53
(ii) Trade Payables	14B	110,999.17	117,645.49	273,938.82
(iii) Other financial liabilities	15	1,042,847.61	463,574.57	207,193.40
Other current liabilities	17	30,017.97	50,858.70	24,094.76
Provisions	18	495.63	414.60	377.10
Total Equity and Liabilities		**6,021,637.50**	**5,989,708.69**	**6,062,695.09**

See accompanying notes to the Consolidated Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

CONSOLIDATED STATEMENT OF PROFIT AND LOSS

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in lakhs rupees except as otherwise stated)

	NOTE	Year Ended 31.03.2017	Year Ended 31.03.2016
(I) REVENUE			
Revenue from operations	**19**	1,502,730.17	1,312,406.77
Other income	**20**	7,196.46	7,556.09
Total Revenue (I)		**1,509,926.63**	**1,319,962.86**
(II) EXPENSES			
Cost of material consumed	**21**	706,163.28	628,376.48
Purchases of stock in trade	**22**	18.01	259.11
Changes in inventories of finished goods, stock-in-trade and work in progress	**23**	(51,148.96)	(6,679.35)
Excise duty on sale of goods		132,135.99	132,143.41
Employee benefit expenses	**24**	49,061.83	43,556.59
Finance costs	**25**	542,676.60	460,128.70
Depreciation and amortisation expenses	**26**	168,561.21	172,952.46
Other expenses	**27**	374,377.60	308,693.67
Total Expenses (II)		**1,921,845.56**	**1,739,431.07**
(III) Profit/ (Loss) before exceptional items and tax from continuing operations (I-II)		**(411,918.93)**	**(419,468.21)**
(IV) Exceptional Items (Expense)	**29**	669.25	-
(V) Profit/(Loss) before tax from continuing operations (III-IV)		**(412,588.18)**	**(419,468.21)**
(VI) Tax expense:			
Current Tax		-	-
Deferred Tax (Assets) / Liability		(62,396.54)	(86,426.96)
(VII) Profit / (Loss) for the year from continuing operations (V-VI)		**(350,191.64)**	**(333,041.25)**
Add: Share of Profit/(Loss) of Associates		(12,165.13)	(11,018.28)
Less: Non Controlling Interest		(871.85)	(4.72)
(VIII) Profit/ (Loss) for the year		**(361,484.92)**	**(344,054.81)**
(IX) Other Comprehensive Income	**28**		
Items that will not be reclassified to profit or loss			
Re-measurement gains / (losses) on defined benefit plans		(127.33)	133.14
Deferred Tax (Assets) / Liability		(44.07)	45.47
Net (loss)/gain on FVTOCI equity securities		22.03	0.34
Share of OCI of Associates		245.56	1,884.91
(X) Total Comprehensive Income for the Year (VIII + IX) (Comprising Profit / (Loss) and Other Comprehensive Income for the Year)		**(361,300.59)**	**(342,081.89)**
Earnings per equity share			
Basic & Diluted (₹)	**30**	(159.59)	(151.89)

See accompanying notes to the Consolidated Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

STATEMENT OF CONSOLIDATED CASH FLOWS

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in lakhs rupees except as otherwise stated)

		Year Ended 31.03.2017	Year Ended 31.03.2016
A	**CASH FLOW FROM OPERATING ACTIVITIES**		
1	Profit/(Loss) Before Tax	(412,588.18)	(419468.21)
2	Adjustments for :		
	CAPITAL RESERVE RECLASSIFICATION	(1,880.93)	(538.43)
	DEPRECIATION & AMORTISATION EXPENSES	168,561.21	172952.46
	PROVISIONS (retirement benefit)	986.52	670.63
	SHARE OF PROFIT OF ASSOCIATES	12,165.13	5336.11
	FINANCE COST	542,676.60	460128.70
	INTEREST/ DIVIDEND INCOME ON INVESTMENT	(2.16)	(0.04)
	INTEREST INCOME (OTHER)	(4,666.03)	(6081.52)
	DIMUNIATION IN THE VALUE OF INVESTMENT	669.25	(0.86)
	LOSS / (PROFIT)ON SALE OF FIXED ASSETS	(106.38)	(842.01)
	OPENING DIFFERENCE BETWEEN AUDITED AND UNAUDITED RESULTS OF ASSOCIATE		(20.50)
	PROVISION/WRITTEN OFF FOR DOUBTFUL DEBTS/ADVANCES	4075.27	1148.62
	DE-CONSOLIDATION OF SUBSIDIARIES	(28.91)	-
	RE-MEASUREMENT OF DEFINED BENEFIT PLANS	(127.33)	133.14
	Loss / (Gain) on Exchange Rate Change	4,044.58	(1039.41)
3	**Operating Profit before Working Capital Changes (1+2)**	**313,778.64**	**212378.68**
4	**Change in Working Capital:**		
	(EXCLUDING CASH & BANK BALANCES)		
	INCREASE(-)/DECREASE IN INVENTORIES	(104,967.99)	(18,059.48)
	INCREASE(-)/DECREASE IN OTHER RECEIVABLES	(37,673.04)	(6,815.84)
	INCREASE(-)/DECREASE IN LOANS & ADVANCES	(41,088.32)	14,021.45
	INCREASE/DECREASE(-) IN TRADE PAYABLES	(42,397.35)	(108,594.20)
	Change in Working Capital	(226,126.70)	(119,448.07)
5	**Cash Generated From Operations (3+4)**	87,651.94	92,930.61
6	Less : Taxes paid	(226.74)	(543.82)
7	**Net Cash Flow from Operating Activities (5-6)**	**87,425.20**	**92,386.79**
B	**CASH FLOW FROM INVESTING ACTIVITIES:**		
	PURCHASE OF FIXED ASSETS	(25,229.83)	(71,354.70)
	SALE OF FIXED ASSETS	148.09	62,306.47
	LONG TERM FIXED DEPOSITS	2,261.47	19.09
	OTHER BANK BALANCES	10,151.17	(12,147.42)
	SHARE OF PROFIT OF ASSOCIATES	(12,165.13)	(5,336.11)
	INTEREST INCOME	4,666.03	6,081.80
	DIVIDEND INCOME	2.16	0.04
	Net Cash Generated/(Used) in Investing Activities:	**(20,166.04)**	**(20,430.83)**
C	**NET CASH FLOW FROM FINANCING ACTIVITIES:**		

STATEMENT OF CONSOLIDATED CASH FLOWS

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in lakhs rupees except as otherwise stated)

		Year Ended 31.03.2017	Year Ended 31.03.2016
	FINANCE COST	(148,787.70)	(404,246.40)
	PROCEEDS FROM CASH CREDIT FROM BANKS (NET)	93,229.60	158,914.31
	PROCEEDS FROM OTHER BORROWINGS (NET)	(1,935.27)	200,426.04
	PROCEEDS FROM PREFERENCE SHARES	600.00	6,500.00
	REDEMPTION OF PREFERENCE SHARE INCLUDING PREMIUM	(2,900.00)	(38,676.04)
	DIVIDEND PAID	(2.04)	-
	UNCLAIMED DIVIDEND	-	(1.83)
	DIVIDEND TAX PAID	1,880.93	-
	Capital Subsidy		538.43
		(57,914.48)	(76,545.49)
D	**NET CHANGE IN CASH & CASH EQUIVALENTS (A+B+C)**	9,344.68	(4,589.53)
E1	Cash & cash equivalents as at end of the Year	12,577.69	3,233.01
E2	Cash & cash equivalents as at the beginning of the Year	3,233.01	7,822.54
	NET CHANGE IN CASH & CASH EQUIVALENTS (E1-E2)	9,344.68	(4,589.53)

See accompanying notes to the Standalone Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

STATEMENT OF CHANGE IN EQUITY

FOR THE YEAR ENDED 31ST MARCH, 2017

(All amounts in lakhs rupees except as otherwise stated)

(A) EQUITY SHARE CAPITAL

Particulars	No of shares	Amount
Equity shares of ₹ 2 each issued, subscribed and fully paid	No of shares	Amount
At 1st April 2015	226,514,746	4,530.29
Issue of share capital	-	-
At 1st April 2016	226,514,746	4,530.29
Issue of share capital (Note 12)	-	-
At 31st March 2017	226,514,746	4,530.29

(B) OTHER EQUITY

Particulars	Reserves and surplus							Items of Other Comprehensive reserves				Total
	Capital redemption reserve	Securities Premium	Debenture redemption reserve	Capital reserves	General reserve	Foreign currency translation reserves	Retained Earning	Defined Benefit Plans	FVTOCI	Attributable to Equity holders of parent	Non-Controlling Interest	
	Note 13	Note 13	Note 13	Note 13	Note 13	Note 13	Note 13	Note 13	Note 13		Note 55	
As at April 01, 2015	**693.34**	**72,576.10**	**44,762.50**	**1,942.03**	**519,587.59**	**(72.93)**	**(84,901.62)**	**(58.72)**	**(3,969.61)**	**550,558.68**	**764.15**	**551,322.83**
Profit / Loss for the period	-	-	-	-	-	-	(344,054.81)	87.67	1,885.25	(342,081.89)	(4.72)	(342,086.61)
Other Comprehensive Income (Note 28)	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Income	-	-	-	-	-	-	(344,054.81)	87.67	1,885.25	(342,081.89)	(4.72)	(342,086.61)
Transfer to general reserve	-	-	(8,250.00)	-	8,250.00	-	-	-	-	-	-	-
At March 31, 2016	**693.34**	**72,576.10**	**36,512.50**	**1,942.03**	**527,837.59**	**(72.93)**	**(428,956.43)**	**28.95**	**(2,084.36)**	**208,476.79**	**759.43**	**209,236.22**
Profit / Loss for the period	-	-	-	-	-	-	(361,484.92)	(83.26)	267.59	(361,300.59)	(871.85)	(362,172.44)
Other Comprehensive Income (Note 28)	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Income	**-**	**-**	**-**	**-**	**-**	**-**	**(361,484.92)**	**(83.26)**	**267.59**	**(361,300.59)**	**(871.85)**	**(362,172.44)**
Transfer to general reserve	-	-	-	-	-	-	-	-	-	-	-	-
At March 31, 2017	**693.34**	**72,576.10**	**36,512.50**	**1,942.03**	**527,837.59**	**(72.93)**	**(790,441.35)**	**(54.31)**	**(1,816.77)**	**(152,823.80)**	**(112.42)**	**(152,936.22)**

See accompanying notes to the Standalone Financial Statements
As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

ACCOUNTING POLICIES UNDER IND AS

CONSOLIDATED FINANCIAL STATEMENTS OF BHUSHAN STEEL LIMITED FOR THE YEAR ENDED 31st MARCH-2017

1. Corporate information

Bhushan Steel Limited ('BSL', 'the Company' or 'the Parent Company') is one of the prominent players in the Indian steel industry. Backed with more than 28 years of experience, now India's 3rd largest Secondary steel producing Company with an existing steel production capacity of 5.6 million ton per annum. As one of the largest integrated steel players in India, BSL is a source for vivid variety of products such as Hot Rolled Coil, CRCA, CRFH, Galvanised Coil & sheet, Color coated Tiles, High Tensile Steel strips, Hardened & Tempered steel strips, precision tubes, HFW/ ERW pipe, 3LP Coated pipes, billets and sponge iron. Being amongst the prime movers of the technological revolution in Indian Cold Rolled Steel Industry, BSL has emerged as the country's largest and the only Cold Rolled Steel Plant with an independent line for manufacturing Cold Rolled Coil and sheet upto a width of 1700 mm. Along with this, the Company also has a Galvanised Coil and sheet line upto a width of 1350 mm.

The Company is a public company domiciled in India and is incorporated under the provisions of the Companies Act applicable in India.The registered office of the Company is located at Bhushan Centre, Ground Floor, Hyatt Regency Complex, Bhikaji Cama Place, New Delhi- 66.

The consolidated financial statements were authorised for issue in accordance with a resolution of the directors on 5th July 2017.

2. Significant accounting policies

2.1 Basis of preparation

The consolidated financial statements of the Group have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 and the Companies (Indian Accounting Standards) (Amendment) Rules, 2016.

For all periods up to and including the year ended 31st March 2016, the Group prepared its consolidated financial statements in accordance with accounting standards notified under section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP). These consolidated financial statements for the year ended 31st March 2017 are the first the Group has prepared in accordance with Ind AS. Refer to note 55 for information on how the Group adopted Ind AS.

The consolidated financial statements have been prepared on a historical cost basis, except certain assets and liabilities measured at fair value (refer accounting policies).

The consolidated financial statements are presented in INR which is assessed to be the functional currency of the Company in accordance with Ind AS. All values are rounded to the nearest Lacs (INR 00,000), except wherever otherwise indicated.

2.2 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 March 2017. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect its returns Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:
- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights
- The size of the group's holding of voting rights relative to the size and dispersion of the holdings of the other voting rights holders

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that group member's financial statements in preparing the consolidated financial statements to ensure conformity with the group's accounting policies.

The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the parent company, i.e., year ended on 31 March. When the end of the reporting period of the parent is different from that of a subsidiary, the subsidiary prepares, for consolidation purposes, additional financial information as of the same date as the financial statements of the parent to enable the parent to consolidate the financial information of the subsidiary, unless it is impracticable to do so.

Consolidation procedures:

(a) Combine like items of assets, liabilities, equity, income, expenses and cash flows of the parent with those of its subsidiaries. For this purpose, income and expenses of the subsidiary are based on the amounts of the assets and liabilities recognised in the consolidated financial statements at the acquisition date.

(b) Offset (eliminate) the carrying amount of the parent's investment in each subsidiary and the parent's portion of equity of each subsidiary.

(c) Eliminate in full intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the group (profits or losses resulting from intragroup transactions that are recognised in assets, such as inventory and fixed assets, are eliminated in full). Intragroup losses may indicate an impairment that requires recognition in the consolidated financial statements. Ind AS12 Income Taxes applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.

Profit & loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the

Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

2.3 Application of new and revised Indian Accounting Standards

Ministry of Company Affairs in India (MCA) notified Companies (Indian Accounting Standards) (Amendment) Rules, 2017 to amend Indian Accounting Standard 7- Statement of Cash flows (Ind AS 7) and Indian Accounting Standard 102- Share based payments (Ind AS 102), but the same have not become effective on the Company as on the date of authorisation of these financial statements. The amendments are applicable to the Company from April 1, 2015.

Amendment to Ind AS 7:

The amendment to Ind AS 7 requires the entities to provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes, suggesting inclusion of a reconciliation between the opening and closing balances in the balance sheet for liabilities arising from financing activities, to meet the disclosure requirement.

The Company is evaluating the requirements of the amendment and the effect on the financial statements is being evaluated.

Amendment to Ind AS 102:

The amendment to Ind AS 102 provides specific guidance to measurement of cash-settled awards, modification of cash-settled awards and awards that include a net settlement feature in respect of withholding taxes.

It clarifies that the fair value of cash-settled awards is determined on a basis consistent with that used for equity-settled awards. Market-based performance conditions and non-vesting conditions are reflected in the 'fair values', but non-market performance conditions and service vesting conditions are reflected in the estimate of the number of awards expected to vest. Also, the amendment clarifies that if the terms and conditions of a cash-settled share-based payment transaction are modified with the result that it becomes an equity-settled share-based payment transaction, the transaction is accounted for as such from the date of the modification. Further, the amendment requires the award that include a net settlement feature in respect of withholding taxes to be treated as equity-settled in its entirety. The cash payment to the tax authority is treated as if it was part of an equity settlement.

The Company has evaluated that the adoption of this amendment is not expected to have any impact on the financial statement.

2.3 Summary of significant accounting policies

a. Current versus non-current classification

The Group presents assets and liabilities in the balance sheet based on current/ non-current classification. An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realised within twelve months after the reporting period; or,
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or,
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities respectively.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Grouphas determined its operating cycle, as explained in Schedule III of the Companies Act, 2013, as twelve months, having regard to the nature of business being carried out by the Group. The same has been considered for classifying assets and liabilities as 'current' and 'non-current' while preparing the financial statements.

b. Property, plant and equipment

Under the previous GAAP (Indian GAAP), property, plant and equipment were carried in the balance sheet at cost net of accumulated depreciation and accumulated impairment losses, if any as at 31th March 2015.The Group has elected to regard deemed cost as fair value for property, plant and equipment at the date of transition to Ind AS except for certain items which have been continued to measure at the carrying value as on that date.

Property, plant and equipment and capital work in progress are stated at cost [i.e., cost of acquisition or construction inclusive of freight, erection and commissioning charges, non-refundable duties and taxes, expenditure during construction period, borrowing costs (in case of a qualifying asset) upto the date of acquisition/ installation], net of accumulated depreciation and accumulated impairment losses, if any.

When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in statement of profit & loss as incurred.

As per the bulletin 2 issued by ICAI, the capitalisation of expenditure incurred on construction of assets on land not owned by a Group would depend on the facts and circumstances of each case.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit and loss when the asset is derecognised.

Depreciation on all property, plant and equipment at Khopoli Plant and a Cold Rolling Plant acquired prior to 1st April 1996 and Galvanising Plant & Power Plant acquired before 1st April 2002 including addition or extension forming integral part of above plants at Sahibabad Plant has been provided on Written Down Value method and depreciation on all other property, plant and equipment at Sahibabad Plant and Orissa Plant has been provided on Straight Line Method.

The Economic Useful Life of all major plants at various units has been re-determined as per technical assessment and in respect of all other property, plant and equipment the life has been taken as per Schedule-II to the Companies Act, 2013.

The Economic Useful Life of Plants including auxiliary equipments has been determine below:-

Description (Plant & Machinery)	Expected Remaining useful life (in yrs) as on 1st April,2015 (on continuous running basis)
ORISSA PLANT	
20 & 12 MW Power Plant	34
220 KV Sub Station	30
Ash Handling System	36
Biological Treament Plant	38
Blast Furance Gas Holders	34
Blast Furnace - 2	38
Blast Furnace -1 (Including Pig Casting Machine)	34
Basix Oxygen Furnace (BOF)	38
Boilers - 275 TPH	38
Coal crushing & Screening System	38
Coal Washry	34
Coke Oven 2	38
Coke Oven Gasholders	34
Coke Oven with Battery-1	35
Cold Briquetting Plant	34
Compressed Air Station	30
Conarc	34
Cranes	19
CRM	36
De Bricking Machines	38
Desulpharisation Plant	36
DRI Klin 1-10	33
EOT crane for scrap yard & coil yard	38
Fire Fighting Equipment	30
Hot Strip Mill	34
Laboratory	13
Lime Plant	38
Lime Plant 100 TPD	34
Lime Plants (300T PDx2)	36
Misc Equipment.	15
Oxygen Plant	33
Pallet Conveyor and Slab Handling System	38
Pollution Control Equipment	38
Power Distribution	38
Power Distribution System ABST	30
Power Plant 220 KV Sub Station	33
Power Plant 33MW & 77MW	33
Raw Material Handling System	30
Raw Material Handling System -III	34
Raw Material Handling System -II	35
SINTER Plant II & III	38
Sinter Plant -I	34
Slab Caster	34
Slab yard Equipment	38
Slag Crashing Plant	34
Slag crushing plant (SCP)	38
Slag Pot Carrier	38
SMS -1 (with slab caster)	32
Stacker reclaimer, Wagon Trippler	38
Storage Tank (Oxygen, Nitrogen, Argon)	34
Torpedo Ladle Car	38
Turbo blower and trubine equipment	38
Utility	38
Water Pipe Line & Reservoir - 1	30
Water Supply	33
Factory Buildings (including Boundary walls,	
roads, drainage, diversions, Nallas)	30
Residential Buildings (including Housing colony)	60
Administrative Building	60
Railway Sidings	15
KHOPOLI PLANT	
Power Plant	19
Colour coating Plant	27
Galavanised Plant	26
Hardened & Tempered Cold Rolled Steel Strips	26
High Tensile Steel Strapings	24
Large Dia Pipe Plant	33
Cold Rolling Plant	26
Tube Mill Plant Khopoli & Depots	26
Tube Mill Plant Hosur	34
Utility	27
Factory Building (Khopoli)	25
Office Building/Residential Building (Khopoli)	50
SAHIBABAD PLANT	
Cold Rolling Mill (Including its Ancilliary Units)	25

Galvanising Plants (Including its Ancilliary Units)	25
Annealing Section	25
Acid Regeneration Plant	20
Colour Coating Line (Including its Ancilliary Units)	30
H & T line (Including its Ancilliary Units)	20
Power Plant (Including its Ancilliary Units)	20
Oxygen Plant (Including its Ancilliary Units)	20
Tube Mills (Including its Ancilliary Units)	20
SMS Billet Plant (Including its Ancilliary Units)	20
Factory Building including RCC Carpated roads	20
Formed Section Plants(Including its Ancilliary Units)	25
Utilities attached to Plant	25
Tube cutting Machines	25
PILKHUWA PLANT	
Factory Building	30
Plant & Machinery	25
Railway Siding	20

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

c. Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing costs.

Eligible transaction/ ancillary costs incurred in connection with the arrangement of borrowings are adjusted with the proceeds of the borrowings.

d. Impairment of non-financial assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. Recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

Impairment losses of continuing operations, including impairment on inventories, are recognised in the statement of profit and loss, except for properties previously revalued with the revaluation surplus taken to other comprehensive income (OCI). For such properties, the impairment is recognised in OCI up to the amount of any previous revaluation surplus.

For assets an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit & loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

e. Inventories

Items of inventories are measured at lower of cost and net realizable value after providing for obsolescence, wherever considered necessary. Cost of inventories comprises of cost of purchase, cost of conversion and other costs including manufacturing overheads incurred in bringing them to their respective present location and condition.

Net realizable value is the estimated selling price in the ordinary course of business based on market price at the reporting date and discounted for the time value of money if material, less estimated costs of completion and estimated costs necessary to make the sale.

Cost is determined on the following basis:

Raw material is recorded at cost on a first-in-first-out (FIFO) basis.

Finished goods and work-in-progress are valued at raw material cost + cost of conversion and attributable proportion of manufacturing overhead incurred in bringing inventories to its present location and condition.

By products and scrap are valued at net realizable value.

Spare parts including other items are recorded on weighted average basis.

Excise duty on closing stock of finished goods and scrap is accounted for on the basis of payments made in respect of goods cleared as also provision made for goods lying in the factory and included in the value of such stocks.

f. Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made.Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payments.Exports sales are net of ocean freight, insurance.

Based on the Educational Material on Ind AS 18 issued by the ICAI, sales tax/ value added tax (VAT) and service tax is not received by the Group on its own account. Rather, it is tax collected on value added to the property by the seller on behalf of the government. Accordingly, it is excluded from revenue.

Dividend income is recognized when the right to receive payment is established.

Interest income is recorded using the effective interest rate (EIR) for all debt instruments measured either at amortised cost. EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset or to the amortised cost of a financial liability.

g. Foreign currencies

The Group's financial statements are presented in INR, which is also its functional currency.

Transactions and balances

Transactions in foreign currencies are initially recorded by the Group at functional currency spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency closing rate of exchange at the reporting date.

For foreign currency loans taken before 31st March 2016 for, adjustments arising from exchange rate variations relating to long term monetary items attributable to the depreciable fixed assets are capitalised. For foreign currency loans taken after 31st March 2016, exchange differences arising on settlement or translation of monetary items are recognised in statement of profit & loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or statement of profit & loss are also recognised in OCI or statement of profit & loss, respectively).

h. Taxes

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted in India, at the reporting date.

Current income tax relating to items recognised outside statement of profit & loss is recognised outside statement of profit & loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Current tax assets is offset against current tax liabilities if, and only if, a legally enforceable right exists to set off the recognised amounts and there is an intention either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside statement of profit & loss is recognised outside statement of profit & loss (either in other comprehensive income or in equity). Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

MAT credit is recognised as an asset, whenever there is convincing evidence that the Group will pay normal income tax during the specified period. In the year in which the Minimum Alternative tax (MAT) credit becomes eligible to be recognized as an asset in accordance with the recommendations contained in Guidance Note issued by the Institute of Chartered Accountants of India, the said asset is created by way of a credit to the statement of profit and loss and shown as MAT Credit Entitlement. The Group reviews the same at each balance sheet date and writes down the carrying amount of MAT Credit Entitlement to the extent there is no longer convincing evidence to the effect that the Group will pay normal Income Tax during the specified period.

i. Employee benefits

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the service rendered by employees are recognised during the period when the employee renders the services.

Retirement benefit in the form of provident fund is a defined contribution scheme. The Group has no obligation, other than the contribution payable to the provident fund. The Group recognizes contribution payable to the provident fund scheme as an expense, when an employee renders the related service. If the contribution payable to the scheme for service received before the balance sheet date exceeds the contribution already paid, the deficit payable to the scheme is recognized as a liability after deducting the contribution already paid. If the contribution already paid exceeds the contribution due for services received before the balance sheet date, then excess is recognized as an asset to the extent that the pre-payment will lead to, for example, a reduction in future payment or a cash refund.

The Group operates a defined benefit gratuity plan in India, which requires contributions to be made to a separately administered fund. Gratuity and leave encashment is a defined benefit obligation.

Group's contribution to state defined contribution plans namely Employee State Insurance and Maharashtra Labour Welfare Fund are made in accordance with the Statute, and are recognised as an expense when employees have rendered services entitling them to the contribution.

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method.

Remeasurements comprising of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability and the return on plan assets, are recognised immediately in the balance sheet with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to statement of profit & loss in subsequent periods.

Past service costs are recognised in statement of profit & loss on the earlier of:

- The date of the plan amendment or curtailment, are
- The date that the Group recognises related restructuring costs

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Group recognises the following changes in the net defined benefit obligation as an expense in the statement of profit and loss:

- Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements; and
- Net interest expense or income

Accumulated leave, which is expected to be utilized within the next twelve months, is treated as short-term employee benefit. The Group measures the expected cost of such absences as the additional amount that it expects to pay as a result of the unused entitlement that has accumulated at the reporting date.

Actuarial gains/losses are immediately taken to the statement of profit and loss and are not deferred.

j. Leases

The determination of whether an arrangement is,or contains a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

For arrangements entered into prior to 1st April 2015, the Group has determined whether the arrangement contain lease on the basis of facts and circumstances existing on the date of transition.

Group as a lessee

A lease is classified at the inception date as a finance lease or an operating lease. A lease that transfers substantially all the risks and rewards incidental to ownership to the Group is classified as a finance lease.

Finance leases are capitalised at the commencement of the lease at the inception date fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognised in finance costs in the statement of profit and loss, unless they are directly attributable to qualifying assets, in which case they are capitalized in accordance with the Group's general policy on the borrowing costs. Contingent rentals are recognised as expenses in the periods in which they are incurred.

A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating lease payments are recognised as an expense in the statement of profit and loss on a straight-line basis over the lease term however, rent expenses shall not be straight-lined, if escalation in rentals is in line with expected inflationary cost.

Group as a lessor

Leases in which the Group does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Rental income from operating lease shall not be straight-lined, if escalation in rentals is in line with expected inflationary cost.. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

Contingent rents are recognised as revenue in the period in which they are earned.

k. Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the statement of profit and loss net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

l. Earnings per share

Basic earnings per equity share is computed by dividing net profit after tax by the weighted average number of equity shares outstanding during the year. Diluted earnings per equity share is computed by dividing adjusted net profit after tax by the aggregate of weighted average number of equity shares and dilutive potential equity shares during the year.

For the purpose of calculating diluted earnings per share, the net profit & loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.

m. Contingent liabilities

In the normal Course of business, contingent liabilities may arise from litigation and other claims against the Group. Where the potential liabilities have a low probability of crystallising or are very difficult to quantify reliably, these are treated as contingent liabilities. Such liabilities are disclosed in the notes but are not provided for in the financial statements, although there can be no assurance regarding the final outcome of

the legal proceedings, the Group does not expect them to have a materially adverse impact on the financial position or probablity.

n. Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand, cheques on hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above.

o. Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit and loss unless such expenditure forms part of carrying value of another asset.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit & loss when the asset is derecognised.

Costs relating to Computer Software are capitalized and amortized on straight line basis over their useful economic lives of one to three years.

p. Fair value measurement

The Groupmeasures financial instruments, such as, derivatives at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Groupuses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Groupdetermines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The management determines the policies and procedures for both recurring fair value measurement, such as derivative instruments and unquoted financial assets measured at fair value, and for non-recurring measurement, such as assets held for distribution in discontinued operations.

External valuers are involved for valuation of significant assets, such as properties. Involvement of external valuers is decided by the management after discussion with and approval by the Group's management. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained. The management decides, after discussions with the Group's external valuers, which valuation techniques and inputs to use for each case.

At each reporting date, the management analyses the movements in the values of assets and liabilities which are required to be remeasured or re-assessed as per the Group's accounting policies. For this analysis, the management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

The management, in conjunction with the Group's external valuers, also compares the change in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable.

For the purpose of fair value disclosures, the Grouphas determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

q. Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement

All financial assets are recognised initially at fair value plus, in the case of financial assets not recorded at fair value through statement of profit & loss, transaction costs that are attributable to the acquisition of the financial asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Debt instruments at amortised cost

- Debt instruments at fair value through other comprehensive income (FVTOCI)
- Debt instruments, derivatives and equity instruments at fair value through profit & loss (FVTPL)
- Equity instruments measured at fair value through other comprehensive income (FVTOCI)

Debt instruments at amortised cost

A 'debt instrument' is measured at the amortised cost if both the following conditions are met:

(a) The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and

(b) Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

This category is the most relevant to the Group. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the statement of profit & loss. The losses arising from impairment are recognised in the statement of profit & loss. This category generally applies to trade and other receivables.

Debt instrument at FVTOCI

A 'debt instrument' is classified as at the FVTOCI if both of the following criteria are met:

(a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets; and,

(b) The asset's contractual cash flows represent solely payments of principal and interest.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI). However, the Grouprecognizes interest income, impairment losses & reversals and foreign exchange gain or loss in the statement of profit & loss. On derecognition of the asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to statement of profit & loss. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.

Debt instrument at FVTPL

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

In addition, the Groupmay elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch'). The Grouphas not designated any debt instrument as at FVTPL.

Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit & loss.

Equity investments

All equity investments in scope of Ind AS 109 are measured at fair value. Equity instruments which are held for trading are classified as at FVTPL. For all other equity instruments, the Groupmay make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Groupmakes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

If the Groupdecides to classify an equity instrument as at FVTOCI, then all fair value changes on the instrument, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to statement of profit & loss, even on sale of investment. However, the Groupmay transfer the cumulative gain or loss within equity.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit & loss.

Investments in the equity instruments of subsidiaries, joint venture and associate companies are measured at cost in accordance with the principles of Ind AS 27- Separate Financial Statements.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the Group's balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Grouphas transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Grouphas transferred substantially all the risks and rewards of the asset, or (b) the Grouphas neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Grouphas transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Groupcontinues to recognise the transferred asset to the extent of the Group's continuing involvement. In that case, the Groupalso recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Grouphas retained.

Impairment of financial assets

In accordance with Ind AS 109, the Group applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

(a) Financial assets that are debt instruments, and are measured at amortised cost,e.g.,loans, debt securities, deposits, trade receivables and bank balance.

(b) Financial assets that are debt instruments and are measured as at FVTOCI.

(c) Trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 18.

The Group follows 'simplified approach' for recognition of impairment loss allowance on trade receivables or contract revenue receivables.

The application of simplified approach does not require the Group to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

For recognition of impairment loss on other financial assets and risk exposure, the Groupdetermines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month ECL is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If, in a subsequent period, credit quality of the instrument improves such that there is no longer a significant increase in credit risk since initial recognition, then the entity reverts to recognising impairment loss allowance based on 12-month ECL.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. The 12-month ECL is a portion of the lifetime ECL which results from default events that are possible within 12 months after the reporting date.

ECL is the difference between all contractual cash flows that are due to the Groupin accordance with the contract and all the cash flows that the entity expects to receive (i.e., all cash shortfalls), discounted at the original EIR. When estimating the cash flows, an entity is required to consider:

- All contractual terms of the financial instrument (including prepayment, extension, call and similar options) over the expected life of the financial instrument. However, in rare cases when the expected life of the financial instrument cannot be estimated reliably, then the entity is required to use the remaining contractual term of the financial instrument
- Cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECL impairment loss allowance (or reversal) recognized during the period is recognized as income/ expense in the statement of profit and loss. This amount is reflected under the head 'other expenses' in the statement of profit and loss. The balance sheet presentation for various financial instruments is described below:

- **Financial assets measured as at amortised cost and contractual revenue receivables:** ECL is presented as an allowance, i.e., as an integral part of the measurement of those assets in the balance sheet. The allowance reduces the net carrying amount. Until the asset meets write-off criteria, the Groupdoes not reduce impairment allowance from the gross carrying amount.

For assessing increase in credit risk and impairment loss, the Groupcombines financial instruments on the basis of shared credit risk characteristics with the objective of facilitating an analysis that is designed to enable significant increases in credit risk to be identified on a timely basis.

Financial liabilities

Initial recognition and measurement

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts, financial guarantee contracts and derivative financial instruments.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in statement of profit & loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the statement of profit and loss.

This category generally applies to borrowings.

Other financial liabilities such as trade payables, other liabilities, etc. are also subsequently measured at amortised cost.

Derivatives are initially recognised as fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit and Loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in Statement of Profit and Loss depends on the nature of the hedge item.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the statement of profit & loss.

Reclassification of financial assets

The Group determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Group's senior management determines change in the business model as a result of external or internal changes which are significant to the Group's operations. Such changes are evident to external parties. A change in the business model occurs when the Group either begins or ceases to perform an activity that is significant to its operations. If the Group reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Group does not reinstate any previously recognised gains, losses (including impairment gains or losses) or interest.

The following table shows various reclassification and how they are accounted for:

Original classification	Revised classification	Accounting treatment
Amortised cost	FVTPL	Fair value is measured at reclassification date. Difference between previous amortized cost and fair value is recognised in statement of profit & loss.
FVTPL	Amortised Cost	Fair value at reclassification date becomes its new gross carrying amount. EIR is calculated based on the new gross carrying amount.
Amortised cost	FVTOCI	Fair value is measured at reclassification date. Difference between previous amortised cost and fair value is recognised in OCI. No change in EIR due to reclassification.
FVTOCI	Amortised cost	Fair value at reclassification date becomes its new amortised cost carrying amount. However, cumulative gain or loss in OCI is adjusted against fair value. Consequently, the asset is measured as if it had always been measured at amortised cost.
FVTPL	FVTOCI	Fair value at reclassification date becomes its new carrying amount. No other adjustment is required.
FVTOCI	FVTPL	Assets continue to be measured at fair value. Cumulative gain or loss previously recognized in OCI is reclassified to statement of profit & loss at the reclassification date.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

q. Government grants

Government grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attached to them and the grants will be received.

Government grants are recognised in the statement of profit and loss on a systematic basis over the periods in which the Group recognises as expenses the related costs for which the grants are intended to compensate. The benefit of a government loan at below market rate of interest is treated as a government grant, measured as the difference between proceeds received and the fair value of the loan based on the prevailing market interest rates.

3 Property, plant and equipment

DESCRIPTION OF ASSETS	AT COST					DEPRECIATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2016	Additions during the Year	Sale/ Discarded during the year	Adjustment during the year	Gross Block as at 31st March 2017	Depreciation as at 1st April 2016	Depreciation during the Year	Adjust-ment during the year	Depreciation upto 31st March 2017	AS AT 31st March 2017	AS AT 31st March 2016
i) Owned assets											
Land	84,107.26	-	-	-	84,107.26	-	-	-	-	84,107.26	84,107.26
Buildings	1,025,345.54	5,368.97		1,076.98	1,031,791.49	37,170.62	36,339.53	-	73,510.15	958,281.34	988,174.92
Railway Siding	85,650.38	-	-	-	85,650.38	5,433.90	5,419.07	-	10,852.97	74,797.41	80,216.48
Plant and Equipments	3,907,229.74	191,577.87	29.69	2,598.91	4,101,376.83	128,066.95	125,629.48	-	253,696.43	3,847,680.40	3,779,162.79
Furniture & Fixtures	4,857.90	44.26	-	-	4,902.16	556.65	551.42	-	1,108.07	3,794.09	4,301.25
Office Equipment	801.97	50.35	0.02	-	852.30	234.78	164.31	-	399.09	453.21	567.19
Vehicles	1,948.10	344.66	15.86	-	2,276.90	479.39	442.89	3.86	918.42	1,358.48	1,468.71
Total - Owned assets (i)	**5,109,940.89**	**197,386.11**	**45.57**	**3,675.89**	**5,310,957.32**	**171,942.29**	**168,546.70**	**3.86**	**340,485.13**	**4,970,472.19**	**4,937,998.60**
ii) Leasehold assets											
Land	205,573.91	363.27	-	-	205,937.18	-	-	-	-	205,937.18	205,573.91
Total - Leasehold assets (ii)	**205,573.91**	**363.27**	**-**	**-**	**205,937.18**	**-**	**-**	**-**	**-**	**205,937.18**	**205,573.91**
Total (i+ii)	**5,315,514.80**	**197,749.38**	**45.57**	**3,675.89**	**5,516,894.50**	**171,942.29**	**168,546.70**	**3.86**	**340,485.13**	**5,176,409.37**	**5,143,572.51**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

DESCRIPTION OF ASSETS	AT COST					DEPRECIATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2015	Additions during the Year	Sale/ Discarded during the year	Adjustment during the year	Gross Block as at 31st March 2016	Depreciation as at 1st April 2015	Depreciation during the Year	Adjust-ment during the year	Depreciation upto 31st March 2016	AS AT 31st March 2016	AS AT 1st April 2015
i) Owned assets											
Land	84,107.26	-	-	-	84,107.26	-	-	-	-	84,107.26	84,107.26
Buildings	1,025,364.88	-	19.34	-	1,025,345.54	-	37,170.62	-	37,170.62	988,174.92	1,025,364.88
Railway Siding	85,650.38	-	-	-	85,650.38	-	5,433.90		5,433.90	80,216.48	85,650.38
Plant and Equipments	3,805,097.58	36,473.97	18.58	65,676.77	3,907,229.74	-	128,066.97	0.02	128,066.95	3,779,162.79	3,805,097.58
Furniture & Fixtures	4,818.69	45.29	6.08	-	4,857.90	-	556.65	-	556.65	4,301.25	4,818.69
Office Equipment	745.47	56.54	0.04	-	801.97	-	234.78	-	234.78	567.19	745.47
Vehicles	1,805.67	161.07	18.64	-	1,948.10	-	481.59	2.20	479.39	1,468.71	1,805.67
Total - Owned assets (i)	**5,007,589.93**	**36,736.87**	**62.68**	**65,676.77**	**5,109,940.89**	**-**	**171,944.51**	**2.22**	**171,942.29**	**4,937,998.60**	**5,007,589.93**
ii) Leasehold assets											
Land	205,573.91	-	-	-	205,573.91	-	-	-	-	205,573.91	205,573.91
Total - Leasehold assets (ii)	**205,573.91**	**-**	**-**	**-**	**205,573.91**	**-**	**-**	**-**	**-**	**205,573.91**	**205,573.91**
Total (i+ii)	**5,213,163.84**	**36,736.87**	**62.68**	**65,676.77**	**5,315,514.80**	**-**	**171,944.51**	**2.22**	**171,942.29**	**5,143,572.51**	**5,213,163.84**

4 Capital work in progress

Capital work in progress as at 31 March 2017 comprises expenditure for the plant in the course of construction. Total amount of CWIP is ₹ 1,17,060.76 Lakhs (31 March 2016:₹ 2,72,868.30 Lakhs, 1 April 2015 ₹ 2,41,305.65 Lakhs).

NOTES:

a Capitalised borrowing costs

Adjustment during the year 2017 ₹ 3,675.89 lakhs ,2016 ₹ 65,676.77 lakhs includes on account of borrowing costs/exchange fluctuation capitalised during the installation period

b Fair valuation is taken as deemed cost as on 1 April 2015 in certain items of Land, Building, Plant & Machinery and Railway Sidings.

Fair value of the properties was determined by using the market comparable method. This means that valuations performed by the valuer are based on active market prices, significantly adjusted for difference in the nature, location or condition of the properties.

As at the date of revaluation 1 April 2015, the properties fair values are based on valuations performed by Ranjan Structomech Pvt. Ltd., Gurgaon an accredited independent valuer who has relevant valuation experience.

c Certain building under possession of the Company are pending registeration in the name of the Company.

d For details of assets given on operating lease, refer note 42A

e Certain property, plant and equipment are pledged against borrowings ,the details relating to which have been described in Note 14A.

f Refer note 38 and 45 for impact of fair valuation on transition date financials and the subsequent impact on profit and loss thereon.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

5. INTANGIBLE ASSETS

Description of Assets	AT COST					AMORTISATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2016	Additions during the Year - internally developed	Additions during the Year - acquired separately	Adjustment during the year	Gross Block as at 31st March 2017	Total Amortisation as at 1st April 2016	Amortisation during the Year	Adjustment during the year	Total Amortisation upto 31st March 2017	AS AT 31st March 2017	AS AT 31st March 2016
Computer Software	47.02	-	10.59	-	57.61	39.36	4.51	-	43.87	13.74	7.66
Asset not owned by the Company	968.59	-	10.00	-	978.59	968.59	10.00	-	978.59	-	-
Total	**1,015.61**	**-**	**20.59**	**-**	**1,036.20**	**1,007.95**	**14.51**	**-**	**1,022.46**	**13.74**	**7.66**

Description of Assets	AT COST					AMORTISATION AND IMPAIRMENT				NET BLOCK	
	Gross Block as at 1st April 2015	Additions during the Year - internally developed	Additions during the Year - acquired separately	Adjustment during the year	Gross Block as at 31st March 2016	Total Amortisation as at 1st April 2015	Amortisation during the Year	Adjustment during the year	Total Amortisation upto 31st March 2016	AS AT 31st March 2016	AS AT 1st April 2015
Computer Software	39.03	-	7.99	-	47.02	-	39.36	-	39.36	7.66	39.03
Asset not owned by the Company	-	-	968.59	-	968.59	-	968.59	-	968.59	-	-
Total	**39.03**	**-**	**976.58**	**-**	**1,015.61**	**-**	**1,007.95**	**-**	**1,007.95**	**7.66**	**39.03**

6. FINANCIAL ASSETS

Particulars	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
A. INVESTMENTS AT FAIR VALUE THROUGH OCI						
Tata Steel Limited - 13,500 (31st March, 2016: 13,500, 1st April, 2015: 13,500) equity shares of ₹ 10 each fully paid up. - Quoted	65.16	43.13	42.77	-	-	-
Bhushan Buildwell Private Limited - 4,900 (31st March, 2016: 4,900, 1st April, 2015: 4,900) equity shares of ₹ 10 each fully paid up. - Unquoted	24.75	24.75	24.76	-	-	-
Saraswat Co-operative Bank Limited - 2,500 (31st March, 2016: 2,500, 1st April, 2015: 2,500) equity shares of ₹ 10 each fully paid up. - Unquoted	1.07	1.07	1.05	-	-	-
Rocklands Rich Fields Ltd. - 2,000 (31st March 2016: 2,000 1st April 2015: 2,000) Ordinary Shares of AUD 0.20 each - Unquoted.	0.21	0.21	0.21	-	-	-
Less: Impairment recorded in current year	(0.21)	-	-	-	-	-
Vector Resources Ltd. - 8,55,000 (31st March 2016: 8,55,000 : 1st April 2015 : 8,55,000) shares of AUD 0.20 each - Unquoted	-	-	-	2.58	2.58	2.06
Less: Impairment recorded in current year	-	-	-	(2.58)	-	-
Bhushan Steel Bengal Limited - 50,000 (31st March, 2016: 50,000, 1st April, 2015: 50,000) equity shares of ₹ 10 each fully paid up. - Unquoted	4.81	4.81	4.84	-	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Particulars	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
Total other investment	95.79	73.97	73.63	-	2.58	2.06
Total Investments	95.79	73.97	73.63	-	2.58	2.06
Aggregate book value of quoted investments	58.08	58.08	58.08	-	2.58	2.06
Aggregate market value of quoted investments	65.16	43.13	42.77	-	2.58	2.06
Aggregate value of unquoted investments	5.95	5.95	5.95	-	-	-
Aggregate amount of impairment in value of investments	0.21	-	-	2.58	-	-
Investments at fair value through OCI (fully paid) reflect investment in quoted and unquoted equity securities and quoted debt securities. Refer note 38 for determination of their fair values.						
B. Loans at amortised cost						
a) Advance recoverable in cash						
i) From Related party						
Secured, considered good	-	-	-	-	-	-
Unsecured, considered good	-	523.75	520.50	-	-	-
Unsecured, considered doubtful	523.75	-	-	-	-	-
	523.75	523.75	520.50	-	-	-
Less: Provision for doubtful advance	523.75	-	-	-	-	-
	-	523.75	520.50	-	-	-
ii) From Employees						
Secured, considered good	-	-	-	-	-	-
Unsecured, considered good	138.78	123.88	167.95	333.72	337.72	499.45
Unsecured, considered doubtful	-	-	-	-	-	-
	138.78	123.88	167.95	333.72	337.72	499.45
Less: Provision for doubtful advance	-	-	-	-	-	-
	138.78	123.88	167.95	333.72	337.72	499.45
Total - Advance recoverable in cash (a = i+ii)	**138.78**	**647.63**	**688.45**	**333.72**	**337.72**	**499.45**
b) Security Deposits						
Secured, considered good	-	-	-	-	-	-
Unsecured, considered good	9,669.86	8,071.90	10,027.88	9,962.96	9,049.40	9,033.10
Unsecured, considered doubtful	-	-	-	-	-	-
	9,669.86	8,071.90	10,027.88	9,962.96	9,049.40	9,033.10
Less: Provision for doubtful advance			-			-
Total - Security Deposits (b)	9,669.86	8,071.90	10,027.88	9,962.96	9,049.40	9,033.10
Total Loans - (a+b)	**9,808.64**	**8,719.53**	**10,716.33**	**10,296.68**	**9,387.12**	**9,532.55**
C. Other financial assets						
Receivable against sale of fixed assets	-	-	-	1,019.92	1,019.92	62,423.92
Other receivables	56,289.96	56,289.96	-	-	-	-
Bank deposits with more than 12 months maturity */**	178.67	2,440.14	2,459.23	-	-	-
Inter corporate deposits	-	-	-	760.00	1,916.45	3,689.65
Less: Provision	-	-	-	-760.00	-	-
Total Other financial assets	**56,468.63**	**58,730.10**	**2,459.23**	**1,019.92**	**2,936.37**	**66,113.57**

* Including interest accrued but not due

** Including ₹ 178.67 lacs (31st March 2016: ₹ 2440.14 lacs; 1st April, 2015 ₹ 2459.23 lacs) under bank lien.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

7. OTHER ASSETS

Particulars	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
a) Capital advance						
Unsecured, considered good	7,740.87	17,250.69	55,361.97	-	-	-
Doubtful	-	-	-	-	-	-
	7,740.87	17,250.69	55,361.97	-	-	-
Less: Provision			-			-
	7,740.87	17,250.69	55,361.97	-	-	-
b) CENVAT/ VAT/ Service Tax/Excise recoverable	55,284.36	46,292.79	41,364.66	34,246.37	26,881.40	30,821.92
c) Balance with Statutory/ Government authorities	-	-	-	33.09	13.70	44.62
d) Prepaid expenses	3,973.71	4,482.78	2,711.93	1,862.30	1,670.00	1,903.79
e) Advances to Suppliers	-	-	-	48,807.31	24,830.14	35,926.21
f) Other Advances	504.63	532.47	2,466.44	347.04	478.87	404.99
Total (a+b+c+d+e+f)	**67,503.57**	**68,558.73**	**1,01,905.00**	**85,296.11**	**53,874.11**	**69,101.53**

* For details of advances to related parties, refer Note 35

8. INVENTORIES

Particulars	31st March 2017	31st March 2016	1st April 2015
Valued at cost or net realisable value except packing material and stores & spares			
i) In Hand			
Raw materials	39,651.73	26,063.05	32,822.19
Finished goods	54,103.03	48,318.96	64,753.13
Work in progress	86,438.42	53,811.40	33,564.69
Stores and spares	38,081.62	29,943.97	25,071.16
Others	9,368.65	6,751.86	4,730.12
	2,27,643.45	1,64,889.24	1,60,941.29
ii) In Transit			
Raw materials	60,857.12	29,814.49	17,516.02
Finished goods	7,327.42	4,208.36	3,069.87
Work in progress	17,045.72	10,043.70	10,337.12
Stores and spares	2,018.06	967.99	-
	87,248.32	45,034.54	30,923.01
Total - i+ii	**3,14,891.77**	**2,09,923.78**	**1,91,864.30**

Work in progress includes stock lying with the third party ₹ 9884.83 Lacs as on 31st March 2017 (31st March 2016: Nil, 1st April 2015: Nil)

Inventory is hypothicated as security against working capital loan.

9. TRADE RECEIVABLES

Particulars	31st March 2017	31st March 2016	1st April 2015
Trade receivables	1,52,555.10	1,18,197.33	1,12,530.11
	1,52,555.10	1,18,197.33	1,12,530.11
Unsecured, Considered Good	1,53,323.56	1,18,542.29	1,12,723.65
Unsecured, Considered Doubtful	5,302.60	2,558.85	1,561.93
	1,58,626.16	1,21,101.14	1,14,285.58
Less: Provision for doubtful receivables	5,302.60	2,558.85	1,561.93
Less: Expected Credit Losses	768.46	344.96	193.54
	1,52,555.10	1,18,197.33	1,12,530.11

Notes:

A. For details of receivables from related parties, refer note 35

B. Trade receivables are non-interest bearing and are generally on credit terms of 45 - 90 days.

C. In determining the allowances for doubtful trade receivables, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forwad looking information. The expected credit allowance is based on the ageing of the receivables that are due and rates used in provision matrix.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

10. CASH AND CASH EQUIVALENT

Particulars	31st March 2017	31st March 2016	1st April 2015
a) Balance with banks			
- In current accounts	12,512.27	3,140.07	7,695.37
- Deposit with maturity of less than 3 months *	-	-	35.52
b) Cash on hand	65.42	92.94	91.65
	12,577.69	**3,233.01**	**7,822.54**

Short-term deposits are made for varying periods between 3 to 12 months, depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates.

* Including interest accrued but not due

For the purpose of the statement of cash flows, cash and cash equivalents comprise the following:

Particulars	31st March 2017	31st March 2016	1st April 2015
Balance with banks			
- In current accounts	12,512.27	3,140.07	7,695.37
- Deposit with maturity of less than 3 months	-	-	35.52
Cheques, drafts on hand	-	-	-
Cash on hand	65.42	92.94	91.65
	12,577.69	**3,233.01**	**7,822.54**

11. OTHER BANK BALANCES

Particulars	31st March 2017	31st March 2016	1st April 2015
a) Embarked balance with the bank			
- Unpaid dividend	12.89	14.93	16.76
b) Deposit with original maturity of more than 3 months*	2,989.81	13,138.94	989.69
	3,002.70	**13,153.87**	**1,006.45**

* Including ₹ 2979.72 lacs (31st March 2016: Rs 13128.60 lacs; 1st April 2015: ₹ 980.25 lacs) under bank lien.

Specified Bank Notes (SBN) disclosure

Disclosure related to details of Specified Bank Notes (SBN) held and transacted during the period 8th November 2016 to 30th December 2016:

	SBNs	Other denomination notes	Total
Closing cash in hand as on 08.11.2016	70.40	56.00	126.40
(+) Withdrawal from Bank accounts	-	21.50	21.50
(+) Permitted receipts	-	25.15	25.15
(-) Permitted payments	(2.35)	(83.34)	(85.69)
(-) Amount deposited in Banks	(68.05)	(0.04)	(68.09)
Closing cash in hand as on 30th December 2016	-	**19.27**	**19.27**

For the purpose of this clause, the term 'Specified Bank Notes'(SBN) shall have the same meaning provided in the notification of the Government of India, in the Ministry of Finance, Department of Economic Affairs number S.O.3407 (E) dated the 8 th November, 2016.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

12. EQUITY SHARE CAPITAL

Particulars	31st March 2017	31st March 2016	1st April 2015
a) Authorised Share Capital			
Equity share capital			
40,00,00,000 (March 31, 2016: 40,00,00,000, April 01, 2015 : 40,00,00,000) equity shares of ₹ 2/- each	8,000.00	8,000.00	8,000.00
Total	**8,000.00**	**8,000.00**	**8,000.00**
b) Issued capital			
Equity share capital			
23,06,05,220 (March 31, 2016: 23,06,05,220, April 01, 2015 : 23,06,05,220) equity shares of ₹ 2/- each	4,612.10	4,612.10	4,612.10
	4,612.10	**4,612.10**	**4,612.10**
c) Subscribed and paid up capital			
Equity share capital			
22,65,14,746 (March 31, 2016: 22,65,14,746, April 01, 2015 : 22,65,14,746) equity shares of ₹ 2/- each	4,530.29	4,530.29	4,530.29
Share forfeiture			
784 (March 31, 2016: 784, April 01, 2015 : 784) equity shares of ₹ 2/- each	0.01	0.01	0.01
	4,530.30	**4,530.30**	**4,530.30**

d) Reconciliation of number of shares outstanding and the amount of share capital

Equity share capital

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Number of shares held	Amount (In lakhs)	Number of shares held	Amount (In lakhs)	Number of shares held	Amount (In lakhs)
Shares outstanding at the beginning of the year	226,514,746	4530.29	226,514,746	4,530.29	226,514,746	4,530.29
Shares issued during the year	-	-	-	-	-	-
Shares bought back during the year	-	-	-	-	-	-
Shares outstanding at the end of the year	226,514,746	4530.29	226,514,746	4,530.29	226,514,746	4,530.29

e) Rights, preferences and restrictions attached to the equity shares

The Company has only one class of Issued, subscribed and paid up equity shares having a par value of ₹ 2/- per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividend in Indian rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the Annual General Meeting.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the share holders.

f) Details of the Shareholders holding more than 5% share in the Company

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Number of shares held	% of holding	Number of shares held	% of holding	Number of shares held	% of holding
Equity shares of ₹ 2/- each fully paid up						
1. Shri Brij Bhushan Singal	41,103,391	18.15%	41,103,391	18.15%	41,103,391	18.15%
2. Shri Neeraj Singal	51,480,927	22.73%	51,480,927	22.73%	51,480,927	22.73%
3. Bhushan Infrastructure Private Limited	31,901,188	14.08%	31,901,188	14.08%	32,010,805	14.13%

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

13. OTHER EQUITY

Particulars	Amount
a) Capital redemption reserve	
At 01st April 2015	693.34
At 31st March 2016	693.34
Changes during the period	-
Closing balance	**693.34**
b) Securities premium reserve	
At 01st April 2015	72,576.10
At 31st March 2016	72,576.10
Changes during the period	-
Closing balance	**72,576.10**
c) Debenture redemption reserve	
At 01st April 2015	44,762.50
Changes during the period	(8,250.00)
At 31st March 2016	36,512.50
Changes during the period	-
Closing balance	**36,512.50**
d) Capital reserve	
At 01st April 2015	1,942.03
At 31st March 2016	1,942.03
Changes during the period	-
Closing balance	**1,942.03**
e) General reserve	
At 01st April 2015	519,587.59
Addition during the period	8,250.00
At 31st March 2016	527,837.59
Changes during the period	-
Closing balance	**527,837.59**
f) Retained earnings	
At 01st April 2015	(84,901.62)
Profit/(loss) during the period	(344,054.81)
At 31st March 2016	(428,956.43)
Profit/(loss) during the period	(361,484.92)
Closing balance	**(790,441.35)**
g) Other comprehensive reserves	
At 01st April 2015	(4,028.33)
Profit/(loss) during the period	1972.92
At 31st March 2016	(2,055.41)
Profit/(loss) during the period	184.33
Closing balance	**(1,871.08)**
h) Foreign Currency Translation Reserve	
At 01st April 2015	(72.93)
At 31st March 2016	(72.93)
Closing balance	**(72.93)**
Total As at 01st April 2015	**550,558.68**
Total As at 31st March 2016	**208,476.79**
Total As at 31st March 2017	**(152,823.80)**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

14 FINANCIAL LIABILITIES

A Borrowings

Non-current borrowings

Particulars	31st March 2017	31st March 2016	1st April 2015
Debentures			
8% Debentures	145,270.89	146,050.00	203,000.00
Term loan (Secured)			
From Bank			
- Indian rupees loans	2,387,850.55	2,335,454.19	2,102,679.37
- Foreign currency loans	851,855.33	890,522.08	835,468.93
From Others			
- Financial Institution	62,259.89	60,674.45	3,594.83
Term loan (Unsecured)			
From Bank			
- Indian rupees loans	9,765.00	9,765.00	-
- Foreign currency loans	270.02	292.83	263.25
From Others	2,774.22	3,008.50	2,704.63
Upfront Fee	(3,577.34)	(2,717.90)	-
	3,456,468.56	3,443,049.15	3,147,711.01
Less: Current portion of non-current borrowings	188,964.40	108,380.20	54,938.79
Less: Repayment Overdue on Long Term Borrowings	209,548.86	104,784.72	-
Total non-current borrowings	**3,057,955.30**	**3,229,884.23**	**3,092,772.22**

Current borrowings

Particulars	31st March 2017	31st March 2016	1st April 2015
Preference Shares	235,800.97	238,100.97	270,277.01
Working capital facilities (secured)			
From Bank			
- Indian rupees loans	1,167,640.49	924,910.04	666,181.38
- Foreign currency loans	36,964.85	51,900.14	31,570.31
Term loan (unsecured)			
From Bank			
- Indian rupees loans	9,926.14	5,080.00	13,645.00
Bill Discounting	30,112.03	10,531.46	-
Bills of Exchange Payable-Foreign Currency	63,493.30	-	-
Bills of Exchange Payable-Indian Rupees	24,430.00	242,069.43	372,745.07
From Bank			
- Foreign currency loans	-	21,060.26	48,757.76
Total current borrowings	**1,568,367.78**	**1,493,652.30**	**1,403,176.53**

Foot Note

1) 12.00% Redeemable Non-Convertible 250 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 2500 Lacs (Previous Year 12.00% Redeemable Non-Convertible 250 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 2500 Lacs; Financial Year 2014-15 12.00% Redeemable Non-Convertible 250 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 2500 Lacs). Debentures are redeemable at par in one bullet payment at the end of 10th year from the date of allotment i.e 31.08.2012 and are Secured by first charge on pari passu basis on the fixed assets of the Company offering minimum Fixed Asset Coverage Ratio of 1.25 times during the tenure of debentures and personal guarantee of Sh. B.B.Singal & Sh. Neeraj Singal.

2) 12.50% Redeemable Non-Convertible 2000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 20000 Lacs (Previous Year 12.50% Redeemable Non-Convertible 2000 Debentures of ₹. 10 Lacs each outstanding on 31st March 2016 ₹ 20000 Lacs ; Financial Year 2014-15 12.50% Redeemable Non-Convertible 2000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 20000 Lacs) are redeemable in three equal annual installments commencing from the end of 5th year from the date of allotment i.e 30.08.2013 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

3) 12.00% Redeemable Non-Convertible 100 Debentures of ₹ 100 Lacs each outstanding on 31st March 2017 ₹ NIL (Previous Year 12.00% Redeemable Non-Convertible 100 Debentures of ₹ 100 Lacs each outstanding on 31st March 2016 ₹ NIL; Financial Year 2014-15 12.00%

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Redeemable Non-Convertible 100 Debentures of ₹ 100 Lacs each outstanding on 31st March 2015 ₹ 10000 Lacs) (Subordinate Debt).

4) 11.50% Redeemable Non-Convertible 3500 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 35000 Lacs (Previous Year 11.50% Redeemable Non-Convertible 3500 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 35000 Lacs; Financial Year 2014-15 11.50% Redeemable Non-Convertible 3500 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 35000 Lacs) are redeemable in three equal annual installments commencing from the end of 5th year from the date of allotment i.e 04.01.2013 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

5) 12.00% Redeemable Non-Convertible 1050 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 10327 Lacs (Previous Year 12.00% Redeemable Non-Convertible 1050 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 10500 Lacs; Financial Year 2014-15 12.00% Redeemable Non-Convertible 1050 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 10500 Lacs) are redeemable at the end of 4th,5th and 6th year in installments of 35%,35% & 30% respectively commencing from the end of 4th year from the date of allotment i.e 28.03.2013 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

6) 11.75% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 30000 Lacs (Previous Year 11.75% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 30000 Lacs; Financial Year 2014-15 11.75% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 30000 Lacs) are redeemable in three equal annual installments commencing from the end of 5th year from the date of allotment i.e 02.02.2012 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

7) 12.00% Redeemable Non-Convertible 4750 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 3729 Lacs (Previous Year 12.00% Redeemable Non-Convertible 4750 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 4000 Lacs; Financial Year 2014-15 12.00% Redeemable Non-Convertible 4750 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 47500 Lacs). Debentures are redeemable at the end of 4th, 5th and 6th year in installments of 35%, 35% & 30% respectively commencing at the end of 4th year from the date of allotment i.e 31.08.2012 and are Secured by first charge on pari passu basis on the fixed assets of the Company offering minimum Fixed Asset Coverage Ratio of 1.25 times during the tenure of debentures and personal guarantee of Sh. B.B.Singal & Sh. Neeraj Singal. Out of the above ₹ 43500 Lacs have been paid during FY 2015-16.

8) 10.50% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 30000 Lacs (Previous Year 10.50% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 30000 Lacs; Financial Year 2014-15 10.50% Redeemable Non-Convertible 3000 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 30000 Lacs). Debentures are redeemable at par in three equal annual installments commencing from the end of 6th year from the date of allotment i.e 13.08.2010 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

9) 10.90% Redeemable Non-Convertible 1630 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 12597 Lacs (Previous Year 10.90% Redeemable Non-Convertible 1630 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 12850 Lacs; Financial Year 2014-15 10.90% Redeemable Non-Convertible 1630 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 16300 Lacs). Debentures are redeemable at par in four equal annual installments commencing from the end of 5th year from the deemed date of allotment i.e 26.08.2010 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

10) 10.90% Redeemable Non-Convertible 120 Debentures of ₹ 10 Lacs each outstanding on 31st March 2017 ₹ 1118 Lacs (Previous Year 10.90% Redeemable Non-Convertible 120 Debentures of ₹ 10 Lacs each outstanding on 31st March 2016 ₹ 1200 Lacs; Financial Year 2014-15 10.90% Redeemable Non-Convertible 120 Debentures of ₹ 10 Lacs each outstanding on 31st March 2015 ₹ 1200 Lacs) have been restructured during the year and are redeemable in 48 equated monthly installments commencing from 26th December 2016 and are Secured by first charge on pari passu basis on the fixed assets of the Company.

11) Secured by first mortgage charge on all of the company's immovable & movable properties both present and future including movable machinery, spares, tools & accessories (excluding specific charge created on favour of ECA Lenders), ranking pari passu inter-se, with the trustee of Debenture holders subject to prior charges created in favour of banks on stocks,book debts etc. for securing borrowing for working capital requirement, except ₹ NIL (Previous Year ₹ 26533 Lacs; Financial Year 2014-15 ₹ 25036 Lacs) secured by subsequent & subservient charge on movable assets. Out of the above, the ECA Loans of ₹ 245632 Lacs (Previous Year ₹ 265001 Lacs; Financial Year 2014-15 ₹ 239225 Lacs) financed by ECA Lenders are secured by first exclusive charge on the assets financed & personal guarantee of two promoter directors. Loans of ₹ 851855 Lacs (Previous Year ₹ 890522 Lacs; Financial Year 2014-15 ₹ 835469 Lacs) are guaranteed by the Personal Guarantee of two promoter directors.

12) Secured by first mortgage charge on all of the company's immovable & movable properties both present and future including movable machinery, spares, tools & accessories (excluding specific charge created in favour of ECA Lenders) ranking pari passu inter-se, with the trustee of Debenture holders subject to prior charges created in favour of banks on stocks,book debts etc. for securing borrowing for working capital requirement. Loans of ₹ 2335105 Lacs (Previous Year ₹ 2281459 lacs; Financial Year 2014-15 ₹ 1662104 Lacs) are guaranteed by the Personal Guarantee of two promoter directors & Loans of ₹ 52745 Lacs (Previous Year ₹ 53995 Lacs; Financial Year 2014-15 ₹ 410576 Lacs) are guaranteed by the Personal guarantee of one promoter director. Apart from this,Loans of ₹ 429736 Lacs are secured by pledge of 26% shares of Bhushan Steel Limited and Loans of ₹ 1622045 Lacs are secured by pledge of 51% shares of Bhushan Steel Limited. Out of the above Loans sanctioned for ₹ 700000 Lacs are secured by pledge of the shares of Bowen Energy Limited held by Promoter/Promoter Group of Bhushan Steel Limited.

13) Secured by first mortgage charge on all of the company's immovable & movable properties both present and future including movable machinery, spares, tools & accessories (excluding specific charge created in favour of ECA Lenders) ranking pari passu inter-se, with the trustee of Debenture holders subject to prior charges created in favour of banks on stocks,book debts etc. for securing borrowing for working capital requirement,except ₹ 969 Lacs (Previous Year ₹ 931 Lacs; Financial Year 2014-15 ₹ 1345 Lacs) secured by subsequent & subservient charge on movable assets. Loans of ₹ 61291 Lacs (Previous year ₹ 58722 Lacs; Financial Year 2014-15 ₹ 30000 Lacs) are guaranteed by the personal guarantee of two promoter directors & Loans of ₹ nil Lacs (Previous Year ₹ 1021 Lacs; Financial Year 2014-15 ₹ 2250 Lacs) are guaranteed by the personal guarantee of One promoter director. Apart from this, Loans of ₹ 31516 Lacs are secured by pledge of 51% shares of Bhushan Steel Limited.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

14) Out of these Loans of ₹ 270 Lacs (Previous Year ₹ 293 Lacs; Financial Year 2014-15 ₹ 263 Lacs) are guaranteed by the Personal Guarantee of Two Promoter Directors.

15) Foreign Currency Loans for Phase I & II of Orissa project was sanctioned at interest rate of EURIBOR + 0.45% (Presently 0.45% p.a.) repayable in 20 Half Yearly Installments commencing from six Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.

16) Domestic Loans sanctioned by SBI Syndication for Phase III of Orissa project was sanctioned at rate of interest of SBI Base Rate+2.50% and repayable in 17 quarterly installments commencing from 18 months after completion of the project as per terms stipulated in respective loan/facility agreement/s. Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ SBI Base Rate+2.50% p.a (presently 11.60% p.a.).

17) Foreign Currency Loans for Phase III of Orissa project was sanctioned at interest rate of EURIBOR+1.50% (Presently 1.287% p.a.) repayable in 20 half yearly installments commencing from 6 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.

18) Another Foreign Currency Loan sanctioned for Phase III of the Orissa Project at interest rate of USD LIBOR+3.95% .Out of this Loan of US$ 240 Million has been structured under 5/25 flexible structuring scheme of RBI upto 25 years. Remaining US$ 60 Million is repayable in 4 annual installments commencing from 36 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.

19) Another Foreign Currency Loan sanctioned for Phase III of the Orissa Project at interest rate of EURIBOR+1.75% (Presently 1.529% p.a.) repayable in 15 half yearly installments commencing from HY2 of FY 2018-19 in 15 equal semi annual installments.

20) Domestic Loans sanctioned for Coke Oven 2 of Orissa project was sanctioned at rate of interest of Base Rate+2.50% and repayable in 24 quarterly installments commencing from 15 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s. Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ Base Rate+1.75% p.a (presently 10.90% p.a.).

21) Foreign Currency Loans for Coke Oven 2 of Orissa Project was sanctioned at interest rate of USD LIBOR + 4.50% repayable in 12 half yearly installments commencing from 15 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s.Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years.

22) Domestic Loans sanctioned for CRCA & CRNGO Project of Orissa project was sanctioned at rate of interest of Base Rate+2.25% and repayable in 24 quarterly installments commencing from 12 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s. Now these loans are being considered in 5/25 flexible structuring scheme of RBI upto 25 years.Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ Base Rate+2.00% p.a. (11.15% p.a. at present).

23) Domestic Loans sanctioned for Addition, Modification & Replacement Project at Orissa Site was sanctioned at rate of interest of Base Rate+TP+1.25% and repayable in 32 quarterly installments commencing from 3 Months after completion of the project as per terms stipulated in respective loan/facility agreement/s. Now these loans are being considered in 5/25 flexible structuring scheme of RBI upto 25 years.Now these loans have been structured under 5/25 flexible structuring scheme of RBI upto 25 years @ SBI Base Rate+2.50% p.a. (11.60% p.a. at present).

24) Domestic Loans sanctioned for shoring up of Net Working Capital/Normal Capital Expenditure was sanctioned at rate of interest of SBI Base Rate+2.50% (Presently 11.60% p.a.) and repayable in 40 quarterly installments commencing from 30th June 2016/as per terms stipulated in respective loan/facility agreement/s.

25) 10% 366667 Redeemable Cumulative Preference Shares of Rs 100 each are allocated at a price of ₹3000/- per share during the financial year 2011-12 on private placement basis. The preference shares are redeemable at a premium of Rs 2900/- in two equal installments at the end of 3rd and 4th year i.e. on 4th March 2015 and 4th March 2016 respectively. However due to non submission of preference share certificate by the shareholder, M/s Robust Transportation Pvt Ltd., preference shares could not be redeemed. M/s Robust Transportation Pvt Ltd., vide their letter dated 1st March 2015 and 1st March 2016 has requested to defer the redemption of the preference shares as the same has been pledged with banker as security against the loan taken by it.

26) Repayment default on Long Term Borrowings

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Principal Amount	Interest Amount	Principal Amount	Interest Amount	Principal Amount	Interest Amount
(A) Secured						
Non Convertible Debentures	29,078.01	37,848.27	925.00	20,638.12	-	-
Term Loan						
1. From Bank						
- Foreign Currency Loans	117,002.22	28,324.96	82,719.91	13,267.19	-	-
- Rupee Loans	62,395.11	364,087.11	19,641.33	95,057.18	-	-
2. From Bank						
- Rupee Loans	438.50	3,896.49	1,205.65	1,803.13	-	-
Total (A)	**208,913.84**	**434,156.83**	**104,491.89**	**130,765.62**	**-**	**-**
Unsecured						
Term Loan						

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Principal Amount	Interest Amount	Principal Amount	Interest Amount	Principal Amount	Interest Amount
1. From Bank						
- Rupee Loans	365.00	1,040.01	-	192.91	-	-
2. Foreign Currency Loans						
- From Others	270.02	0.34	292.83	1.12	-	-
Total (B)	**635.02**	**1,040.35**	**292.83**	**194.03**	**-**	**-**
Total (A+B)	**209,548.86**	**435,197.18**	**104,784.72**	**130,959.65**	**-**	**-**

27) Repayment period of Borrowings is mentioned in Note No 39

B Trade payables

Particulars	Current		
	31st March 2017	31st March 2016	1st April 2015
Sundry Creditors:			
Dues of Micro, Small and Medium Enterprises (Refer Note 33)	323.45	404.62	539.03
Dues to others	110,675.72	117,240.87	273,399.79
	110,999.17	117,645.49	273,938.82

Notes:

Trade payables are non-interest bearing and are normally settled on 45-90 day terms.

For explanations on the Company's credit risk management processes, Refer note 39

15 OTHER FINANCIAL LIABILITIES

Particulars	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
Financial liabilities at amortised cost						
Current maturities of long term debts	-	-	-	188,964.40	108,380.20	54,938.79
Repayment Overdue on Long Term Debts	-	-	-	180,470.85	103,859.72	-
Capital creditors	-	-	-	50,577.43	63,159.96	67,372.51
Interest accrued and due on borrowing	-	-	-	557,074.23	144,649.00	45,006.67
Interest accrued but not due on borrowing	-	-	-	18,564.42	15,540.97	35,068.43
Unpaid matured debentures and interest accrued thereon;	-	-	-	35,963.92	985.50	-
Deferred Sale Tax Payable	3,283.15	2,338.03	1,217.99	-	-	-
Due to related parties	-	-	-	22.04	24.21	17.03
Due to officers	-	-	-	2.66	1.58	1.46
Unpaid dividend	-	-	-	12.89	14.93	16.76
Other payables	519.74	482.06	1,232.10	10,642.32	26,512.93	4,361.80
Security Deposits	-	-	-	552.45	445.57	409.95
Total Other Financial Liabilities	**3,802.89**	**2,820.09**	**2,450.09**	**1,042,847.61**	**463,574.57**	**207,193.40**

16 TAX ASSETS AND LIABILITIES

Particulars	Current		
	31st March 2017	31st March 2016	1st April 2015
Advance tax	2,555.17	2,328.43	1,784.61
	2,555.17	**2,328.43**	**1,784.61**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

17 OTHER LIABILITIES

Particulars	Current		
	31st March 2017	31st March 2016	1st April 2015
Statutory payables	24,423.43	45,499.21	19,009.13
Advances received from Customers	5,368.14	5,359.49	5,085.63
Derivative Financial Liability*	226.40	-	-
	30,017.97	**50,858.70**	**24,094.76**

* Includes the MTM on forward contracts and interest rate swap not designated for hedging

18 PROVISIONS

Particulars	Non Current			Current		
	31st March 2017	31st March 2016	1st April 2015	31st March 2017	31st March 2016	1st April 2015
Provision for employee benefits (Refer Note 32 for Ind AS 19 disclosures)						
- Gratuity	2,607.22	1,853.94	1,269.74	-	-	-
- Leave Encashment	1,403.91	1,251.70	1,201.26	495.63	414.60	377.10
Total	**4,011.13**	**3,105.64**	**2,471.00**	**495.63**	**414.60**	**377.10**

19 REVENUE FROM OPERATIONS

Particulars	31st March 2017	31st March 2016
Sale of products (including excise duty)		
Sale of Goods	1,457,005.12	1,267,674.00
Total sale of products	**1,457,005.12**	**1,267,674.00**
Other operating revenue		
Other sales	37,308.58	41,198.12
Export incentives	8,416.47	3,534.65
Total	**1,502,730.17**	**1,312,406.77**

(Includes excise duty on sale of goods amounting to ₹ 1,32,135.99 Lakhs for the year ended 31st March 2017 (31st March 2016: : ₹ 1,32,143.41 Lakhs)

20 OTHER INCOME

Particulars	31st March 2017	31st March 2016
Dividend income on		
- Long term investments	2.16	0.04
Net gain on sale of property, plant and equipments	106.38	842.01
Dimunition in the value of investment written back	-	0.52
Subsidy Received	1,880.93	538.43
Miscellaneous income*	540.96	93.57
Interest Income on:**		
- From banks on FDRs	408.98	611.08
- From others	4,257.05	5,470.44
	7,196.46	**7,556.09**

* Including income tax deducted at source ₹ 0.38 lacs (31st March 2016: Rs 0.95 lacs)

** Including income tax deducted at source Rs 44.06 lacs (31st March 2016 : ₹ 50.31 lacs)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

21 COST OF MATERIALS CONSUMED

Particulars	31st March 2017	31st March 2016
Cost of raw material consumed	708,578.77	630,660.37
Less: Cost of raw material transferred to Project/internal use	2,415.49	2,283.89
Cost of material consumed	**706,163.28**	**628,376.48**
Detail of raw material consumed		
HR/ CR/ Steel scrap	126,719.42	189,178.30
Iron Ore/ Sponge Iron	160,223.07	133,521.74
Coal	324,343.18	215,145.90
Dolomite/ Lime	29,757.30	31,213.69
Zinc and Alloys	57,868.67	52,081.92
Paints	9,667.13	9,518.82
	708,578.77	**630,660.37**

22 PURCHASES OF STOCK IN TRADE

Particulars	31st March 2017	31st March 2016
Cost of purchase goods traded	18.01	259.11
	18.01	**259.11**

23 CHANGES IN INVENTORIES OF FINISHED GOODS, STOCK IN TRADE AND WORK IN PROGRESS

Particulars	31st March 2017	31st March 2016
Closing stock		
- Finished goods	61,430.45	52,527.32
- Work-in-progress	103,484.14	63,855.10
- Others	9,368.65	6,751.86
	174,283.24	123,134.28
Less :		
Opening stock		
- Finished goods	52,527.32	67,823.00
- Work-in-progress	63,855.10	43,901.81
- Others	6,751.86	4,730.12
	123,134.28	116,454.93
(Increase) / decrease		
- Finished goods	(8,903.13)	15,295.68
- Work-in-progress	(39,629.04)	(19,953.29)
- Others	(2,616.79)	(2,021.74)
Net (Increase)/decrease in Stock	(51,148.96)	(6,679.35)

Details of finished goods	Closing stock	Opening stock	Closing stock	Opening stock
Hot rolled steel strips/ sheets/ coils	8,033.13	17,588.26	17,588.26	28,519.92
Cold rolled steel strips/ sheets/ coils	15,780.30	10,594.84	10,594.84	12,775.30
Cold rolled galvanised steel strips/ sheets/ coils	16,373.44	12,348.40	12,348.40	14,147.92
Colour coated galvanised steel strips/ sheets/ coils	5,980.09	3,412.35	3,412.35	3,225.49
Precision tube	7,884.31	5,643.02	5,643.02	5,482.62
Large dia pipe	3,239.92	1,555.94	1,555.94	2,039.09
Hardened & tempererd cold rolled steel strips	982.67	696.52	696.52	750.74
High tensile steel strapings	251.53	137.05	137.05	413.44
Billets	2,902.84	544.80	544.80	464.60
Formed sections	2.22	6.14	6.14	3.88
	61,430.45	52,527.32	52,527.32	67,823.00

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

24 EMPLOYEE BENEFIT EXPENSE

Particulars	31st March 2017	31st March 2016
Salary, wages, bonus and allowance	47,975.91	43,382.56
Contribution to provident fund and other funds	1,651.42	1,161.77
Staff Welfare expenses	501.73	410.66
	50,129.06	**44,954.99**
Less: Expenses transferred to Project under commissioning/ pre-operative expenses	1,067.23	1,398.40
	49,061.83	**43,556.59**

Disclosure in compliance of Ind AS -19 on Employee benefits are given in Note 32.

25 FINANCE COSTS

Particulars	31st March 2017	31st March 2016
Interest Expenses	560,285.64	467,360.53
Applicable Net Gain / (Loss) on Foreign Currency Transactions and Translation	-	1,257.26
Other Borrowing Cost	5,704.22	14,481.26
	565,989.86	**483,099.05**
Less: Expenses transferred to Project under commissioning/ pre-operative expenses	23,313.26	22,970.35
	542,676.60	**460,128.70**

26 DEPRECIATION AND AMORTISATION EXPENSE

Particulars	31st March 2017	31st March 2016
Depreciation of property, plant and equipment	168546.70	171944.51
Amortisation of intangible assets	14.51	1007.95
	168561.21	**172952.46**

27 OTHER EXPENSES

Particulars	31st March 2017	31st March 2016
Consumption of stores, spares and consumables	68,311.70	40,325.41
Packing material consumed	5,960.93	5,113.76
Power and fuel	125,412.72	122,925.99
Rent	26,415.98	22,931.01
Insurance	1,495.90	1,830.75
Rates and taxes	1,902.63	903.55
Repairs and maintenance:		
- Building	210.90	187.16
- Machinery	4,795.21	3,534.41
- Others	-	-
Legal and professional charges	1,646.56	1,123.88
Payment to Auditors:		
As Auditor:		
Audit fees	100.51	100.51
Tax Audit fee	18.50	18.50
Administrative expenses	10,144.42	13,234.41
Selling and distribution expenses	76,972.00	75,288.40
Commission to selling agents	6,669.90	500.05
Excise Duty #	325.78	(1,630.22)
Bad debts written off	148.02	0.28
Other Manufacturing Expenses	36,066.07	26,506.92
Provision for doubtful debts	3,167.25	1,148.34
Provision for doubtful advance	760.00	-
Provision for CWIP	24.21	-
Provision for Dimunition of Investment	2.79	-
Exchange difference(net) (other considered as finance cost)	4,064.41	2,770.07
	374,616.39	**316,813.18**
Less: Expenses transferred to Project under commissioning/ pre-operative expenses	238.79	8,119.51
Total	**374,377.60**	**308,693.67**

Excise duty shown under expenditure represents the aggregate of excise duty borne by the company and difference between excise duty on opening and closing stock of finished goods.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

28 COMPONENTS OF OTHER COMPREHENSIVE INCOME

The segregation of changes to OCI by each type of reserve in equity is shown below:

During the Year ended 31st March 2017

	FVTOCI reserve	Total
Gain/(loss) on FVTOCI financial assets	22.03	22.03
Re-measurement gains (losses) on defined benefit plans	(127.33)	(127.33)
Deferred Tax on above items (Assets) / Liability	(44.07)	(44.07)
	(61.23)	(61.23)

During the Year ended 31st March 2016

	FVTOCI reserve	Total
Gain/(loss) on FVTOCI financial assets	0.34	0.34
Re-measurement gains (losses) on defined benefit plans	133.14	133.14
Deferred Tax on above items (Assets) / Liability	45.47	45.47
	88.01	88.01

29 EXCEPTIONAL ITEMS

The Company has recorded an impairment loss for investment and advance in a joint venture- Andal East Coal Company Pvt. Ltd, amounting to ₹ 669.25 Lakhs.

30 EARNING PER SHARE

Basic and Diluted EPS amounts are calculated by dividing the profit / (Loss) for the year attributable to equity holders of the company by the weighted average number of Equity shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the profit / (Loss) attributable to equity holders of the company by the weighted average number of Equity shares outstanding during the year plus the weighted average number of Equity shares that would be issued on conversion of all the dilutive potential Equity shares into Equity shares.

The following reflects the income and share data used in the basic and diluted EPS computations:

Particulars	31st March 2017	31st March 2016
Profit / (Loss) attributable to equity holders of the Company:		
Continuing operations	(361,484.92)	(344,054.81)
Discontinued operations	-	-
Profit / (Loss) attributable to equity holders for basic earnings	**(361,484.92)**	**(344,054.81)**
Dilution effect	-	-
Profit / (Loss) attributable to equity holders adjusted for dilution effect	**(361,484.92)**	**(344,054.81)**
Weighted Average number of equity shares used for computing Earning Per Share (Basic & Diluted) *	**226514746**	**226514746**

* There have been no other transactions involving Equity shares or potential Equity shares between the reporting date and the date of authorisation of these financial statements.

Earning Per Share

Particulars	31st March 2017	31st March 2016
Basic and diluted (₹)	(159.59)	(151.89)
Face value per share (₹)	2.00	2.00

31 TAX RECONCILIATION

(a) Income tax expense:

The major components of income tax expenses for the year ended March 31, 2017 and March 31, 2016 are as follows:

(i) Profit and loss section

Particulars	For the year ended March 31, 2017	For the year ended March 31, 2016
Current tax expense	-	-
Deferred tax expense	(62,396.54)	(86,426.96)
Total income tax expense recognised in statement of Profit & Loss	**(62,396.54)**	**(86,426.96)**

(ii) OCI Section

Particulars	For the year ended March 31, 2017	For the year ended March 31, 2016
Deferred Tax (Asset) / Liability on remeasurement of defined benefit plans	(44.07)	45.47
Unrealised (gain)/loss on FVTOCI equity securities	-	-
Income tax charged to OCI	**(44.07)**	**45.47**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

(b) Reconciliation of tax expense and the accounting profit multiplied by India's domestic tax rate for 31st March 2017 and 31st March 2016:

Particulars	31st March 2017	31st March 2016
Accounting profit before tax from continuing operations	(412,588.18)	(419,468.21)
Accounting profit before tax from discontinuing operations	-	-
Accounting profit before income tax	**(412,588.18)**	**(419,468.21)**
At India's statutory income tax rate of 34.608% (31st March 2016: 34.608%)	-	-
Adjustments in respect of current income tax of previous years	-	-
Non-deductible expenses for tax purposes:		
Other non-deductible expenses	-	-
	-	-
At the effective income tax rate of 34.608% (31st March 2016: 34.608%)	-	-
Income tax expense reported in the statement of profit and loss	-	-

Particulars	As at 1st April, 2015	Provided during the Year (2015-16)	As at 31st March, 2016	Provided during the Year (2016-17)	As at 31st March, 2017
Deferred tax liability:					
Related to Fixed Assets (Depreciation)	138,933.41	(55,058.91)	83,874.50	(13,437.39)	70,437.11
Fair valuation of Property Plant and Equipment	445,219.04	8,094.89	453,313.93	-	453,313.93
Total deferred tax liability (A)	**584,152.45**	**(46,964.02)**	**537,188.43**	**(13,437.39)**	**523,751.04**
Deferred tax asets:					
Carry forward Business Loss / Unabsorbed Depreciation	-	39,606.83	39,606.83	7,286.37	46,893.20
Provision for Doubtful Debts	606.33	398.61	1,004.94	1,096.12	2,101.06
Section 43B Disallowances etc.	-	-	-	41,436.83	41,436.83
Others	2,572.53	(587.97)	1,984.56	(816.10)	1,168.46
Total deferred tax assets (B)	**3,178.86**	**39,417.47**	**42,596.33**	**49,003.22**	**91,599.55**
Deferred Tax Liability (Net) (A - B)	**580,973.59**	**(86,381.49)**	**494,592.10**	**(62,440.61)**	**432,151.49**

The Company offsets tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same tax authority.

(c) Deferred Tax (Assets) / Liabilities

Significant components of deferred tax (assets) / liabilities recognised in the financial statements are as follows:-

Particulars	31st March 2017	31st March 2016	1st April, 2015
Deferred Tax Liabilities (net)	432,151.49	494,592.10	580,973.59
Less: Mat Credit Entitlement	80,605.55	80,605.55	80,605.55
Total	**351,545.94**	**413,986.55**	**500,368.04**

32 EMPLOYEE BENEFITS

Defined Contribution Plans - General Description

Provident Fund: During the year, the company has recognised ₹ 584.58 lakhs (2015-16: ₹ 573.82 lakhs) as contribution to Employee Provident Fund in the Statment of Profit and Loss (Refer Note 24).

Defined Benefit Plans - General Description

Gratuity: Each employee rendering continuous service of 5 years or more is entitled to receive gratuity amount equal to 15/26 of the monthly emoluments for every completed year of service subject to maximum of ₹ 10 Lakhs at the time of separation from the company.

Other long-term employee benefits - General Description

Leave Encashment: Each employee is entitled to get 15 days earned leaves for each completed year of service. Encashment of earned leaves is allowed during service leaving a minimum balance of 60 days subject to maximum accumulation up to 60 days. In addition, each employee is entitled to get 7 days sick leaves during the year.

The following tables summarise the components of net benefit expense recognised in the statement of profit & loss and the funded status and amounts recognised in the balance sheet for the respective plans:

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Changes in the present value of the defined benefit obligation are, as follows:

Particulars	Gratuity Funded	Leave Encashment Unfunded
Defined benefit obligation at 1st April 2015	2950.09	1578.36
Current service cost	451.46	291.24
Interest expense	236.01	126.27
Benefits paid	(227.76)	(165.27)
Actuarial (gain)/ loss on obligations - OCI	61.01	(164.31)
Defined benefit obligation at 31st March 2016	3470.81	1666.29
Current service cost	530.67	288.03
Interest expense	277.66	133.30
Past service cost	297.75	0.00
Benefits paid	(254.35)	(236.88)
Actuarial (gain)/ loss on obligations - OCI	77.09	48.80
Defined benefit obligation at 31st March 2017	**4399.63**	**1899.54**

Changes in the fair value of plan assets are, as follows:

Particulars	Gratuity Funded
Fair Value of plan assets at 1st April 2015	1,680.36
Contribution by employer	-
Contribution by Employees	-
Interest income	-
Benefits paid	(227.76)
Expected return on plan assets	134.42
Return on plan assets (excluding amounts included in net interest expense) - OCI	29.84
Fair Value of plan assets at 31st March 2016	1,616.86
Contribution by employer	302.00
Contribution by Employees	-
Interest income	-
Benefits paid	(254.35)
Expected Return on plan assets	129.35
Return on plan assets (excluding amounts included in net interest expense) - OCI	(1.44)
Fair Value of plan assets at 31st March 2017	**1,792.42**

Break up of fair value of Plan Assets

Particulars	31st March 2017	31st March 2016
- SBI Life	900.34	1,038.35
- LIC	478.27	244.90
- PNB Metlife	340.10	333.61
- Trust	73.71	0.00
Total	**1,792.42**	**1,616.86**

Reconciliation of fair value of plan assets and defined benefit obligation:

Particulars	Gratuity Funded	Leave Encashment Unfunded
Fair value of plan assets at 1st April 2015	1,680.36	0.00
Defined benefit obligation at 1st April 2015	2,950.09	1,578.36
Amount recognised in the Balance Sheet at 1st April 2015	**(1,269.73)**	**(1,578.36)**
Fair value of plan assets at 31st March 2016	1,616.86	0.00
Defined benefit obligation at 31st March 2016	3,470.81	1,666.29
Amount recognised in the Balance Sheet at 31st March 2016	**(1,853.95)**	**(1,666.29)**
Fair value of plan assets at 31st March 2017	1,792.42	0.00
Defined benefit obligation at 31st March 2017	4,399.63	1,899.54
Amount recognised in the Balance Sheet at 31st March 2017	**(2,607.21)**	**(1,899.54)**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Amount recognised in Statement of Profit and Loss:

Particulars	Gratuity Funded	Leave Encashment Unfunded
Current service cost	530.67	288.03
Net interest expense	277.66	133.30
Remeasurement of Net Benefit Liability/ Asset	77.09	48.80
Amount recognised in Statement of Profit and Loss for year ended 31st March 2017	**885.42**	**470.13**
Current service cost	451.46	291.24
Net interest expense	236.01	126.27
Remeasurement of Net Benefit Liability/ Asset	61.01	(164.31)
Amount recognised in Statement of Profit and Loss for year ended 31st March 2016	**748.48**	**253.20**

Amount recognised in Other Comprehensive Income

Particulars	Gratuity Funded	Leave Encashment Unfunded
Actuarial (gain)/ loss on obligations	77.09	48.80
Return on plan assets (excluding amounts included in net interest expense)	1.44	0.00
Amount recognised in Other Comprehensive Income for year ended 31st March 2017	**78.53**	**48.80**
Actuarial (gain)/ loss on obligations	61.01	(164.31)
Return on plan assets (excluding amounts included in net interest expense)	(29.84)	0.00
Amount recognised in Other Comprehensive Income for year ended 31st March 2016	**31.17**	**(164.31)**

The principal assumptions used in determining gratuity and leave encashment obligations for the Company's plans are shown below:

Particulars	31st March 2017	31st March 2016	1st April 2015
Gratuity	7.54%	8%	8%
Leave Encashment	7.54%	8%	8%
Salary Escalation (in %)			
Gratuity	5%	5%	5%
Leave Encashment	5%	5%	5%
Rate of return in plan assets (in %)			
Gratuity	8%	8%	8%
Leave Encashment	-	-	-
Expected average remaining working lives of employees (in years)			
Gratuity	24	24	24
Leave Encashment	24	24	24

A quantitative sensitivity analysis for significant assumption as at 31st March 2017 is as shown below:

Gratuity

	31st March 2017					
Assumptions	**Discount rate**		**Salary escalation**		**Expected average remaining working lives of employees**	
Sensitivity Level	+ 0.5%	(0.5%)	+ 0.5%	(0.5%)		
	₹ Lacs	₹ Lacs	₹ Lacs	₹ Lacs	₹ Lacs	₹ Lacs
Impact on defined benefit obligation	(89.74)	93.90	95.76	(92.30)	Not material	Not material

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Leave Encashment

	31st March 2017					
Assumptions	Discount rate		Salary escalation		Expected average remaining working lives of employees	
Sensitivity Level	+ 0.5%	(0.5%)	+ 0.5%	(0.5%)		
	₹ Lacs	₹ Lacs	₹ Lacs	₹ Lacs	₹ Lacs	₹ Lacs
Impact on defined benefit obligation	(92.83)	9.85	10.90	(94.25)	Not material	Not material

The sensitivity analyses above have been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period.

The following payments are expected contributions to the defined benefit plan (Gratuity) in future years:

	31st March 2017	31st March 2016	1st April 2015
	₹ Lacs	₹ Lacs	₹ Lacs
Within the next 12 months (next annual reporting period)	839.09	775.46	623.49
Between 2 and 5 years	1,384.21	1,047.89	890.68
Between 5 and 10 years	1,305.80	983.14	835.64
Beyond 10 years	870.53	664.32	600.27
Total expected payments	4,399.63	3,470.81	2,950.08

33 DUES TO MICRO, SMALL AND MEDIUM ENTERPRISES

The dues to Micro, Small and Medium Enterprises as required under the Micro, Small and Medium Enterprises Development Act, 2006 to the extent information available with the company is given below:

Particulars		31st March 2017	31st March 2016	1st April 2015
(a)	The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of each accounting year			
	Principal amount due to micro and small enterprises	323.45	404.62	539.03
	Interest due on above	-	-	-
(b)	The amount of interest paid by the buyer in terms of section 16 of the MSMED Act 2006 along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year	-	-	-
(c)	The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act 2006.	-	-	-
(d)	The amount of interest accrued and remaining unpaid at the end of each accounting year	-	-	-
(e)	The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under section 23 of the MSMED Act 2006	-	-	-

34 SEGMENT REPORTING

The business activity of the company falls within one broad business segment viz. "Steel" and substantially sale of the product is within the country. The Gross income and profit from the other segment is below the norms prescribed in Ind AS 108. Hence the disclosure requirement of Indian Accounting Standard 108 of "Segment Reporting" issued by the Institute of Chartered Accountants of India is not considered applicable.

35 RELATED PARTY DISCLOSURES

Names of related parties and description of relationship

Name of the related party Relationship

A Relationship

i) Associate Company:

Angul Sukinda Railway Ltd. (Shares forfeited, no more associate)

Bhushan Energy Ltd.

Bhushan Capital & Credit Services Pvt. Ltd.

Jawahar Credit & Holdings Pvt. Ltd.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

ii) Key Managerial Personnel

Shri Neeraj Singal	Vice Chairman and Managing Director	Smt. Sunita Sharma (L.I.C.)	Independent Director
Shri Nittin Johari	Whole time Director	Shri M V Suryanrayana	Independent Director
Shri P.K. Aggarwal	Whole time Director	Smt. Monica Aggarwal	Independent Director
Shri Rahul Sengupta	Whole time Director	Shri Pankaj Sharma	Independent Director
Shri Ajoy Kumar (SBI)	Independent Director	Dr.Rajesh Yaduvanshi (PNB)	Independent Director
Shri Ashwani Kumar	Independent Director	Shri Pradeep Patni	Independent Director
Shri B.B.Tandon	Independent Director	Smt. Promila Bhardwaj	Independent Director
Shri Kapil Vaish	Independent Director	Shri Rakesh Singhal	Independent Director
Shri Vipin Anand (L.I.C.)	Independent Director	Shri Sahil Goyal	Independent Director

iii) Relatives of Key Management Personnel

Shri B.B. Singal	Non Executive Chairman & Father of Vice Chairman & Managing Director
Smt. Ritu Singal	Wife of Vice Chairman & Managing Director

iv) Enterprises over which Key Management Personnel are able to exercise significant influence

Bhushan Aviation Ltd. Bhushan Infrastructre Pvt. Ltd.

v) Enterprises over which relatives of Key Management Personnel are able to exercise significant influence

Bhushan Power & Steel Limited

B Transactions carried out with related parties referred in (A) above, in ordinary course of business:

PARTICULARS		Associates	Key Management Personnel (KMP)	Relatives of KMP	Enterprises over which KMP & their relatives have significant influence	Grand Total
Remuneration and Perks	**31-Mar-17**	-	486.25	101.46	-	587.71
	31-Mar-16	-	476.47	95.31	-	571.78
Directors Sitting Fees	**31-Mar-17**	-	14.93	6.25	-	21.18
	31-Mar-16	-	12.60	8.82	-	21.42
Redemption of Preference Share Capital	**31-Mar-17**	-	-	-	2,133.00	2,133.00
	31-Mar-16	-	11,022.03	6,654.00	2,088.00	19,764.03
Purchase of Goods/ Services	**31-Mar-17**	60,435.38	-	-	1,470.00	61,905.38
	31-Mar-16	62,172.38	-	-	1,853.00	64,025.38
Sales of Goods/ Services	**31-Mar-17**	-	-	-	1.12	1.12
	31-Mar-16	7031.28	-	-	3,918.62	10,949.90
Investment written off	**31-Mar-17**	-	-	-	-	-
	31-Mar-16	1,000.00	-	-	-	1,000.00
OUTSTANDINGS						
Trade Receivable	**31-Mar-17**	-	-	-	-	-
	31-Mar-16	-	-	-	35.08	35.08
	1-Apr-15	-	-	-	-	-
Other Receivable	**31-Mar-17**	-	-	-	-	-
	31-Mar-16	-	-	-	24.55	24.55
	1-Apr-15	-	-	-	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

PARTICULARS		Associates	Key Management Personnel (KMP)	Relatives of KMP	Enterprises over which KMP & their relatives have significant influence	Grand Total
Advance to Supplier	**31-Mar-17**	24,171.70	-	-	-	24,171.70
	31-Mar-16	-	-	-	-	-
	1-Apr-15	-	-	-	-	-
Payable	**31-Mar-17**		22.04	-	616.46	638.50
	31-Mar-16	511.69	22.23	1.98	99.07	634.97
	1-Apr-15	425.25	17.03		174.55	616.83
Security Deposit Paid	**31-Mar-17**	-	-	-	-	-
	31-Mar-16	9,000.00	-	-	-	9,000.00
	1-Apr-15	9,000.00	-	-	-	9,000.00
Provision for diminution of Investment/ advance	**31-Mar-17**	-	-	-	-	-
	31-Mar-16	-	-	-	-	-
	1-Apr-15	1,000.00	-	-	-	1,000.00

Disclosure in Respect of Material Related Party Transactions during the year:

1. Remuneration & Perks include payment to Shri Neeraj Singal ₹ 145.83 Lacs (Pre. Year ₹ 146.07 Lacs), Shri P.K.Aggarwal ₹99.62 Lacs (Pre. Year ₹ 95.92 Lacs), Shri Nittin Johari ₹141.40 Lacs (Pre. Year ₹ 138.78 Lacs), Shri Rahul Sengupta ₹ 99.40 Lacs (Pre. Year ₹ 95.70 Lacs), and Smt. Ritu Singal ₹ 101.46 Lacs (Pre. Year ₹ 95.31 Lacs).

2. Directors sitting fees is paid to Shri B.B.Singal ₹ 6.25 Lakhs (31st March 2016: ₹ 8.82 Lakhs), Shri Ajoy Kumar (SBI) ₹ 1.01 Lakhs (31st March 2016: ₹ 1.00 Lakhs), Shri Ashwani Kumar ₹ 2.22 Lakhs (31st March 2016: ₹ 1.80 Laks), Shri B. B. Tondon ₹ 2.82 Lakhs (31st March 2016: ₹ 2.00 Laks), Shri Kapil Vaish ₹ 0.81 Lakhs (31st March 2016: ₹ 1.0 Lakhs), Shri Vipin Anand(LIC) ₹ 0.61 Lakhs (31st March 2016: ₹ 0.60 Lakhs), Shri M V Suryanarayana ₹ 2.62 Lakhs (31st March 2016: ₹ 2.40 Lakhs), Smt. Monica Aggarwal ₹ 0.40 Lakhs (31st March 2016: ₹ Nil), Shri Pankaj Sharma ₹ 0.81 Lakhs (31st March 2016: ₹ 1.0 Lakh),i Dr. Rajesh Yaduvanshi (PNB) ₹ 0.61Lakhs (31st March 2016: ₹ 0.80 Lakhs), Shri Pradeep Patni ₹ 0.40 Lakhs (31st March 2016: ₹ 0.20 Lakhs), Smt. Promila Bhardwaj ₹ 0.20 Lakhs (31st March 2016: ₹ Nil), Shri Rakesh Singhal ₹ 1.21 Lakhs (31st March 2016: ₹ 1.0 Lakh) and Shri Sahil Goyal ₹ 1.21 Lakhs (31st March 2016: ₹ 0.80 Lakh).

3. Redemption of Preference Share Capital includes Bhushan Infrastructure Private Limited ₹ 2133.00 Lakhs (31 March 2016: ₹ 2088.00 Lakhs), Shri Neeraj Singhal Rs Nil (31 March 2016: Rs 11022.03 Lakhs) and Shri Brij Bhushan Singhal Rs Nil (31 March 2016 Rs 6654.00 Lakhs)

4. Purchase of Goods/Services is from Bhushan Energy Ltd. ₹ 60435.38 Lacs (Pre. Year ₹ 62172.38 Lacs), Bhushan Aviation Ltd. ₹ 1470.00 Lacs (Pre.Year ₹ 1512.00 Lacs) and Bhushan Power & Steel Limited ₹ Nil (Pre. Year ₹ 341.00 Lacs).

5. Sale of Goods/Services to Bhushan Energy Ltd.Nil (Pre. Year ₹ 7031.28 Lacs) and Bhushan Power & Steel Limited ₹ 1.12 Lacs (Pre. Year ₹ 3918.62 Lacs).

6. Investment written off in case of Angul Sukinda Railway Ltd. amounting of ₹ Nil (Pre. Year ₹ 1000.00 Lacs).

Terms and conditions of transactions with related parties

The sales to and purchases from related parties are made on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31st March 2017, the Company has not recorded any impairment of receivables relating to amounts owed by related parties (31st March 2016: Nil, 1st April 2015: Nil). This assessment is undertaken in each financial year through examining the financial position of the related party and the market in which the related party operates.

Details relating to remuneration of Key Management Personnel

Year	Short-term employment benefits	Sitting fee	Long term employment benefits	Termination benefits
Year ended 31st March 2017	486.25	14.93	-	-
Year ended 31st March 2016	476.47	12.60	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

36 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

JUDGEMENTS

In the process of applying the company's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements:

Contingencies

Contingent liabilities may arise from the ordinary course of business in relation to claims against the Company, including legal, contractor, land access and other claims. By their nature, contingencies will be resolved only when one or more uncertain future events occur or fail to occur. The assessment of the existence, and potential quantum, of contingencies inherently involves the exercise of significant judgement and the use of estimates regarding the outcome of future events

ESTIMATES AND ASSUMPTIONS

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the company. Such changes are reflected in the assumptions when they occur.

Impairment of non-financial asset

Impairment exists when the carrying value of an asset or cash generating unit (CGU) exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow (DCF) model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Company is not yet committed to or significant future investments that will enhance the assets' performance of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

Taxes

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

Defined benefit plans and other long term benefit plan (gratuity and leave encashment)

The cost and present value of the defined benefit gratuity plan and leave encashment (other long term benfit plan) are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation and other long term benefits are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The parameter most subject to change is the discount rate. In determining the appropriate discount rate for plans operated in India, the management considers the interest rates of government bonds in currencies consistent with the currencies of the post-employment benefit obligation. For plans operated outside India, the management considers the interest rates of high quality corporate bonds in currencies consistent with the currencies of the post-employment benefit obligation with at least an 'AA' rating or above, as set by an internationally acknowledged rating agency, and extrapolated as needed along the yield curve to correspond with the expected term of the defined benefit obligation. The underlying bonds are further reviewed for quality. Those having excessive credit spreads are excluded from the analysis of bonds on which the discount rate is based, on the basis that they do not represent high quality corporate bonds.

The mortality rate is based on publicly available mortality tables for the specific countries. Those mortality tables tend to change only at interval in response to demographic changes. Future salary increases and gratuity increases are based on expected future inflation rates for the respective countries.

Further details about gratuity obligations and leave encashment are given in Note 32.

Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the DCF model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments. See Note 38 and 39 for further disclosures.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

37 DISCLOSURE OF INTEREST IN SUBSIDIARIES, JOINT ARRANGEMENTS AND ASSOCIATES:

1) Disclosure of Interest in the following subsidiaries:

Name		Country of Incorporation	Ownership Interest of Bhushan Steel Limited (%)			Method used to account for investments
			31st March 2017	31st March 2016	1st April 2015	
(i)	Bhushan Steel (Orissa) Limited	India	100.00%	100.00%	100.00%	Cost
(ii)	Bhushan Steel Madhya Bharat Limited	India	100.00%	100.00%	100.00%	Cost
(iii)	Bhushan Steel (South) Limited	India	100.00%	100.00%	100.00%	Cost
(iv)	Bhushan Steel Australia Pty Limited	Australia	90.97%	90.97%	90.97%	Cost

2) Disclosure of Interest in Joint Venture:

Name		Country of Incorporation	Ownership Interest of Bhushan Steel Limited (%)			Method used to account for investments
			31st March 2017	31st March 2016	1st April 2015	
(i)	Andal East Coal Company Private Limited	India	33.89%	33.89%	33.89%	Equity

3) Disclosure of Interest in the following Associates:

Name		Country of Incorporation	Ownership Interest of Bhushan Steel Limited (%)			Method used to account for investments
			31st March 2017	31st March 2016	1st April 2015	
(i)	Bhushan Energy Limited	India	47.71%	47.71%	47.71%	Equity
(ii)	Bhushan Capital & Credit Services Private Limited	India	42.58%	42.58%	42.58%	Equity
(iii)	Jawahar Credit & Holdings Private Limited	India	39.65%	39.65%	39.65%	Equity

38 SET OUT BELOW, IS A COMPARISON BY CLASS OF THE CARRYING AMOUNTS AND FAIR VALUE OF THE COMPANY'S FINANCIAL INSTRUMENTS, OTHER THAN THOSE WITH CARRYING AMOUNTS THAT ARE REASONABLE APPROXIMATIONS OF FAIR VALUES:

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs
Financial assets						
Measured at amortised cost						
Loans	20,105.32	20,105.32	18,106.65	18,106.65	20,248.88	20,248.88
Other financial Assets	57,488.55	57,488.55	61,666.47	61,666.47	68,572.80	68,572.80
Trade receivables	152,555.10	152,555.10	118,197.33	118,197.33	112,530.11	112,530.11
Cash and cash equivalents	12,577.69	12,577.69	3,233.01	3,233.01	7,822.54	7,822.54
Bank balances other than cash and Cash equivalents	3,002.70	3,002.70	13,153.87	13,153.87	1,006.45	1,006.45
Total Financial assets at amortised cost (A)	**245,729.36**	**245,729.36**	**214,357.33**	**214,357.33**	**210,180.78**	**210,180.78**
Financial Assets						
Measured at fair value through other Comprehensive Income						
Non Current Investments	95.79	95.79	73.97	73.97	73.63	73.63
Total financial assets at fair value through other comprehensive Income (B)	**95.79**	**95.79**	**73.97**	**73.97**	**73.63**	**73.63**
Financial Assets						
Measured at fair value through Profit and Loss						

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Particulars	31st March 2017		31st March 2016		1st April 2015	
	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs	Carrying Value ₹ Lakhs	Fair Value ₹ Lakhs
Current Investment	-	-	2.58	2.58	2.06	2.06
Total financial assets at fair value through profit and loss (C)	**-**	**-**	**2.58**	**2.58**	**2.06**	**2.06**
Total financial assets (A+B+C)	**245825.15**	**245825.15**	**214433.88**	**214433.88**	**210256.47**	**210256.47**
Financial liabilities						
Long term borrowings	3,057,955.30	3,057,955.30	3,229,884.23	3,229,884.23	3,092,772.22	3,092,772.22
Short term borrowings	1,568,367.78	1,568,367.78	1,493,652.30	1,493,652.30	1,403,176.53	1,403,176.53
Trade payables	110,999.17	110,999.17	117,645.49	117,645.49	273,938.82	273,938.82
Other financial liabilities	1,046,650.50	1,046,650.50	466,394.66	466,394.66	209,643.49	209,643.49
Total	**5,783,972.75**	**5,783,972.75**	**5,307,576.68**	**5,307,576.68**	**4,979,531.06**	**4,979,531.06**

The management assessed that cash and cash equivalents, other bank balances, trade receivables and trade payables approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

The following methods and assumptions were used to estimate the fair values:

- Long-term fixed-rate and variable-rate receivables/Borrowings are evaluated by the company based on parameters such as interest Rates, specific country risk factors, individual creditworthiness of the customer and the risk characteristics of the financed project.Based on this evaluation, allowances are taken into account for the expected credit losses of these receivables.
- The fair values of the Company's interest-bearing borrowings and loans are determined by using DCF method using discount rate that reflects the issuer's borrowing rate as at the end of the reporting period.

39 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Financial Risk Management Framework

The Company's principal financial liabilities, other than derivatives, comprise loans and borrowings, trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations. The Company's principal financial assets include loans, trade and other receivables, and cash and cash equivalents that derive directly from its operations. The Company also holds FVTOCI investments and enters into derivative transactions.

Bhushan Steel Limited is exposed primarily to Credit Risk, Liquidity Risk and Market risk (fluctuations in foreign currency exchange rates and interest rate), which may adversely impact the fair value of its financial instruments. The Company assesses the unpredictability of the financial environment and seeks to mitigate potential adverse effects on the financial performance of the Company.

A. Credit Risk

Credit risk is the risk or potential of loss that may occur due to failure of borrower/counterparty to meet the obligation on agreed terms and conditions of the financial contract. Credit risk arises from financial assets such as cash and cash equivalents, loans, trade receivables, derivative financial instruments and financial guarantees. The company have a credit risk management policy in place to limit credit losses due to non-performance of financial counterparties and customers. We monitor our exposure to credit risk on an ongoing basis at various levels. We only deal with financial counterparties that have a sufficiently high credit rating.

Trade receivables:

The Company routinely assesses the financial strength of its customers and, as a consequence, believes that its trade receivable credit risk exposure is limited. The management of the company regularly evaluate the individual customer receivables. This evaluation takes into consideration a customer's financial condition and credit history, as well as current economic conditions. Trade receivables are written off when deemed uncollectible. Recoveries of trade receivables previously written off are recorded when received. Further the company also mitigate the risk of trade receivables by taking letter of credit and bank guarantees from the banks. The company regularly track the outstanding trade receivables and proper action is taken by the company for collection of overdue trade receivables.

Cash and cash equivalents, derivatives and financial guarantees

All of our cash equivalents and short-term available-for-sale investments are carried at fair value. Cash and cash equivalents are deposited with financial institutions that management believes are of high credit quality and accordingly, minimal credit risk exists. Our short-term investments consist of corporate equity securities (common stock), with unrealized gains and losses recorded in accumulated other comprehensive income. The company mitigates the credit risk of its derivative and financial instruments by dealing with nationalized banks and reputed private banks with high credit rating.

B. Liquidity Risk

Liquidity risk refers to the probability of loss arising from a situation where there will not be enough cash and/or cash equivalents to meet the needs of depositors and borrowers, sale of illiquid assets will yield less than their fair value and illiquid assets will not be sold at the desired time due to lack of buyers. The primary objective of liquidity management is to provide for sufficient cash and cash equivalents at all times and any place in the world to enable us to meet our payment obligations. Currently the company is facing liquidity crises due to huge interest

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

cost.

The below table is based on the earliest date on which the company required to pay :

Year ended 31st March 2017:

Particulars	< 1 year	1-3 years	> 3 years	Total
Financial Liabilities				
Long term borrowings	398,513.26	353,360.00	2,708,172.64	3,460,045.90
Short term borrowings	1,568,367.78	-	-	1,568,367.78
Trade payables	110,999.17	-	-	110,999.17
Other financial liabilities	1,042,847.61	-	3,802.89	1,046,650.50
Total financial liabilities	**3,120,727.82**	**353,360.00**	**2,711,975.53**	**6,186,063.35**

Year ended 31st March 2016:

Particulars	< 1 year	1-3 years	> 3 years	Total
Financial Liabilities				
Long term borrowings	213,164.92	299,806.00	2,932,796.13	3,445,767.05
Short term borrowings	1,493,652.30	-	-	1,493,652.30
Trade payables	117,645.49	-	-	117,645.49
Other financial liabilities	463,574.57	-	2,820.09	466,394.66
Total financial liabilities	**2,288,037.28**	**299,806.00**	**2,935,616.22**	**5,523,459.50**

Year ended 31st March 2015:

Particulars	< 1 year	1-3 years	> 3 years	Total
Financial Liabilities				
Long term borrowings	53,789.00	140,667.00	2,953,255.01	3,147,711.01
Short term borrowings	1,403,176.53	-	-	1,403,176.53
Trade payables	273,938.82	-	-	273,938.82
Other financial liabilities	207,193.40	-	2,450.09	209,643.49
Total financial liabilities	**1,938,097.75**	**140,667.00**	**2,955,705.10**	**5,034,469.85**

C. Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: interest rate risk, currency risk and other price risk, such as equity price risk and commodity risk. Financial instruments affected by market risk include loans and borrowings, deposits, FVTOCI investments and derivative financial instruments.

The sensitivity analyses in the following sections relate to the position as at 31st March 2017 and 31st March 2016.

The sensitivity analyses have been prepared on the basis that the amount of net debt, the ratio of fixed to floating interest rates of the debt and derivatives and the proportion of financial instruments in foreign currencies are all constant and on the basis of hedge designations in place at 31st March 2017.

The analyses exclude the impact of movements in market variables on the carrying values of gratuity and other post-retirement obligations; provisions and the non-financial assets.

The following assumptions have been made in calculating the sensitivity analyses:

- The sensitivity of the relevant profit & loss item is the effect of the assumed changes in respective market risks. This is based on the financial assets and financial liabilities held at 31st March 2017 and 31st March 2016: including the effect of hedge accounting

Interest rate risk

The company is financed by both the fixed and floating interest rate debt in order to obtain more efficient leverage. Fixed rate debt results in fair value interest rate risk. Floating rate debt results in cash flow interest rate risk. The company has open to interest rate risk with changes in LIBOR and lending base rate of the banks. The company has taken both interest rate risk debts for managing its liquidity and day to day requirement of the funds.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

The below table depicts the breakup of company's floating rate and fixed rate borrowings:

Particulars	31st March 2017	31st March 2016	1st April 2015
Fixed rate borrowing	400,705.52	409,848.37	490,516.84
Floating rate borrowing	4,627,708.16	4,529,570.98	4,060,370.70
Total borrowings	**5,028,413.68**	**4,939,419.35**	**4,550,887.54**
Total Net borrowings	5,024,836.34	4,936,701.45	4,550,887.54
Add- Upfront fee	3,577.34	2,717.90	-
Total Borrowings	**5,028,413.68**	**4,939,419.35**	**4,550,887.54**

The sensitivity analysis is determined on the basis of interest rates on floating liabilities. The outstanding liabilities at the year end are considered as a base for the whole year.

If all the other variable factors remain constant, the changes in 100 basis points in the interest rate (up and down), the results are in the below table.

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Floating rate borrowings	46,277.08	45,295.71	(46,277.08)	(45,295.71)

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Compny's operating activities (when revenue or expense is denominated in a foreign currency). The exposure of entity to foreign currency risk is very limited on account of limited transactions in foreign currency.

Foreign currency sensitivity

The following tables demonstrate the sensitivity to a reasonably possible change in USD, Euro, JPY and GBP exchange rates, with all other variables held constant. The impact on the Company's profit before tax is due to changes in the fair value of monetary assets and liabilities including non-designated foreign currency derivatives and embedded derivatives. The impact on the Company's pre-tax equity is due to changes in the fair value of forward exchange contracts designated as cash flow hedges and net investment hedges. The Company's exposure to foreign currency changes for all other currencies is not material.

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in USD Rate (5%)	(39,146.06)	(37,892.52)	39,146.06	37,892.52

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in EUR Rate (5%)	(12,059.94)	(13,154.00)	12,059.94	13,154.00

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in GBP Rate (5%)	(15.99)	5.33	15.99	(5.33)

Particulars	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Change in JPY Rate (5%)	(19.51)	(292.76)	19.51	292.76

Commodity price risk

Commodity price risk is the threat that a change in the price of a production input will adversely impact a producer who uses that input. Factors that can affect commodity prices include political and regulatory changes, seasonal variations, weather, technology and market conditions.

Our company is basically engaged in primary and secondary steel market and the company's turnover depends on the market risk of price volatility of the steel products. The prices of the steel are determined by the market factors. The revenue/price of the steel products of the company are basically impacted by the cost of raw material inputs, production cost, demand & supply of the steel products and international and regional markets conditions. Any positive and negative changes in any of the above factors can increase and reduce the revenue of the company generating from the steel products.

Further all the raw material inputs like coking coal, iron ore etc. are subject to fluctuations in prices because majority of the raw materials are procured from the third party in the open markets.

The company sell its steel products at the current market prices and the prices can be up and down depends on the market scenario and demand and supply of the steel products. The prices of the raw material also depend on the market forces. Mostly the sale prices of the steel and cost of raw material moves in the same direction.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

The below table represents the sensitivity to 5% movement in the prices of iron ore and coking coal. The sensitivity analysis includes 5% change in input prices for raw material consumed during the years when all other variable factors remain constant. In the below table negative number shows decrease in Cost and positive number shows increase in Cost.

Raw material	Increase		Decrease	
	31st March 2017	31st March 2016	31st March 2017	31st March 2016
Coking coal and coke	15,714.00	10,927.00	(15,714.00)	(10,927.00)
Iron ore (including pallets)	8,011.00	7,458.00	(8,011.00)	(7,458.00)

40 CAPITAL MANAGEMENT

For the purpose of the Company's capital management, capital includes issued equity capital, share premium and all other equity reserves attributable to the equity holders of the parent. The primary objective of the Company's capital management is to maximise the shareholder's value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

In order to achieve this overall objective, the Company's capital management, amongst other things, aims to ensure that it meets financial covenants attached to the interest-bearing loans and borrowings that define capital structure requirements.

No changes were made in the objectives, policies or processes for managing capital during the years ended 31st March 2017 and 31st March 2016.

41

In compliance of amended clause 32 of the Listing Agreement with the Stock Exchanges, the required information is given as under:

Particulars	Amount as on		
	31st March 2017	31st March 2016	1st April 2015
I. Loans and Advances in the nature of loans:			
A) To Subsidiary Companies	-	-	-
B) To Associates /Joint Venture	-	-	-
C) To Firms/Companies in which directors are interested	-	-	-
D) Where there is no repayment schedule or repayment beyond seven year or no interest or interest below section 186 of Companies Act, 2013.	-	-	-
II. Investment by the loanee (as detailed above) in the shares of HFL and its subsidiaries	-	-	-

42 COMMITMENTS AND CONTINGENCIES

A. Leases

(i) Operating lease- As a lessor

The Company has entered into lease agreements, for renting:

- Roof area at Khopoli plant for Cellphone rooftop tower. Rent received w.r.t. same amounts to ₹ 4.14 Lakhs for the year ended 31st March 2017 (31st March 2016: ₹ 3.81 Lakhs)
- Others (including factory premises let for ATM, convinience store) amounts to ₹ 10.61 Lakhs for the year ended 31st March 2017 (31st March 2016: ₹ 7.90 Lakhs)

(ii) Lease rentals charged to expense:

Particulars	For the year ended March 31, 2017	For the year ended March 31, 2016
Corporate office and warehouses etc.	26,415.97	22,931.01

(iii) Lease Rentals charged to the Statement of profit and loss and maximum obligations on long term non-cancellable operating leases payable as per the rentals stated in the respective lease agreements.

	31st March 2017	31st March 2016	1st April 2015
Within one year	10,911.00	9,888.00	8,459.00
After one year but not more than five years	55,275.00	50,245.00	45,723.00
More than five years	59,416.00	75,239.00	89,624.00

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

B. Contingent Liabilities

	31st March 2017	31st March 2016	1st April 2015
Sales Tax	120,953.36	95,501.41	36,455.50
Excise Duty/Custom duty/ Service Tax	57,105.35	56,662.49	34,455.01
Entry tax	79,755.57	70,452.33	29,924.16
Income Tax	51,188.67	16,927.90	17,274.63
Bills discounted			10,806.35
Others	11,688.34	10,276.46	4,577.53
Claims / Disputed bills not acknowledged	22,562.00	27,577.83	-
Water conservation fund	14,333.80	11,500.00	-
	357,587.09	**288,898.42**	**133,493.18**

The management believes that the ultimate outcome of this proceeding will not have a material adverse effect on the Company's financial position and results of operations.

C. Commitments

	31st March 2017	31st March 2016	1st April 2015
i) Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	60,357.25	51,329.28	83,322.86
ii) Other commitments :			
- Outstanding guarantees issued by the banks, counter guarantee by the company including letter of credit issues	7,398.42	10,832.28	10,685.35
- For partly paid equity shares of Angul Sukinda Railway Limited	-	-	7,400.00
	67,755.67	**62,161.56**	**101,408.21**

43 Exposure to Financial and Commodity Derivatives

1. The Company has not entered into any derivative instruments to hedge their foreign currency contracts. There is no derivative contracts outstanding as on the date of balance sheet

2. Foreign currency exposure that are not hedged by a derivative instrument as at Balance Sheet are as follows

Particulars	Currency	31st March 2017			31st March 2016			1st April 2015		
		Amount in Foreign Currency	Amount in ₹	Conversion Rate	Amount in Foreign Currency	Amount in ₹	Conversion Rate	Amount in Foreign Currency	Amount in ₹	Conversion Rate
Unhedged Payables										
Acceptances	**USD**	**364.83**	**23,654.85**	**64.84**	**87.40**	**5,797.60**	**66.33**	**98.85**	**6,187.17**	**62.59**
Trade payables/ Creditors for capital goods/ Customer credit balances	USD	491.42	31,862.72	64.84	776.77	51,525.78	66.33	3,418.65	213,975.85	62.59
Loans/ Interest payables	USD	15,443.13	1,001,310.64	64.84	14,995.77	994,717.26	66.33	15,057.00	942,429.65	62.59
Unhedged Receivables										
Sale of goods	USD	490.60	31,809.99	64.84	208.97	13,861.69	66.33	220.59	13,807.11	62.59
Advances against goods/ Capital goods	USD	67.80	4,396.32	64.84	179.56	11,910.77	66.33	203.17	12,716.33	62.59

44 FIRST TIME ADOPTION OF IND AS

With effect from 1st April 2016, the Company is required to prepare its financial statements under the Indian Accounting Standards ('Ind AS') prescribed under section 133 of the Companies Act, 2013 read together with rule 3 of the Companies (Indian Accounting Standards) Rules, 2015

These financial statements, for the year ended 31st March 2017, are the first the Company has prepared in accordance with Ind AS. For periods up to and including the year ended 31st March 2016:, the Company prepared its financial statements in accordance with accounting standards notified under section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014 (Indian GAAP).

Accordingly, the Company has prepared financial statements which comply with Ind AS applicable for periods ending on 31st March 2017, together with the comparative period data as at and for the year ended 31st March 2016:, as described in the summary of significant accounting policies. In preparing these financial statements, the Company's opening balance sheet was prepared as at 1st April 2015, the Company's date of transition to Ind AS. This note explains exemptions availed by the Company in restating its Indian GAAP financial statements, including the balance sheet as at 1st April 2015 and the financial statements as at and for the year ended 31st March 2016.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Exemptions applied:

Ind AS 101 allows first-time adopters certain mandatory and voluntary exemptions from the retrospective application of certain requirements under Ind AS. The Company has applied the following exemptions:

1. Mandatory exemptions;

a) Estimates

The estimates at 1st April 2016 and at 31st March 2017 are consistent with those made for the same dates in accordance with Indian GAAP (after adjustments to reflect any differences in accounting policies) apart from the following items where application of Indian GAAP did not require estimation:

- FVTOCI – Quoted and unquoted equity shares.
- Impairment of financial assets based on expected credit loss model.

The estimates used by the Company to present these amounts in accordance with Ind AS reflect conditions at 1st April 2016, the date of transition to Ind AS and as of 31st March 2017.

b) Derecognition of financial assets:

The company has applied the de-recognition requirements in Ind AS 109 prospectively for transactions occurring on or after the date of transition to Ind AS.

c) Classification and measurement of financial assets:

i. Financial Instruments: (Loan to employees, Security deposits received and security deposits paid) :

Financial assets like loan to employees, security deposits received and security deposits paid, has been classified and measured at amortised cost on the basis of the facts and circumstances that exist at the date of transition to Ind As. Since, it is impracticable for the Company to apply retrospectively the effective interest method in Ind AS 109, the fair value of the financial asset or the financial liability at the date of transition to Ind As by applying amortised cost method, has been considered as the new gross carrying amount of that financial asset or the financial liability at the date of transition to Ind AS.

ii. Financial Instruments: (Equity shares (other than investment in subsidiary, associates and JVs):

The Company has designated unquoted and quoted equity instruments held at 1st April 2015 as fair value through OCI investments.

d) Impairment of financial assets: (Trade receivables and other financial assets)

At the date of transition to Ind As, the Company has determined that assessing whether there has been a significant increase in credit risk since the initial recognition of a financial instrument would require undue cost or effort, hence the Company has recognised a loss allowance at an amount equal to lifetime expected credit losses at each reporting date until that financial instrument is derecognised (unless that financial instrument is low credit risk at a reporting date).

2. Optional exemptions;

a) Deemed cost-Previous GAAP carrying amount: (Property, Plant and Equipment and Intangible)

The Company has elected to measure items of property, plant and equipment and intangible assets at its carrying value at the transition date except for certain class of assets which are measured at fair value as deemed cost.

b) Arrangements containing a lease:-

Appendix C to Ind AS 17 requires an entity to assess whether a contract or arrangement contains a lease. In accordance with Ind AS 17, this assessment should be carried out at the inception of the contract or arrangement. However, the Company has used Ind AS 101 exemption and assessed all arrangements based for embedded leases based on conditions in place as at the date of transition.

c) Investment in subsidiaries, Joint Ventures and Associates:

The Company has elected this exemption and opted to continue with the carrying value of investment in subsidiaries and associates, as recognised in its Indian GAAP financials, as deemed cost at the date of transition."

d) Designate of previously recognised financial instrument:

The Company has elected this exemption and opted to:

Designate an investment in equity shares as FVOCI, as per Ind AS 109, based on facts and circumstances exist on transition date.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

45 RECONCILIATION WITH PREVIOUS GAAP

A Reconciliation of equity as previously reported under Previous GAAP (IGAAP) to Ind AS as at 1st April 2015 and 31st March 2016:

S. No.	Particulars	As on 1st April 2015	As on 31st March 2016
A.	**Total equity (shareholder's fund) as per previous GAAP**	7,88,613.57	4,65,816.15
	Adjustments:		
1	Effects of change in net operating assets & liabilities due to Ind AS 101 (net of tax)	69,559.21	69,559.21
2	Additional depreciation on account of fair valuation	-	(62,992.65)
3	Reclassification of preference share capital (net of tax)	(2,71,366.71)	(2,40,928.88)
4	Sales tax deferral	5,345.99	9,656.70
5	CWIP write off in subsidiaries	(26,953.49)	(27,044.97)
6	Others	(11,762.23)	(18,091.34)
7	Deferred tax on adjustment entries due to Ind As 101	1,652.64	17,032.87
	Equity as per Ind AS	**5,55,088.98**	**2,13,007.09**

B Reconciliation of profit as previously reported under Previous GAAP (IGAAP) to Ind AS for the year ended 31st March 2016:

S. No.	Nature of Adjustments	Year ended 31st March 2016
	Net Profit/Reserves as per Previous Indian GAAP	(2,91,139.19)
1	Financial Liabilities at Amortised cost using Effective Interest Rate (Net)	2,550.30
2	Financial assets at Amortised cost using Effective Interest Rate (Net)	(235.41)
3	Accrual of Benefits of Capital Subsidy	538.43
4	Actuarial gains and losses	(133.14)
5	Effect of Amortisation of lease hold land reversed	14.63
6	Effect of Additional Depreciation due to fair valuation	(62,992.54)
7	Others	(5,636.92)
8	Tax effect of the above	12,979.03
		(52,915.62)
	Net Profit before OCI/Reserves as per Ind AS	**(3,44,054.81)**
9	Actuarial gains and losses	133.14
10	MTM on Investments	0.34
11	Share of Profit/(Loss) of Associates	1,884.91
12	Tax effect	45.47
	Net Profit after OCI/Reserves as per Ind AS	**(3,42,081.89)**

Notes to the reconcilliation of equity and profit and loss:

1. **Effect of change in operating assets and liabilities due to Ind AS 101**

   In accordance with Ind AS 101 "First Time Adoption of Indian Accounting Standards", the Company has elected to treat fair value as deemed cost for certain items of its property, plant and equipment and investments held in a subsidiary as at April 01, 2015. The Company has made a provision as per the expected credit model (ECL) for debtors and certain other items.

2. **Reclassification of financial liabilities**

   Under the previous GAAP, the preference share capital was classified as equity. However, as per Indian AS 32, on the basis of the terms and conditions of the preference shares, they qualify as debt. The impact of the same has been considered in equity as per Ind AS equity reconciliation.

3. **Sales tax deferral**

   The Company has fair valued the grant received from government under the Sales tax deferral scheme and the same has been measured as the difference between proceeds received and the fair value of the loan based on the prevailing market interest rates.

4. **Capital work in progress (CWIP) write off in subsidiary**

   The Company has made a provision for CWIP in Bowen Energy Limited (100% subsidiary of Bhushan Steel (Australia) Pty Ltd.) on account of fair valuation of the same.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

5. Others

Other adjustments primarily comprise of:

a. Amortisation of security deposits

b. De-capitalisation of indirect expenses from CWIP.

c. Additional equity pickup for associates and joint ventures.

6. Deferred tax

The impact of transition adjustments together with Ind-AS mandate of using balance sheet approach (against profit and loss approach in the previous GAAP) for computation of deferred taxes has resulted in charge to the Reserves, on the date of transition, with consequential impact to the Profit and Loss Account for the subsequent periods.

46 CIF VALUE OF IMPORTS

Particulars	March 31, 2017	March 31, 2016
Raw Material	3,70,627.73	4,11,265.06
Stores and Spares	23,255.82	16,036.61
Capital Stores	28,251.44	10,485.16
	4,22,134.99	**4,37,786.83**

47 IMPORTED AND INDIGENOUS RAW MATERIALS, PACKING MATERIALS AND STORES AND SPARES CONSUMED

Particulars	31st March 2017		31st March 2016	
	% of Total consumption	Amount	% of Total consumption	Amount
Raw Material				
Imported	55.86%	3,95,809.08	55.33%	3,48,937.04
Indigenous	44.14%	3,12,769.69	44.67%	2,81,723.33
	100.00%	7,08,578.77	100.00%	6,30,660.37
Store and Spares				
Imported	30.87%	21,086.61	25.79%	10,399.26
Indigenous	69.13%	47,225.09	74.21%	29,926.15
	100.00%	**68,311.70**	**100.00%**	**40,325.41**

48 EXPENDITURE IN FOREIGN CURRENCY ON ACCOUNT OF

Particulars	March 31, 2017	March 31, 2016
- Travelling	228.16	282.70
- Sales Commission	4,672.78	264.85
- Machinery Repair & Maintenance	159.15	32.00
- Technical Consultancy	2,396.18	924.42
- Interest and finance charges	35,417.92	33,676.98
- Capital Machinery / Indirect Expenses		1,164.12
- Legal Expenses	17.60	20.47
- Rates & Taxes	1.93	-
- Subscription	23.45	3.48
- Sea Freight Import Material	341.57	-
- Commitment Fee	61.27	-
	43,320.01	36,369.02

49 EARNINGS IN FOREIGN EXCHANGE

Particulars	March 31, 2017	March 31, 2016
Export of goods calculated on FOB basis	2,86,318.86	1,19,832.93
	2,86,318.86	1,19,832.93

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

50 The Company, as per road map of the Ministry of Corporate Affairs, adopted Indian Accounting Standards (Ind AS) w.e.f. 1st April, 2016. In compliance of Ind AS, the preference share capital has been classified from share holders capital to borrowings. As a result of the same and due to high finance cost, the net worth as on 31.03.2017 has become negative as per these financial statements.

The company was under the process of discussing various resolution options including S4A / deep restructuring schemes of RBI with Joint Lenders Forum (JLF) of lender banks / institutions since June, 2016. In JLF meeting held in April 2017, lenders agreed to discuss restructuring option under S4A scheme of RBI. However, now as per circular dated 13.06.2017 issued by RBI, 12 companies including Bhushan Steel Ltd were identified by RBI for reference to National Company Law Tribunal (NCLT) for working out the resolutions plan for the company. The company has earned EBITDA about Rs.3,000 crores in Financial Year FY 16-17 and a long term resolution plan needs to be made.

Based on the above, management is quite confident to reach at some workable resolution to resolve financial position with the lenders within the prescribed time limit and to continue its business as a going concern. Accordingly, these financial statements have been prepared on that basis.

51 As per Companies (Share Capital and Debentures) Rules 2014, where in terms of Clause 18(7)(c) of the rules, it is required by the company to create a fund before 30th April of each financial year, which shall not be less than 15% of the debentures maturing during the respective financial year ending on 31st March, by way of one or more methods i.e. through deposits with scheduled banks / investments in specified securities or bonds as indicated in the Clause 18(7) (c). However, the company could not create required fund due to losses incurred and financial constraints to the company.

52 The Supreme Court of India, vide its order dated 24/09/2014, cancelled number of coal blocks allocated to various entities which includes one coal block allocated to the company, which was under development. Subsequently, the Government of India has issued the Coal Mines (Special Provision) Act 2015, which inter-alia deal with the payment of compensation to the effected parties in regard to investment in coal blocks.

No effect has been taken on the value of investment made by the company in the de-allocated coal blocks amounting to Rs.562.90 crores (including Expenditure incurred of ₹135.46 crores and Advances given ₹427.44 crores) . In the opinion of the management, the company will receive back the payments/ expenditure paid/ made, including borrowing cost and other incidental expenditure, relating to de-allocated coal blocks. The Company has filed its claim for compensation with Govt. of India, Ministry of Coal. Subsiquently, the Company has filed a petition for recovery of the amount before the Hon'ble Delhi High Court in which notice has been issued to Union of India and others.

53 The Nine Judges Bench of Hon'ble Supreme Court, vide its judgment dated 11.11.2016, has upheld the constitutional validity of levy of Entry Tax by the States and has laid down principles/tests on levy of Entry Tax in various States. The respective regular benches of the Court would hear the matters as per laid down principles. Pending decision by the regular benches of the Court on levy of entry tax in the States, the disputed entry tax demand has been treated as contingent liabilities.

54 Due to the loss incurred, the Company applied to the Central Government for the approval of managerial remuneration. The approval from Central Government has been received but clarification regarding Leave Encashment, PF and taxable Car perquisite has been sought by the Company. Hence, the payment of Leave Encashment, PF and taxable Car perquisite are subject to approval of Central Government.

55. MATERIAL PARTLY-OWNED SUBSIDIARIES

Financial information of subsidiaries that have material non-controlling interests is provided below:

Proportion of equity interest held by non-controlling interests:

S. No.	Name	Country of Incorporation	Ownership Interest of Bhushan Steel Limited (%)		
			As on 31st March 2017	As on 31st March 2016	As on 1st April 2015
1	Bhushan Steel (South) Limited	India	100.00%	100.00%	100.00%
2	Bhushan Steel (Orissa) Limited	India	100.00%	100.00%	100.00%
3	Bhushan Steel Madhya Bharat Limited	India	100.00%	100.00%	100.00%
4	Bhushan Steel (Australia) Pty Limited	Australia	90.97%	90.97%	90.97%
5	Bowen Energy Pty Limited	Australia	90.97%	90.97%	90.97%

Information regarding non-controlling interest

	As on 31st March 2017	As on 31st March 2016	As on 1st April 2015
Accumulated balances of material non-controlling interest:			
Bhushan Steel (Australia) Pty Limited	70.06	942.03	918.71
Bowen Energy Pty Limited	(182.48)	(182.60)	(154.56
	(112.42)	**759.43**	**764.15**
Profit/(loss) allocated to material non-controlling interest:			
Bhushan Steel (Australia) Pty Limited	(871.97)	23.32	
Bowen Energy Pty Limited	0.12	(28.04)	
	(871.85)	**(4.72)**	

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

The summarised financial information of these subsidiaries are provided below. This information is based on amounts before inter-company eliminations.

Summarised statement of profit and loss for the year ended 31st March 2017:

Particulars	Bhushan Steel (Australia) Pty Limited	Bowen Energy Pty Limited	Bhushan Steel (South) Limited	Bhushan Steel (Orissa) Limited	Bhushan Steel Madhya Bharat Limited
Revenue	-	50.95	-	-	-
Cost of raw material and components consumed	-	-	-	-	-
Other expenses	9,660.30	49.62	0.30	0.25	0.25
Finance costs	-	-	-	-	-
Profit / (Loss) before tax	**(9,660.30)**	**1.33**	**(0.30)**	**(0.25)**	**(0.25)**
Income tax	-	-	-	-	-
Profit / (Loss) for the year from continuing operations	**(9,660.30)**	**1.33**	**(0.30)**	**(0.25)**	**(0.25)**
Total comprehensive income	**-**	**-**	**-**	**-**	**-**
Attributable to non-controlling interests	(871.97)	0.12	-	-	-
Dividends paid to non-controlling interests	-	-	-	-	-

Summarised statement of profit and loss for the year ended 31st March 2016:

Particulars	Bhushan Steel (Australia) Pty Limited	Bowen Energy Pty Limited	Bhushan Steel (South) Limited	Bhushan Steel (Orissa) Limited	Bhushan Steel Madhya Bharat Limited
Revenue	258.39	2.05	-	-	-
Cost of raw material and components consumed	-	-	-	-	-
Other expenses		311.29	0.52	0.28	0.28
Finance costs	-	-	-	-	-
Profit before tax	**258.39**	**(309.24)**	**(0.52)**	**(0.28)**	**(0.28)**
Income tax	-	-	-	-	-
Profit for the year from continuing operations	**258.39**	**(309.24)**	**(0.52)**	**(0.28)**	**(0.28)**
Total comprehensive income	**-**	**-**	**-**	**-**	**-**
Attributable to non-controlling interests	23.32	(28.04)	-	-	-
Dividends paid to non-controlling interests	-	-	-	-	-

Summarised balance sheet as at 31st March 2017:

Particulars	Bhushan Steel (Australia) Pty Limited	Bowen Energy Pty Limited	Bhushan Steel (South) Limited	Bhushan Steel (Orissa) Limited	Bhushan Steel Madhya Bharat Limited
Inventories and cash and cash equivalents (current)	1,300.10	16.15	75.37	4.53	4.53
Property, plant and equipment and other non-current financial assets (non-current)	-	-	-	-	-
Trade and other payable (current)	4.45	1.67	0.46	0.45	0.45
Interest-bearing loans and borrowing and deferred tax liabilities (non-current)	519.74	2036.20	100.00	-	-
Total equity					
Attributable to:					
Equity holders of parent	705.85	(1839.24)	(25.09)	4.08	4.08
Non-controlling interest	70.06	(182.48)	-	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

Summarised balance sheet as at 31st March 2016:

Particulars	Bhushan Steel (Australia) Pty Limited	Bowen Energy Pty Limited	Bhushan Steel (South) Limited	Bhushan Steel (Orissa) Limited	Bhushan Steel Madhya Bharat Limited
Inventories and cash and cash equivalents (current)	1,332.88	80.20	77.59	4.71	4.70
Property, plant and equipment and other non-current financial assets (non-current)	9,631.61	-	-	-	-
Trade and other payable (current)	45.91	16.01	2.38	0.38	0.38
Interest-bearing loans and borrowing and deferred tax liabilities (non-current)	482.06	2,087.24	100.00	-	-
Total equity					
Attributable to:					
Equity holders of parent	9,494.49	(1,840.45)	(24.79)	4.33	4.32
Non-controlling interest	942.03	(182.60)	-	-	-

Summarised balance sheet as at 01st April 2015:

Particulars	Bhushan Steel (Australia) Pty Limited	Bowen Energy Pty Limited	Bhushan Steel (South) Limited	Bhushan Steel (Orissa) Limited	Bhushan Steel Madhya Bharat Limited
Inventories and cash and cash equivalents (current)	13.14	247.97	76.17	4.96	4.96
Property, plant and equipment and other non-current financial assets (non-current)	10,728.82	19.34	-	-	-
Trade and other payable (current)	113.55	29.94	0.43	0.36	0.36
Interest-bearing loans and borrowing and deferred tax liabilities (non-current)	450.28	1,949.64	100.00	-	-
Total equity					
Attributable to:					
Equity holders of parent	9,259.42	(1,557.71)	(24.26)	4.60	4.60
Non-controlling interest	918.71	(154.56)	-	-	-

Summarised cash flow information as at 31st March 2016:

Particulars	Bhushan Steel (Australia) Pty Limited	Bowen Energy Pty Limited	Bhushan Steel (South) Limited	Bhushan Steel (Orissa) Limited	Bhushan Steel Madhya Bharat Limited
Operating	(0.14)	(19.37)	72.78	(0.17)	(0.17)
Investing	-	-	-	-	-
Financing	-	-	-	-	-
Net increase/(decrease) in cash and cash equivalents	(0.14)	(19.37)	72.78	(0.17)	(0.17)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

56. INVESTMENT IN ASSOCIATE/JOINT VENTURE

The Group has interest in following entities as stated below:

	% of holding		
	31st March 2017	**31st March 2016**	**1st April 2015**
Bhushan Energy Limited	47.71%	47.71%	47.71%
Jawahar Credit & Holdings Private Limited	42.58%	42.58%	42.58%
Bhushan Capital & Credit Services Private Limited	39.89%	39.89%	39.89%
Andal East Coal Company Pvt Limited	33.33%	33.33%	33.33%

A) Bhushan Energy Limited

	31st March 2017	**31st March 2016**	**1st April 2015**
Equity Shares	35,000.00	35,000.00	35,000.00
Add: Share of Profit/(Loss) (net)	(22,918.14)	(10,975.23)	(1,864.71)
Value of Investments	**12,081.86**	**24,024.77**	**33,135.29**

B) Jawahar Credit & Holdings Private Limited

	31st March 2017	**31st March 2016**	**1st April 2015**
Equity Shares	940.31	940.31	940.31
Add: Share of Profit/(Loss) (net)	(940.31)	(940.31)	(940.31)
Value of Investments	**-**	**-**	**-**

C) Bhushan Capital & Credit Services Private Limited

	31st March 2017	**31st March 2016**	**1st April 2015**
Equity Shares	940.31	940.31	940.31
Add: Share of Profit/(Loss) (net)	(940.31)	(940.31)	(940.31)
Value of Investments	**-**	**-**	**-**

D) Andal East Coal Company Pvt. Ltd.

	31st March 2017	**31st March 2016**	**1st April 2015**
Equity Shares	145.50	145.50	145.50
Add: Share of Profit/(Loss) (net)	(145.50)	(28.98)	(6.13)
Value of Investments	**-**	**116.52**	**139.37**
Total Value of Investments	**12,081.86**	**24,141.29**	**33,274.66**

* Figures for the previous years have been reclassified to confirm to Current year's Classifications.

See accompanying notes to the Standalone Financial Statements

As per our report of even date attached

For **MEHRA GOEL & CO.**
Chartered Accountants
(Registration No.: 000517N)

Sd/-
R. K. MEHRA
PARTNER
M. No:006102

For **MEHROTRA & MEHROTRA**
Chartered Accountants
(Registration No.000226C)

Sd/-
M.P. MEHROTRA
PARTNER
M.No:005699

Sd/-
B. B. SINGAL
NON-EXECUTIVE CHAIRMAN
(DIN : 83406)

Sd/-
NEERAJ SINGAL
VICE CHAIRMAN &
MANAGING DIRECTOR
(DIN : 78057)

Sd/-
PANKAJ KUMAR
HEAD
(ACCOUNTS)

Sd/-
NITTIN JOHARI
WHOLE TIME DIRECTOR (FINANCE)
& CHIEF FINANCIAL OFFICER
(DIN : 278605)

Sd/-
O. P. DAVRA
COMPANY
SECRETARY
(FCS : 3036)

Place: New Delhi
Dated: 5th July, 2017

57. Additional Information, as required under Schedule III to the Companies Act, 2013, of enterprises consolidated as Subsidiary / Associates / Joint Ventures.

S. No.	Name of the Enterprise	Net Assets i.e. total assets minus total liabilities		"Share in profit or (loss)"	
		As % of consolidated net assets	Amount (Rs. In lacs)"	"As % of consolidated profit or (loss)"	"Amount (Rs. In lacs)"
	Parent				
	Bhushan Steel Limited	83.86	(124,365.62)	96.92	(350,173.36)
	Subsidiaries				
	Indian				
1	Bhushan Steel (South) Limited	0.02	(30.09)	-	(0.30)
2	Bhushan Steel (Orissa) Limited	-	(0.92)	-	(0.25)
3	Bhushan Steel Madhya Bharat Limited	-	(0.92)	-	(0.25)
	Foreign				
1	Bhushan Steel (Australia) Pty Limited	(0.48)	705.84	(0.22)	791.93
2	Bowen Energy Pty Limited	(0.13)	196.97	-	1.21
3	Bowen Coal Pty Limited	-	-	-	-
4	Bowen Consolidated Pty Limited	-	-	-	-
	Minority Interests in all subsidiaries	0.08	(112.42)	0.24	(871.85)
	Associates (Investment as per the equity method) Indian				
1	Bhushan Energy Limited	15.45	(22,918.14)	3.31	(11,942.91)
2	Bhushan Capital & Credit Services Private Limited	0.63	(940.31)	0.00	0.49
3	Jawahar Credit & Holdings Private Limited	0.63	(940.31)	-	-
	Joint Venture (Investment as per the equity method) Indian				
1	Andal East Coal Company Private Limited	-	-	(0.01)	22.85

58. SALIENT FEATURES OF FINANCIAL STATEMENTS OF SUBSIDIARY / ASSOCIATES / JOINT VENTURES AS PER COMPANIES ACT, 2013

PART"A": SUBSIDIARIES

S. No.	Name of Subsidiary Company	Country	Reporting Currency	Share Capital	Reserves & Surplus	Total Assets	Total Liabilities excluding Shareholder's Funds	Investments included in Total Assets	Turnover	Profit before Taxation	Provision for Taxation	Profit after Taxation	Proposed Dividend	% of Shareholding	
1	Bhushan Steel (Orissa) Ltd.	India	INR	5.00	(0.92)	4.53	0.45	-	-	(0.25)	-	(0.25)	-	100.00%	-
2	Bhushan Steel (South) Ltd.	India	INR	5.00	(30.09)	75.37	100.46	-	-	(0.30)	-	(0.30)	-	100.00%	-
3	Bhushan Steel Madhya Bharat Ltd.	India	INR	5.00	(0.92)	4.53	0.45	-	-	(0.25)	-	(0.25)	-	100.00%	-
4	Bhushan Steel (Australia) PTY Ltd.#	Australia	AUD	26,946.53	(26,170.62)	1,300.10	524.19	-	-	(9,660.61)	-	(9,660.61)	-	90.97%	-
5	Bowen Energy PTY Ltd.**#	Australia	AUD	8,900.04	(10,921.77)	16.15	2,037.88	-	-	1.33	-	1.33	-	100.00%	0.00
6	Bowen Coal PTY Ltd.***#	Australia	AUD	-	-	-	-	-	-	-	-	-	-	100.00%	-
7	Bowen Consolidated PTY Ltd.***#	Australia	AUD	-	-	-	-	-	-	-	-	-	-	100.00%	-

* Includes Foreign Currency Translation Reserve .

** Subsidiary of Bhushan Steel (Australia) Pty Limited.

*** Subsidiaries of Bowen Energy Pty Limited.

Financial Stetment is based on Unaudited Results.

Names of Subsidiaries which are yet to commence operations-

S. No.	Name of Subsidiary Company
1	Bhushan Steel (Orissa) Ltd.
2	Bhushan Steel (South) Ltd.
3	Bhushan Steel Madhya Bharat Ltd.
4	Bhushan Steel (Australia) PTY Ltd.
5	Bowen Energy PTY Ltd.
6	Bowen Coal PTY Ltd.
7	Bowen Consolidated PTY Ltd.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST MARCH 2017

(All amounts in Lakhs Rupees except as otherwise stated)

PART"B" : ASSOCIATES AND JOINT VENTURES

Statement pusuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures

S. No.	Name of Associates/ Joint Venture	Latest audited Balance Sheet Date	Shares of Associates/Joint Ventures held by the company on the year end			Networth attributable to Shareholding as per latest audited Balance Sheet (Rs. In lacs)	Profit/(Loss) for the year	
			No.	Amount of Investment in Associates/Joint Venture (Rs. In Lacs)	Extend of Holding %		Considered in Consolidation (Rs. In Lacs)	Not Considered in Consolidation
	Associates							
1	Bhushan Energy Limited	31.03.2016	65000000	35,000.00	47.71%	24,419.96	(11,942.91)	-
2	Bhushan Capital & Credit Services Private Limited	31.03.2016	8643742	940.31	42.58%	3,578.15	0.49	-
3	Jawahar Credit & Holdings Private Limited	31.03.2016	8643742	940.31	39.65%	3,943.19	-	-

Names of Associates / Joint Venture which are yet to commence operations- NOT APPLICABLE

Sd-/	**Sd-/**	**Sd-/**	**Sd-/**	sd-/
B. B. SINGAL	**NEERAJ SINGAL**	**NITTIN JOHARI**	**PANKAJ KUMAR**	**O. P. DAVRA**
NON- EXECUTIVE CHAIRMAN	VICE CHAIRMAN & MANAGING DIRECTOR	WHOLE TIME DIRECTOR (FINANCE) & CHIEF FINANCIAL OFFICER	HEAD (ACCOUNTS)	COMPANY SECRETARY
(DIN : 83406)	(DIN : 78057)	(DIN : 278065)		(FCS : 3036)

Place: New Delhi
Dated: 5th July 2017



BHUSHAN

BHUSHAN STEEL LIMITED

The Future of Steel

Bhushan Centre, Ground Floor, Hyatt Regency Complex
Bhikaji Cama Place, New Delhi - 110066
Tel.: (011) 71194000
Fax: (011) 46518611
Email: bsl@bhushansteel.com
CIN: L74899DL1983PLC014942

www.bhushansteel.com